Laxmi Organic Inds. (LXCHEM)

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Call: May 2023

May 1 8, 2023

Dear Sir / Madam,
Sub: Disclosure under Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligation and Disclosure Requirements) Regulations, 2015 (" Listing Regulations "), We would like to inform you that the Company, in its letter dated May 17, 2023, has submitted transcript which has some typographical errors.
Hence, please see enclosed revised final transcript of the Investor Presentation for Q 4 FY23
We request you to take the above on record.

For Laxmi Organic Industries Limited

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Aniket Hirpara
Company Secretary and Compliance Officer

Encl.: A/a

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Trading Symbol: LXCHEM

"Laxmi Organic Industries Limited
Q4 FY '23 Earnings Conference Call "
May 15, 202 3

MANAGEMENT : MR. RAVI GOENKA – CHAIRMAN – LAXMI ORGANIC INDUSTRIES LIMITED
DR. RAJAN VENKATESH – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – LAXMI ORGANIC INDUSTRIES LIMITED
MR. HARSHVARDHAN GOENKA – EXECUTIVE DIRECTOR , BUSINESS DEVELOPMENT AND STRATEGY – LAXMI ORGANIC INDUSTRIES LIMITED
MS. TANUSHREE BAGRODIA – CHIEF FINANCIAL OFFICER – LAXMI ORGANIC INDUSTRIES LIMITED

MODERATOR : MS. PRIYA SEN – GO INDIA ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to the Laxmi Organic Industries Limited , Q4 FY '23 Earnings Conference Call, hosted by Go India Advisors. As a reminder, all participant lines

will be in the listen -only mode and there will be an opportunity for you to ask questions after

the presentation concludes. Should you need assistance du ring the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Priya Sen from Go India Advisors. Thank you. And over to you.
Priya Sen : Thank you, Ryan. Good afternoon, everyone, and welcome to the Q4 and FY '23 Earnings Call of Laxmi Organic Industries Limited. We have on the call, Mr. Ravi Goenka, Chairman; Dr. Rajan Venkatesh , MD and CEO; Mr. Harshvardhan Goenka , Executive Di rector of Business Development and Strategy; and Ms. Tanushree Bagrodia, Chief Financial Officer.
We must remind you that the discussion on today's call may include certain forward -looking statements and must be, therefore, viewed in conjunction with the r isks that the company faces.
May I now request Mr. Ravi Goenka to take us through the financials and the business outlook, subsequent to which we will open the floor for Q&A. Thank you. And over to you, sir.
Ravi Goenka: Thank you, Priya, and a very good afternoon, ladies and gentlemen. Thank you for joining us today for our earnings call for the last quarter and for the full year of 2023. At Laxmi, we have always promoted excellence and innovation to provide local and global customers with consistent quality and reliable delivery. FY '23 has been a journey in that direction. We augmented our Acetyls and Specialties product portfolios and enhanced exports. The diverse industry and customer base enabled effective countering of headwinds, especially the demand drop in Europe in quarter 2 of last fiscal.
Our investments in health, safety, sustainability have continued through the year, reiterating that this aspect of our business will always get unflinching support. As we continue to build on our operation s, we also continue to invest in our people and strengthening the company leadership.
It gives me great pleasure to formally introduce to you our new Managing Director and CEO, Dr. Rajan Venkatesh .
Dr. Rajan comes with nearly 2 decades of global experience in the chemical industry and has rich experience of working across functions from research to sales, to marketing, to finally leading more than a USD1 billion business. His global experience across Europe, Asia including India, is very relevant to Laxmi, as our exports and customer centricity are accelerating. I'm convinced that he will take the baton from our outgoing CEO, Mr. Satej Nabar, and take Laxmi to new heights.
I would also like to take this opportunity to thank Satej for all his contributions an d efforts that have led to Laxmi significant growth over the last 3 years. He has been a key part of the Laxmi family, and we wish him all the very best in his future endeavours .
I would now like to hand over to Dr. Rajan to address the call. Over to you, Rajan.

Rajan Venkatesh: Thank you, Ravi. A very good afternoon, good morning, good evening, depending on the time zone that you're dialing in from. Thrilled to be part of the Laxmi team and also to be engaging with you. As I now embark on this journey , I think what is very clear in my mind is who am I accountable to? And my accountability lies to 5 stakeholders. One, the investors, both the retail and the financial institutes; second, the Board of Directors and the Chairman that I report into; third, t he Laxmi team; four, our customers; and fifth and last, but not the least, the societies that we operate in.
In the last, almost 45 days, I have been engaging very intensely with the Laxmi team. I've had a chance to visit our sites. I have met a few custom ers and I'm looking forward to meet many of the o

ther customers. I'm really impressed by what I see on the ground. I have visited our Mahad site. I have visited our upcoming Lote site. And this gives me a great deal of confidence for the vision that Laxmi has charted for itself.
In my next steps, what I would focus on with the team, are clearly sharpening our strategy, our right to win, operational excellence. This is a continuous journey. But we will further embark very strongly on this. Our EHS journey, w e have been investing at Laxmi pretty extensively on an annual basis and this will continue and, obviously, looking at improving digitization at every space of our business, leveraging innovation, which is core to success, not today, but also looking ahead . And last but not the least the people element. And I'm really looking forward to engaging with you guys quarter -on-quarter as I embark on this journey.
With that said, I would like to, again, thank the Board of Directors and the Chairman for entrusting m e with this opportunity and looking forward. Back to you, Ravi.
Ravi Goenka: Thank you very much, Rajan. And it's a pleasure to have you lead our company and take it to its potential in the next few years.
I would now like to address the business performan ce for the last financial year. Our acetyls

business portfolio saw strong volume resilience despite the demand volatility. Diversified industry presence from essentials to lifestyle to industrials enabled the same. Exports at about 40% of the sales were dr iven by a strong on -ground presence in Europe, and the strong supply chain we have developed and showed efficiencies across the board.
The company continues to be a market leader in India and a Tier -1 supplier in Europe, with customers continuing to rely o n the product quality and timely delivery. Focusing on diversification and customer needs, we augmented the product portfolio in this segment with smart capex , and the same has already contributed to our sales in quarter 4.
Today, the acetyls product portfolio comprises of more than a dozen products and we remain committed to supporting our customers with reliable quality and timely supply of products they need to grow their businesses. Our Specialty Intermediates business with a focus on innov ation, the company has made significant investments in R&D, which in the last financial year stood at more than 10% of PAT. This has enabled Laxmi to bring immense value to our customers.

The company retains its market -leading position with a share of appr oximately 50% in diketene derivatives market in India and is regarded as a strong and reliable partner of quality products by global customers. The 2 new plants capitalized in financial year '23 have further strengthened the company's leadership in the dik etene derivatives and improved contribution margin significantly.
Our exports in FY '23 grew 30%, with no single product contributing more than 10% to the top line. The trajectory of this growth and diversification is what we intend to maintain. Our fluoro intermediate section, the asset which we acquired from Miteni has now been successfully relocated to its new home in Maharashtra. The site will be commissioned in a phased manner over the course of this year, and we have successfully started Phase 1. This is a new and exciting platform for us, with every third pharma and agro intermediate needing a fluoro compound. Our initial efforts are to ensure securing a strong foundation for this business.
Over to the financials, I will ask -- request Tanushree to di scuss our performance in further detail.
Tanushree Bagrodia: Thank you, sir. Talking about our quarter 4 FY '23 financial performance, the last quarter of FY '23 was sequentially better for Laxmi Organic. Consolidated income at INR737 crores was 12% highe r versus the immediately preceding quarter. In the same period, the EB

ITDA at INR64.5
crores at a consolidated level was 11% higher. Improvement in the profits came largely from the changed product mix.
Ocean freight levels have normalized, with container availability also having significantly improved. Coal prices remained flat in Q4 FY '23 versus Q3 FY '23, albeit much higher than the prices of FY '22. Profit before tax for the period at INR42.7 crores was 27% higher than the immediately preceding quarter , driven by the improved top line and product mix. Depreciation in the quarter increased in line with expectations.
On the annual level, FY '23 consolidated income of INR2,809 crores was 9% lower than the previous year, driven by lower realization. Year -on-year volumes remained strong. The consolidated EBITDA of INR256.6 crores was 33% lower than FY '22. Power and fuel costs driven by the steep increase in coal prices, which were up almost 40% year -on-year was the primary driver of this EBITDA impact. This is further evidenced by the fact that despite a 9% drop in top line, gross profits remained flat year -on-year.
PAT at INR124.6 crores was 52% lower, driven by the drop in top line and EBITDA, and a INR24 crores increase in depreciation. The strength of the operations, however, was visible in the considerable improvement in cash flow from operations, which more than doubled from INR121 crores in FY '22 to INR250 crores in FY23 at a consolidated level.
Post-tax, the cash flow from operations stood at approxim ately INR200 crores for the full -year FY '23.
Consequently, the cash flow from operations to EBITDA ratio for FY '23 stands at 97%, up from 29% in FY '22. The working capital days improved by 20%, despite a decrease in payable days.

The overall financial p osition of the company remains strong, with improving cash flows and an unleveraged balance sheet.

With this, I would like to hand over to Priya for the Q&A.
Moderator: We take our first question from the line of Dhaval with Girik Capital. Please go ahead.
Dhaval: Yes. Firstly, sir, our fluorine assets have been operationalized this quarter. If you could share some thoughts, what was the revenue of fluorine in this quarter and how do you see it over next 2-year period?
Harshvardhan Goenka: Dhaval, good talk ing to you again. Harsh here. So, Dhaval, as mentioned earlier as well, fluorine is going to be a platform play. And like we have done in SI, the first year is spent a lot in establishing the base and the foundation strongly and we've reiterated that earli er. So, we are very bullish about the potential of this platform and how it can change the orbit for Laxmi.
While the first year will be primarily spent in establishing the operations, sampling out with all of the customers, revenues will start hitting and ramping up in the years to come. A lot of the new product investment has also already started, which we started a lot later in the SI journey.
So, that's how I would really think about it. I think the SI journey and the growth of that is fairly clear and we've made that available to you -- those numbers available to you.
Dhaval: Yes. Again on the fluorine side, if you can just revisit our product pipeline. So, we would be focusing on what sort of products? To start with ETP, how will our product mix look?
Harshvardhan Goenka: Sure. So as we've said, we have not changed our initial hypothesis. We are starting with all of the products that Miteni would produce in the first -- in this capex , let's call it that, where Miteni's assets produced a certain amount o f products. Those are the products that these assets will continue to produce today, and we are seeing further opportunities of adjacencies, which we will take up once the base is established strongly.
Dhaval: Okay. Got it. And on the SI business, how is the growth rate looking like there? Any newer opportunities in terms of new

er product application or some large new customers signed up, anything which increases our visibility there? And what sort of revenue growth should we assume for the next 3 -year per iod in the SI side?
Harshvardhan Goenka: If I mention all of those granular details, it will be a little problem sometimes for us. What I can state is, we have a leadership position in SI that we would like to grow. Growth will come in multiple ways from n ew products and new markets. And we are looking at how we can grow that continuously and grow our leadership.
So, you will see that happening in the SI. We have just managed to establish 2 large plants as you are all aware. Those are stabilizing. One has s tabilized. The other one is in that process of being stabilized. And, yes, we'll continue to do more of the same. Our product pipeline remains strong. As Chairman mentioned, almost 10% of our PAT is invested into R&D.
Ravi Goenka: Yes.

Dhaval: And yes -- so on that front, that number will -- how will that -- you will keep investing a similar absolute amount in the R&D or let percentage remain same?
Harshvardhan Goenka: No, R&D is expected to grow. I don't think we are targeting percentage, but our strength and infrastructure of R&D will continue to grow.
Rajan Venkatesh: And maybe since innovation as a chemist, close to my heart, and that's where I started my career with BASF, I think if you think about it logically, most products go through the S -curve, right, we are all aware. So, we will obviously really try to focus on bringing in new products, new technologies based on the platform that we are engaging with as we see certain of our products moving to the S -curve. So R&D, our innovation as a whol e will continue to play a very important part. And as Harsh said, we don't have a specific target. While that being said, we are also investing -- we will continue to invest in that.
Moderator: Our next question comes from the line of CA Garvit Goyal with Nvest Research. Please go ahead.
CA Garvit Goyal: So, my question is particularly on the demand environment that's currently going on in the end industries, like we see last couple of quarters, our top line is recovering, right? So can you spend some few m inutes on the demand side basically in the end industries that we are targeting from our product portfolio?
Rajan Venkatesh: Yes. Okay. So, Rajan here, Garvit. And I'll give a stab at it. But I hope you'll give me some discount since this is day 40 for me with Laxmi. So let me start with broadly the industries that we are serving as Laxmi. Let me start with the agro part. And you certainly see it in the results of our customers. We do see certain slight weakness in the agro space from the exports and also the domestic side. While the previous year, if you recollect, was very strong, yes. So that's the agro part.
I would say on the pharma space with, obviously, all the COVID things coming to an end, it has got dual effect. So demand is slightly ebbing. On the other side, you are also seeing a significant

higher audits happening at our customer interfaces. So, that's something to be sort of on a watch out. While on the elements, on the case that is the coatings, adhesives, sealants and elastomers, we continue t o see domestic demand being broadly positive, while exports especially into Europe are being slightly softer. So hope that gives you a bit of a perspective. So the essentials part of our portfolio that we serve is slightly weaker, but the other elements ar e reasonably positive when it comes down to domestic demand.

CA Garvit Goyal: So how do you see situations changing in next few quarters, say, next 2 to 3 quarters in those areas that you mentioned that currently weaknesses is there?

Rajan Venkatesh: I think if we were unable to actually predict that to the last T, I think you would need a crystal ball. But I would say we are in close contact with all our customers. We are seeking a clarity from them depending on how also the macro element in Europe, how th ings are prevailing, you've had the Green deal coming up in Europe in a very big way. North America, the recessionary fears have not yet disappeared. So, I think we are closely watching. And I think it

would be just too premature to say that we know for su re how the whole thing will pan out in the next 3 or 4 quarters.

Harsh, if you want to add anything on that, please jump in.

Harshvardhan Goenka: I think that's good, Rajan.

CA Garvit Goyal: Okay. That's the one. And second is on the margin side. So, there is a little bit volatility in the margins on a historical basis, if you see the numbers from 2020. So how do you see margins shaping up from here going forward in next few quarters? And how do you see, what will be the sustainable margins for us in the lo nger term?

Harshvardhan Goenka: So, you should actually look at both our segments in a way that the essentials basket has its own cyclicality, which we've experienced last year. But over the cycle, both of these businesses make us money. And as our capex es increase towards speciality businesses, you will see this becoming more and more stable. So, we are not giving guidance, but I hope this is able to help you arrive at a number.

CA Garvit Goyal: That's good. And is there any guidance for top line for FY '2 4?

Harshvardhan Goenka: Sorry, we're not giving guidance to our financials right now.

Ravi Goenka: So CFO, any comment on that?

Tanushree Bagrodia: As a listed company, we don't give out a guidance at this point in time.

CA Garvit Goyal: Understood, sir. A nd in fluorination segment, basically, can you tell me the industries that you're looking to target? I think -- is it the new age verticals like solar industries, EVs, or the basic industries you are going to target like electrification and all sorts ?

Hars hvardhan Goenka: Yes. So happy to comment on that. Our primary applications from the FI business will be agro and pharma in the Phase 1. And then we have a large basket of industrials, which makes up flame retardants to composites to battery -- some parts of battery, not the materials play but other chemical plays in that is what we are targeting.

Moderator: Our next question comes from the line of Jatin Damania with Kotak Securities. Please go ahead.

Jatin Damania: So just 2 broad questions. One is on dike tene, where we said we have a 50% market share. And if I'm looking at the numbers, we are -- the diketene accounts for almost 70% of our segmental revenue. But if I'm looking in terms of margin, the segment is not in the double -digit margin. So as an analy st of an industry, how shall one look at this particular segment going ahead in terms of the performance?

Tanushree Bagrodia: Jatin, Tanushree here. Jatin, I'm not sure how you are calculating the margins to reach the conclusion. Very happy to speak to you offline separately and then answer this question so that you can get a better understanding of the numbers that we are presenting.

Jatin Damania: Sure. We can do that. Okay. And secondly, on the fluoro situation, I mean, definitely, we have completed -- we will be completing the -- capitalizing the 3 Phases. So once all the phases are completed, what will be the revenue contribution of the fluoro into the overall revenue mix probably in next 2 years to 3 years?

Harshvardhan Goenka: Yes. So, we've also r eleased this information publicly where we said the Miteni assets would do about EUR25 million revenue when they were based in Italy. So depending on the product mix and the inflation, etcetera , etcetera , we'll be around that in the first phase.

Jatin Da

mania: In the first phase. And sir, after the completion of the 3 phases, if you can give some guidance in terms of the -- I mean, growth trajectory in terms of the revenue and EBITDA?
Harshvardhan Goenka: Sorry. Let me clarify. My first phase -- so we a re looking at fluoro as a platform. This phase of capex , what we have stated will deliver that. We will then obviously reinvest to grow this business exponentially.
Jatin Damania: Okay. And sir, how much money that we are looking to reinvest back into the fluoro business?
Harshvardhan Goenka: So, we will not give that number today, but what we can state is that, that addressable target market that we have is a lot larger than what these assets can serve. And there are several adjacencies that are already pa rt of our R&D pipeline that will require capex es in large -scale plants. So, we are looking at this business to establish it the way we have established SI, and we're excited by that.
Jatin Damania: Right. Sir, last question is on the -- I mean, we have see n frequent changes in the top level management. So I mean, what is the employee chain? And is it that as an industry, are we unable to retain our talented employees at the top level? Or how is the thing on that front?
Tanushree Bagrodia: Jatin, Tanushree h ere. I think if you see the company has had a fairly stable run of top management. Of course, we've had Mr. Partha Roy Chowdhury who left last year, but he retired. And Satej was with the company for 3 years, and he has decided to move on to pursue his own other opportunities, right? So from a top management point of view, if you look at the rest of the top management with the sales segment heads, they've all been with the company for a very long time, right?
The senior management tenure is fairly stable. W e also have a huge set of employees who've been with the company for various tenures, but all long period of tenure. So the 2 changes that you're mentioning to are reason driven and with a fairly stable tenure.
Jatin Damania: Sure. And Tanushree, I'll get back to you offline for this diketene thing.
Tanushree Bagrodia: Sure, Jatin. Get in touch with Go India, and they will put you in touch with us.
Jatin Damania: Sure.
Moderator: Our next question comes from the line of Nitesh Dhoot with Prabhudas Lilladher Private Limited. Please go ahead.

Nitesh Dhoot: Yes. Dr. Rajan, great to have you on board at Laxmi Organics. My first question is on the capex side. So have you finalized our plans on the next round of capex for the Dahej land that we acquired some time back? So if you can give color on the products and the chemistry that we would be looking at on that side? Or will it be the existing products itself?
Rajan Venkatesh: So, Nitesh, as I've just come on board, the team has certainly -- the investment in Dahej certainly has been done with a plan in mind and the team has really worked out a business plan. But I would like to also understand a certain level of granularity of that business plan, and that's why that's work in progress. We are happy to share with you a little more details once time progresses and once we have clarity. But I would say it would be certain of the portfolios would be building off the successes that w e have and then certainly, we will be also augmenting others. That's what I would like to place on the table for now and seek your understanding.
Nitesh Dhoot: Sure. Sure. But what would be your capex otherwise for FY '24 as a company overall?
Tanushree Ba grodia: Nitesh, we have always said that on a normal basis in any 1 year, we'll have around INR300 crores of organic capex and that yardstick remains unchanged.
Nitesh Dhoot: Sure. Sure. Okay. So coming on to the Specialty Intermediates side. So what was t he utilization of the first and the second long -term projects in Q4?
Harshvard

han Goenka: We don't answer plant -wise utilization.
Nitesh Dhoot: Ballpark on the second long -term project, particularly, sir?
Harshvardhan Goenka: No, no. So Nitesh, let me give it you this way. Both products have good demands and they are operating well. We are looking to ramp up the plant that got established later in this quarter furthermore.
Tanushree Bagrodia: Nitesh, if I was just to once again reiterate, looking at capacit y utilization may not be the best metric for this type of a business, right? So the way we look at is, are we generating the same sort of margins that we had expected in the same timeframe? And that's actually coming through.
Nitesh Dhoot: Okay. So how is the -- if I just can ask you as to how have the SI revenues ex of the 2 long -term projects performed in FY '23 overall? Any ballpark growth number that you can give out there? And what will be the outlook for those products for FY '24?
Tanushree Bagrodia: Nitesh, so let me give you an answer in 2 parts, right? Look, when we are going downstream, you've got to appreciate that we've become consumers of products that we were selling

ourselves, right? So to that extent, you may not see an increase in the top li ne, but the changes in the bottom line and the contribution margin itself that we've put in our presentation are indicative of the contribution that has come from -- the new products that have come this year, right?
The second is our volumes remain quite strong. So if I look at it without the 2 new plants, we would have still been in a very, very healthy position. And the idea of investing is always to

keep going downstream. And there you will continue to see a higher growth on the margin versus on the revenue.
Nitesh Dhoot: Sure. But in that case, I mean, I was just trying to understand that despite the 50% export contribution coming through for SI, which would rightly imply a significant increase in the SI exports se quentially as well. And so that should ideally sort of driven the blended EBITDA margins higher, which is not the case. So, I was just trying to understand as to how to look at this.
Harshvardhan Goenka: So Nitesh, we are fairly agnostic to exports or dome stic. Our supply chains and our customers -- sorry, our customer supply chains keep on changing from a location to the other. So, I will not take that yardstick. Giving you all the number of exports is just to show that we are increasing our presence inter nationally.
Tanushree Bagrodia: Nitesh, my request will be that just to help you understand the numbers a bit better, we connect offline so that we also have a clarity of how you are interpreting the numbers and that there's no slip between the lip and the cup. So please get in touch with Go India and then we can circle back on this.
Nitesh Dhoot: Sure. I'll do that. Just one last question if I can put it through. So what should be the -- what should be the effective tax rate that we should work with for FY '24? I mean, should it be a full tax rate? Or do we have any benefits there? So if you can answer that?
Tanushree Bagrodia: Nitesh, we are -- as you will acknowledge, we are currently in the old tax regime. And we are in the process of evaluating whether we should move to the new tax regime or currently stick with the old tax regime. So the worst -case scenario you may want to take is a 25% tax rate, which will be the full tax rate in the new tax regime.
Moderator: Our next question comes from the line of Ankur Periwal with Axis Capital. Please go ahead.
Ankur Periwal: And welcome Mr. Rajan. Good to hear from you. So starting with the Specialty Intermediates segment. Correct me if I'm wrong, the export, while they have shown a pretty strong growth, which, to my mind, will be partially driven by the new product launches as well. Domestic has seen some slowdown. Is it l argel

y a discretionary, non -discretionary sort of thing because of the macro slowdown? Or how should one look at it?
Harshvardhan Goenka : Ankur, I would look at it being choice driven. We are choosing to supply certain markets over others. And therefore, that choice remains with Laxmi.
Ankur Periwal: Sure. And the capacity remains fungible here in terms of which product you want to sort of produce here depending upon the domestic or the export outlook?
Harshvardhan Goenka : Yes. Exactly. As always mentione d, we are looking at product portfolio optimization constantly.
Ankur Periwal: Sure. Sure. Okay. So second question. And referring to your Slide number 14, which is largely talking about Specialty Intermediates. There has been an optimization in the produc t mix. On a scale of 100 from 88, we have gone to 108. But if I look at slightly longer term or even from a

contribution margin perspective, the growth has been sharper. But when I look at the EBITDA margins, number are largely flattish, give and take on E BITDA this year, full year versus last year. The higher overheads here, are they largely logistics and coal due to which the number looks bleak and with cost normalization now maybe the direction will be more upwards going ahead, if you can share some thou ghts there?
Tanushree Bagrodia: Yes. So, Ankur, that's right. So if you look at -- if you were actually just to look at the gross profit, right, the gross profit on a year -on-year basis despite a 10% lower revenue actually remains flattish. The EBITDA this year in FY '23 has been impacted in more than 50% because of th e higher power and fuel costs. And that is so much more than the freight costs. Of course, that's been a part of it, while the -- and in particular, the coal costs. And while the coal costs have come down, right, they still remain about 30% to 35% higher t han what they were in FY '22. So

till this starts to normalize, I think the improvement of the gross profit is not going to come down to the EBITDA.

Ankur Periwal: Sure. So on an annual basis, if I look at our SI business has grown at around 10%, 11 -odd pe rcent, and there is a contribution from the new product here also. So if you can -- and my presumption here is there is an RM inflation, so there will be a pricing increase as well. While at the same time, we are commenting that on the volume front, we are pretty much stable. So, I'm just trying to connect how should one look at it? Is there a maybe a de -growth in the older products and the new product is compensating for it? Maybe if you can share some thoughts.

Tanushree Bagrodia: So that's, by and large, just from what has been sold outside, that would be true, right, because you've also become consumers of the product. But by and large, if you look at the products that are being sold, what you're saying is correct.

Ankur Periwal: Sure. And so from an old product, if I could broadly classify it as old and new, old product, there is some slowdown, but there is still a scope of growth or those products are optimized as per new?

Tanushree Bagrodia: No, absolutely, there remains a scope of growth. I think the choice is a choice that we make of what we want to sell.

Harshvardhan Goenka: So, Ankur, broadly, while we are giving the data of product mix and how many products, etcetera , based -- I mean, rebased, we will constantly do these product portfolio optimizat ion as we are driving this business more on margin.

Ankur Periwal: Sure. Sure, Harsh. Fair enough. Just on the fluorination side, your earlier comments did suggest that probably year 1 of fluorination business, which is FY '24, will be more focused on buil ding the franchise, the product approvals getting in place, etcetera . So from a ramp -up perspective, if you can highlight how are we looking at the timelines, let's say, for the new product launches

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the revenue ramp -up and which part of the segment, how i s the customer feedback on the fluorination product side?

Harshvardhan Goenka: No. Perfect. So, I think customer feedback has been fairly robust, Ankur. Nothing has changed over there. Customers are excited for us to get into existing products with Miteni, as well as a

lot of new products. So, there's traction and efforts going on, on both sides, while our capex and our delivery and establishing of the plant on the baseline products remain solid. And we are following our strategy clearly by stating that we want to set the foundation strong. All of the sampling from all our commercial products will happen in this year, and then you'll really get the ramp -up and the reinvestment into the adjacencies thereafter.

Ankur Periwal: Sure. And when we say for the prod uct approvals, what sort of a timeframe are we looking at? When we can see the commercial ramp -up of these products?

Harshvardhan Goenka: Yes. So customer approvals will be anywhere between 3 and 6 months depending on their complexity of their own supply c hains.

Ankur Periwal: Sure. And Harsh, lastly, if you can just remind the revised capex number here and the asset turns that we were targeting?

Harshvardhan Goenka: So, Ankur, we have already stated that we have not changed. It will be around that INR400 crores mark and I have stated the revenue potential of the Miteni assets as well earlier on this call.

Ankur Periwal: Which is a EUR25 million odd, which will be done from the Phase 1?

Harshvardhan Goenka: Correct.

Moderator: Our next question comes from Chetan Thacker with ASK Investment Managers Private Limited. Please go ahead.

Chetan Thacker: I just wanted to check with you, particularly on the AI side, it appears this was a weak quarter from a profitability point of view. Is that assessment correct that there was near negligible contribution on profits from AI for this quarter?

Harshvardhan Goenka: I think generally, Chetan, the entire year was weak for AI. As you had the raw material prices slipping throughout the ye ar all the way until March, you've seen that in the Acetyl Intermediates segment, which was broadly expected.

Chetan Thacker: And the subdued environment still continues in Q1 as well. That would be a fair assessment that Q1, Q2 still look a tad bit diffic ult?

Harshvardhan Goenka: So as Rajan mentioned, Chetan, we are seeing headwinds in agro and pharma, where these segments are still -- agro globally and pharma, specifically in India. But the CASE segment; coatings, adhesives, sealants, elastomers are wher e we're seeing a stronger pickup. So consumer is still doing a little bit better. So anything upstream of consumer seems to be doing better.

Rajan Venkatesh: And Chetan, maybe just adding on to that. Obviously, we have also observed that capacity in China, while existing demand in China is weaker, so when we are looking into exports into

Europe where demand is weaker, we are facing very strong competition from the Chinese who are positioning the products at a much lower pricing. So, we are also being very c autious and conscious on our actions there.

Chetan Thacker: Understood. And for the SI bid, the exit run rate that we've seen in terms of revenue, would it be fair to assume that ballpark this number can sustain through FY '24 now that these plants have ramped up in this quarter?
Tanushree Bagrodia: Yes. That's a very fair assumption.
Chetan Thacker: Great. And just last bit on the borrowing limit extension that was seek for INR2,000 crores, just wanted to know if there is any clarity that you can provide o n that?
Tanushree Bagrodia: Chetan, that's an enabling resolution that we take year -on-year.
Chetan Thacker: Got it. Understood. And F I -- any mean

ingful contribution in revenues this year? Or it will be a year of stabilizing the plant sampling and foundat ion being laid in FY '24? So from a revenue point of view, there might not be contribution, but the foundation is laid in '24.
Harshvardhan Goenka: That's right. That's right.
Moderator: Our next question comes from the line of Dhruv Muchhal with HDFC Mutu al Fund. Please go ahead.
Dhruv Muchhal: Sir, the question was related to the SI business. In general, we are seeing that the RM prices for many of the products are declining. I'm not sure for your specific product. But as probably you pass that on to your customers, do you think there will be an implication on revenue growth for the SI business next year? And also, can it -- given the RM is declining, can it also hit to the margins? Or do you think the market conditions are not very favorable to that?
Hars hvardhan Goenka: Okay. Dhruv -- so I heard 2 questions. RM prices, are they declining? I think it's a mixed bag in SI, where finally, the large raw material called acetic acid has stabilized over the last 2 months. But the specialties are -- you have some higher and some lower. The way we run the business of SI is more on margin and we're able to pass that on with some amount of lag. Even our long -term contracts, we try to build that flexibility here.
Rajan Venkatesh: So maybe building on that, I think one -- what I have been able to glean out the way we operate in Laxmi are really coming from the customers' perspective. So, these are enablers called customer interaction models. Our SI business is more a product process innovator where we really create value with our customers, while our AI portfolio is looking at a lean and reliable supply model, where we seek to actually supply our customers in a very, very reliable and predictable way in a competitive price environment. So, that's something I hope you can take with you of how we are steering these businesses and how we will continue to steer these businesses.
Dhruv Muchhal: Sure. That's helpful. The only thing is I'm just trying to understand this better is, say, if the RM declines as they were increasing e arlier, even if the percentage margin remains the same, given that you have to pass it on some of the -- probably some of the benefit, if not all. The absolute profit declines, even if the percentage remains the same. So, I'm just trying to understand, is that the case? Or you don't see that as a worry?

Tanushree Bagrodia: Dhruv, that is really not a worry because it's not as straightforward as what you've put through, right? We are not really worried on that account at all. And if you want to have a more detailed discussion on this, happy to take a call offline.
Dhruv Muchhal: Sure. Sure. And the second thing was on the CWIP. This CWIP that we see in FY '23, is this primarily for the fluorine business? Or this includes -- because I thought the fluorin e business was capitalized at the end of -- in the fourth Q. Okay. That was already capitalized in 4Q.
Tanushree Bagrodia: No. So, Dhruv, as we've said, we will be commissioning the entire site in phases, right? So the capitalization for the fluorine busin ess is only done in part. What you are seeing in the consolidated figures today is, yes, a large part of it is the fluorine business. It also has some other capitalizations that are currently being done for Unit 1 and Unit 2, and it also contains some of the building assets that we acquired in the Dahej land acquisition.
Dhruv Muchhal: Okay. Got it. Got it. And lastly, a small thing. Your interest cost was, I think, negative this quarter. So what could be driving that?
Tanushree Bagrodia: This was an extra provision that we had taken for interest that actually didn't materialize and

hence, it got reversed.
Dhruv Muchhal: Okay. So against normal amount, there was a

provision and hence, the overall number is
negative. The normalized number will be same approxi mately same as 3Q approximately, is it?
Tanushree Bagrodia: Yes. On the normal borrowing cost, actually, we've been very, very good. Our borrowing cost has -- on the working capital side, the increase in our borrowing cost has been less than that of the re po rate.
Moderator: Our next question comes from the line of Resham Jain with DSP Asset Managers. Please go ahead.
Resham Jain: Yes. So, I have few questions. So first one is out of our overall revenue, in terms of user industry, agro will be what percenta ge in terms of our overall user industry across all the segments? Do you have idea?
Tanushree Bagrodia: We've given that data on Slide 10 of our presentation, where we've said 29% of our total company revenue comes from agro.
Resham Jain: Okay. Perfect. Sorry to -- I didn't saw that. Okay. So the second question is related to agro, whereby, we are hearing across all the agro generic companies, where, as you mentioned, China is giving a very tough competition, lot of products they are sellin g below cost as well. So based on your past experience, are there any takeaways here in terms of how long this typically remains because we are hearing lot of Indian companies have -- in some of the products they have shut down their plant as well. So anyt hing here, which you want to share your thoughts on?
Harshvardhan Goenka: Difficult to comment specifically on that because it's -- as you can tell, the chemical industry is very diversified. But yes, in general, the agro industry globally is facing some h eadwinds right now.

Moderator: Our next question comes from the line of Amar with AlfAccurate. Please go ahead.
Amar: Yes. Sir, just one question on the roadmap, which we had given primarily from the guidance perspective. Like we had, I think, in FY '25, w e are targeting 50% AI and 50% SI versus earlier guidance of 55% and 45%. And despite that, our margin guidance still remains 15%. So what we understand here is that SI is a largely a high -margin business. So if your revenue shift is happening, I believe t he margin should also increase, right?
Tanushree Bagrodia: Amar, Tanushree here. For FY '25, the estimate is a 50 -50 split between AI and the specialty type businesses. It's a typo. It should not be SI. It should be SP. And there, we are taking a 15% margi n. We are going to FY '27, where we say AI will be 45% and SI will be 55%, and the EBITDA margin will be at 16.5%. When we do these projections, we are fairly conservative on the AI side. And of course, that's why the entire margin expansion that is coming is coming from the specialty type businesses.
Amar: Okay. Okay. So meaning like what I understand, ma'am, like if I see the presentation of first half FY '23, basically, our revenue split was 55% AI and 45% was -- 35% was SI and 10% was FI. Now, obviously, he classified everything as an SI. Now basically, it is divided 5 0-50. So, I'm saying the 5% shift from AI to FI, which is happening, despite that, the margin remained 15%. So ideally, I'm assuming that we would have been conservative even at that point of time, right? So basically, the 15% should have increased, right?
Tanushree Bagrodia: Amar, I think let's do this correlation so that you understand the math offline because you are comparing the past presentation, which has a certain transition into the current numbers. So let's connect offline to explain that to you.
Amar: Sure. And secondly, like in SI business, I believe we also have a fair enough dependence on the textile part of the business. So any upgrade and outlook? Like what we are hearing is that now the outlook for textile is largely at the bottom and from h ere on, we should see some improvement. So should we see that populate into the SI business?
Harshvardhan G

oenka: So, we won't be able to predict what's happening and when an uptake in a specific industry can happen. But as Laxmi, we are serving several in dustries and we are not banking on one industry doing well. That's been our general approach, and that's been our portfolio so far. So if some applications that we serve, you will always have that change happening throughout the cycle.
Rajan Venkatesh: And maybe just to augment on to that, with our SI product portfolio, we are pretty diversified with the industry like Harsh said that we are serving and we are also well hedged. So to your point about textiles, it's not as if we have a very prominent exposure . But broadly, we are -- I think with all these customers that we are serving, we are well hedged.
Tanushree Bagrodia: So Amar, just again, if you look at Slide 10 of the presentation that we've put in, you'll see that our reliance on per customer, actuall y, has come down significantly, right? Top 10 customers

were 37% in FY '21, went up to 41% in '22 and then came down to about 34%. And then no year has this number been more than 41%. Similarly, if you see the industry base is equally diversified, right? S o, I don't think -- and the evidences of our diversification is that in this year,

despite all the cycles that the business has seen, the top line is only down 9%. So, I think we are a very, very de -risked and diversified business. So not really worried ab out any one sector.
Amar: Okay. Okay. And one last, if I can squeeze, ma'am. Like despite -- like the muted kind of a specialty revenue growth, we have seen an improvement in profitability. Like you always indicated that last two capex es, which we did was largely more from the backward integration perspective. And largely, we target 3 years kind of a payback. So is it fair to assume that from here on, despite, let's say, revenue growth muted, the benefit of the backward integration would be seen in the prof itability?
Tanushree Bagrodia: Absolutely. And I think it's evident even in this year, that's where you see that our contribution margin percentage increase even in Q4 has been substantial, right? So, your statement is absolutely correct.
Amar: Okay. So me aning like total capex , which have gone for these two blocks was something around INR100 crores, right, INR125 crores, if I'm not wrong?
Tanushree Bagrodia: We have capitalized over INR250 crores in this fiscal towards increasing production and capacity.
Amar: Okay. But that would include...
Tanushree Bagrodia: Across Unit 1 and across Unit 2. But most of it has come in Unit 2, which is the...
Amar: Total INR200 crores, right?
Tanushree Bagrodia: Versus INR200 crores. Yes. So it's in excess of INR200 crores.
Amar: Okay. So basically, this whole should -- I mean, bulk of this should come to the bottom line. That is what we should assume, right?
Tanushree Bagrodia: So, I don't know how you're looking at the numbers, Amar, but ag ain, please get in touch with Go India and we will answer this question more in detail for you.
Amar: Yes, ma'am. Sure. Sure. I will get back.
Moderator: Our next question comes from the line of Rohit Nagraj with Centrum Broking. Please go ahead.
Rohit Nag raj: Yes. Sir, my question is on the fluorination business. So since we have started -- and congratulations on starting of the plant. Are we facing any initial teething issues and quality issues in terms of products?
Harshvardhan Goenka: So Rohit, this is -- it's a chemical plant. There will constantly be hiccups in a start -up, which is expected and natural. But that's what we are here for. That's what we are -- we are used to doing. But I guess you're coming from the -- I'm reading the question as a -- because it's fluorine and some new chemistry, is there a challenge? I think we are fairly well equipped with that. There are no large un

surprises because of the technology that we have imported.

Rohit Nagraj: Right. Got it. Sir, allied question to that. So, you mentioned that probably the opportunity size is about $25 million. And given that we are talking about the opportunity size 10 years back with the products which you were growing or which was stabilized that time, what confidence does it give us that t he customer will give incremental orders to us? And what different is to offer to the customer than the existing supplier who is currently supplying these products to the customer?
Harshvardhan Goenka: So multiple reasons, Rohit. You're right, it's been 5 years since the Miteni plant has shut down. But Miteni in its life has produced over 100 products. So, we have selected products that the customers are genuinely seeking from us for various reasons of their own, and we are choosing to produce a cert ain basket where we see demand traction in. So, that is the first phase. But the larger question is we're in a very large market overall, and there are more opportunities than this asset can serve. Therefore, can we really transform this business over time ?
Rohit Nagraj: Right. And just one last clarification on the same. From an R&D perspective, which are the subsegments that we are looking at from a product diversification perspective, given that the domestic incumbents are also trying to enter a lot of n ew areas from fluorination perspective?
Harshvardhan Goenka: So R&D generally would go towards all 3 of our segments. It's not pertaining to one. But yes, SI and FI tend to be more chemistry driven. And we have a specialized basket of chemistries

that are unique to us. Mixing those chemistries gives you a unique proposition for our customers, and those are the areas we play in. And that remains similar for other players in India and for Laxmi.

Rohit Nagraj: I was talking more from fluorination perspective, sir.

Harshvardhan Goenka: Even from fluorination, we have got some unique things with the Miteni asset that no one was doing in India, which is why that's unique to Laxmi. Each of the fluorine players have their own strategy sort of chalked out.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question. I would now like to hand the conference over to the management for closing comments.

Ravi Goenka: Thank you very much. And it's a pleasure to be on the call with all our well-wishers and investors. With the inflation showing a neutral to a southward trend, a normal monsoon prediction and the higher GST receipts, we do look forward to a higher traction in our businesses as well. Until our next call in end of July, beginning August, happy sunshine. Good luck.

Moderator: Thank you, sir. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2023

May 17 , 2023

Dear Sir / Madam,
Sub: Disclosure under Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligation and Disclosure Requirements) Regulations, 2015 (“ Listing Regulations ”), we wish to inform you that the Company participated in the investor c onference as given below :
Date and time Type of Meeting / Event Location
May 1 5, 2023, at 16.00 hours
onwards Investor & Analyst Meet to
discuss performance for the
quarter and year ended March
31, 202 3 hosted by Go India
Advisors Conference Call through dial -
in

No Unpublished Price Sensitive Information was shared / discussed in the meeting with the investors .
Further, please see enclosed the transcript of the Investor Presentation for Q 4 FY23.
We request you to take the above on record.

For Laxmi Organic Industries Limited

____
Aniket Hirpara
Company Secretary and Compliance Officer

Encl.: A/a

BSE Limited
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Exchange Plaza, Bandra Kurla Complex,
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Trading Symbol: LXCHEM

“Laxmi Organic Industries Limited
Q4 FY '23 Earnings Conference Call ”
May 15, 202 3

MANAGEMENT : MR. RAVI GOENKA – CHAIRMAN – ENTERTAINMENT NETWORK INDIA LIMITED – LAXMI ORGANIC INDUSTRIES LIMITED
DR. RAJAN VENKATESH – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – LAXMI ORGANIC INDUSTRIES LIMITED
MR. HARSHVARDHAN GOENKA – EXECUTIVE DIRECTOR , BUSINESS DEVELOPMENT AND STRATEGY – LAXMI ORGANIC INDUSTRIES LIMITED
MS. TANUSHREE BAGRODIA – CHIEF FINANCIAL OFFIC ER – LAXMI ORGANIC INDUSTRIES LIMITED

MODERATOR : MS. PRIYA SEN – GO INDIA ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to the Laxmi Organic Industries Limited , Q4 FY '23 Earnings Conference Call, hosted by Go India Advisors. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance du ring the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Priya Sen from Go India Advisors. Thank you. And over to you.
Priya Sen : Thank you, Ryan. Good afternoon, everyone, and welcome to the Q4 and FY '23 Earnings Call of Laxmi Organic Industries Limited. We have on the call, Mr. Ravi Goenka, Chairman; Dr. Rajan Venkatesh , MD and CEO; Mr. Harshvardhan Goenka , Executive Director of Business Development and Strategy; and Ms. Tanushree Bagrodia, Chief Financial Officer.
We must remind you that the discussion on today's call may include certain forward -looking statements and must be, therefore, viewed in conjunctio n with the risks that the company faces.
May I now request Mr. Ravi Goenka to take us through the financials and the business outlook, subsequent to which we will open the floor for Q&A. Thank you. And over to you, sir.
Ravi Goenka: Thank you, Priya, and a very good afternoon, ladies and gentlemen. Thank you for joining us today for our earnings call for the last quarter and for the full year of 2023. At Laxmi, we have always promoted excellence and innovation to provide local and global customers with consistent quality and reliable delivery. FY '23 has been a journey in that direction. We augmented our Acetyls and Specialties product portfolios and enhanced exports. The diverse industry and customer base enabled effective countering of headwinds, especiall y the demand drop in Europe in quarter 2 of last fiscal.
Our investments in health, safety, sustainability have continued through the year, reiterating that this aspect of our business will always get unflinching support. As we continue to build on our operations, we also continue to invest in our people and strengthening the company leadership.
It gives me great pleasure to formally introduce to you our new Managing Director and CEO, Dr. Rajan Venkatesh .
Dr. Rajan comes with nearly 2 decades of global expe rience in the chemical industry and has rich experience of working across functions from research to sales, to marketing, to finally leading more than a USD1 billion business. His global experience across Europe, Asia including India, is very relevant to L axmi, as our exports and customer centricity are accelerating. I'm convinced that he will take the baton from our outgoing CEO, Mr. Satej Nabar, and take Laxmi to new heights.
I would also like to take this opportunity to thank Satej for all his contributi ons and efforts that have led to Laxmi significant growth over the last 3 years. He has been a key part of the Laxmi family, and we wish him all the very best in his future endeavours .

I would now like to hand over to Dr. Rajan to address the call. Over to you, Rajan.
Rajan Venkatesh: Thank you, Ravi. A very good afternoon, good morning, good evening, depending on the time zone that you're dialing in from. Thrilled to be part of the Laxmi team and also to be engaging with you. As I now embark on this journey, I think what is very clear in my mind is who am I accountable to? And my accountability lies to 5 stakeholders. One, the investors, both the retail and the financial institutes; second, the Board of Directors and the Chairman that I report into; third, the Laxmi team; four, our customers; and fifth and last, but not the least, the societies that we operate in.

In the last, almost 45 days, I have been engaging very intensely with the Laxmi team. I've had a chance to visit our sites. I have met a fe w customers and I'm looking forward to meet many of the other customers. I'm really impressed by what I see on the ground. I have visited our Mahad site. I have visited our upcoming Lote site. And this gives me a great deal of confidence for the vision tha t Laxmi has charted for itself.
In my next steps, what I would focus on with the team, are clearly sharpening our strategy, our right to win, operational excellence. This is a continuous journey. But we will further embark very strongly on this. Our EHS jo urney, we have been investing at Laxmi pretty extensively on an annual basis and this will continue and, obviously, looking at improving digitization at every space of our business, leveraging innovation, which is core to success, not today, but also looki ng

ahead. And last but not the least the people element. And I'm really looking forward to engaging with you guys quarter -on-quarter as I embark on this journey.

With that said, I would like to, again, thank the Board of Directors and the Chairman for entrusting me with this opportunity and looking forward. Back to you, Ravi.

Ravi Goenka: Thank you very much, Rajan. And it's a pleasure to have you lead our company and take it to its potential in the next few years.

I would now like to address the business p erformance for the last financial year. Our acetyls business portfolio saw strong volume resilience despite the demand volatility. Diversified industry presence from essentials to lifestyle to industrials enabled the same. Exports at about 40% of the sales were driven by a strong on -ground presence in Europe, and the strong supply chain we have developed and showed efficiencies across the board.

The company continues to be a market leader in India and a Tier -1 supplier in Europe, with customers continuing t o rely on the product quality and timely delivery. Focusing on diversification and customer needs, we augmented the product portfolio in this segment with smart capex , and the same has already contributed to our sales in quarter 4.

Today, the acetyls product portfolio comprises of more than a dozen products and we remain committed to supporting our customers with reliable quality and timely supply of products they need to grow their businesses. Our Specialty Intermediates business with a focus on innovation, the company has made significant investments in R&D, which in the last financial year stood at more than 10% of PAT. This has enabled Laxmi to bring immense value to our customers.

The company retains its market -leading position with a share of approximately 50% in diketene derivatives market in India and is regarded as a strong and reliable partner of quality products by global customers. The 2 new plants capitalized in financial year '23 have further strengthened the company's leadership in the diketene derivatives and improved contribution margin significantly.

Our exports in FY '23 grew 30%, with no single product contributing more than 10% to the top line. The trajectory of this growth and diversification is what we intend to maintain. Ou r fluoro intermediate section, the asset which we acquired from Miteni has now been successfully relocated to its new home in Maharashtra. The site will be commissioned in a phased manner over the course of this year, and we have successfully started Phase 1. This is a new and exciting platform for us, with every third pharma and agro intermediate needing a fluoro compound. Our initial efforts are to ensure securing a strong foundation for this business.

Over to the financials, I will ask -- request Tanushr ee to discuss our performance in further detail.

Tanushree Bagrodia: Thank you, sir. Talking about our quarter 4 FY '23 financial perfor

mance, the last quarter of FY
'23 was sequentially better for Laxmi Organic. Consolidated income at INR737 crores was 1 2% higher versus the immediately preceding quarter. In the same period, the EBITDA at INR64.5 crores at a consolidated level was 11% higher. Improvement in the profits came largely from the changed product mix.

Ocean freight levels have normalized, with co ntainer availability also having significantly improved. Coal prices remained flat in Q4 FY '23 versus Q3 FY '23, albeit much higher than the prices of FY '22. Profit before tax for the period at INR42.7 crores was 27% higher than the immediately preceding quarter, driven by the improved top line and product mix. Depreciation in the quarter increased in line with expectations.

On the annual level, FY '23 consolidated income of INR2,809 crores was 9% lower than the previous year, driven by lower realization. Year -on-year volumes remained strong. The consolidated EBITDA of INR256.6 crores was 33% lower than FY '22. Power and fuel costs driven by the steep increase in coal prices, which were up almost 40% year -on-year was the primary driver of this EBITDA impac t. This is further evidenced by the fact that despite a 9% drop in top line, gross profits remained flat year -on-year.

PAT at INR124.6 crores was 52% lower, driven by the drop in top line and EBITDA, and a INR24 crores increase in depreciation. The strengt h of the operations, however, was visible in the considerable improvement in cash flow from operations, which more than doubled from INR121 crores in FY '22 to INR250 crores in FY23 at a consolidated level.

Post-tax, the cash flow from operations stood at approximately INR200 crores for the full -year FY '23.

Consequently, the cash flow from operations to EBITDA ratio for FY '23 stands at 97%, up from 29% in FY '22. The working capital days improved by 20%, despite a decrease in payable days.

The overall fin ancial position of the company remains strong, with improving cash flows and an unleveraged balance sheet.
With this, I would like to hand over to Priya for the Q&A.
Moderator: We take our first question from the line of Dhaval with Girik Capital. Please g o ahead.
Dhaval: Yes. Firstly, sir, our fluorine assets have been operationalized this quarter. If you could share some thoughts, what was the revenue of fluorine in this quarter and how do you see it over next 2-year period?
Harshvardhan Goenka: Dhaval, g ood talking to you again. Harsh here. So, Dhaval, as mentioned earlier as well, fluorine is going to be a platform play. And like we have done in SI, the first year is spent a lot in establishing the base and the foundation strongly and we've reiterated th at earlier. So, we are very bullish about the potential of this platform and how it can change the orbit for Laxmi.
While the first year will be primarily spent in establishing the operations, sampling out with all of the customers, revenues will start hit ting and ramping up in the years to come. A lot of the new product investment has also already started, which we started a lot later in the SI journey.
So, that's how I would really think about it. I think the SI journey and the growth of that is fairly clear and we've made that available to you -- those numbers available to you.
Dhaval: Yes. Again on the fluorine side, if you can just revisit our product pipeline. So, we would be focusing on what sort of products? To start with ETP, how will our product mi x look?
Harshvardhan Goenka: Sure. So as we've said, we have not changed our initial hypothesis. We are starting with all of the products that Miteni would produce in the first -- in this capex , let's call it that, where Miteni's assets produced a certain amount of products. Those are the products that these assets will continue to produce today, and we are seeing further opportunities of adja

cencies, which we will take up once the base is established strongly.
Dhaval: Okay. Got it. And on the SI business, how is the growth rate looking like there? Any newer opportunities in terms of newer product application or some large new customers signed up, anything which increases our visibility there? And what sort of revenue growth should we assume for th e next 3 -year period in the SI side?
Harshvardhan Goenka: If I mention all of those granular details, it will be a little problem sometimes for us. What I can state is, we have a leadership position in SI that we would like to grow. Growth will come in multiple ways from new products and new markets. And we are looking at how we can grow that continuously and grow our leadership.
So, you will see that happening in the SI. We have just managed to establish 2 large plants as you are all aware. Those are stabi lizing. One has stabilized. The other one is in that process of being stabilized. And, yes, we'll continue to do more of the same. Our product pipeline remains strong. As Chairman mentioned, almost 10% of our PAT is invested into R&D.
Ravi Goenka: Yes.

Dhaval: And yes -- so on that front, that number will -- how will that -- you will keep investing a similar absolute amount in the R&D or let percentage remain same?
Harshvardhan Goenka: No, R&D is expected to grow. I don't think we are targeting percentag e, but our strength and infrastructure of R&D will continue to grow.
Rajan Venkatesh: And maybe since innovation as a chemist, close to my heart, and that's where I started my career with BASF, I think if you think about it logically, most products go thro ugh the S -curve, right, we are all aware. So, we will obviously really try to focus on bringing in new products, new technologies based on the platform that we are engaging with as we see certain of our products moving to the S -curve. So R&D, our innovatio n as a whole will continue to play a very important part. And as Harsh said, we don't have a specific target. While that being said, we are also investing -- we will continue to invest in that.
Moderator: Our next question comes from the line of CA Garvit Goyal with Nvest Research. Please go ahead.
CA Garvit Goyal: So, my question is particularly on the demand environment that's currently going on in the end industries, like we see last couple of quarters, our top line is recovering, right? So can you spend some few minutes on the demand side basically in the end industries that we are targeting from our product portfolio?
Rajan Venkatesh: Yes. Okay. So, Rajan here, Garvit. And I'll give a stab at it. But I hope you'll give me some

discount since this is day 40 for me with Laxmi. So let me start with broadly the industries that we are serving as Laxmi. Let me start with the agro part. And you certainly see it in the results of our customers. We do see certain slight weakness in the agro space from the exports and also the domestic side. While the previous year, if you recollect, was very strong, yes. So that's the agro part.

I would say on the pharma space with, obviously, all the COVID things coming to an end, it has got dual effect. So demand is slightly ebb ing. On the other side, you are also seeing a significant higher audits happening at our customer interfaces. So, that's something to be sort of on a watch out. While on the elements, on the case that is the coatings, adhesives, sealants and elastomers, we continue to see domestic demand being broadly positive, while exports especially into Europe are being slightly softer. So hope that gives you a bit of a perspective. So the essentials part of our portfolio that we serve is slightly weaker, but the other elements are reasonably positive when it comes down to domestic demand.

CA Garvit Goyal: So how do you see situations changing in next few quarters, say, next 2 to 3 quarters in those areas that you mentioned that currently weaknesses is there?

Rajan Venka tesh: I think if we were unable to actually predict that to the last T, I think you would need a crystal ball. But I would say we are in close contact with all our customers. We are seeking a clarity from them depending on how also the macro element in Eur ope, how things are prevailing, you've had the Green deal coming up in Europe in a very big way. North America, the recessionary fears have not yet disappeared. So, I think we are closely watching. And I think it

would be just too premature to say that we know for sure how the whole thing will pan out in the next 3 or 4 quarters.

Harsh, if you want to add anything on that, please jump in.

Harshvardhan Goenka: I think that's good, Rajan.

CA Garvit Goyal: Okay. That's the one. And second is on the margin side . So, there is a little bit volatility in the margins on a historical basis, if you see the numbers from 2020. So how do you see margins shaping up from here going forward in next few quarters? And how do you see, what will be the sustainable margins for u s in the longer term?

Harshvardhan Goenka: So, you should actually look at both our segments in a way that the essentials basket has its own cyclicality, which we've experienced last year. But over the cycle, both of these businesses make us money. And as our capex es increase towards speciality businesses, you will see this becoming more and more stable. So, we are not giving guidance, but I hope this is able to help you arrive at a number.

CA Garvit Goyal: That's good. And is there any guidance for top line for FY '24?

Harshvardhan Goenka: Sorry, w e're not giving guidance to our financials right now.

Ravi Goenka: So CFO, any comment on that?

Tanushree Bagrodia: As a listed company, we don't give out a guidance at this point in time.

CA Garvit Goyal: Understood, sir. And in fluorination segment, basi cally, can you tell me the industries that you're looking to target? I think -- is it the new age verticals like solar industries, EVs, or the basic industries you are going to target like electrification and all sorts ?

Harshvardhan Goenka: Yes. So happy t o comment on that. Our primary applications from the FI business will be agro and pharma in the Phase 1. And then we have a large basket of industrials, which makes up flame retardants to composites to battery -- some parts of battery, not the materials pl ay but other chemical plays in that is what we are targeting.

Moderator: Our next question comes from the line of Jatin Damania with Kotak Securities. Please go ahead.

Jatin Damania: So just 2 broad questions. One is on diketene, where we said we have a 50 % market share. And if I'm looking at the numbers, we are -- the diketene accounts for almost 70% of our segmental revenue. But if I'm looking in terms of margin, the segment is not in the double -digit margin. So as an analyst of an industry, how shall one look at this particular segment going ahead in terms of the performance?

Tanushree Bagrodia: Jatin, Tanushree here. Jatin, I'm not sure how you are calculating the margins to reach the conclusion. Very happy to speak to you offline separately and then answer this question so that you can get a better understanding of the numbers that we are presenting.

Jatin Damania: Sure. We can do that. Okay. And secondly, on the fluoro situation, I mean, definitely, we have completed -- we will be completing the -- capitalizing the 3 Phases. So once all the phases are completed, what will be the revenue contribution of the fluoro into the overall revenue mix probably in next 2 years to 3 years?
Harshvardhan Goenka: Yes. So, we've also released this information publicl y where we said the Mi

teni assets would do about EUR25 million revenue when they were based in Italy. So depending on the product mix and the inflation, etcetera , etcetera , we'll be around that in the first phase.
Jatin Damania: In the first phase. And sir, after the completion of the 3 phases, if you can give some guidance in terms of the -- I mean, growth trajectory in terms of the revenue and EBITDA?
Harshvardhan Goenka: Sorry. Let me clarify. My first phase -- so we are looking at fluoro as a platfor m. This phase of capex , what we have stated will deliver that. We will then obviously reinvest to grow this business exponentially.
Jatin Damania: Okay. And sir, how much money that we are looking to reinvest back into the fluoro business?
Harshvardhan Goe nka: So, we will not give that number today, but what we can state is that, that addressable target market that we have is a lot larger than what these assets can serve. And there are several adjacencies that are already part of our R&D pipeline that will require capex es in large -scale plants. So, we are looking at this business to establish it the way we have established SI, and we're excited by that.
Jatin Damania: Right. Sir, last question is on the -- I mean, we have seen frequent changes in the top lev el management. So I mean, what is the employee chain? And is it that as an industry, are we unable to retain our talented employees at the top level? Or how is the thing on that front?
Tanushree Bagrodia: Jatin, Tanushree here. I think if you see the compa ny has had a fairly stable run of top management. Of course, we've had Mr. Partha Roy Chowdhury who left last year, but he retired. And Satej was with the company for 3 years, and he has decided to move on to pursue his own other opportunities, right? So f rom a top management point of view, if you look at the rest of the top management with the sales segment heads, they've all been with the company for a very long time, right?
The senior management tenure is fairly stable. We also have a huge set of employe es who've been with the company for various tenures, but all long period of tenure. So the 2 changes that you're mentioning to are reason driven and with a fairly stable tenure.
Jatin Damania: Sure. And Tanushree, I'll get back to you offline for this dike tene thing.
Tanushree Bagrodia: Sure, Jatin. Get in touch with Go India, and they will put you in touch with us.
Jatin Damania: Sure.
Moderator: Our next question comes from the line of Nitesh Dhoot with Prabhudas Lilladher Private Limited. Please go ahead .

Nitesh Dhoot: Yes. Dr. Rajan, great to have you on board at Laxmi Organics. My first question is on the capex side. So have you finalized our plans on the next round of capex for the Dahej land that we acquired some time back? So if you can give color on the products and the chemistry that we would be looking at on that side? Or will it be the existing products itself?
Rajan Venkatesh: So, Nitesh, as I've just come on board, the team has certainly -- the investment in Dahej certainly has been done with a plan in mind and the team has really worked out a business plan. But I would like to also understand a certain level of granularity of that business plan, and that's why that's work in progress. We are happy to share with you a little more details o nce time progresses and once we have clarity. But I would say it would be certain of the portfolios would be building off the successes that we have and then certainly, we will be also augmenting others. That's what I would like to place on the table for n ow and seek your understanding.
Nitesh Dhoot: Sure. Sure. But what would be your capex otherwise for FY '24 as a company overall?
Tanushree Bagrodia: Nitesh, we have always said that on a normal basis in any 1 year, we'll have around INR300 crores of organ ic capex and that ya

rdstick remains unchanged.
Nitesh Dhoot: Sure. Sure. Okay. So coming on to the Specialty Intermediates side. So what was the utilization of the first and the second long -term projects in Q4?
Harshvardhan Goenka: We don't answer plant -wise utilization.
Nitesh Dhoot: Ballpark on the second long -term project, particularly, sir?
Harshvardhan Goenka: No, no. So Nitesh, let me give it you this way. Both products have good demands and they are operating well. We are looking to ramp up the plant that got established later in this quarter furthermore.
Tanushree Bagrodia: Nitesh, if I was just to once again reiterate, looking at capacity utilization may not be the best

metric for this type of a business, right? So the way we look at is, are we gene rating the same sort of margins that we had expected in the same timeframe? And that's actually coming through.
Nitesh Dhoot: Okay. So how is the -- if I just can ask you as to how have the SI revenues ex of the 2 long -term projects performed in FY '23 ove rall? Any ballpark growth number that you can give out there? And what will be the outlook for those products for FY '24?
Tanushree Bagrodia: Nitesh, so let me give you an answer in 2 parts, right? Look, when we are going downstream, you've got to apprecia te that we've become consumers of products that we were selling ourselves, right? So to that extent, you may not see an increase in the top line, but the changes in the bottom line and the contribution margin itself that we've put in our presentation are indicative of the contribution that has come from -- the new products that have come this year, right?
The second is our volumes remain quite strong. So if I look at it without the 2 new plants, we would have still been in a very, very healthy position. And the idea of investing is always to

keep going downstream. And there you will continue to see a higher growth on the margin versus on the revenue.
Nitesh Dhoot: Sure. But in that case, I mean, I was just trying to understand that despite the 50% export contribution coming through for SI, which would rightly imply a significant increase in the SI exports se quentially as well. And so that should ideally sort of driven the blended EBITDA margins higher, which is not the case. So, I was just trying to understand as to how to look at this.
Harshvardhan Goenka: So Nitesh, we are fairly agnostic to exports or dome stic. Our supply chains and our customers -- sorry, our customer supply chains keep on changing from a location to the other. So, I will not take that yardstick. Giving you all the number of exports is just to show that we are increasing our presence inter nationally.
Tanushree Bagrodia: Nitesh, my request will be that just to help you understand the numbers a bit better, we connect offline so that we also have a clarity of how you are interpreting the numbers and that there's no slip between the lip and the cup. So please get in touch with Go India and then we can circle back on this.
Nitesh Dhoot: Sure. I'll do that. Just one last question if I can put it through. So what should be the -- what should be the effective tax rate that we should work with for FY '24? I mean, should it be a full tax rate? Or do we have any benefits there? So if you can answer that?
Tanushree Bagrodia: Nitesh, we are -- as you will acknowledge, we are currently in the old tax regime. And we are in the process of evaluating whether we should move to the new tax regime or currently stick with the old tax regime. So the worst -case scenario you may want to take is a 25% tax rate, which will be the full tax rate in the new tax regime.
Moderator: Our next question comes from the line of Ankur Periwal with Axis Capital. Please go ahead.
Ankur Periwal: And welcome Mr. Rajan. Good to hear from you. So starting with the Specialty Intermediates segment. Corre

ct me if I'm wrong, the export, while they have shown a pretty strong growth, which, to my mind, will be partially driven by the new product launches as well. Domestic has seen some slowdown. Is it largely a discretionary, non -discretionary sort of thing because of the macro slowdown? Or how should one look at it?
Harshvardhan Goenk a Rajan Venkatesh : Ankur, I would look at it being choice driven. We are choosing to supply certain markets over others. And therefore, that choice remains with Laxmi.
Ankur Periwal: Sure. And the capacity remains fungible here in terms of which product yo u want to sort of produce here depending upon the domestic or the export outlook?
Harshvardhan Goenka Rajan Venkatesh : Yes. Exactly. As always mentioned, we are looking at product portfolio optimization constantly.
Ankur Periwal: Sure. Sure. Okay. So second question. And referring to your Slide number 14, which is largely talking about Specialty Intermediates. There has been an optimization in the product mix. On a

scale of 100 from 88, we have gone to 108. But if I look at slightl y longer term or even from a contribution margin perspective, the growth has been sharper. But when I look at the EBITDA margins, number are largely flattish, give and take on EBITDA this year, full year versus last year. The higher overheads here, are the y largely logistics and coal due to which the number

looks bleak and with cost normalization now maybe the direction will be more upwards going ahead, if you can share some thoughts there?
Tanushree Bagrodia: Yes. So, Ankur, that's right. So if you look at -- if you were actually just to look at the gross profit, right, the gross profit on a year -on-year basis despite a 10% lower revenue actually remains flattish. The EBITDA this year in FY '23 has been impacted in more than 50% because of the higher power and fuel costs. And that is so much more than the freight costs. Of course, that's been a part of it, while the -- and in particular, the coal costs. And while the coal costs have come down, right, they still remain about 30% to 35% higher than what they w ere in FY '22. So till this starts to normalize, I think the improvement of the gross profit is not going to come down to the EBITDA.
Ankur Periwal: Sure. So on an annual basis, if I look at our SI business has grown at around 10%, 11 -odd percent, and ther e is a contribution from the new product here also. So if you can -- and my presumption here is there is an RM inflation, so there will be a pricing increase as well. While at the same time, we are commenting that on the volume front, we are pretty much st able. So, I'm just trying to connect how should one look at it? Is there a maybe a de -growth in the older products and the new product is compensating for it? Maybe if you can share some thoughts.
Tanushree Bagrodia: So that's, by and large, just from what has been sold outside, that would be true, right, because you've also become consumers of the product. But by and large, if you look at the products that are being sold, what you're saying is correct.
Ankur Periwal: Sure. And so from an old product, if I could broadly classify it as old and new, old product, there is some slowdown, but there is still a scope of growth or those products are optimized as per new?
Tanushree Bagrodia: No, absolutely, there remains a scope of growth. I think the choice is a cho ice that we make of what we want to sell.
Harshvardhan Goenka: So, Ankur, broadly, while we are giving the data of product mix and how many products, etcetera , based -- I mean, rebased, we will constantly do these product portfolio optimization as we are d riving this business more on margin.
Ankur Periwal: Sure. Sure, Harsh. Fair enough. Just on the fluorination side, your earlier comments did suggest that probably year 1 of fluorination business, which is FY

'24, will be more focused on building the franch ise, the product approvals getting in place, etcetera . So from a ramp -up perspective, if you can highlight how are we looking at the timelines, let's say, for the new product launches, the revenue ramp -up and which part of the segment, how is the customer feedback on the fluorination product side?

Harshvardhan Goenka: No. Perfect. So, I think customer feedback has been fairly robust, Ankur. Nothing has changed over there. Customers are excited for us to get into existing products with Miteni, as well as a lot of new products. So, there's traction and efforts going on, on both sides, while our capex and our delivery and establishing of the plant on the baseline products remain solid. And we are following our strategy clearly by stating that we want to set the foundation strong. All of the sampling from all our commercial products will happen in this year, and then you'll really get the ramp -up and the reinvestment into the adjacencies thereafter.
Ankur Periwal: Sure. And when we say for the product approvals, what sort of a timeframe are we looking at? When we can see the commercial ramp -up of these products?
Harshvardhan Goenka: Yes. So customer approvals will be anywhere between 3 and 6 months depending on their complexity of their own supply chains.
Ankur Periwal: Sure. And Harsh, lastly, if you can just remind the revised capex number here and the asset turns that we were targeting?
Harshvardhan Goenka: So, Ankur, we have already stated that we have not changed. It will be around that INR400 crores mark an d I have stated the revenue potential of the Miteni assets as well earlier on this call.
Ankur Periwal: Which is a EUR25 million odd, which will be done from the Phase 1?
Harshvardhan Goenka: Correct.
Moderator: Our next question comes from Chetan Thacker with ASK Investment Managers Private Limited. Please go ahead.
Chetan Thacker: I just wanted to check with you, particularly on the AI side, it appears this was a weak quarter from a profitability point of view. Is that assessment correct that there was near negligible contribution on profits from AI for this quarter?
Harshvardhan Goenka: I think generally, Chetan, the entire year was weak for AI. As you had the raw material prices slipping throughout the year all the way until March, you've seen that in the Acetyl Intermediates segment, which was broadly expected.

Chetan Thacker: And the subdued environment still continues in Q1 as well. That would be a fair assessment that Q1, Q2 still look a tad bit difficult?
Harshvardhan Goenka: So as Rajan mentioned, Chetan, we are seeing headwinds in agro and pharma, where these segments are still -- agro globally and pharma, specifically in India. But the CASE segment; coatings, adhesives, sealants, elastomers are where we'r e seeing a stronger pickup. So consumer is still doing a little bit better. So anything upstream of consumer seems to be doing better.
Rajan Venkatesh: And Chetan, maybe just adding on to that. Obviously, we have also observed that capacity in China, while existing demand in China is weaker, so when we are looking into exports into Europe where demand is weaker, we are facing very strong competition from the Chinese who

are positioning the products at a much lower pricing. So, we are also being very cautiou s and conscious on our actions there.
Chetan Thacker: Understood. And for the SI bid, the exit run rate that we've seen in terms of revenue, would it be fair to assume that ballpark this number can sustain through FY '24 now that these plants have ramped u p in this quarter?
Tanushree Bagrodia: Yes. That's a very fair assumption.
Chetan Thacker: Great. And just last bit on the borrowing limit extension that was seek for INR2

,000 crores, just wanted to know if there is any clarity that you can provide on that ?
Tanushree Bagrodia: Chetan, that's an enabling resolution that we take year -on-year.
Chetan Thacker: Got it. Understood. And F I -- any meaningful contribution in revenues this year? Or it will be a year of stabilizing the plant sampling and foundation being laid in FY '24? So from a revenue point of view, there might not be contribution, but the foundation is laid in '24.
Harshvar dhan Goenka: That's right. That's right.
Moderator: Our next question comes from the line of Dhruv Muchhal with HDFC Mutual Fund. Please go ahead.
Dhruv Muchhal: Sir, the question was related to the SI business. In general, we are seeing that the RM prices for many of the products are declining. I'm not sure for your specific product. But as probably you pass that on to your customers, do you think there will be an implication on revenue growth for the SI business next year? And also, can it -- given the RM is declining, can it also hit to the margins? Or do you think the market conditions are not very favorable to that?
Harshvardhan Goenka: Okay. Dhruv -- so I heard 2 questions. RM prices, are they declining? I think it's a mixed bag in SI, where finally, t he large raw material called acetic acid has stabilized over the last 2 months. But the specialties are -- you have some higher and some lower. The way we run the business of SI is more on margin and we're able to pass that on with some amount of lag. Even our long - term contracts, we try to build that flexibility here.
Rajan Venkatesh: So maybe building on that, I think one -- what I have been able to glean out the way we operate in Laxmi are really coming from the customers' perspective. So, these are enab lers called customer interaction models. Our SI business is more a product process innovator where we really create value with our customers, while our AI portfolio is looking at a lean and reliable supply model, where we seek to actually supply our custom ers in a very, very reliable and predictable way in a competitive price environment. So, that's something I hope you can take with you of how we are steering these businesses and how we will continue to steer these businesses.
Dhruv Muchhal: Sure. That's h elpful. The only thing is I'm just trying to understand this better is, say, if the RM declines as they were increasing earlier, even if the percentage margin remains the same, given that you have to pass it on some of the -- probably some of the benefit, if not all. The absolute

profit declines, even if the percentage remains the same. So, I'm just trying to understand, is that the case? Or you don't see that as a worry?
Tanushree Bagrodia: Dhruv, that is really not a worry because it's not as straightforw ard as what you've put through, right? We are not really worried on that account at all. And if you want to have a more detailed discussion on this, happy to take a call offline.
Dhruv Muchhal: Sure. Sure. And the second thing was on the CWIP. This CWIP th at we see in FY '23, is this primarily for the fluorine business? Or this includes -- because I thought the fluorine business was capitalized at the end of -- in the fourth Q. Okay. That was already capitalized in 4Q.

Tanushree Bagrodia: No. So, Dhruv, as we've said, we will be commissioning the entire site in phases, right? So the capitalization for the fluorine business is only done in part. What you are seeing in the consolidated figures today is, yes, a large part of it is the fluorine business. It also has some other capitalizations that are currently being done for Unit 1 and Unit 2, and it also contains some of the building assets that we acquired in the Dahej land acquisition.
Dhruv Muchhal: Okay. Got it. Got it. And lastly, a small thing. Your inter est cost was, I think, negative this quarte

r. So what could be driving that?
Tanushree Bagrodia: This was an extra provision that we had taken for interest that actually didn't materialize and hence, it got reversed.
Dhruv Muchhal: Okay. So against normal amount, there was a provision and hence, the overall number is negative. The normalized number will be same approximately same as 3Q approximately, is it?
Tanushree Bagrodia: Yes. On the normal borrowing cost, actually, we've been very, very good. Our borr owing cost has -- on the working capital side, the increase in our borrowing cost has been less than that of the repo rate.
Moderator: Our next question comes from the line of Resham Jain with DSP Asset Managers. Please go ahead.
Resham Jain: Yes. So, I have few questions. So first one is out of our overall revenue, in terms of user industry, agro will be what percentage in terms of our overall user industry across all the segments? Do you have idea?
Tanushree Bagrodia: We've given that data on Slide 10 of our presentation, where we've said 29% of our total company revenue comes from agro.
Resham Jain: Okay. Perfect. Sorry to -- I didn't saw that. Okay. So the second question is related to agro, whereby, we are hearing across all the agro generic companie s, where, as you mentioned, China is giving a very tough competition, lot of products they are selling below cost as well. So based on your past experience, are there any takeaways here in terms of how long this typically remains because we are hearing lot of Indian companies have -- in some of the products they have shut down their plant as well. So anything here, which you want to share your thoughts on?

Harshvardhan Goenka: Difficult to comment specifically on that because it's -- as you can tell, the ch emical industry is very diversified. But yes, in general, the agro industry globally is facing some headwinds right now.
Moderator: Our next question comes from the line of Amar with AlfAccurate. Please go ahead.
Amar: Yes. Sir, just one question on the ro admap, which we had given primarily from the guidance perspective. Like we had, I think, in FY '25, we are targeting 50% AI and 50% SI versus earlier guidance of 55% and 45%. And despite that, our margin guidance still remains 15%. So what we understand he re is that SI is a largely a high -margin business. So if your revenue shift is happening, I believe the margin should also increase, right?
Tanushree Bagrodia: Amar, Tanushree here. For FY '25, the estimate is a 50 -50 split between AI and the specialty type businesses. It's a typo. It should not be SI. It should be SP. And there, we are taking a 15% margin. We are going to FY '27, where we say AI will be 45% and SI will be 55%, and the EBITDA margin will be at 16.5%. When we do these projections, we are fai rly conservative on the AI side. And of course, that's why the entire margin expansion that is coming is coming from the specialty type businesses.
Amar: Okay. Okay. So meaning like what I understand, ma'am, like if I see the presentation of first half FY '23, basically, our revenue split was 55% AI and 45% was -- 35% was SI and 10% was FI. Now, obviously, he classified everything as an SI. Now basically, it is divided 50 -50. So, I'm saying the 5% shift from AI to FI, which is happening, despite that, the m argin remained 15%. So ideally, I'm assuming that we would have been conservative even at that point of time, right? So basically, the 15% should have increased, right?
Tanushree Bagrodia: Amar, I think let's do this correlation so that you understand the math offline because you are comparing the past presentation, which has a certain transition into the current numbers. So let's connect offline to explain that to you.
Amar: Sure. And secondly, like in SI business, I believe we also have a fair enough depe ndence on the textile part of the business.

So any upgrade and outlook? Like what we are hearing is that now the outlook for textile is largely at the bottom and from here on, we should see some improvement. So should we see that populate into the SI busin ess?
Harshvardhan Goenka: So, we won't be able to predict what's happening and when an uptake in a specific industry can happen. But as Laxmi, we are serving several industries and we are not banking on one industry

doing well. That's been our general appr oach, and that's been our portfolio so far. So if some applications that we serve, you will always have that change happening throughout the cycle.
Rajan Venkatesh: And maybe just to augment on to that, with our SI product portfolio, we are pretty diversif ied with the industry like Harsh said that we are serving and we are also well hedged. So to your point about textiles, it's not as if we have a very prominent exposure. But broadly, we are -- I think with all these customers that we are serving, we are we ll hedged.

Tanushree Bagrodia: So Amar, just again, if you look at Slide 10 of the presentation that we've put in, you'll see that our reliance on per customer, actually, has come down significantly, right? Top 10 customers were 37% in FY '21, went up to 4 1% in '22 and then came down to about 34%. And then no year has this number been more than 41%. Similarly, if you see the industry base is equally diversified, right? So, I don't think -- and the evidences of our diversification is that in this year, despi te all the cycles that the business has seen, the top line is only down 9%. So, I think we are a very, very de -risked and diversified business. So not really worried about any one sector.
Amar: Okay. Okay. And one last, if I can squeeze, ma'am. Like despit e -- like the muted kind of a specialty revenue growth, we have seen an improvement in profitability. Like you always indicated that last two capex es, which we did was largely more from the backward integration perspective. And largely, we target 3 years kind of a payback. So is it fair to assume that from here on, despite, let's say, revenue growth muted, the benefit of the backward integration would be seen in the profitability?
Tanushree Bagrodia: Absolutely. And I think it's evident even in this year, that's where you see that our contribution margin percentage increase even in Q4 has been substantial, right? So, your statement is absolutely correct.
Amar: Okay. So meaning like total capex , which have gone for these two blocks was something around INR100 crores, right, INR125 crores, if I'm not wrong?
Tanushree Bagrodia: We have capitalized over INR250 crores in this fiscal towards increasing production and capacity.
Amar: Okay. But that would include...
Tanushree Bagrodia: Across Unit 1 and across Unit 2. But most of it has come in Unit 2, which is the...
Amar: Total INR200 crores, right?
Tanushree Bagrodia: Versus INR200 crores. Yes. So it's in excess of INR200 crores.
Amar: Okay. So basically, this whole should -- I mean, bulk of this should come to the bottom line. That is what we should assume, right?
Tanushree Bagrodia: So, I don't know how you're looking at the numbers, Amar, but again, please get in touch with Go India and we will answer this question more in detail for you.
Amar: Yes, ma'am. Sure. Sure. I will get back.
Moderator: Our next question comes from the line of Rohit Nagraj with Centrum Broking. Please go ahead.
Rohit Nagraj: Yes. Sir, my question is on the fluorination business. So since we have started -- and congratulations on starting of the plant. Are we facing any initial teething issues and quality issues in terms of products?

Harshvardhan Goenka: So Rohit, this is -- it's a chemical plant. There will constantly be hiccups in a start -up, which is

expected and natural. But that's what we are here for. That's what we are -- we are used to doing. But I guess you're coming from the -- I'm reading the question as a -- because it's fluorine and some new chemistry, is there a challenge? I think we are fairly well equipped with that. There are no large un surprises because of the technology that we have imported.
Rohit Nagraj: Right. Got it. Sir, allied question to that. So, you mentioned that probably the opportunity size is about $25 million. And given that we are talking about the opportunity size 10 years back with the products which you were growing or which was stabilized that time, what confidence does it give us that the customer will give incremental orders to us? And what different is to offer to the custom er than the existing supplier who is currently supplying these products to the customer?
Harshvardhan Goenka: So multiple reasons, Rohit. You're right, it's been 5 years since the Miteni plant has shut down. But Miteni in its life has produced over 100 products. So, we have selected products that the customers are genuinely seeking from us for various reasons of their own, and we are choosing

to produce a certain basket where we see demand traction in. So, that is the first phase. But the larger question is we're in a very large market overall, and there are more opportunities than this asset can serve. Therefore, can we really transform this business over time?

Rohit Nagraj: Right. And just one last clarification on the same. From an R&D perspective, whi ch are the subsegments that we are looking at from a product diversification perspective, given that the domestic incumbents are also trying to enter a lot of new areas from fluorination perspective?

Harshvardhan Goenka: So R&D generally would go towards a ll 3 of our segments. It's not pertaining to one. But yes, SI and FI tend to be more chemistry driven. And we have a specialized basket of chemistries that are unique to us. Mixing those chemistries gives you a unique proposition for our customers, and tho se are the areas we play in. And that remains similar for other players in India and for Laxmi.

Rohit Nagraj: I was talking more from fluorination perspective, sir.

Harshvardhan Goenka: Even from fluorination, we have got some unique things with the Miteni asset that no one was doing in India, which is why that's unique to Laxmi. Each of the fluorine players have their own strategy sort of chalked out.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question. I would now like to hand the conference over to the management for closing comments.

Ravi Goenka: Thank you very much. And it's a pleasure to be on the call with all our well-wishers and investors. With the inflation showing a neutral to a southward trend, a normal monsoon prediction and the higher GST receipts, we do look forward to a higher traction in our businesses as well. Until our next call in end of July, beginning August, happy sunshine. Good luck.

Moderator: Thank you, sir. On behalf of Go India Advisors, t hat concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

August 02 , 2023

Dear Sir / Madam,
Sub: Disclosure under Regulation 30 read with Schedule III of the SEBI (Listing
Obligations and Disclosure Requirements) Regulations, 2015
Pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India
(Listing Obligation and Disclosure Requirements) Regulations, 2015 (“ Listing Regulations ”), we wish
to inform you that the Company participated in the investor c onference as given below :
Date and time Type of Meeting / Event Location
July 31 , 2023, at 16.00 hours
onwards Investor & Analyst Meet to
discuss performance for the
quarter ended June 30 , 2023
hosted by Go India Advisors Conference Call through dial -
in

No Unpublished Price Sensitive Information was shared / discussed in the meeting with the investors .
Further, please see enclosed the transcript of the Investor Presentation for Q 1 FY24.
We request you to take the above on record.

For Laxmi Organic Industries Limited

____
Aniket Hirpara
Company Secretary and Compliance Officer

Encl.: A/a

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Exchange Plaza, Bandra Kurla Complex,
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Mumbai – 400 051
Trading Symbol: LXCHEM

“Laxmi Organic Industries Limited
Q1 FY '2 4 Earnings Conference Call”
July 31 , 202 3

MANAGEMENT : MR. RAVI GOENKA – CHAIRMAN – LAXMI ORGANIC
INDUSTRIES LIMITED
DR. RAJAN VENKATESH – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – LAXMI ORGANIC
INDUSTRIES LIMITED
MR. HARSHVARDHAN GOENKA – EXECUTIVE
DIRECTOR – LAXMI ORGANIC INDUSTRIES LIMITED
MS. TANUSHREE BAGRODIA – CHIEF FINANCIAL
OFFICER – LAXMI ORGANIC INDUSTRIES LIMITED

MODERATOR : MS. KRUTI PATEL – GO INDIA ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to Laxmi Organic Industries Q1 FY '24 Conference Call, hosted by Go India Advisors. As a reminder, all participant lines will be in the listen -only mode. And there will be an op portunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Kruti Patel from Go India Advisors.

Kruti Patel: Thank you, Zico. Good evening, everyone, and welcome to the quarter 1 FY '24 earnings call of Laxmi Organic Industries Limited.

We have on the call, Mr. Ravi Goenka, Chai rman; Dr. Rajan Venkatesh, MD and CEO; Mr. Harshvardhan Goenka, Executive Director; and Ms. Tanushree Bagrodia, Chief Financial Officer. We must remind you that the discussion on today's call may include certain forward - looking statements and must be, ther efore, viewed in conjunction with the risks that the company faces.

May I now request Mr. Ravi Goenka to start the call, subsequent to which we will open the floor for Q&A.

Ravi Goenka: Thanks very much, Kruti, and a very warm welcome to all of you, our de ar investors, esteemed colleagues and partners. I essentially appreciate your time, interest and unwavering trust in our journey. We recently welcomed Dr. Rajan Venkatesh as our new Managing Director and CE O. Dr. Rajan comes with nearly two decades of glob al experience, having led BASF across functions with the last few years leading $1 billion business. I am excited, truly excited to take -- to see him take our company towards the next phase of our growth.

It's no secret today that globally we find ourselv es in challenging times. Post -COVID, the world has moved from a just -in-case to a just -in-time buying pattern. Therefore, destocking of supply chains are impacting the chemical industry tremendously. To top that, the recession in Europe isn't helping. But India remains extremely well -positioned. And I am certain that it will grow exponentially this decade.

It seems to be the only silver lining in an otherwise cloudy atmosphere globally. While our company is fully prepared to face the current headwinds, we h ave many growth enablers that will propel us forward. And I'm excited to see our company pivot to our new trajectory under the able leadership of Rajan. Over to you, Rajan.

Rajan Venkatesh: Thank you, Ravi, and Namaskaram from my side. This has been a gree ting I've been wanting to use for many years. I'm glad I'm back home and using that.

So today, what I would like to take you through is, I would say, two distinct pillars. One is after 4 months in Laxmi, my reflections of what has made Laxmi successful. An d second is, we have also laid out our ambition on our way forward. So those would be the two key buckets.

So let me start by my reflection of what I believe has made Laxmi successful in the past. First, when I engaged with the team, when I engaged with ou r customers, when I engaged with our Board members and when I engaged with our stakeholders, the one thing that stands out is, Laxmi as a team is exceedingly agile, there is a strong willingness to learn and there is a strong eagerness to win. The other el ement is our customer base. And our customer base is exceedingly diversified. And a lot of our actions are customer -led, a lot of the investments have been customer -focused.

So here, I'm also wanting to, in the next step, take you through the presentation that we uploaded. And so that's what my first, who we are, a reflection. What we have also done with the team is really look across our performance, and for those who are following, this is slide number fo

ur , over the business cycle. And we have used the a cetic acid price as a reference over from financial '08 to the current point in time.

Few key reflections here. Laxmi has always been prudent in the capex and investments and acquisitions because we have landed doing that always in the down cycle, be it th e acquisitions of the Clariant business, be it the Diketene capacity expansions which we did, be it the YCPL acquisitions to augment our ETAC capacity or even the acquisition of Miteni from Italy, which today forms the bulk of our Fluorine Intermediates. E ven our IPO which happened, actually happened in a down cycle. So that's a very, very important reflection.

Second one is, if you really see through the c ycle, so we have split it into three between financial year '11 to '16, '16 to '21 and '21 to '23 are very distinct business cycles, again, links to the acetic acid price. And we have also indicated some macro events like the financial crisis, oil crash, COVID impact, economic slowdown, what Ravi alluded to currently. In all of this, what stands out for me is our return on capital employed. It's on an average is about 20%. In the financial year '16 to '21, it's about 22%, that was our highest.

And in the financial year, '21 to '23, it's about 18%. But my one disclaimer there is the fact that this includes our capex for the future. It includes the capex we have done for Lote, it includes the Dahej land acquisitions that we made. Including that, if you take that into perspective, that's about 20 0 basis points. So you would be looking at ROCE about 20% if you were to take that out, but we thought in sake of transparency, we make it very, very transparent.

The other one is we have consistently deleveraged our balance sheet, looking from an average debt to equity of 1.06 where we stand today is 0.12%. And I think all of this are testimony to the performance of Laxmi and will also set the basis of how we will steer moving ahead.

Then moving on to s lide five is why I believe we are geared to win. On th e left -hand side, we have attributed our, I would say, key DNA topics. Our global leadership in a range of products; the cost leadership across technologies that we are engaging in; the large scale, flexible and

safe operations that we have managed; the mu ltiple sites for expansion and business continuity, and I will reflect on this in the course of the presentation focusing on Lote and Dahej; our well -diversified customer industry, which I alluded to; solid balance sheet, low leverage and strong cash flow from existing businesses, which have been referred to in the previous calls; an experienced leadership team and an independent eminent Board and trusted partners to our customers. So those, I would say, I hope are music to everybody's ears and certainly to my ears as I come into Laxmi.

Our ambition is 4 -fold. One is to continue to be in the top 5 in the segments globally. Let me give some colour to it. In the Ketene /Diketene space, we are today top 5. With our investment road map, we will be top 3. In our a cetyls business, and specifically, if you talk about the ethyl acetate, we are outside of the top 5. Today, as we speak, we are very, very strong outside. If you carve out China, we are again very, very strong. As a supplier to the market, our aspiration is to be global top 5.

If we then -- the other second topic is continue to have leading cost positions. That is our right to win for any business. And that has been our right to win in the past, will continue to be the right to win in the future. The third element is to balance our export and domestic sales and find the healthy balance there. In the past, we have had exports in the range of 30% to 40%. With the global supply chains all looking into India, I think we have a great opportunity to leverage also on the export story. And last but not the least, is the continued trusted partner of choice for our customers.

What -- in part of our ambition, what we are also leveraging is what we've always oft heard is the shifting of the supply chain. I'm coming with this experience, as Ravi said, of leading business across Asia Pacific, including China. I've had the opportunity to lead global businesses. And post -COVID, certainly, the narrative and the actions that we see from stakeholders and customers is very, very strong. They are looking at business continuity as a top priority and wanting to set -up a mor e diversified global footprint.

And here, India, I remain convinced, has a unique position to play. And Laxmi therein also has a unique position to play. We also s ee a growing end product markets for the industries that we serve, both in India and outside. So that's our ambition, 4 -fold and leveraging on both the macro and the micro trends.

Now what we have also approached is really looking at our business. What we have really strengthened our portfolio when you think about it from chemistries, looking at our production capabilities, then going into platforms and then customers. And that we have done because at Laxmi, we have always bought in technology, be it the Diketene /Ketene, which I alluded to or the Miteni's fluorine chemistry. That has been our strength. So over the path that has been our proven success and that has broadened our platform to leverage both on assets and capabilities.

Now what we did is we basic ally also took an outside -in approach. When we spoke to our customers, what we realized is in the AI, acetyl space, what customers are seeking for most is price -- competitive pricing. And what they are seeking for is that the product is delivered in spec, in time and with good quality. While in our Specialty Intermediates and also Fluorine Intermediates business, the need and ask from our customers are more on the innovation side and needless to say also priority, quality and in -time. Pricing, while import ant, is not the most important decision point.

So when -- by looking at that, we have also now decided to pivot, build on our strengths, and given our breadth in portfolio and land, we want to really start even more from the customer interface, bring in th e request, look at our platforms, then build up the capability and then bring in the product and serve our customers. So that's a very distinct approach we have taken, a proven success and pivoting from that building on the customer interface.

What we have done now -- on slide number seven if you are keeping track, what we have also done is really looked at customer interaction models. And there are about 6 distinct customer interaction models that are, I would say, oft discussed in this space, on one end o f the spectrum is a very, very commoditized trader transactional. And on the other end of the spectrum is something called value chain integrator where customers come to you and we jointly put the acids and make music and money together.

And when we really map this out across our offerings of Acetyl Intermediates, Specialty and Fluorine, what really stands out is the following. The Acetyl Intermediates is in the lean and reliable basic supplier space. While our Specialty and Fluorine Intermediates are in the space of standard package, product process innovator, customized solution provider and we are seeing more and more and ask for value chain integrator.

So what we have done is really moved forward with 2 distinct business units. The first one we call Essentials. This encompasses our Acetyl Intermediates. And we have also included the Anhydrides business, which was part of our erstwhile SI portfolio. In this, this is a lean and reliable supplier, customer interaction model, a very large global addr essable market in excess of $12 billion and the assets

to win here are economy of scale and cost leadership.

On the Specialty space, we have decided to steer both and merge the Fluorine and Specialty Intermediates under one bucket. This is because we want to leverage scale. And we want to leverage, I would say, the interfacing with our customers. So let me give you a very tangible example. When we speak to our customers in the pharma domain or agro domain, they are already buying Diketene -based chemistries from us, they will buy fluorine -based chemistries. They are also buying the acetyl -based chemistries from us. So we are having distinct conversation with the same customers. So in the Specialty space, we decided to steer this under one bucket. This will pr ovide us world class technology platforms, a large addressable market in excess of $3.5 billion. And clearly, innovation continues to be a lever for profitable growth.

Looking at slide number eight , again, this summarizes, A, again, the Essentials and Spec ialties on the technology platform. In the Essentials, we have the Esterification and acetylation. And on the Specialties, we have the Ketene /Diketene , fluorination and we have put new platforms because we are seeing exceedingly good interest from multiple customers to come in, and I'll

share an example thereafter in the presentation, to really augment and really partner with us with new technologies and platforms. And this will be all in the Specialty space.

In the bottom part is -- the first thing is stee ring on Essentials and Specialties. And needless to say, I'm assuming the question in your mind is what does that mean in our targeted financial KPIs? And in our KPIs, we are again, very, very clear in the ambition. For the Essential space, our asset turns should be in the range of 3% to 5%, EBITDA margins in the 8% to 12% levels. And for the Specialties, the asset turns in the 1 to 2 range and EBITDA margins in the 20% to 25% range. And which then provides a combined ROCE at a Laxmi Enterprise level of 20% . So we see the music in both these verticals, Essentials and Specialties, enabling us as Laxmi to continue to deliver 20% ROCE, as we have done in the past, also in the future.

Ravi alluded to growth enablers, and I will speak about 3 distinct growth enab lers. The first one is the growth enablation of innovation. As a chemist by myself, obviously, I have a slide bias towards this, but I believe a positive bias. What we see here at Laxmi is, we have invested upwards of 2% of our Specialty revenues on innova tion. And as our revenues in Specialties will continue to increase, we are committed to invest 2% of that in innovation and R&D.

What we are also will continue to strive towards is achieve 20% of our revenues from new products in Specialties that have been launched in the last 5 years. Today, as we speak, in our Specialty Intermediates portfolio, 25% of our revenue is coming from products that have been launched in the last 5 years. In our innovation pipeline, we have 11 products that are in pilot and capex approval stage. The Miteni infrastructure and pilot assets is a huge plus for us and we will leverage that. And I'm exceedingly proud to announce that the new innovation campus, which will start up in Mahape will be up and running by March of 2024.

The se cond growth enabler is our manufacturing sites. As I would say, for the software, this is our hardware. The hardware here, as you all know, we have Mahad, 2 sites. A land parcel of 45 acres, land occupancy of 90%, product mix, Essentials and Specialties is 60-40. Lote, our, I would say, a baby that is growing up with some growing up pains, but land parcel of 30 acres. And as we complete our Phase 1 capex for Lote, the land occupancy will be 50% and a mix of primarily Specialties. And Dahej, which is a baby , which has just born and we are looking forward to build this up s

trong, a land parcel of 86 acres. And you will see our plans for Dahej with a product mix of Specialty to Essential 65% to 35%. If I reflect, both Dahej and Lote's, will be scalable brownfi eld sites which will enable us growth in the future.

The third enabler is the element of our networks and alliances. And what do I imply by that? We have an exceedingly -- we are blessed, as Ravi always says, to have an exceedingly great Board of Directors . And I'm not reading all the names here. These people come who the who's who in both in the chemical space, come with deep innovation experience. Mr. Manish Chokhani is a very well -known figure in the circles; Mr. Bundellu, Sangeeta. So this is a network we have at the Board level. And needless to say, my management team is also coming with a very, very strong mix of experience and execution.

I want to also place something here which I heard last time, and I want to share this very transparently. The avera ge tenure in my management team as we execute on these plans is 5 years minimum. We have our heads of manufacturing, our heads of R&D, who have been upward of 5 years. We have the business heads who are in the range of 5 years. In fact, Tanushree and me in some ways are new kids on the block to Laxmi.

I also believe -- so those are the 3 enablers. I also believe for any organization to achieve, ambition is the value system. And in Laxmi, we have 4 distinct values we will leverage on; integrity, innovation, customer centricity and sustainability. I think I have given a little more colour on those and we'll not go through that in detail, but these will be the things we will live on to achieve and deliver on our ambition.

Now on slide number 13, which is talkin g about the business update for the site at Lote. The cost to complete, as it stands, is INR550 crores. And this, we have got full clarity because we have opened up all the containers, we have done the health check -up of all the equipment that has reached our stores and there is nothing there in Italy at this point of time. So INR550 crores is th e hardwired number that we know we will commit and that will give us all elements of EHS that we can run this site in the future and also provide the right platform.

The project has had delays, has had cost over -runs. There are various reasons; the COVID restrictions, the freight cost, but we now remain exceedingly confident in what we are establishing in Lote. We are, in fact, on the infrastructure and utilities also geared up for future expansion. And as I said, 50% of the land is available for expansion. Timelines, financial year, this year is complete commissioning and sampling. Financial year '25 is ramp -up of production.

I hope you will also be excited to hear the first wins. We have successfully established quality and norms of our first products. We have qualification quantities of a new agro intermediate supplied to an innovator company for their product launch in 2026. And we have signed with an MNC to add more technology beyond Miteni with the buyback supply agreement, which I believe this is just the tip of the iceberg, as they say, there is more to come.

When we talk about the Dahej, also super -excited to share that the Board has approved the largest investment that Laxmi has put on the ground of INR710 crores over the next 3 years. What are we le veraging here? Again, let me repeat myself. Shif ting of the supply chain, China Plus One , growing end products market and growth of the Indian market. This is India's decade, as Ravi said, I am 100% convinced about that. The onus of responsibility is on us .

Of the INR710 crores, we plan to cover about 20% of the land parcel of 86 acres. This is also very strongly driven by customer requests, customer growth and business continuity from what our customers seek. I'm also thrilled to share, we alrea

dy have the first customer -led project
signed for Dahej. We will leverage economies of scale both on the make and the buy side. And our product portfolio will encompass the Specialties, Diketene and Ketene derivatives; and Essentials, Esters, Anhydrides and Aldehydes derivatives.

So before I hand it over to Tanushree on quarter 1, let me just take away summarize. We are geared to win, ladies and gentlemen. We have the ingredients in place of know -how, connection, facilities, space and management. We are always investe d at the cyclic bottom, that's exactly what we are doing. We will have differentiated steering and differentiated KPIs for the business units. And we are committed to continue making 20% ROCE across the business cycle.

With that, I will pass it over to Tan ushree, just a few words before quarter 1 is what she will share. You will hear the quarter 1 performance also linking to what you heard from Ravi. Obviously, the markets are a bit cloudy. It's a mystery out there. But as they also say, in every challenge remains an opportunity. And that is what I believe that we should tap into. While quarter 1 numbers are panned out, quarter 2 looks a little more challenging where we are having customers also seeking us, postponing some of our deliveries, but we are also hearing from customers that the demand has not vanished. It's more a calibration year.

With that, I hand it over to Tanushree.

Tanushree Bagrodia: Good afternoon, ladies and gentlemen. Before we discuss the financial numbers, I think it's important to shed some light on how our volumes have performed overall as a company and for the business unit, because at the end of the day, it is the volumes that results into the financial performance of the company.

At the company level, the absolute volumes sold incre ased 5% quarter -on-quarter and 9% year-on-year. Within each of the BUs as well, which is Essential and Specialties, the sales volumes increased. In Essentials, the quarter -on-quarter sales volumes grew in line with the company at 5% quarter -on-quarter and 9% year -on-year. In Specialties, the quarter -on-quarter sales volume grew by 6%, while the year -on-year sales volumes grew by 15%. The year -on-year growth in Specialties comes on the back of the capitalization that were completed in the last fiscal.

Lookin g at the financial performance. The increase in volumes ensures that year -on-year the top-line remained intact. Q1 FY '24 consolidated revenue of INR737.5 crores was only 3% lower than that of Q1 FY '23, while versus the immediately preceding quarter of Q4 FY '24, the consolidated revenue was flat. At an EBITDA level, the consolidated EBITDA of INR81.3 crores was 21% lower than quarter 1 of FY '23, which is primarily driven by the changes in inventory. In Q1 FY '23, the inventory increased by INR48 crores r oughly, INR47.5 crores to be precise, while in Q1 FY '24 the inventory reduced by INR12.8 crores.

Other expenses have come down by 15% year -on-year. On a quarter -on-quarter basis, the EBITDA was 26% higher, largely driven by the lower expenses that you can see on the other expenses and once again the lower change in inventories. Driven by the EBITDA an d the higher depreciation, profit after -tax at the company level was INR38.3 crores, which is 41% lower on a year -on-year basis. But on a quarter -on-quarter basis, it was almost 60% higher.

If we look at the business unit level, the revenue contribution of Essentials is at 67% of the company, which is comparable at 65% for the full year of FY '23. These numbers are realigned

to factor in the new business unit where the Essentials business unit now factors in the Anhydrides in addition to the previous produc t. The Specialties BU contributed 33% of the overall company revenue, which is

once again similar to the full year of FY '23.

On the EBITDA front, Specialties continues to be close to 70% contributor to the overall company EBITDA, while Essentials continue s to be around 30%. With the capacity addition and change in product mix, the contribution margin percentage for Specialties grew 18% in Q1 FY '24 versus full year FY '23 like -for-like. The consolidated cash flow from operations for Q1 FY '24 was at INR172 crores versus INR250 crores for the full year of FY '23. This is a significant improvement overall for the company. And along with the low leverage of 0.2x, it further strengthens the financial position of the company.

With this, I would like to hand back the call to Mr. Ravi Goenka.

Ravi Goenka: Thank you for your patience hearing and happy to take this forward on the Q&A session and answer any questions that you may have.
Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Amar Maurya from AlfAccurate Advisors Private Limited.
Amar Maurya: So first question is, did I hear correctly, volume growth on a year -over-year basis is something 9% for Essential and 15% for Specialty, right?
Tanus hree Bagrodia: Yes.
Amar Maurya: Okay. So what would be the utilization for both these BUs?
Tanushree Bagrodia: So our Essentials BU always runs at the maximum possible utilization. And as far as the Specialty goes, like I said, the 15% year -on-year volume growth also comes from the fact that we had two large capitalizations that came in FY '23.
Amar Maurya: Correct . So what would be the utilization now for the overall BU, Specialty?
Rajan Venkatesh: So Amar, just to give it more colour , the Essentials vertical like in most businesses is a continuous process. So you run it at high utilizations. So as Tanushree explai ned, so I must say -- sorry, Rajan here first, so that you're hearing my voice maybe for the first time here. So again, Essentials' focus is really economy of scale, leveraging the economy of scale. While in the Specialty vertical, these are batch processe s and multi -step plans and reaction. So utilization is not the necessary tipping point. It is the complexity that you are steering through those assets. And the Dahej investment is really triggered because we are at a cusp where there is a lot more Dil Maa nge More from customers. And today, we are at a point that we are not able to service all the needs.
Amar Maurya: Correct. So why I was asking like what I understand is that the last two capex which we had done was largely more of a backward integration an d which were likely to add more to the profitability and less to the margin. So that is why I was asking like what would be the utilization in that context?

Rajan Venkatesh: Harsh will jump into the last two capex since you asked that.
Harshvardhan Goenka: Amar, Harsh here. So the utilizations have remained fairly good for the new assets as well. But yes, the overall Specialty concept of utilization I think is well shared.
Amar Maurya: Okay. And lastly, sir, was there any Fluorine Specialty FI revenue in th is quarter booked?
Harshvardhan Goenka: No.
Amar Maurya: Okay. So basically the commissioning will start by, let's say, fourth quarter or it will -- everything will come in FY '25?
Ravi Goenka: So Amar, as we have stated, commissioning has already happened . We have got the first products on spec. This year, we'll go in doing the same for all our initial phase of products and the sampling of that will also happen within this year. Large revenues and ramp up will actually get delivered to the P&L next year.
Moderator: Our next question is from the line of Ankur Periwal from Axis Capital.
Ankur Periwal: Thanks Dr. Rajan for your oversight -- insight in terms of how the business is going to pan across the t

wo verticals. I'm just trying to delve into those tiers. So from an RM inflation perspective, erstwhile, we have the AI and SI business wherein AI was more immediate RM pass-through and we were making typical margins at the commoditized margins there. How should one look at both Specialty and Essentials from an RM inflation perspective -- pass-through perspective, and let's say, a short -term, long -term contract, how we look now?
Rajan Venkatesh: Good. Thanks for the question. I think you've sort of hit the ha mmer on the nail. So obviously, the Essentials part -- and that's why when we were sharing in slide number four , really over the business cycle is what you see our acetic acid as a base and what our performance has been. So let's delve a little m ore detail s into that, right?
Prior to the financial year '16, what you really saw was a stronger contribution coming in from our erstwhile AI portfolio, the acetyls portfolio. And post financial year '15 -'16 as we ramped up all the capabilities that we achieved from Clariant and we further augmented is where we have seen the kicking in on the Specialties. And that's what is really driving the EBITDA, and also as you can see, the ROCE on that element.
So yes, in the acetyls or the Essential space, there i s a closer link up, and that's also what we shared. If you refer to that triangle, on pricing and product, while on the Specialties space, the linkage per se to raw material. So for example, we don't have any cost plus formulas per se that we will throw ou t in the Specialties, right? In the Essentials space, that's what we would sort of leverage into. I would say, if you want to make it black and white, obviously, there's a gray area, but broadly. So that's what I would answer that question with.
Ankur Peri wal: Sure. Fair enough. Second bit on that regulation capex that you mentioned, the revised was at

around INR5.5 billion. And obviously, there is a significant sort of cost over -run and time
delays, etcetera there. If I look at our numbers, the aggregate g ross loss for last year is INR10

billion, on which we have made -- we have generated a decent ROCE. But given the cost over -run, your medium -term thoughts in terms of maintaining the 20% ROCE at a company level, does it imply that incremental business that we are doing in fluorination will be much, much margin -accretive to compensate for the capex overall?

Rajan Venkatesh: So first, let me restate our element and then I'll have Tanushree also jump in. So what we said was, in this first phase of bringing all the Miteni assets into India and establishing, as you have correctly pointed out, there has been a capex escalation. And as we stated, INR550 crores is -- we know is the final number. And the peak revenues that we can envisage from the Miteni asset base i s INR210 crores. And that's why I also put in the timelines. This year, commissioning and sampling. Second -- next year is ramp up. And our aspiration and ambition remains that the financial year '26 we are closer to achieving the peak revenues from the Miteni assets.

So yes, capex has increased. But I think at this point of time, from the Miteni assets, obviously, we are not seeing more, I would say, opportunities. But that being said, and that's why I also alluded to in slide number 13, what we have been able to do is really sign a new opportunity with another MNC beyond the Miteni technology, which we are then able to do in our Lote set-up, and that is where I believe the value add is. And Lote, as it stands today, we are investing in additional infrastru cture and utilities, keeping in mind future expansions and investments since 50% of the land is available. And these next blocks of investments that we do is where, for a lack of a better word, I always like to say where the music is with regard to the pro fitability.

Ankur

Periwal: That's helpful. And last, if I may. Since you mentioned that on a sequential basis, probably Q2 looks like slightly soft because of the global macro challenges. Just focusing on the Specialty vertical here, so from a market share gain perspective, especially in the SI business, how these things look not only from a ramp up in the two new projects that we have capitalized, but also on the existing ones?

Harshvardhan Goenka: Ankur, Harsh here. So Ankur, broadly, the market share of our Specialty does not change. We are seeing headwinds where the supply chains of various customers have sort of shifted. As the Chairman was referring to, it's more just -in-time as opposed to just -in-case. So you had almost all of that fact in th e supply chain coming off, but end market demand still remains there. So it's more about that. Our market shares are not really impacted.

Ankur Periwal: Sure. And Harsh, if I may, just follow -up on that. The leaning of the supply chain or let's say invento ry in the system, do you expect this to come back to normal maybe once macro is stabilized or probably this is a new world that we live in?

Rajan Venkatesh: So maybe let me throw some colour on this because this is really from the customers' mouth. We were talking to one of our key customers who is engaged in the agro space. Beyond the just-in-case and just -in-time, what was -- what he or she was also alluding is agro per se saw, and I would say, a significant double -digit growth, which if you compare with a normalized growth which is in the ran ge of 3% to 4%, was an outlier.

So the feedback the customer provided us is, obviously, this outlandish or outlier growth are moderating and it would normalize to the normal growth pattern. So I think the positive element in that is the growth still persists, but it will not be from the outlier growth that we have experienced in the COVID and just immediate COVID years.

Moderator: Our next question is from the line of Nitesh Dhoot from Dolat Capital.

Nitesh Dhoot: So m y first question is on the Diketene business. [Inaudible 0:40:35] the new Diketene plant of one of your domestic competitors has ramped up quite well. So have you seen any impact on our business howsoever small it might be in terms of the market share?

Rajan Venkatesh: Let me again try and give some colour to it because this is what I tried to gleam out regarding our business first. When we acquired Clariant's Diketene chemistry, that came with a portfolio of about 8 products. Today, as we stand, we have 50 -plus products that we are leveraging off that chemistry. So while I don't think I'm privy to talk about competitors, but I think I can

proudly share our strength and our right to win. And that is what is giving us the confidence to also further expand at Dahej with these chemistries.
Nitesh Dhoot: Okay. My second question is on the chemicals business. So if I heard you correctly, you said the top -line of INR210 crores on your INR550 crores investment, which is less than 0.4x asset turns and which could imp ly much lower return ratios versus your peers in the fluorination space. So your thoughts on the same?
Rajan Venkatesh: So let me start and then I will have Tanushree or Harsh step in. So first and foremost, the INR550 crores is the number that we are grap pling with. When we started off on this journey, we did not envisaged the INR550 crores. Obviously, we are openly acknowledging there were certain curveballs which were in our sphere of control and outside, like COVID restrictions, like the rise in freight costs and the additional capex we are bringing to bring the entire site to a very strong EHS standard, because one needs to bear in mind, fluorine comes with a certain premium of how you run your site in a safe and reliable manner.
So yes, the INR550 crores versus INR210 crores looks

s kewed, but that's where it is. But that
the -- as I said, the story does not end there. For us, we are seeing this as an important nucleus that we can further expand on. And beyond just the talk, the conversations and the conversions we have had, as I shar ed openly, with 2 of these customers is giving us a great deal of confidence that our wave 2, wave 3 of capex , that we will make in Dahej. In Lote we'll be significantly more value accretive. And as I've said, the run rate that we are aspiring for with our ambition in the Specialties is in the range of 1% to 2% to the capex that we employ. And Tanushree wants to add.
Tanushree Bagrodia: Yes. Nitesh, I think if you look at it from a point in time, yes, you are right that the asset turns look subdued and the returns look subdued. But I think I will request you to take a look at this from the perspective of 2 perspectives, right? A, this is, like Rajan also mentioned, it includes infrastructure and utilities from a future -looking point of view. So what will be the business with and without this investment. And given that we've already given you a ROCE of about

20% is what we target, that should actually tell you that the future plans for this will mean that this business starts to deliver what is expected to del iver.
The second is, if you look at our own history, and that's there on the slide that is there as well, the ROCEs were subdued. The EBITDAs were subdued even in the initial phases of our Diketene business coming in together. And as time has passed, you'v e seen how the benefits have come about, right? We are seeing an 18% growth in contribution margins of Specialties just year -on-year when we've had 2 more backward integration. So I think we've got to keep a journey in mind and not look at it from a point in time perspective.
Nitesh Dhoot: Fair enough. Just as a follow -up on this. Can I have the cash capex outlay for '24 -- FY '24, '25 and maybe '26 if you already have that laid out?
Tanushree Bagrodia: So Nitesh, a couple of things. We've said INR710 crore s in Dahej over a period of 3 years. We've told you that there is INR550 crores that we are looking at Lote. There is no major capex that is planned in this financial year for our current Unit 1 and Unit 4 because we did 2 strong capitalizations just last year. So I think that gives you a fair picture of what we are doing in FY '24, '25 and '26.
Nitesh Dhoot: So Lote INR550 crores, of this, a substantial part would have already been done, as I understand or am I wrong in my assessment?
Tanushree Bagrodia: No, you're absolutely right that a substantial piece of it is already done.
Nitesh Dhoot: Okay. So broadly, can we take an evenly spread out capex cash outflow for say around INR300 crores for the next 3 years?
Tanushree Bagrodia: I think for your modeling perspective, if you want to take a INR300 crores to INR350 crores, that's fine.
Nitesh Dhoot: Given that the fluorochemical investment hasn't ramped up now, there is a considerable delay in terms of the ramp up there. And on top o f it, you're planning a INR700 crores -plus kind of an investment. Any possibility of any excessive on the balance side?
Tanushree Bagrodia: Any what on the balance sheet?
Nitesh Dhoot: Any stress on the balance sheet side given the environment that we are in especially?
Tanushree Bagrodia: Nitesh, we are 0.2x levered. Our cash flow from operations has been improving quarter -on-quarter, year -on-year. I think from a balance sheet stress point of view, we are actually in a very, very robust position. And this is also reflected in our credit rating of AA - with a positive outlook.
Moderator: Our next question is from the line of Chintan Patel from Abans Investment Managers.
Chintan Patel: So there has been a lower pricing as well as some bit of China dumpin g impacting the global

de

mand. So what is our action plan to mitigate this risk? We're historically doing the export of

almost 30% to 40% of the total revenue. So how do you see the growth in the export market? And recently, you announced the capex of INR700 crores. Already we spent around INR550 crores on Miteni. So how will the capex get you the desired returns going forward in the current environment?

Rajan Venkatesh: So I hear three questions in one. So that's very smartly played. So I think let's maybe not tackle all, but let's tackle the pressing topics on your mind. First is really looking at the China element of where we are seeing. What I could lean from your question, how is the China surplus potentially impacting us. So the first is, really, we ar e very clear with our right to win. Tanushree, in her narrative for our Q1 performance, shared with you our volume growth. So that already I believe should give you confidence that we are gaining market share in our Essentials vertical domestically. We ar e also gaining -- we have also shown market growth in our Specialty verticals. So that for me, and I hope gives you also comfort that we have a right to win and we know how to win. So that's the first part of your question.

The second one I think was about the capex outlay. And I think Tanushree just answered the same to the other colleague who had asked the question about the capex outlay. I have laid out our clear ambition for the Specialty that -- how the ROCE that we want to achieve the turns, asset tur ns and also the EBITDA percentages that we want to achieve. So I hope that is also an answer. We do not post numbers out lightly. So we have our homework done. And on the capex outlay, I think Tanushree already alluded to it.

What was your third question t hat you so smartly positioned, if you might -- if you can just remind me?

Chintan Patel: So how do you see the export market? And what is the growth potential in the export market?

Rajan Venkatesh: Right. So as you said, if you saw the presentation in the SRM, the market opportunity for us in the Specialties is upward of INR3.5 billion and in the Essentials space up to INR10 billion. That's one. That's the opportunity out there in our verticals. That being said, at this point of time, we are seeing softness in demand in Europe, which we cannot certainly run away from. And that's why also if you see the slide that we have provided, we do see certain exports, especially on our Essentials vertical where we are actually consciously stepping back from the export s, while on the Specialties, we continue to be on a decent run.

Chintan Patel: And sir, payback period on the Dahej facility?

Rajan Venkatesh: So payback, again, I think as I said, this is what we have shared with you is a 5 -year plan and we anticipate to have a ROCE of 20% across the Essentials and Specialties at an enterprise level. So I know -- I hope that gives you a great confidence in that we know what we're doing here.

Moderator: Our next question is from the line of CA Garvit Goyal from Nvest Analyt ics.

CA Garvit Goyal: Sir, you talked about China dumping of the excess capacity, like last participant touched upon that. So can you give some colour how the things are shaping up from here now? And how the things are looking to you in respect of the glob al markets as well as India, like China dumping in the market, so prices of the chemicals are falling? So how do you look at it from the sector point of view?

Rajan Venkatesh: I think one is, the Chairman really kept it in perspective. The overall scenario on the chemicals with all the destocking that is happening, there is certainly the weakness in the overall space. That is point number one . The point number two , I think I hop e you all understand that when we

talk about India chemical demand, we are just about 1/10 of China. And China, today as we speak, is somewhere between 40% to 45% of the global chemical market. So one cannot not think about what happens in China. So all th e questions coming that way are pertinent.

The important thing is what are we doing as Laxmi? And for me, the biggest testament is that you are also able to play the volume lever. And that is what we have been able to share with you that in quarter 1 and a lso last year, we have grown our volume share. We have done capex -exs. We have leveraged on that capex -exs. And that is what I believe that we will focus

on is what is our right to win with a stronger customer proximity and also taking conscious call, like I just shared with the other colleagues, that we have taken a slightly nuanced position for our exports to Europe in Essentials because we felt there was no point in losing money in that context.
I hope this -- I am able to give you a little more on that colour .
CA Garvit Goyal: So that thing I understand, means the Laxmi is obviously going good. But the thing is, we are continuously talking about China Plus One from a sector point of view. But now the things are looking quite different, like China dumping of the excess capacity. So where is that China Plus One advantage? And from where that advantage will come to us, sir? So that's what I was targeting.
Rajan Ve nkatesh: Okay, understood. I think the advantage simply comes from a customer perspective in a very simplistic level, right? And as I come from a company which is globally steered. And when I speak to our customers. And specifically, I also gave you very t angible examples that we have actually pinned up customers both for our Lote and also Dahej projects.
That already gives me a great deal of confidence that customers, A, are cognizant about they need to switch, but at the same point of time, we have to be competitive. Nobody is going to pay you a huge premium, let's be very clear. But they are willing to play, I would say, strategic premiums. And that is what we are seeing. And that is what I believe as India we should leverage.
Moderator: Our next question is from the line of Nitin Agarwal from DAM Capital.
Nitin Agarwal: Sir, on the FI business, if you would like to probably give your thoughts on from a competitive dynamics perspective, how was Laxmi's positioning versus the more established peers? What is going to be our USP over the next 3 to 5 years in the space?

Rajan Venkatesh: Sure. So Nitin, Laxmi's positioning versus peers, let's start from where and why we did Miteni. A lot of customers came to us who we were doing various contract manufacturing pr ojects for and requested for the fluorine molecule to be part of several new products. And rather than have us rent the wheel and build out a specialty chemical fluorinated business, we said let's go for a joint venture acquisition, which is how Miteni cam e into the fray.
Several of our peers have started the journey with refrigerant gases and progress to specialty chemicals in fluorine. Miteni has started with specialty chemicals exclusively. And several of the technologies that Miteni has are not currentl y present with our peer set. So there is a differentiated technology approach and fluorination remains one of the steps in several what we are trying to do in our erstwhile FI segment. An example of that is for electrochemical fluorination, which is comple tely new and unique to India.
But secondly, I don't think India is competing within itself. The overall target market of fluorinated chemicals is very large and there's adequate opportunity for all of us to take. So that is really the strategy which we are going for, how can we be a partner to several global players and not really playing within and impacting ourselves.
Moderator: That wa

s the last question of our question and answer session. I would now like to hand the conference over to Mr. Ravi Goenka f or closing comments.
Ravi Goenka: Thank you everybody. I do hope this session has been informative, transparent and very accretive to all of you. Please do feel free to get in touch with us for any other clarifications that you may need. And I am very confident -- that I have never been more confident than today of our company's preparedness not only to handle the headwinds today, but also to pivot to our new orbit and our new trajectory.
And somebody had asked why India? I think India's time is there i n the chemical industry for this decade. We have IP protection. You would have heard the Finance Minister announced that the PLI scheme will be coming in for chemicals. And we have a local consumption where I believe truly the opportunity is there for larg e scale capex -exs in the Indian chemical space.
Thank you very much. All the best.
Moderator: Thank you. Ladies and gentlemen, if your questions were unanswered, you can go ahead and contact Go India Advisors and they will revert back to you. Thank you ver y much. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Oct 2023

October 30 , 2023

Dear Sir / Madam,
Sub: Disclosure under Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligation and Disclosure Requirements) Regulations, 2015 (“ Listing Regulations ”), we wish to inform you that the Company participated in the investor c onference as given below :
Date and time Type of Meeting / Event Location
October 27 , 202 3, at 11.00
hours onwards Investor & Analyst Meet to
discuss performance for the
quarter ended September 30,
2023 hosted by Go India
Advisors Conference Call through dial-in

No Unpublished Price Sensitive Information was shared / discussed in the meeting with the investors .
Further, please see enclosed the transcript of the Investor Presentation for Q 2 FY24.
We request you to take the above on record.

For Laxmi Organic Industries Limited

____
Aniket Hirpara
Company Secretary and Compliance Officer

Encl.: A/a

BSE Limited
Corporate Relationship Department,
1st Floor, New Trading Ring,
Rotunda Building, P. J. Towers,
Dalal Street, Fort,
Mumbai – 400 001
Scrip Code: 543277 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai – 400 051
Trading Symbol: LXCHEM

“Laxmi Organic Industries Limited
Q2 FY '2 4 Earnings Conference Call”
October 27 , 202 3

MANAGEMENT : MR. RAVI GOENKA – CHAIRMAN –LAXMI ORGANIC INDUSTRIES LIMITED
DR. RAJAN VENKATESH – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER –LAXMI ORGANIC INDUSTRIES LIMITED
MR. HARSHVARDHAN GOENKA – EXECUTIVE DIRECTOR – LAXMI ORGANIC INDUSTRIES LIMITED
MS. TANUSHREE BAGRODIA – CHIEF FINANCIAL OFFICER –LAXMI ORGANIC INDUSTRIES LIMITED

MODERATOR : MS. SHRIDA SHAH – GO INDIA ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to Laxmi Organic Q2 FY '24 Earnings Conference Call, hosted by Go India Advisors. As a reminder, all participant lines will be in the listen -only mode and there will be an oppor tunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Shrida Shah from Go India Advisors. Thank you, and over to you, ma'am.
Shrida Shah : Thank you, Enzo. Good morning, everyone, and welcome to the Quarter 2 FY '24 Earnings Call of Laxmi Organic Industries Limited. We have on the call Mr. Ravi Goenka, Chairman; Dr. Rajan Venkatesh, MD and CEO; Mr. Harshvardhan Goenka, Executive Director; and Ms. Tanushree Bagrodia, Chief Financial Officer.
We must remind you that the discussion on today's call may include certain forward -looking statements and must be, therefore, viewed in conjunction with the risks that the company faces.
May I now request D r. Rajan to take us through the financials and the business outlook, subsequent to which we will open the floor for Q&A. Thank you, and over to you, sir.
Rajan Venkatesh : Thank you. And again, a very good morning, namaskaram from my side and the Laxmi team . And again, depending on the time zone where you're calling from, good afternoon and good evening.
The last 6 months that I have been associated to Laxmi have been nothing short of engaging and exciting. So let me take today the format, the topics that w e would like to cover. I would just like to give you a quick overview of what we have achieved in the last 6 months as an organization. One is talking a bit on the strategy, the investments that we are currently doing and focusing on execu tion excellence l inked to that.
The QIP that we have been successfully able to raise from our investors, our values as an organization, and also thereafter giving you a flavor of the market and our customers what we are hearing from them and also how the raw materials are developing. Thereafter, Tanushree will bring in more granularity into our financial performance also for the first half and also quarter 2.
So let me start with the strategy. So the one big pivot we have done in the strategy is we brought in the customer lens even more stronger, and we spoke about it last time around. Based on the customer interaction models, we have now two distinct business units. The first one is Essentials, which caters to the lean and reliable customer interaction model. And the secon d one is our specialties business unit, which encompasses our Fluorine intermediates and specialty intermediates.
The specialty vertical, again, encompasses the customer interaction model from a standard package provider all the way to a value chain integr ator. We've had now strong business heads who have been appointed. So Mr. Jitendra Agarwal, heads our Essentials vertical and Mr. Virag Shah heads our specialty vertical.

Then what we have also achieved is with support from the Board and the strategy that was done, we announced Laxmi single largest capex project at Dahej. Dahej is almost a 90 -acre land bank that we have with Laxmi and we announced a INR710 crores capex , whi ch will encompass only 20% of that land bank. So that provides us as Laxmi a great runway t o execute also into the future.
In parallel, we have been very transparent on our Lote project, how that is progressing. The cost to complete remains at INR550 crore s. We are making good and steady progress. The target remains that in this financial year, that is by March 2024, we will have all the assets up and mechanically ready and r

unning. So that's another important element.
Innovation remains core to Laxmi, and we have double clicked on the innovation element, our new innovation campus will be established by quarter 4 of this financial year, and we will also then generate even more value with our customers as we progress ahead from that innovation campus. We hav e already about 70 to 75 colleagues associated with our R&D and innovation, of which about 10% are PhDs. So that keeps us in a good stead.
Coming down, building upon all of this, we launched our interest on the QIP. And I'm really happy to report that we were able to successfully raise INR259 crores from our investors, which bolsters our balance sheet and also gives us good firepower to execute on a lot of the capexes

that we are ongoing and lining up.
For me, one critical element always remains the value system, and that is also something we are double clicking on. For Laxmi, those are the elements of integrity, innovation, customer centricity and sustainability. So that's what we are, again, hardwiring and we are basically committing to these values becau se that is what creates the stickiness that we have of employees with Laxmi, apart from the customer stickiness that we are aspiring for with our strategy and go - to-market approach.
The management team, I think, as we all know, the chemicals is going thro ugh a slight bit of turbulence, but this is not the first time the chemical industry has seen that. So what gives me a great deal of comfort is my management team and myself have experienced multiple such cycles, so that is also what is keeping a steady ha nd on the steering as we also navigate through this current environment. Now that was a bit on what all we have done.
Let me give you a little more flavor on our markets. As you know, at Laxmi, we are catering to a diverse range of industries, encompassin g agro, pharma, industrial solutions, pigments, packaging. So that's a very large range. So let me take it one by one. In the agro space, again, linked to the sharing that we did last time around the entire topic of destocking still is there, but not as pr onounced, but that's the positive thing.
Again, what is getting underpinned is while agro experienced double -digit growth during the COVID period, now the agro growth is sort of tapering down to the 3% to 4%, what has been the normalized growth that the ag ro industry have seen.

The need for agrochemicals and intermediates, I need not underpin. I think that's very clear as the world's population continues to increase and land banks do not continue to increase at the same rate. It is just very, very importan t to be more efficient and more sustainable in the way we do our entire farming and feed the larger population.
Pharma, we have not seen a big change. Obviously, the exports from the pharma have been on the lower end. And so if you see quarter -on-quarter, we have not observed either a pickup or a dramatic downturn, so it's been stable in that ballpark. Obviously, we are hoping for better times in the pharma, which we have seen in the past.
When we talk about our Industrial Solutions seg ment, this encompasses our case application so coatings, adhesives, sealants. We have a lot of unique formulations and chemistries that go into that industry. I think there, again, we see that even if I take the domestic lens, the normal pickup that you wo uld have assumed during Diwali time, we are not yet seeing it. We are seeing improvements, but not to the extent that we have seen in the past.
If you take the global lens, be it in Europe, the market demand continues to be weakish. North America, again, if you look at segments like construction, certainly, that is a bit under pressure. So that's where it is on the entire industrial solutions perspective. So we have also taken from that market lens cert

ain important st eering decisions.
And you will see tha t in our financial performance when Tanushree takes us through, that our exposure to exports has been slightly reduced. We have actually focused lot more on domestic and building on our offerings and cost positions we have been able to also leverage in the domestic space while we have still a healthy exposure to exports. So we will continue to steer both those levers.
When you talk about raw materials, the other bucket, one key raw material for us has been acetic acid and will continue to be acetic acid. S o from a supply side, if you really look at the nameplate capacity, there is enough and more capacity. So that does not thankfully give us sleepless nights, what continues to -- what we have observed is really the movements in the acetic acid pricing on an average in quarter -- financial year quarter 1 of this year, we saw prices for acetic acid in the range of about INR380 to INR450. And in quarter 2, we have seen a significant spike, especially in September, going upward of INR550 and also touching INR600 and these are all CFR price ranges, just to keep it in perspective.
And what was also very evident was that the spike in the prices that we saw we were very clear was not really driven by demand, but was driven more from the supply side. So we had quite some competitors or suppliers on the acetic acid side who had to extend their turnarounds, some of them went into an unexpected turnaround. And what we are also noticing is -- at times is also logistic gaps, which are creeping in. So that's where we have a lso been very cognizant in leveraging it.
As we see it now, prices not surprisingly are moderating lower. And at this point of time, from the highs of INR550 to INR600, we are already seeing prices settling around INR400 to INR430.

So that gives you a sense of where the movements on one key raw ma terial for us is developing.
Ethanol is an other important building block.
We have our own captive, but we are also buying almost 85% of our ethanol requirements from North America and South America. And we have seen prices while now slightly being higher, but we have secured our needs. So that keeps us in a good stead on the ethanol space.
Now that being said, those are the key elements. And now with this, I turn it over to Tanushree, who is more than eager to give us a good flavor on our financial perform ance and what we have achieved as a team.
Tanushree Bagrodia: Thank you, Rajan. Good morning, ladies and gentlemen. The second quarter of financial year 2024, as Rajan was mentioning, saw the business show tremendous resilience in a subdued market environment, as volumes across both Essentials and Specialty business units grew. And this is both quarter -on-quarter and on a year -on-year basis. This has been possible because of the diversified business model that we have, which is diversified across bo th industry segments and geographies.
We have very ably tapped the domestic market to not just make up for the slower exports, but also widen our customer base. The increase in volume has resulted in a higher market share and ensuring that our asset utili zation has been very, very optimal. For the second quarter of financial year 2024, the volumes at a company le vel increased 32% year -on-year.
In a difficult market, that's tremendous performance. This led to a marginal improvement in the consolidated top l ine, which was at INR660 crores. The improved operating costs, along with the higher top line has increased the consolidated EBITDA to INR47 crores, which is a 50% increase year -on-year.
The consolidated PAT at about INR11 crores is 24% higher on a year -on-year basis. The stand -alone results for the second quarter of FY '24 came at a top line of INR648.7 crores, which is a 7% increase year -on-year, and again, this was drive

n by an increase in the volume. The stand -
alone EBITDA at INR60.4 crores was 97% hig her year -on-year, driven b y the improved operating costs.
The stand -alone PAT at INR23.5 crores is 163% higher year -on-year. Our subsidiary, YFCPL dispatched the first product in July. We remain very excited as this business is ramping up. And as we ramp u p the operations, the cost efficiencies will start coming.
LOBV, our European subsidiary has witnessed losses due to the tough market environments in Europe. But the agility in managing this business gives us confidence that the losses are temporary. This is a business that we monitor very regularly and take timely decisions. These aspects, along with the beginning of the capitalization in YFCPL has impacted the consolidated PBT for the quarter by INR17 crores versus the stand -alone.
The consolidated cash flow from operations for quarter 2 FY '24 at INR137 crores was more than double on a year -on-year basis. And the debt -to-equity ratio has reduced from about 20%

last year to 11%, driven both by lower debt and higher equity. The equity -- the higher equity that I'm talking about does not include the recent QIP raise. The strength of the business and the balance sheet is thus evidenced and upheld in quarter 2 of financial year 2024, once again in a very uncertain and volatile market environment.
On a quarte r-on-quarter basis, Q2 '24 saw a 10% dip in the top line driven partly by the annual maintenance shutdown that we took, which was as per plan. The lower operating costs driven by the cost control that the company has helped stem the impact of the lower rev enue on the EBITDA. And the quarterly increase in depreciation comes largely from the st art of capitalization in YFCPL.
Looking at the half year performance for Laxmi Organic at a consolidated level. For the half year of FY 2024 compared to the first half of FY 2023, the volumes grew 20% for the company, with the revenue coming in at INR1,394 crores, which is flat year -on-year.
The EBITDA at INR128 crores is also almost flat year -on-year. While the PAT has reduced to INR49 crores, which is a 30% dip largel y due to the increased depreciation, which is on account of the projects that we capitalized in Q3 and Q4 of FY '23, and additional depreciation that has come in from the beginning of capitalizatio n of YFCPL in quarter 2 FY '24.
The cash flow from operations for the first half of FY '24 at INR309 crores are a 3x increase

year-on-year and these come -- these are actually driven by improving working capital days and unlocking of current assets. So with this, I will close the discuss ion on financials, and we'll be very happy to take any questions that you may have.
Moderator : Thank you so much ma'am. We will now begin the question -and-answer session. The first question is from the line of Mr. Ankur Periwal. Please go ahead.
Ankur Peri wal: Congrats for a decent performance given the macro here. Okay. So slightly top down and then more specific business wise question. So one in slide four, we do highlight that the addressable market opportunity within specialties is around $3.5 billion. As I understand specialty will include Ketene/Diketene derivatives as well as the fluorination part. If you can help us break that into the 2 segments, Fluorine as well as Ketene/Diketene derivatives this $3.5 billion?
Rajan Venkatesh : Yes. So the -- this is Rajan here. So let me give a stab at that. So the fluorine space by itself, if you look at the much larger is about $25 billion, just to keep it in perspective. With the technologies that we have bought on board from Miteni, which has 2 distinct pillars . One is our fluorine intermediates and other is the electrochemical fluorination for which we are the only one in India that can commercially scale that up.
The SRM that we are focusing on is in t

he range of about $2.5 billion, give or take. And for the Diketene derivatives, again, the SRM is much larger because you have the Diketene value chains also going into food and nutrition. So the SRM that we are focusing or currently engaged with is in the range of 1 billion to 1.5 billion. So that would be the sp lit of that 2.5 billion to 3 billion that we have floated out there.

Ankur Periwal : Sure, Rajan. That's helpful. And just to clarify, the electrochemical led fluorination chain, the products that we are targeting are -- we are the only one in India who are making those products?
Rajan Venkatesh : At this point of time, once we establish the asset and everything as we are working towards it in this financial year, yes, we have the edge Dahej .
Ankur Periwal : Great. Secondly, on the specialty side or the Diketene portfolio side, how has been the ramp -up of the 2 new products that we had launched in the last, let's say, 3 to 4 quarters? And just a follow -up on the volume growth, which we mentioned around 30 -odd percent in Q2. If you can break that up betwee n specialty and essentials?
Tanushree Bagrodia: So Ankur, Tanushree here. The 2 new products that we capitalized in FY '24 have been doing very well for us, right? And they have on a year -on-year basis for the half year, been responsible for the volume gro wth that we've seen, right? So if you really want to understand if the products are performing, yes, they are performing and they are performing as per expectation. On the -- sorry, could you repeat your second question?
Rajan Venkatesh : The volume growth.
Ankur Periwal : Yes. So one was on this. And second was the volume growth breakup, 30% odd which you mentioned for the quarter. Is it largely led by the AI part, the Essentials or the Diketene portfolio?
Tanushree Bagrodia: So if I were to look at j ust on an annual basis, right? On an annual basis, the growth in the volumes is there, both on the specialty side and on the essential side, please remember that last year in quarter 2, we had a 21 -day shutdown on our Essentials business, which is where ou r -- sorry, on our Specialties business, which is where the volumes were really, really subdued, right? And plus the new products have come in post that. So on a year -on-year basis, the growth in volumes is driven both by Essentials and Specialty. Quarter -on-quarter, the volume growth that comes in, Specialties is relatively flat, which is with a small growth and then the growth comes in from essentials.
Ankur Periwal : Great. That's helpful. And just on the new product launches, we had highlighted that almo st 20% plus of the growth of the business is coming from the new products, and the ramp -up of the last -- let's say, the products launch over the last 5 years. What are your thoughts on the new product addition as well as how has the market response been? Now where I'm coming from is, we have been hearing a lot of deferment of demand from the customers. So just curious to understand if we are also facing the same for our products or it's not as much?
Ravi Goenka : So I think -- so let me start with the very succinct answer. So thankfully, our pipeline is robust on the R&D. It is also diversified. So we are also doubling in chemistries beyond the Diketene and others. So that's what is making Laxmi Organics interesting from a customer lens, with our expansion i nto fluorine and other chemistries. So our pipeline is robust, and we have -- and that's what gives us the confidence that we can keep this journey of -- at least 20% of our revenues in specialties coming from products being launched in the last 5 years, b ecause what gives us also a good stead is our exposure to various industries.

So today, as we speak, in our specialty gamut, we ha

ve a good -- well spread exposure to agro,
pharma, the pigment intermediates and solutions and industrial solutions. So that' s what hedges
our portfolio well that, as we all know, the agro is going through the destocking and more
cautious phase, while other parts of the segments are certainly not as severely impacted. And
since we are well diversified, that's what keeps a good h edge also into our innovation pipeline.
Ankur Periwal : Great, Rajan. And just lastly, you did mention of the volatility in acetic acid prices globally. Just
trying to understand the spreads, how have they behaved? And are they as volatile as the RM
price i nflation, which could have an implication on our margins in the AI business as well, so.
Rajan Venkatesh : So you're trying to understand as the raw material prices increase or decrease, how have we been
able to navigate through that, right?
Ankur Periwal : Yes, yes.
Rajan Venkatesh : Yes. So I think it's a very fair question. If you really look at the broader commodity part of the
business, whenever raw material prices tend to increase, most commodity players are smiling a
bit. They are not yet laughing, they are smiling. And whenever raw material prices tend to
decline, they had the frown on their face. So I think that would summari ze how we have also
steered it.
Quarter 1, you saw that the prices for acetic acid and the way I explained it was reasonably in
range bound to a certain extent. July and August also, it was in that similar range, and we really
saw that spike happening in the September month. And that is where we also for our products,
also increase our prices.
And that's where we saw certain margin expansions happening in the month of September as
compared to the July and August period. That's what we have been able to leverage. Now as the
-- as they say, the foot -- shoe comes on the other side, now that we see the prices softening,
which we were any way anticipating by the way.
So it does not come as a surprise. We are also well prepared for it. I think underlying is how we
have steered and to Tanushree the point she made. We've actually grown volumes in our
essentials portfolio. And that, for me, underpins our cost position that we have been able to
garner and how we are penetrating the market.
Tanushree Bagrodia: Ankur, I'd just like to add to what Rajan is saying, right, while we are increasing the volumes in
our essentials portfoli o, please also bear in mind that the portfolio is expanding. We have
introduced new products and especially these new products are now beginning to contribute
because the new product that we came in was in Q4 of FY '23.
Moderator : Thank you so much. The ne xt question is from the Nitesh Dhoot from Dolat Capital. Please go
ahead.
Nitesh Dhoot : So my first question is on the working capital, which have seen an improvement in the first half
as we see the core working capital days improving to 30 from 52 in FY ' 23. So my question is,

how have we managed to improve upon the working capital days? Is there any change in our
sourcing strategy or on the payment terms? And how do we see the working capital intensity
going forward?
Tanushree Bagrodia: Sorry, Nitesh, cou ld you speak again? I could not understand what you were saying.
Nitesh Dhoot: Yes. Ma'am, so I was -- I just wanted to check on the working capital days. So how have we
managed to improve upon the working capital intensity. So is there any change in our s ourcing
strategy or on the payment terms? And how do we see this going forward?
Tanushree Bagrodia: Okay. So Nitesh, one is our inventory management has been very, very deliberate and our
finished goods stocks that we hold have actually been really focused on, and that has reduced
our inventory days, right? Our inventory days actually in the last 6 quarters are at their lowest.
So that's point numb

er one. The second thing, which is helping our working capital days is that
we've gone back to procuring material from an import perspective, which gives us a higher
payable days, right?
So these are the two large levers. Having said that, I must also tell you that our debtor days,
again, in the last six quarters are at their best at the moment. So in short, you're actually seeing
an improvement across all three operating parameters. And lastly, even where we had certain
current assets that were stuck, those have now been liquidated.

Nitesh Dhoot : Sure. Sure. My next question is on the essentials part of the portfolio, which could have been impacted on account of raw materials, as you explained on the volatility in the acetic acid prices, but why is there a drop on the specialty EBITDA margins to sub 16%? Again, is there any -- is there the element of raw mate rials? Or is it unabsorbed overheads on account of Fluorine part of the business? So if you co uld just throw some color there?
Tanushree Bagrodia: So largely, the impact, Nitesh, comes from the product mix that is there, given that there is a destocking that is happening, right? There are certain products that are -- where the volumes have gone down, and certain other -- more upstream products, if I may say, but the volumes has gone up, and it's the change in product mix, which is contributing to these margins.
Rajan Venkatesh : And I think Nitesh, Rajan here. Just to add, the raw materials do not have as pronounced an effect on to our specialty portfolio as compared to essentials.
Nitesh Dhoot : Sure, sir. That's helpful. My next question would b e on the specialty portfolio. So what we see from the numbers is there is a dip on the specialty exports revenue both year -on-year as well as on a quarter -on-quarter basis. So -- and you said that the long -term contracts have been doing well. So does that mean that the rational products have done poorly? Or how should one read into this?
Rajan Venkatesh : So maybe I give a certain color and then Tanushree step in. First and foremost, if you look at the split of our specialties and it might not be -- listen y ou can actually look at it because we have done it at an enterprise level. Our ratio of domestic versus exports for our specialties once those portfolios started ramping up was about 50%, 50%.

So 50% was domestic, 50% was export. What we have seen more so pronounced in quarter 2, but already we saw that tendency in the first half of this financial year. Our exports, we were focusing more on the domestic part and certain parts of our exports because of the elements that we explained in certain industries tha t there was a demand softening where we consciously step back from there.
But I would see this rebounding back because, again, to double click, when we speak to sort of our agro customers and pharma customers, all of them are telling us that, yes, it's a transitionary phase. It's not as if the AI demand for which some of our chemistries are going into has vanished, it is more a calibration time, and that will contin ue once we enter the next year.
So that's a watch -out, but we are also leveraging this split between the import, that is the -- sorry, the domestic versus exports, we are steering that pragmatically. And today, to give you a number, our percentage on the specialty space for domestic, we have an exposure in the previous quarter of 55% and for the exports was 45%. So you have a 500 basis point change if you want to versus the same quarter last year. Hope that helps.
Nitesh Dhoot : Yes. That is helpful. And one last question, if I may. So on the asset capitalization in H1, that's around INR215 crores. It's entirely on account of Fluorine? Or is there any other element also? And where are we now on the total INR550 crores capex , so how much of that is capitalized and ho

w much is pending?
Tanushree Bagrodia: So of the total INR550 crores, abou t INR450 crores has already been spent, of which INR183 crores has been capitalized and the balance is lying in the capital work in progress. The H1 increase in depreciation that you are seeing year -on-year will also have an impact of the capitalization th at we did in Q3, Q4 in Laxmi last year. So it's both of these aspects combined give you the INR18 crores delta. The entire INR18 crores is not from YFCPL.
Moderator : Thank you so much. The next question is from the line of Arjun Khanna from Kotak Mahindra Asset Management. Please go ahead.
Arjun Khanna : Sir -- ma'am, the first question is in terms of the fluorine piece, given that you talk of a slowdown or transition. So does that mean that the ramp -up next year is going to be delayed? How are we in terms o f approvals? And how do you see in terms of revenue line items for FY '25, '26?
Rajan Venkatesh : So first, let me give again a color on the fluorine project. Like I shared, the focus this year is that we will bring the entire asset into a mechanical comple tion mode and all the stuff that we have actually acquired for Miteni is already in India, and we are in a good, good stage of execution excellence there. We have, as Tanushree said in her opening remarks, we already in July sent out the first product from the first asset that we have up and running. We got it in spec already in our second run, so that all gives us the confidence.
Now to your other question, which was leading, would there be any delay. I think we don't see any large delays from purely the current calibration that is happening in the agro space. For us, it is really getting the asset up and running, and we are having actually a lot of customers hounding us and asking us to be more faster in our endeavor.

So while it feels to be a good comfortable space to have the customers hounding us, I have the other eye where I need to get it in shape, in spec and also in a safe manner. So that's where it stands, and I'll pass it on to Tanushree to add on.

Tanushree Bagrodia: So Arjun, we've al ways maintained that the peak revenue that we realize from this asset will only start flowing in FY '26, which is about INR200 crores to INR210 crores. FY '25 should see anywhere between 50% to 60% of this revenue coming in. And at the moment, we are on tr ack for it.

Arjun Khanna : Great. That's good to hear, ma'am. The second question is in our presentation in specialty, we talk of new platforms, so is it dependent on the outcome from our innovation center? Or this is something that we already have in the p ipeline at this point in time?

Rajan Venkatesh : So it's actually a bit of both. So I think if you remember our last investor call, we also made it very transparent that in Lote, specifically, we had another fluoro major who's not in the agro space, who has come to us with their technology package and is basically seeking -- so they're going to give us a technology pack. They are expecting us to produce that product for them since we now have also the capability in the fluorine space.

So that's one example. We are also talking to larger innovator companies outside of the agro space given the larger impulse that I bring in into the organization and also my team, and we are looking at different other chemistries to engage with. So that's why we see these new pl atforms being pretty solid, and that's what we are building off.

Arjun Khanna : So the first one could have a more quicker time line in terms of time lines. So the rest of it would actually come at Dahej or would come at Lote itself?

Rajan Venkatesh : So any thing at this point of time, the way -- first and foremost, we are very stringent in our financial steering. So every dollar we put in the specialty space has to have asset turns of 1 to 2 and h

as to have EBITDA margins of 20% to 25%. We are crystal clear on that. Second one is anything on the fluoro link would today be n estledecessarily in Lote because therein, we have all the infrastructure to handle that. And other technologies, I think we certainly have Dahej as an enough and more option because as I said, even if our wave 1 of capex is only going to cover 20% of the land bank of the 90 acres that we have at Dahej.

Arjun Khanna : Sure. My final question, if you look at the Essentials margins, given that -- I understand there's been volatility in raw material prices, but we understood that due to our history with the product, we are very efficient. Margins seem to be on the low -- very low side. Is there something one - off this quarter? Or is this the variation we expect going forward also?

Rajan Venkatesh : So again, one is before I answer this specifically, for any person who has run a co mmodity business and I was associated running BASF's petrochemical business, you have to steer that over a cycle. A point in time is going to give you a perspective, but it does not give you a full perspective.

So over the cycle, if you see -- and that's w hat also we've been very transparent, if you take out the highs, the average margins for a product like ETAC has been in the range of about INR9 per kilo. Now currently, as we speak, we are more muted. We have also seen lower margins than what we are exper iencing today. We believe already at these levels, there is a certain stress point. We see competitors -- our competitors for this molecules actual ly reducing their utilization, some of them even exiting or idling their capacities.

So that's what is givi ng me a good sense. First and foremost, we need to steer this over the cycle. The demand is on the weaker side. So cannot run away from that. Exports for certain parts of our Essentials portfolio are also weak, because demand in Europe, where we have a pre sence, and you saw that in our LOBV results are also muted. So I think it's very difficult to say are we out of the curve. But at this point of time, the important element is cost positions and managing cost very diligently and steering and having this clo se proximity to our customers.

Tanushree Bagrodia: Arjun, just adding a couple of points. You asked that is this a one -off that the low that we are seeing. Exactly a year ago, quarter 2 of last year, the cycle was even at a lower point as far as Essentials is concerned, right? So just highlighting Rajan's point of the cycle that we used to manage the business. The second is that in this business, we've been able to increase our volumes without any significant capex . And I think that is really helping us get the market share. So I think those 2 need to be ta ken in perspective.

Arjun Khanna : The only question I ask this is because the volumes have moved up. And in spite of much higher volumes, we are actually seeing a very, very low single -digit margins or not really making money. So in a sense, I understand you're getting market share. But any way we could discuss this some other time, but thank you so much for answering these questions. I'm wishing you all the best.

Rajan Venkatesh : Yes. Thank you. So just to give you some color, we are making mon ey. It's not as in we are not making money. We are playing the cycle very well, and we are -- the fact that we have been able to grow market share in the essentials part gives me a great deal of confidence, a, of our customer connect and secondly of our co st position.

Moderator : The next question is from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.

S. Ramesh : So when you talk about fluorination in the specialty segment, is it possible to give some sense in terms of what is the percentag e share of fluorine derivatives in your overall portfolio? And how you see

that moving in the next 2, 3 years? Is that primarily focused on pharma? Or is it a mix of both pharma and agro?

Rajan Venkatesh : So currently, as we have been very transparent, the fluorine has not yet started contributing to our revenues or -- yes, it does contribute to the P&L from the depreciation and capitalization happening, but not to the top line and the margins, and that will happen in the next financial year and beyond, lik e Tanushree explained. Then your second part of the question is the industry. So again, it's more diverse range of industries.

It is not only agro, so our fluorine intermediates, yes, has a more agro -focus. But if you look at electrochemical fluorination, that pivots us into a much larger range of industrial solutions from cooling that happens for -- when you basically have the large -- what is that word, that just misses my mind now. It is all these...

S. Ramesh : Data centers, Rajan.

Rajan Venkatesh : Data centers. Exactly, exactly. So the large data centers, when you have to cool them efficiently, you have a lot of these solutions being employed for that. So that's what keeps us in a good stead from the portfolio mix at the end customers with the fluorine c hemistries and the solutions we are bringing onboard.

S. Ramesh : Okay. The next thought is if you're looking at your split between Essentials and Specialty, given that the margins are higher in specialities, is there a strategy to increase the share of spe cialties? How do you see this mix changing? And how do you see the mid -cycle ROCE? Since you mentioned that you're talking about developing the business over a cycle.

So you ignore the current challenges in the supply chain once everything settles down, is it possible to look at ROCE in excess of 20% and ROE in excess of 15% or 20%, is that a number achievable over a period of 2, 3 years?

Rajan Venkatesh : Yes. So we -- I think very, very valid and good question. So one of the first things we did as part of the strategy exercise was look over a 10 -year period. And if you refer to our previous deck, that we had loaded in last quarter, you would see that very transparently. And we broke it down into the cycles. And what really came out was the essentials part o f our portfolio over the cycles, over a 10 -year period had delivered ROCEs of 20%. So that's what gives us the confidence.

And the same is true also for our specialty part of the portfolio, which started kicking in from the financial year '15, '16, wherein we were able to -- when we inherited the assets from Clariant, we inherited a range of -- only about 8 products. As we speak today, we have 50 -plus products available in our portfolio of specialty, and that has also delivered us ROCEs of 20%.

And h ence, we remain confident that the essentials over the cycle and specialty is more robust because it is not directly linked always to raw materials. We, at an enterprise level, will continue to steer accordingly and deliver ROCEs of 20% and upward.

S. Rame sh: Within the last question, how do you read the situation in China apart from the global slowdown, there's a certain amount of extra supply coming in from China across the chemical chain. So when do you see that settling down? And when do you see the cyc le turning normal in terms of the stability in supply chain and pricing and the volumes going back to the normal trend in terms of percentage growth?

Rajan Venkatesh : Yes, so I think the first one is a bit of a gest, I wish I knew what the new normal is. T he important element is agility is the key word here. I think now specifically for your China question, and since I have operated assets and worked in China for quite a few years, China is, depending on the report that you read, 30% to 40% of the chemical industry. China in the previous turnarounds

from, say, maybe the 2008 crisis and even before that, they have been able to actually deliver
strong growth, which has not happened this time around.
So I think we will need to wait and watch how that whole thi ng pans out in China because this
is certainly also impacting the Chinese economy. Now what does that mean for Laxmi? So in
our Essentials part of the portfolio, we see no volumes coming into the domestic market from
China.
So that also keeps us in a good stead, and I think that's a very important message that you need
to take away because normally, it's the commodity part of any company's portfolio that gets
impacted from China. So that gives us the confidence. In our specialty parts of the portfolio,
again, we have a good robustness there. We see only a smaller part of our specialty portfolio
being impacted from the Chinese lens.
Moderator : The next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.
Rohit Nagraj : Sir, first qu estion is on the Lote unit. So you mentioned that we have already supplied the first
batch of products for validation. However, we say that mechanically, the plant will be ready by
March '24. So I mean I understand, unless and until, we have the commercial product ready in
the plant, we will not be able to supply those batches. So what is the disconnect? Or I'm not able
to understand that.
Rajan Venkatesh : Yes. So Rohit, the simple disconnect is it is just not 1 line. It is multiple lines. So we have a line
100, we have a line 200, we have a line 300 and Miteni had a huge range of pilot facilities. So
the first product that we gave to our customers was coming from our line 100, which we
completed mechanical completion. And in the course of the remaining mont hs in this financial
year is where we will complete mechanical completion for our Line 200 and Line 300. Hope
that clarifies your doubt.
Rohit Nagraj : Right. Right. That's very helpful. And just 1 associated question. So we have -- we expect about
INR550 c rores of capex on this unit. And from the Miteni set of products, we are expecting close
to say INR200-plus crores kind of revenues. How much would be the total revenue potential
from this asset? I mean, excluding INR200 crores from the Miteni products?
Rajan Venkatesh : Right. No, I think, again, a very valid question. I think we have given some flavor to it in the
previous conversation. Again, let me start with the market opportunity, right? As I shared, what
we see with the technologies that we have acquired from Miteni, we see an SRM, a strategic
relevant market of up to EUR 2.5 billion -- or $2.5 bil lion, depending on where you take the
currency.
But that's what gets us excited and that is why we embarked on this journey because when we
spoke to customers, they were saying that we had already augmented our capability in the
Diketene value chain, what could we bring more in the mix. And certainly, we saw value here.
So secondly, the Miteni assets are more -- I would say, they are not large -scale assets. They
bring in great deal of flexibility, great deal of robustness, great deal of insight from a chemistry

perspective. So for us, we are using this as a nucleus and we will certainly invest more in that
Lote setup with what we have now rolling out in Lote, we still have 50% of our land bank still
available. And that's what gives us the confidence that with this chemistry base and nucleus we
have a huge armory that we ca n further expand in Lote and that will create value, keeping the
SRM in mind and keeping the customer request in mind.
Rohit Nagraj : Sure. And second question is in our remarks, we said that our assets were utilized optimally
during Q2. And obviously, the Dahej capex is a bit far away. So in the intervening period, how
do you foresee the volume growth co

ming in from? And just an associated question. The Dahej
facility, when do we see that coming up for commercial production?
Rajan Venkatesh : So Dahej facili ty, I will pass it to Tanushree. Let me take the first one. I think one thing Laxmi
has done very well is operational excellence. And what you see also the current volumes that we
have been able to garner specifically on Essentials, what Tanushree spoke ab out, is coming at
no capex at all. It is a lot more operational excellence and diligence that we have been able to
bring into our plants via data analytics and optimization there.
And I think that is going to be a journey. But is that going to be a step ch ange? No. So I think
let's also be very transparent. We are not -- it's not as if we are being inefficient, but so we will
not see a big step change. But obviously, then Dahej becomes an important part of our puzzle to
then have a step change in our growth trajectory. Tanushree, specifically on Dahej.

Tanushree Bagrodia: Yes. Dahej, we shall see revenues coming in, in the second half or I'd say, towards the end of FY '25. FY '26 should see about 75% of those revenues coming in and then FY '27 and '28 will be the peak revenue from Dahej that will come in more.
Rajan Venkatesh : What is also interesting for Dahej is we have in our essentials part of the portfolio already a customer -led project that we are doing. And therein the supplies will need to start already by the second half of next financial year. So that is already helping us to give the right nucleus to move forward in Dahej.
Rohit Nagraj : Sure, sir.
Moderator : The next question is from the line of Dhruv Muchhal from HDFC AMC. Please go ahead.
Dhruv Muchhal : The question was on the specialty margins just taking from the earlier question. The margins are a bit weak. Now if I understand well, the competition in this segment is not much with the global peers. There are very few players that operate in this segment. So -- and I understand the weakness is probably because of product mix versus, say, la st year of the normal run rate. But if I have to pick up specific products, how do you see the spreads or the margins in those segments versus the normali zed levels? Are they very weak? Or are they normal? So just trying to -- if the product mix comes back to normal, do you think the margins will be back to that 20%, 22%, 25%? Or there is -- because of the weakness in the market in terms of demand, there is also competition on spreads or margin s within the particular segment?

Tanushree Bagrodia: So on the individual products, there is no pressure on the margin. The margin dip is because of the product mix and once the product mix comes back, the margins will come back. That's the short answer to the question.
Dhruv Muchhal : Got it. And when we say margins, so for example, acetic acid it also becomes an input in, I think, the SI product segments and some of the other raw materials. And raw material has been ve ry volatile from 100 -- from a benchmark of INR100 to, say, whatever INR60, INR70 or whatever. So the margins are on that -- the absolute margins remain the same? Or the margins change depending upon the RM pricing? So if say, for example, the margin was, say, 25%, on INR100 RM. Does it remain the same when the RM is at INR60? Or does it change?
Rajan Venkatesh : So the one -- so just to answer that question. Now if you look at Essentials, obviously, the...
Dhruv Muchhal : Just on the SI, just on the SI.
Rajan Venkatesh : Yes, yes. No, but just to keep it in perspective, the corre lation is much stronger in our specialties portfolio, all our contracts do not have a cost -plus formula. So that's important. So it's basically your pricing is positioned based on your delivery of the molecule in its performance. So the conversation does n ot happen because acetic acid

price goes up and down.
The conversation is happening because what is the chemistry your technology is offering in the end formulation. And is there a competing technology, then that's a different level of conversation. So it' s much more on application performance rather than raw materials, in a hardwired nature and the conversation with customers.
Dhruv Muchhal : But sir I mean, there will be other peers that you would be operating with in this segment. So historically, how has the movement been is what I'm trying to understand.
Rajan Venkatesh : Right. So I think our entire specialty has started delivering if I now reflect back even before my time here is the second half of last year, is where we have seen our specialties really kicking in. And if I look slightly behind even with financial year '16 is where we saw the specialties creating a lot of value for Laxmi. For -- in Diketene space, we are number -- we are in the top 5 now as Laxmi with our positioning, our cost positionin g and also offerings. And with the Dahej project coming up, we will be top 3.
So I think, again, to give you color, the margin propensity has remained because that's why we are churning our portfolio, and that's why we have now so much focus on new produc ts accounting for 20% of our specialty portfolio because if you look at the S curve, you will always have pro ducts going through that cycle.
A lot of the chemistries, which we acquired from Clariant, as specific examples, are more commoditized now. And if we were to still only sell those products, you will be looking at much lower margins than what we would have hoped for. So what keeps our margin propensity strong for specialty is that pipeline.
Moderator : The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal : Kicking off from the previous question. Dr. Raj, on the Diketene business, can you just give us some thoughts on how the global landscape -- competitive landscape has been shaping up? In terms of co mpetitive intensity, has there been more number of players entering globally? Or there are certain large guys who have been defocusing on this business? I mean, how do you see the overall competitive landscape on the Diketene specialty products?
Rajan Venkatesh : Right. So first, in the -- like very good question. Thanks for that save. We have seen certain 1 player actually in North America stepping out of that Diketene space. This happened about 2 years back, if my memory serves me well. If you see then outside China, we have 1 player in Japan who is a bit subscale in our view.
And we have 1 other producer in Europe who basically with all the challenges that Europe has been going on through with -- because for the Diketene chemistry, it is a power intens e chemistry. So they are also not being in the best cost position. Then you see the players in China. We have not seen new players coming up in China.
So that's the 1 big element. What we also see, understand the Chinese landscape is the full integration of the value chain. That is starting from the acetic acid to the Diketene to the derivatives, we are uniquely positioned. The Chinese competitors do parts and parcel of those value chains and that is what is keeping us in a good stead.
So in summary, we do n't see significant new competition globally coming up in this space. Outside China, we are very well positioned, and within the Chinese landscape also if you compare with them, we have good cost positioning, and that is what is going to give us the confid ence to be top 3 with also Dahej coming on stream.
Nitin Agarwal : And on Dahej, when you look at the Diketene portfolio growth over the next say 2 or 3 years when the facility becomes at optimally utilized, I mean, from a revenue perspective, is it -- is the bulk of the revenue going to be driven by o

ur existing set of already developed and commercialized products? Or it's going to be the newer products that will be defined -- that will be driving bulk of the growth for the Dahej capacity which is coming th rough?
Tanushree Bagrodia: So Nitin, of course, there will be a mix of existing products and new products. But as we are embarking on the INR710 crores capex , sure, the products that we have taken are the products that we are currently manufacturing where we have a constraint in capacity and hence, we are not able to cater to all the demand that we can.
So in the INR710 crores capex , we haven't taken the innovation pipeline into consideration. The innovation pipeline will come on top of what is considered in the base case. Not necessarily at a heavy capex . Of course, the capex will be required, but it will not be to the full extent.
Rajan Venkatesh : And we have also piloted some products, and that is also something we will really target t o scale up in Dahej. But that is, today, as Tanushree correctly explained, not in our baseline.
Nitin Agarwal : And if I can just push on that a little bit more, then we be talking of a meaningful expansion in volumes on our current specialty portfolios. So this increase in volumes for our specialty

portfolio that is largely going to come as market share gains? Or what is I mean -- or is it going to be just like probably some expansion in the market itself, which is happening in some of these products?
Rajan Venkatesh : So I think one is the organic growth in the segments that we are anyway serving today, as Tanushree explained, we are capped from a capacity lens and those markets still continue to grow. And so when I say grow is we always take a midterm view. We don't take a point -in-time view. So that's going to be one important element of the growth opportunity. And secondly, we will -- like I explained about 2 years ago, we saw 1 major competito r in this segment stepping out.
And as the competitive pressure plus also the cost pressures where they operate, for example, in Europe or in Japan continue to evolve, we can see also that landscape evolving. So hence, we are, I think, then well positioned to, a, garner market share on our cost position and our value proposition to our customers and also then support the customers' growth.
Moderator : Ladies and gentlemen, due to time constraints, that was the last question for today. I now hand over the conference over to Mr. -- to the management for closing comments.
Rajan Venkatesh : Thank you. So thank you all again for your interest in Laxmi and for your constant support. Again, all these questions, give us the right stimulus to challenge ourselves to continue ourselves in this journey. The market on the chemical spa ce, again, to restate is certainly a little more challenging than what we have seen in the past. But that's the nature of the beast and that's what keeps us excited. And that what gives me the confidence with the management team we have at Laxmi that we wi ll navigate through.

I also would like to thank our Board, which has placed the confidence in the team with the largest capex that Laxmi has embarked. We are also fully focused on delivering on our ambition on the fluorine side of our project. So we are all working very diligently and focusing on execution, excellence is one pillar and customer focus on the other pillar underpin ned with our values and EHS. With that, thank you very much. Have a wonderful Diwali, which is coming ahead, and I hope you had a wonderful Navratri and Dussehra. Thank you.

Moderator : Thank you very much, sir. On behalf of Go India Advisors, that conclude s this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2024

February 01, 20 24

Dear Sir / Madam,
Sub: Disclosure under Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligation and Disclosure Requirements) Regulations, 2015 (“ Listing Regulations ”), we wish to inform you that the Company participated in the investor conference as given below :
Date and time Type of Meeting / Event Location
January 25, 2024 , at 15.30
hours onwards Investor & Analyst Meet to
discuss performance for the
quarter ended December 31 ,
2023 hosted by Strategic
Growth Advisors Conference Call through dial -in

No Unpublished Price Sensitive Information was shared / discussed in the meeting with the investors .
Further, please see enclosed the transcript of the Investor Presentation for Q 3FY24.
We request you to take the above on record.

For Laxmi Organic Industries Limited

Aniket Hirpara
Company Secretary and Compliance Officer

Encl.: A/a

BSE Limited
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1st Floor, New Trading Ring,
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Exchange Plaza, Bandra Kurla Complex,
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Mumbai – 400 051
Trading Symbol: LXCHEM

“Laxmi Organic Industries Limited
Q3 and 9M FY24 Earnings Conference Call ”
January 25 , 202 4

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MANAGEMENT : MR. RAVI GOENKA – CHAIRMAN -- LAXMI ORGANIC INDUSTRIES LIMITED
DR. RAJAN VENKATESH -- MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER -- LAXMI ORGANIC INDUSTRIES LIMITED
MR. HARSHVARDHAN GOENKA -- EXECUTIVE

DIRECTOR , STRATEGY AND BUSINESS DEVELOPMENT -
- LAXMI ORGANIC INDUSTRIES LIMITED
MS. TANUSHREE BAGRODIA -- CHIEF FINANCIAL
OFFICER -- LAXMI ORGANIC INDUSTRIES LIMITED

MODERATOR : MR. NISHANT DUDHORIA -- STRATEGIC GROWTH
ADVISORS
Moderator: Ladies and gentlemen, good day, and welcome to the Laxmi Organic Industries Limited Q3 and 9 Months FY '24 Earnings Conference Call. As a reminder all participants line will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistan ce during the conference call, please signal the operator by pressing star and then zero on your touch tone telephone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Nishant Dudhoria from Strategic Growth Advisors. Thank you, and over to you, sir.
Nishant Dudhoria: Thank you, Manuja. Good afternoon, everyone, and thank you for joining us on the Q3 and 9 - month FY '24 Earnings Conference Call for Laxmi Organic Industries Limited. We have with us on the call Mr. Ravi Goenka, Chairman; Dr. Rajan Venkatesh, MD, and CEO, Mr. Harshvardhan Goenka, Executive Director, Strategy and Business Development; M s. Tanushree Bagrodia, CFO. The company has uploaded its financial results and investor presentation on company's website and stock exchanges. I hope everybod y had an opportunity to go through the same.
We will begin the call with opening commentary by the management followed by the Q&A session. Before we begin, I'd like to point out that this conference call may contain forward - looking statements about the company, which are based on the belief, opinions, and expectations of the company as on the date of this call. These statements do not guarantee the future performance of the company, and it may involve risks and uncertainties that are difficult to predict.
I would now like to invite Dr. Rajan, MD and CEO for Laxmi Organic Industries Limited, to give his opening remarks. Thank you, and over to you, Dr. Rajan.
Rajan Venkatesh: Thank you. Namaskaram. And I think after the auspicious prana pratishta n that recently took place, Jai Shri Ram is in place. Today, what we would like to take you through, as always, is give you a view of how we have performed, take you through first on the macro environment that we are operating in as a chemical industry, then we will provide you a certain level o f granularity of how our customer segments are evolving in their demand patterns.
We will also take the opportunity to provide you how our key raw materials have evolved in quarter 3, and how is this potentially looking into quarter 4. The r ed sea crisis, which is the last thing we needed at this point of time, but certainly comes from a logistic lens on top. We'll give you a flavour of how do we see the competitive landscape, provide you on update on the projects and then Tanushree will take you through with our numbers.
So let me start with the macro. And I think all of us who have not yet attended Davos had the opportunity via YouTube to get all the deep dive of Davos and all the discussions that happened

there. So for us, it was a very nice cost effecti ve and prudent way to get a deep presence in Davos by not physically being there.
The key takeaway is what you sense from a lot of the conversations there and also in a lot of the reports that you see on the economic backdrop is the global economy is still very tentative, is expected to be slowing in some senses, depending on the narrat ive that you hear.
Certainly, it is still below the pre -pandemic growth levels that we have seen in the past and certainly, there are also certain curve balls or positive momentum that could swing it either way, elections in various economies, including ours, is going to be an important element. Obviously, the U.S. elections as will have it say the physical monetary policy, whether the easing happens and what imp

lications that would have a certain impact.
So it will be fair to say at this point of time, there is the economic outlook looks a bit more murky. But that being said, let me end on a positive there in India , as the country tops the growth charts and that is also anticipated to progress also into 2024. So with that certainly we continue

to be a shining light in what appears to be a very murky environment.
Now that being said, if you reflect that obviously into the chemical sector which has obviously large implication of how the buying and macro happens , not surprisingly, the chemical demand was in the course of 2023, very muted. But what we are also certainly seeing is there is a certain stabilization that has happened, especially in the last quarter, but the weaker demand continues.
So that's what I would talk with you when you talk about the chemical space at a global level.
We certainly see big markets in the chemicals places like China continuing to be very, very weak. There is quite some upstream cracker capacity in China, off -line or at running at a very reduced rate. Parts of Europe are also continuing to be weakish when it comes down to the demand pattern. So those are, I would say, the macro environment that we're contending with as we are operating in Q3 and also as we move into quarter 4 of 2024 and the full year of 2024.
Then coming very specifically to certain of the key segments where Laxmi serves our dear customers. Let me start with the first, which is CASE, which is the coating, adhesives, sealants, and elastomer segment. Towards the end of last year, last financialyear, we saw quite of the innovator companies where we provide our solutions sort of tapering down with their inventory.
So there was a slower pickup.
But as this year has started, which is the new financial year for many of the foreign or innovator companies outside of India, we are seeing a certain demand pickup coming in that lens.
When it comes down to the packaging segment, specifically keeping the domestic lens and we are seeing this also in the results of a lot of FMCG companies. And our customers who tend to serve the FMCG companies , certainly are reflecting that the post festive season lull and rural consumption is on weaker side. So that's going to be certainly a watch out for us as we enter our quarter 4.

When we talk about pharma, the sense we get in discussion with our customers is exports continue to be weaker, but domestic focus driven demand continues to be still reasonably strong, relatively spoken. When we talk about the agchem space, the overall conversation of inventorying the pipeline is ebbing away now, but that seems to be something, I would say, is not as prominent in conversations with customers, but it is going to be -- it's more the topic of demand pickup and more competition that certain of the customers and especially certain of the innovators continue to see a cheaper substitutes from their competition. That's primarily from Asia.
So that gives you, I hope, a good bit of a sense about the key industries. We certainly as Laxmi are serving more industries, but we felt these were some things that this would be food for thought for the audience in the call. When it comes down to raw materials, I'll state to 2 raw materials, 1 i s acetic acid and then ethanol.
These are the key building blocks for us. The last time we had the opportunity to have this conversation was October, and we were sharing with you in September, we had seen an unusual spike in the acetic acid prices which went upwards of $600 per metric ton. We had also at that point of time shared with you that we felt it is not sustainable because that spike was really driven by an unprecedented and unplanned shutdown in capacities, was not dependent on demand. And since then, we have certainly se en the prices moderating lower.

So in the whole of quarter 3, our quarter 3, we have seen prices in the range of about $430 to $440 for acetic acid. And as we also move into our quarter 4, we are seeing prices at that range or maybe slightly less by $10 to $20. So I think there seems to be, from today's perspective, enough capacity to serve the demand that is how they're in the market.
The other element is ethanol. And ethanol prices, also what we have seen in quarter 2 were sort of peeking out at $860. Since then, we have also seen the ethanol prices moderating lower. And as we speak and as we see now, ethanol prices are in the range of about $725 in quarter 4, they are looking at about $770 to $74 0 in range of ethanol prices.
This is also linked with the fact that in U.S.A, the prices have softened as a result of enough inventory, lower corn prices and Brazil, which is another big market where ethanol is produced, we are seeing there is surplus inventory of sugar, so sugarcane has been diverted to ethanol manufacturing, thereby putting pressure on ethanol prices in a downward trend. So those are the 2 big raw materials, which we also felt that we wanted to share the development in quarter 3 and what we see in quarter 4.
The other element that has certainly taken all of us by surprise is not surprisingly the Red Sea crisis that we are all now familiar with. Does it have consequences? Yes, it has consequences.
The implication of that is it is taking much longer for the ships. So there are delays if y ou go via the Cape of Good Hope, this is delaying the entire transit time in the range of about 4 to 5 weeks.
We have also seen prices increasing in the range of 2 to 3x times than where they were . they had

actually subsided to pre -COVID levels. In fact, the prices before the Red Sea crisis, now we are seeing them spike. So obviously, the element of vessel availability, space constraints, container

shortages are all being prevalent and being experienced. Recently, there were also reports that a lot of the European producers could depend on imports from Asia feeling the pinch even more. So I think there are also conversations that's happening with cus tomers to secure, again, talking from a supplier liability flexibility.

When it comes down to the element of competitors, talking about the local competition, again, it depends on product to product. We are seeing that and you will see that in our business performance, certainly, we are able to hold our own. And we are seeing -- we are being resilient by being very, I would say, on one side, being -- defending our share, on the oth er side being aggressive and going hunting more a nd expanding our customer base.

So that's keeping us in good stead. The Chinese competitors and the capacity I started this conversation with, certainly, there seems to be overcapacity in China, certain of this is moderated, especially in certain of the exports market, we continue to see a lot more competition from China with very, very aggressive pricing. So that gives you a sense on competition.

Then let me just come closer to home, talking a bit about how we have talked on a qualitative basis on our performance. So as I said, the operating backdrop for the chemical industry continues to be challenging. And in this environment, I'm really happy an d I'm thankful to the entire Laxmi team that we have really delivered on a stand -alone basis, we have delivered quarter -on-quarter and year -on-year basis profitable growth.

This has been achieved by the levers that are in our control. One, stronger customer engagement; second, a product mix tiering within both the business units; the third one, the manufacturing operational excellence, which we have embarked on even more stro nger with data analytics, which has resulted in higher output from an existing asset base and an active working capital m

anagement.

When we talk about our projects and we have shared that in the past, so the double clicking on that. The first project, which is I'm assuming top of your mind is our fluorochemical projects in Lote, that, as we speak now, is taking excellent shape and all key units are slated to be operational by end of financial year 2024. This will enhance our asset capability and expand our specialty product offering to our customers. For all pro jects, not excluding Lote, we remain on track. We have done a focused tieri ng on cost and timeline adherence is why we are now very confident as we embark on completing projects and starting new projects.

Speaking about our Dahej project, we are working diligently with the relevant authorities to receive the environmental clearances, to start construction post which the project execution is expected to take anywhere between 18 to 20 months for the approximately INR710 crores that we are investing and envisaging in Dahej , our asset turn there is estimated to be 2 to 2.5x. And this we have shared our asset turns in the previous presentations for Essentials vertical and also our Specialty vertical. The capex s plit in Dahej is 65% is for our Specialty business and 35% is for our Essential business.

Healthy cash flows from operations, and you will hear the numbers from Tanushree, and the recently raised funds from the qualified institutional placement are funding our growth projects.

Our head product portfolio catering to diverse industries across geographies. Ongoing capex to serve our customer needs will all deliver future growth. We are gearing ourselves to drive positive change and create long -term value. We are also building the m uscle, the process, people, systems in the organization to deliver on our growth ambitions and commitment as we move ahead.

With that, I will segue into Tanushree we to take us through the financials.

Tanushree Bagrodia : Thank you, Rajan. Good afternoon, ladies, and gentlemen. I'm wishing you all a very abundant 2024. As Rajan mentioned, the market conditions continue to remain challenging in Q3 of FY '24, but at the same time, Laxmi team resilience also continued to remain steadfast. The overall volume dispatched by the company has been the highest. In the third quarter, we saw a 17% increase in the volume dispatched year -on-year for the quarter, a 19% increase for the nine-month period. These additiona l volumes come without capacity additions in this fiscal.

In addition to the increase in volumes, the Essentials business unit saw new products taking a more prominent presence in the product mix. The Specialties business, product mix remains to be strong and the business continues to grow in line with the strate gy. The volume increase has resulted in a top line increase of 8% year -on-year and quarter -on-quarter on a stand -alone basis. The total income for the stand -alone was at INR698 crores for the quarter and INR2,047 crores for the nine months ending December 31, 2023. The improved product mix gave a boost to profitability with the Q3 EBITDA for the stand -alone business coming at INR70 crores, which is 17% higher than that of the preceding quarter. Year -on-year, the quarterly EBITDA on a stand -alone basis was 6% higher. And on a nine-month basis, it was 7% higher at INR213 crores. There was no additional capitalization in quarter 3 of FY'24 at the stand -alone level. And hence, the depreciation remains unchanged quarter -on-quarter. The PAT for the quarter stood at INR39 crores, which is almost 70% higher quarter -on-quarter and almost 1 5% higher year -on-year. On a nine-month basis, the depreciation has increased INR17 crores, which is on account of the capitalization made in quarter two and quarter three of last fiscal, resulting in the PAT for nine months ending 31st December 2023, coming at INR10

0 crores, which is just INR9 crores lower than the nine months of the previous period.
At a consolidated level, the overseas subsidiaries also saw an improved performance for the quarter. And this is true both on a Q -on-Q and a nine-month to nine-month basis. This has resulted in the consolidated total income at INR700 crores, which is 6% higher quarter -on-quarter and year -on-year.
On a nine-month basis, the total income of INR2,093 crores is about INR20 crores higher or about 1% higher. While on the revenue side, as Rajan mentioned, that the teams have had a very customer -focused approach, improving the quarterly top line, the cost optimization efforts have yielded profi tability benefits. With these efforts continuing, we are confident that the financial performance of the international subsidiaries will be in line with the company's internal estimates.

YFCPL, the 100% subsidiary at Lote , continues to be on track from a cost to complete and internal cost estimates points of view. Given that we are still in the preproduction ramp -up stage, the cost share continue s to be borne by LOIL . The consolidated EBITDA for the quarter at INR58 crores is 22% higher quarter -on-quarter and flat year -on-year.
On a nine-month basis, the EBITDA at INR186 crores is INR6 crores lower than the previous nine-month EBITDA. There is no additional capitalization done at any of the subsidiaries. And hence, the depreciation quarter -on-quarter remains unchanged. The PAT in quarter three of FY'24 at INR27 crores is about 2.5x of the PAT of the previous quarter and flat year -on-year.
On a nine-month basis, the PAT at INR76 crores is 24% lower than that of the previous period, given the depreciation increase d by INR27 crores.
Cash flow from operations remains to be a key metric that we continue to monitor. In the nine months ended 31st December 2023, the cash flow from operations to that INR329 crores, which is 150% of the same period last year. A large part of this increase in the cash flow from operations comes from the continued focus on working capital that Rajan a lso spoke about. And I can share that both on inventory and debtor days, there has been a significant improvement year -on-year.
The balance sheet continues to rema in strong with the gearing at 0.13x which is very, very low.
And once again, the credit rating of the company has been renewed at AA - with a positive outlook. Our rating agency is India Rating.
And with this, I'll hand the call back to Nishant.
Nishant Dudhoria : We can begin with the question -and-answer , Manuja.
Moderator: Okay. Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Ankur Periwal from Axis Capital. Please go ahead.
Ankur Periwal : Yes, hi, sir. Thanks for the opportunity and congrats for a decent set of numbers. My first question was on the volume growth side, given that we have found good growth there. Two questions. One, where is this growth largely originating from? Whether it's new products and -- or the older products scal ing up? Or is the new customers that we have added in either of Essentials or the Specialty vertical?
Rajan Venkatesh: Thanks for that, Ankur, and thanks for your commendation to the performance the Laxmi team has delivered. So to your question, specifically, it's a combination of both. As Tanushree said, one is taking an internal focus is where we have looked at operational excellence using data analytics. That's where we have got out more volumes coming from the existing asset base.
And the other thing has been really a concerted , given the market backdrop that we are operating in is basically positioning ourselves in the existing customer base and growing certain of our market share there because we are seeing also certain of the competition getting impacted, not hav

ing the cost position, and ramping down their capacity and utilization, which is giving us
headroom. And there are also new segments that we are entering into.

As we have always shared in our Specialty business, one of the big strengths has been that we have a large exposure , one, into we have even exposure into pharma, into agro, into pigment solutions and industrial solutions. And we consciously capped our market share at only 25%, and we are also well hedged between our domestic and exports. So that also gives us an interesting and good headroom to grow. I hope I've answered your question.
Ankur Periwal : Sure, Rajan. So just taking it on the segment specific. So if I look at the Q -on-Q trend, Essentials have shown a decent growth on a quarter -on-quarter basis, while Specialty is largely flat. Would it be fair to say that large part of this benefit was deri ved on the Essential s front?
Rajan Venkatesh: On a quarter -on-quarter basis, we are ta lking from a volume lens?
Ankur Periwal : Yes, volume because realizations, as you said, because of the global competitive intensity, my sense is realizations would have been largely stable.
Tanushree Bagrodia So on a quarter -on-quarter basis, you are right that the volume growth that comes, comes from the Essentials piece. But I think what's important also to note is Ankur that year -on-year, there is also a significant increase in the volumes for the specialty business.
Ankur Periwal : Sure. And just a clarification on the specialty bits because if my memory serves me right, if your exports were slightly weaker given we were focusing more on the domestic market. How has been the trend now? And there were new products that we had launched in specialty, how has been the ramp -up there?
Harshvardhan Goenka : Ankur, Harsh here. So you're right, Ankur, there's a little bit of shifting going on in the specialty between domestic and export, but nothing significant. We have seen this quarter that more or less, we are back to where we were in the specialty export of where we were la st year. And the new products continue to be resilient because they're largely contractually backed.
Ankur Periwal : And this contractual is on an annual basis or there could be some shifting possible there as well?
Rajan Venkatesh: It's on an annual basis you may see something in some quarters, but we are always having that flexibility with the large product basket that we have in the specialties.
Ankur Periwal : Fair enough. And just a last bit on the fluorination side, you know, we had mentioned earlier that while we are still, guiding that the full capacity will be operational by the end of this financial year. From a product feedback perspective, pilot perspect ive, anything that you can share on those sides?
Harshvardhan Goenka : Yes, sure. Again, we released it in our presentation that we've again had a successful launch of another product group that had not started last quarter. So this quarter, we successfully produced that, achieving better quality and norms than Miteni -- and we're very happy that the teams have strived to achieve that. The products has gone for qualification. We are waiting some answers from our customers.

Rajan Venkatesh : Ankur, it will be fair to say what we have, we stay to the commitment. One is what Tanushree said, we shared very publicly that the cost to complete had escalated. We stay with the Rs. 550 Cr number and we are bringing this on board.
We are also saying that the first year of revenue from this site will be derived in financial year '25 we stay with that commitment. And we also stay with the commitment we have given that this would take a certain ramp up as is normally the case for most plans over a three -year period. So those are all th

e things we are double clicking on.
Ankur Periwal : Sure, Rajan. So my question was more on the incremental . I take your point in terms of the capex investments and the ramp -up. But in terms of number of products and, let's say, from a quarterly run rate perspective, maybe the revenues from Lote should start coming in H2 of the financial year '25 or we should start being in Q1, Q2 itself?
Rajan Venkatesh: It a fair analysis to say we have always been also very transparent in saying once we sample customers, it will take a minimum of 6 months for them to qualify. So H2 of financial year '25 is where we'll see revenue being contributed from Lote. That would be a fair understand.
Moderator: Thank you. The next question is from the line of Dhava n Shah from Alfaccurate Advisors . Please go ahead.
Dhava n Shah : So my question is on the volume side, you mentioned that because of the one of the factors is data analytics, which led to improve the volume growth for this quarter. So can you share some more light on this, what kind of data analytics you have done? And I mean, is that sustainable?
Rajan Venkatesh: So Dha van, maybe I take it and then the entire DG, Centre of Excellence is nestled under Harsh.

So he will give more color to it. So data analytics, basically, we have we all our plans, we have DCS integration, it is really leveraging looking at historical data comin g and then looking at tweaks. And you know, what is the sweet spot? How should we operate our assets? What should be run rate?
What are feed ratios? What is temperature? You know, what could be the best-in-class technology? So I think it's not one element. It is really looking at history trying to as I said, when we also embarked on our strategy, which we presented about two quarters ago, we also did top class benchmark analysis. And we found as La xmi we are in the top quartile of producers when it comes down to essentials and specialties.
So it was building on all of that learning and certainly to the question of is it sustainable? Certainly, it is very sustainable with that. I will also pass it to Harsh to bring in his perspective.
Harshvardhan Goenka : Yes. So Dhavan, I think the basic innate philosophy, how can you juice your assets more? That's what we're trying to do. And some of that has come out last quarter in a difficult environment.
And I believe that will be sustainable.
Dhava n Shah : And what is the capacity utilization right now? And how much of the volume growth can you attribute because of these analytics out of the 17 -odd percent?

Rajan Venkatesh: So we'll keep that little confiden tial Dhavan. But essentially, we are operating at good level of capacity utilization like we always have been. We have not turned down the plan ts, despite having difficult demand. And we'll continue to be at this rate.
Moderator: Thank you. The next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.
Rohit Nagraj : Yes, thanks for the opportunity. Congrats on good set of numbers. My first question is regarding the export’s breakup. So on slide 19, we have given last year 9 months, we had a significant exposure to Europe with 56%, and this time around, partially that has been taken care by higher exports to Asia Pacific, if you can just give us a little more understanding in terms of which segments we have supplied to in Asia Pacific? Which are the geographies that we have pene trated? And any other reason for the shift which has happened during the last 1 year? Thank you.
Rajan Venkatesh: Thanks for that question. So as we've also been sharing very transparently that our Europe part of the business for our essentials, which encompasses a large chunk from just purely a volume perspective, is the one where we have consciously taken a bit of a backseat because of the demand decline

that we observed in Europe. And also the price arbitrage, where even the local competition, given that the pie had shrunk, were a little more aggressive to take market share and some of the Chinese w ere also going into predatory pricing.
So that's where we have seen a dip primarily on our essentials part of the portfolio. And very specifically, ethyl acetate, you want to be very specific about that. And then therein, we have also seen our domestic demand.
And also across Asia, when we talk about Asia, for us, we have also certain elements in Middle East, Africa, we have seen certain opportunities there, where we have been present in the past, where we can slightly augment. But we are also seeing in the dome stic space, that we have been able to garner market share because some of the marginal producers with the swings that have happened in the feedstocks, they are no longer producing and that's where opportunities came in.
Rohit Nagraj : Right. Just one clarification. So you categorically mentioned Chinese competition as far as Europe is concerned. In these other geographies, did we not face any Chinese competition? And would it be safe to assum e that incrementally, also the pie would be shifting to what has happened in nine months FY24?
Rajan Venkatesh: Can you just clarify what do you mean the pie would shift in the sense?
Rohit Nagraj : So the concentration, which was there in Europe, which was more than 50% and now it has come to say, 30% would probably remain at similar levels of, say, 30%, 35% or so.
Rajan Venkatesh: I think it is going to be evolving because when you look at our Essentials portfolio, there is a large bearing on feedstocks, right? And now we already see, for example, in the end of quarter three and also slightly into quarter four, we are seeing opportunities opening up where end -to-

end, there is still value creation that we can do. But we will take its case by case. So I would, at this point of time, not simply swat it away saying that the pie would shrink or it would remain.

The Essentials portfolio, what we do from an export lens primarily into Europe, are going to be -- we have some regular customers, and we have other certain opportunistic customers. So we will view it from that lens for our specialty part of the portfolio, that will be even more solid because that is really solution offerings that we are providing.
Rohit Nagraj : Sure. That was clear. The second question, again harping on the data analytics and its result and increase in output. So is it safe to assume, say, last year, the capacity was 100 and now the capacity has become 1 17. And whether increment -- is there any incremental upside from this 117 to maybe 120, 125 given that we are probably still in the process of implementing those solutions. Thank you.
Rajan Venkatesh : So first of all, I think just let's give some colo ur. So we should not look at 100 and 117. We have multiple reactors when we start from the Essential 's part. And each reactor has a certain output that we've been able to design, there are continuous operations. So net -net, what we are seeing is we are with the data analytics and what we are able to gleam out, we are able to have improved utilization without a dollar of capex being spent.
But as is the nature of the deals that some point of time, we would hit the ceiling right until and unless, you augment that capability by putting another capex. So at this point of time, I think we are in a good space, and we are really as to paraphrase, Harsh's word , we're juicing it out. And I think that's really what we will continue to see and where is the sweet spot that we are able to get across this range of assets.
Rohit Nagraj : Right. And just one clarification on this. Is there any further possibility of debottlenecking at these existing assets?
Rajan Venkatesh: So w

hat we have always said in our Mahad setup, both at Unit 1, 4 plus Unit 2, the land bank, we are basically blanked out we have fully utilized assets, as you heard from Harsh, we are also reasonably very well utilized across these assets despite the macro -operating environment. So at this point of time, really, to have large capex, I think there is no possibility, and hence, for us, it's really looking at smarter option at the existing sites, portfolio mixes and others .
And especially when you talk about the specialty in the multipurpose reactors that we have. And then really the big hurray for us is the Dahej project, which comes in with a large land bank, as we have explained in the past, of 85 acres. Our first wave of capex will only cover 20% of the land bank. And then obviously, fluoro -chemical projects at Lote provides even a 50% additional land bank for other ideas to be installed.
Rohit Nagraj : Sure. Fair enough. Thanks for answering all the questions. And best of luck sir.
Rohit Nagraj : Thank you.

Moderator: Thank you, very much. The next question is from the line of Arjun Khanna from Kotak Mahindra Asset Management. Please go ahead.
Arjun Khanna : Thank you sir for taking the questions. First question is, in the opening remarks, you did talk about the impact of the Red Sea situation. I just want to understand what kind of impact would it be? Is it (a) availability of raw material, that's an issue? Secondly, in terms of ability to export or freight cost itself have moved up to a large proportion. What impact do we see from the same in the fourth quarter at this point in time?
Rajan Venkatesh: Arjun I was waiting for somebody to ask that question. So I'm glad you asked it. So when I was giving you this information, I was sharing this at a more macro level. So the elements of cost increasing 2 X to 3X. This is experienced by most market players. Vessel availability is more relevant now because it takes some time before it starts hitting you and the space constraint.
Now specifically speaking about Laxmi, the way we are positioned, especially for our export business of finished goods, the entire Essentials portfolio we have freely negotiated. So this is something we are already able to capture in the pricing and accoun t for. And Specialty is also, obviously, from the learning 's from the COVID period when we had these escalations, these are also hardwired into contracts and formulas.
So that flexibility. So at this point of time, as we look into quarter four where certain of these impacts will come, we are well positioned to navigate through them. And we are also certainly taking more pre -emptive measures when it comes to raw material to secure our supply chain s internally.
Arjun Khanna : Sure. That's good to hear. Sir, the second question is in terms of our cash flow. So we've talked about cash flow from operations of almost INR330 crores in nine months and our EBITDA is substantially lower. So effectively, it means that our working capital cycles have improved. So could you help us which part of it? Is it payables, which have increased to historical levels? Is that the right way to understand thi s?
Tanushree Bagrodia : So Arjun , as I had also mentioned, both on the debtor days and the inventory days there has been a substantial improvement. So from last year to this year, our inventory days have reduced by

more than 10%, right . And our debtor days itself has also reduced by about 12% to 13%. So that's the one large delta. On the creditor days, yes, there has been an improvement because we've been importing a lot more. So yes, the creditor days have increased versus last year but that delta is lower than the delta on these two.
Arjun Khanna : Sure. Fair. That helps. If we look at it more sustainably in FY20 and, say, FY21, we used to run at less than 30 days working capi

tal. Is that the right direction where we are headed? Or is it more in terms of closer to the two months period in terms of the working capital days?
Tanushree Bagrodia : So I think the roughly 30 days net working capital is fairly okay from an operating standp oint. I think higher days comes in, in blips. But on a sustainable basis, operating working capital at 30 days is okay.

Arjun Khanna : Sure. That helps. My final question, sir, is on the R&D for a fluorine chemistry. We had stated once the plant started, we would look at facility, both in India and in Italy. Could you help us with the thought process on that? And what's the progress in setting up these labs? Thank you.
Harshvardhan Goenka : Hi, Arjun, Harsh here. So Arjun, when we move - when we initially conceptualize the Miteni project, we had planned to continue on with the labs at Italy. However, with the entire COVID scenario, we had to change plans and were forced to set up a pilot plant in India to fast track a learni ng process, which then led to us establishing and starting research even before the plant had moved.
So while our Italian colleagues landed up not coming to India, a lot of the transfer of technology and new product research had already have started in India. So we've had a lab now that's fully operational in India. We are expanding on that lab, which will start up in the first quarter of next year in Mumbai. And the piloting facilities have already delivered and we have dispatche d new products to innovate the customers for launches in the future.
Arjun Khanna : Sure. So just to understand then, so we wouldn't be having a lab in Italy at this point in time, and the erstwhile Miteni personnel who we had stated would work with us as consultants, they would be working remotely. Is that the right way of understanding this?
Harshvardhan Goenka : Yes, that's correct.
Arjun Khanna : Sure. Thank you and wishing you all the best.
Harshvardhan Goenka : Thank you, Arjun.
Moderator: Thank you very much. The next question is from the line of Raaj from Arjav Partners . Please go ahead.
Raaj: I wanted to know your outlook for FY'25?
Rajan Venkatesh: I'm looking at my CFO, as a public listed company, whether we can give an outlook for FY'25?
Raaj: No, you can always give us qualitative outlook of the same ?
Tanushree Bagrodia : Quantitatively, we don't give a...
Raaj: Qualitatively. Qualitative outlook , ma'am?
Tanushree Bagrodia : Qualitative, I think if you look at our trajectory for FY'24, right, if you just look at the nine months to nine months, I think it is fair to say that on a volume perspective, we have grown, we have also diversified the product mix, we've also gone ahead and had a better customer approach strategy. And I think those are the elements that we will focus on in FY'25, the other key elements to look at from a business perspective would be our Lote plant coming on stream and revenue starting to come in the second half.

And of course, then this year also, the other thing qualitatively, which is important for the company is to start the construction at Dahej because then that is where with the changes to the financials are also coming from. I will then let Rajan add.
Rajan Venkatesh: So R aaj, I -- in my opening statement, I gave you what is the macro environment and what implications it has for the chemical industry. So from today's perspective, as we look into 2024 as a calendar year, I think it still remains challenging. That would be fai r to say. While the demand has stabilized, that's the important part of the puzzle, but we are still to see the demand pick up happening. And we will continue to steer our businesses across as we have exactly Tanushree just alluded to and as we shared in our performance for

quarter three .
Raaj: Understood. Okay. Thank you.
Rajan Venkatesh: Thank you, Raaj.

Moderator: Thank you very much. That was the last question. I would now like to hand the conference over to management for closing comments.
Rajan Venkatesh: So thank you for all the questions. And I think let me conclude by firstly again thanking the whole Laxmi team. Some of them who are on the call, it's very pleasure and pride to lead this team and especially what makes it fun is in a tougher environment. Whe n things are easy, then you can always play. It's when things are tough, that the true mettle of the team has seen. So again, a big thank you from my side and the whole management team to the Laxmi colleagues. And let me conclude by also saying our hedge product portfolio catering to diverse industries across geographies, ongoing capex to serve our customer needs will all deliver future growth. And we are gearing ourselves by building the muscle to drive this positive change and create long -term value for all stakeholders. With that, thank you, and have a wonderful year ahead.
Moderator: On behalf of Laxmi Organic Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2024

May 28, 2024
Dear Sir / Madam,
Sub: Disclosure under Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligation and Disclosure Requirements) Regulations, 2015 (" Listing Regulations "), we wish to inform you that the Company participated in the investor conference as given below :
Date and time Type of Meeting / Event Location
Thursday, May 23, 2024, at 13 :30
hours (IST). Investor & Analyst Meet to discuss
performance for the quarter and
year ended March 31, 202 4 hosted
by Strategic Growth Advisors Conference Call through dial -in
No Unpublished Price Sensitive Information was shared / discussed in the meeting with the investors .
Further, please see enclosed the transcript of the Investor & Analyst Meet .
We request you to take the above on record.
For Laxmi Organic Industries Limited

____
Aniket Hirpara
Company Secretary and Compliance Officer
Encl.: A/a BSE Limited
Corporate Relationship Department,
1st Floor, New Trading Ring,
Rotunda Building, P. J. Towers,
Dalal Street, Fort,
Mumbai – 400 001
Scrip Code: 543277 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai – 400 051
Trading Symbol: LXCHEM

"Laxmi Organic Industries Limited
Q4 FY '2 4 Earnings Conference Call"
May 23, 202 4

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MANAGEMENT : MR. RAVI GOENKA – CHAIRMAN –LAXMI ORGANIC INDUSTRIES LIMITED
DR. RAJAN VENKATESH – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER –LAXMI ORGANIC INDUSTRIES LIMITED
MS. TANUSHREE BAGRODIA – CHIEF FINANCIAL OFFICER – LAXMI ORGANIC INDUSTRIES LIMITED

MODERATOR : MR. NISHANT DUDHORIA - STRATEGIC GROWTH ADVISORS (INVESTOR RELATION ADVISORS)

Moderator: Ladies and gentlemen, good day, and welcome to the Laxmi Organic Industries Limited Q4 and FY '24 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touch - tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishant Dudhoria from Strategic Growth Advisors. Thank you, and over to you, sir.

Nishant Dudhoria: Good afternoon, everyone, and thank you for joining on the Q4 and FY '24 Earnings Conference Call for Laxmi Organic Industries Limited. We have with us on the call Mr. Ravi Goenka, Chairman; Dr. Rajan Venkatesh, MD and CEO; Ms. Tanushree Bagrodia, the CFO. The company has uploaded its financial results and investor presentation on company's website and stock exchanges. I hope everybody had an opportunity to go through the same. We will begin the call with opening commentary by the management followed by Q&A session.

Before we begin, I would like to point out that this conference may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectation s of the company as on the date of this call. These statements do not guarantee the future performance of the company, and it may involve risks and uncertainties that are difficult to predict.

I would now like to invite Mr. Ravi Goenka, Chairman for Laxmi Organic Industries Limited, to give his opening remarks. Thank you, and over to you, Mr. Goenka.

Ravi Goenka: Thank you very much, Nishant. Dear investors, esteemed colleagues and partners. I hope this call finds you all in good health and spirits. As you may have seen, the global chemical sector has seen significant headwinds in the last 1 year. Despite the challenges that the summer heat, the election fever and the business climate have brought, I'm pleased to announce that our company has shown re markable resilience and has delivered results that surpassed industry trends.

This achievement is the testament to our conscious endeavour to create a team which is empowered and committed to driving innovation, efficiency and excellence in all our operations under the able leadership of Dr. Rajan Venkatesh, our Managing Director and CEO, who has actually now completed 1 year in our company. He has played a pivotal role in achieving this performance and transitioned our company to an extremely outcome -driven organization.

Moreover, I'm delighted to welcome Mr. Arun Todarwal as a member of our Board. Apart from being a highly reputed practicing Charter ed Accountant , he brings with him an extensive

experience of being on highly credible boards, such as Welspun Corp, PTC Cables, Bharat Foxconn, Nesco, etc . His addition to our Board underscores our commitment to fostering a governance structure that prioritizes best -in-class ethos, the right culture and professionalism, alongside delivering robust financial results. Thank you once again for your unwavering suppor t.

And we will now proceed with a detailed discussion on our annual performance and the strategic initiatives that will drive our future growth. Over to you, Rajan.

Rajan Venkatesh: Thank you, Ravi. Namaskaram from my side. This time, I'm even more elated for 2 reasons. One is I got to vote after quite a

few years. So I hope this goes a long way to nation building. And secondly, as Ravi nicely said, completed 1 year in the job. So it' s also a big thank you to my team to manage my eccentricities. As for 1 year, there's a lot to be spoken about, but I think I'll try to keep it in focus, otherwise Tanushree will certainly nudge me in the direction.

I think so let's start with macros , you heard that from Ravi. Certainly, chemicals has not seen the best of the year. Even if you talk beyond the chemical space, you talked about the inflation which has been accompanying us for quite a few quarters, expectation was the Fed toward cut it rates from the current 5.5% by maybe 4 times in the year. That's certainly not yet manifested. So all of that is an important, I would say, placeholder to bear in mind.

The second one, which we also shared last time, is with the entire geopolitics. The way they are lining up with the Red Sea crisis unfortunately not yet abating, we are certainly seeing pains from that impacting the global shipping network with availabilit y, cost and time being impacted.

Coming closer to the chemical industry, I think the big mover was certainly China. If you see since the last quarter, we had this conversation at least we do not hear a big change in the macro environment in China or the micro environment when it comes down to chemicals ., Referring then to Europe, which is another important player in the chemical space , natural gas pricing continues to be higher than the pre Ukraine -Russia levels, and that's why high cost lower prices and lower demand certainly makes it more challenging. and there's an excellent paper from SFIC

which captures the mood of the European economy.
North America certainly has the advantage of more preferential feedstocks and that's where we see demand in North America continuing to be better as compared to other regions. India continues to be, I would say, a positive lighthouse. We've had domestic demand in the chemical space being good last year in relation to the peers that I just spoke about, and we are also seeing that continue into quarter 1.
So that's the macro broadly. Then coming closer to the feedstocks, and we always talk about 2 key feedstocks. One is ethanol and other is acetic acid. I was looking through the previous last quarter report, and I'm glad that the numbers that we sh ared were in line with what we landed up, both these feedstocks. So in the SDS, that's ethanol, we were in the range of about $720 to $750, and that is what we are also anticipating will continue. This is dollars per metric ton I'm referring to. And when we talk a bout acetic acid assets, again, from a supply side, there is enough and more capacity out there. We saw in quarter 4, the prices like we had anticipated, were in the

$430 to $450 range, and that is what we are also anticipating will persist into quarter 1 of this year. So those are the feedstocks.
Then comes down to the really industry and our customer lens, and let me call out the big ones. I think, again, one big takeaway, and I hope you've had a chance to see the presentation we uploaded, one of the strengths of Laxmi is our diversified industrie s that we are serving, and also diversified customer base, both domestic and international that we are serving, which I believe is one lever which is keeping us in a good state.
Coming to the specific industry, and I'll call out the key ones. The coatings where we go in with our know -how of formulations and solutions, I think as we also shared last time, we were expecting our quarter 4, which was the quarter 1 for the global innov ators, to be better, and that's exactly what we saw. And we also see that now for their quarter 2 and also our quarter 1 now, we are seeing that demand momentum continuing in the coating space.
In the pigment space where we are al

so a key supplier, we have certainly seen demand improving
into quarter 1 of the international innovators domestically and also globally. And we are also certainly well positioned to support them, and that's the same tre nd when we see into quarter 1.
In the pharma, if you remember last time around, a lot of conversations with customers was the domestic demand was stable, but they were facing challenges on exports. What we are seeing reflected is, yes, domestic continues to be stable, exports are improv ing, but pricing for their end products continue to be under pressure.
When we come down to the agro, the pronounced conversation in the course of last financial year on inventory is certainly not as pronounced. This is something we also shared in our last con call , but the topic is there is that demand pickup and also the competitive intensity for the end products, for their end products continues to be under pressure. So that's clearly an area we are continuing to monitor, but we are well positioned with all the agro innovators.
Packaging, another important segment that we serve our solutions to. I think reflecting on quarter 4, after the seasonal uptick that you normally see during the Diwali period, especially domestically, we saw the demand calibrating to the normal levels, and that's what we saw in quarter 4 and also as we enter into quarter 1. So that gives you, I would say, a landscape when we talk about customers.
When we talk about competition, and the lens we have always taken is global competition here, not only domestic, we really are able to hold our own. Our results certainly are a testimony that as Laxmi, we are able to hold our own share in the current competitive landscape. We certainly see China not bringing in "material" into India, especially into our essential space.
Where we tend to see them is more in the export areas, but our lens is also wide the narrative of overcapacities in China. Given that China's demand remains very muted post COVID, I think we are seeing that maybe the prices again this is our lens that prices may have plateaued out, but this is again a wait and watch, but that's the lens we are hearing, both when we speak to the market, customers and all the other market players.

Then coming closer to home projects, and I think I'm sure top of the mind is the project which is also close to our heart, our fluoro intermed iates, where we have now nestled it in what we say site three , that is our Lote new setup. We were very transparent to say that project has got an escalation to INR550 crores cost to complete, and I'm very glad to report that we have achieved our revised time lines, both on a cost and also the mechanical completion of majority of the assets there.

So that focus is the ramp -up will happen in FY '25 , that will be our first full year of ramp -up, and FY '26 and '27 the 3-year period still holds, and we are very happy to really bring that on board as part of the Laxmi family and actually bring in a new range of products from a technology and a market lens to our customers.

We've spoken about the first wins already last time, first product qualification, qualification for new agro intermediates, signing a new contract with an MNC with an adjacent technology beyond what we had purchased. And I think the new update we would lik e to provide is we dispatched on -spec product to a key customer in quarter 4 of FY '24. So that keeps us in good stead and gives us confidence as we take the important steps in this journey of ours.

The other very important project is Dahej, which is now site 4 from our lens. So we have done a bit of a site rebranding, as you can guess. I think we have what we parked with you is that we are working very diligently to receive the relevant approvals. And I think we have received the first round of relevant approvals. Tha

t is the inorganic CTE, which will basically enable us to start construction. We also had the unique privilege do to the Bhumi Pujan on the auspicious day of Akshaya Tritiya, which was 10th of May, I think. ,so hopefully, the stars are aligned and we are really embarking on a good journey for us for years to come from the Dahej lens.

Now very quickly, also then reflecting back over the last 1 year , again, I gave a lot of kudos to my team to manage my style and my eccentricities, but again, on a more stronger note, we really took a lot of focus. What all did we do? We focused on our strategy. So what that employed was, what is the game we play?

What is the strategic relevant markets we are actually active in and want to be active in? What is our right to win? We did an excellent cost benchmarking. We spoke to customers. We really redefine our business models from a lean and reliable to a standard package to a fully customized solution provider. And that's all we said, we are ‘Geared to win ’ and we are ‘Geared for Growth’. That's how we set up our organization at Essentials and Specialties.

We are focused on talent, and talent while is a broader landscape. We really one of our key focus was bringing in more gender diversity, more female talent. I'm very glad to reflect that today, as we speak, 8% of our workforce at Laxmi are female employees. And a big chunk of that jump has really come in our manufacturing, not in RHO. And actually, and as we very continuously discuss in our organization, attraction is only the first part in a longer journey. Providing the ecosystem and retaining this talent is going to be an all important element which we are committed to.

Culture, I think, really, we are focusing a lot more on leading indicators in every gamut of what we are operating, and more importantly, our culture, as they say, culture starts from the top. So me and my leadership team are also really working as one A t eam. And I can just call out one thing which we all agreed to as a leadership. As we embark, there will always be topics where we may have disagreements, we may have different views. We said, what we do is we see it, we say it and we fix it, and we do tha t in 24 hours. So it starts with us, and I believe that will really percolate into the organization.

And I would say another element was execution excellence. We spoke about that pretty extensively in the course of last year where we had project overruns and also operational excellence, which has really provided us great dividends into the previous financial year, and will continue to p rovide us dividends into the years ahead. I must say I'm very glad to have a new member of my leadership team, Mr. Salil Mukundan. He comes with 35 years of very strong experience, and I always jokingly tell Salil, I hope you read the fine print . There's a lot of things we are expecting of him, and we'll support him to get us going in the right direction.

We have also since this is the end of the year, we've also taken the liberty to really share with all of you the CSR thrust areas that we have been investing in Laxmi for years on the thematics of sustainability in the ecosystems that we operate, he alth education and water. I do hope you've had the time to go through that. We are super proud and we remain committed to embarking on this.

Last but not least, I cannot stop by concluding what gives me the biggest thrill. Apart from the fact that we have delivered robust volume, profitable growth, I think what stands out for me is the cash flow from operations. Really in a year where we are in a capex cycle to be in the range of INR500 crores , close to INR600 crores is something that is very, very credible and will keep

us in a good stead.
As we have started the financial thing, that's a great t o segue for me to pass it on to Tanushree.
Tanushree

, the floor is all yours.
Tanushree Bagrodia: Thank you, Rajan. Ladies and gentlemen, thank you for joining us this afternoon. As Rajan mentioned, financial year 2024 for Laxmi Organic Industries was a year of focusing on our strategic priorities, and top of that was operational and execution excellen ce. The operational excellence focus has resulted in the company increasing the volumes dispatched consistently quarter -on-quarter throughout the year. For quarter 4 of financial year '24, the overall volume dispatched increased by 14%, while for the quarter, on a year -on-year basis, the volumes increased by 23%. These additional volumes come without capacity additions in the fiscal.
In addition to the volume increase, the product mix for the company has also improved. In the Essentials BU, the share of new products on a larger volume has increased 2% quarter -on-quarter. And in the Specialties BU, the improved product mix has resulted in continued robust growth in top and bottom line. These efforts have resulted in the total income for the stand -alone entity for quarter 4 of financial year '24 at INR826 crores, which is 18% higher quarter -on-quarter and 15% higher year -on-year for the quarter.

Operational excellence and the improved product mix have resulted in a higher gross margin for the quarter at 36% versus 32% in quarter 3 of FY '24. The quarterly EBITDA at INR106 crores is 50% higher quarter -on-quarter and 44% higher year -on-year for the quarter.
The company has filed an insurance claim pertaining to the floods in July 2021 at its site 2 in Mahad. The stock portion of the claim and the loss of profit was settled in Q4 FY '24. The loss of profit has increased the EBITDA by INR10 crores. After adjusting for the loss of profit impact, the growth in the EBITDA is 36% quarter -on-quarter and 31% Y -o-Y for the quarter.
Finance costs for the stand -alone entity is 36% lower quarter -on-quarter and 50% lower year -on-year, driven by higher imports. The resulting profit after tax for the stand -alone entity for the quarter at INR55 crores is 41% higher quarter -on-quarter and 112% higher year -on-year for the quarter. The stand -alone entity for the full year FY '24 for the top line at INR2,873 crores, which is 6% higher than the full year of financial year 2023. This top line increase is driven by higher volume sales in both BUs. Further, the coal price reduction has resulted in approximately INR25 crores savings on power and fuel, despite the higher volumes produced.
Other expenses also have seen INR6 crores improvement, which is largely driven by an improvement in the freight costs year -on-year. The combination of these factors has resulted in the stand -alone entity having a full year EBITDA at INR319 crores, which is 17% higher than FY '23.
Once again, adjusting for the loss of profit impact, the EBITDA increase year -on-year for the stand -alone entity is 13.5% year -on-year. The depreciation has increased given the full year capitalization for the 2 projects at Site 2 in Mahad that came onstre am in Q3 and Q4 for FY '23. The finance costs has remained almost flat, leading to a PAT of INR156 crores, which is 16% higher versus FY '23. The payable days has improved due to higher imports. The inflow from insurance claim and the optimized working ca pital has generated INR560 crores of cash flow from operations for the stand -alone entity, which is 175% higher year -on-year.
Coming to the consolidated results , On a consolidated basis, the top line of INR800 crores for quarter 4 of FY '24 is 14% higher quarter -on-quarter and about 9% higher year -on-year for the quarter. Gross margin at a consolidated level is 37% for the quarter versus 31% for quarter 3 of FY '24 and 34% for quarter 4 of FY '23.
The EBITDA at INR98 crores is 70% higher quarter -on-quarter and 52% higher year -on-year.

Adjusted for the loss of profit impact, the consolidated EBITDA of INR88 crores is 53% higher quarter -on-quarter and 36% higher year -on-year for the quarter. The depreciation on a consolidated basis has increased quarter -on-quarter given the capitalization in the subsidiary. The consolidated PAT for the quarter at INR44 crores is 64% higher quarter -on-quarter and 83% higher year -on-year for the quarter.
Total income of INR2,893 crores at a consolidated level for the company is a growth of 3% year -on-year, largely driven by the performance of the stand -alone entity. While the gross profit margin remained flat year -on-year, the coal price reduction of INR23 crores and a reduction of other expenses by INR21 crores has led to an increase in the EBITDA. At INR284 crores, the

consolidated EBITDA is 11% higher year -on-year, and adjusted for loss of profit, the EBITDA is 7% higher year -on-year.
Annual depreciation at a consolidated level has increased by INR34 crores, largely due to the subsidiary capitalization in FY '24, leading to a PAT of INR120 crores, which is in line with the PAT of FY '23, which was at INR124 crores.
Active inventory and receivables management has led to a release of working capital at the group level. And thus, the cash flow from operations at a group level for the financial year FY '24 is at INR598 crores, 140% higher year -on-year. This improvement in the cash flow and operations, as Rajan mentioned, supports the company in our growth capex endeavour and ensure that we maintain our commitment to a prudent debt -to-equity ratio.
Given the strong cash flow from operations and the robust profitability, the Board has recommended a dividend of 30% of face value per share, with a total payout of INR16.5 crores.
Lastly, the Board has approved the merger of the wholly -owned subsidiary at Lote, Yellowstone Fine Chemicals Private Limited, into Laxmi Organic Industries. Not only will this merger be more efficient from a capital funding and asset utilizati on perspective, but also rationalize the corporate structure, resulting in savings of a dministrative and compliance costs.
With this, I hand over to Nishant.
Nishant Dudhoria: Thank you. We may now begin with the Q&A session.
Moderator: The first question is from the line of Ankur Periwal from Axis Capital.
Ankur Periwal: Congratulations on a decent set of performance. First question on the AI part. How has been the volume growth in FY '24? And how much further capacity headroom do we have in terms of volume and the growth here?
Tanushree Bagrodia: Ankur, Tanushree here. Ankur, the volumes on our Essentials portfolio has grown about 20% year-on-year. And as we've stated in the past, we continue the debottlenecking exercise, and we can continue to debottleneck to say, about 5% annually. The continuous operational excellence program that we have running focuses majorly on these aspects. and hence, the volume increase comes without any additional capitalization.
Ankur Periwal: Correct. And this 20% volume growth is for the full year, right, not for the quarter?
Tanushree Bagrodia: It is for the full year. Quarter -on-quarter, like we mentioned, it is roughly about 14%.
Ankur Periwal: Okay. Secondly, on the Specialty Intermediate business, how has been the customer feedback there? You did allude towards slowdown in agro overall as a market. But if you can share some thoughts there in terms of how the demand outlook is across the existin g as well as the older products?
Rajan Venkatesh: So the first is, I think our results speak for itself. The fact that we are able to grow volumes from our asset base enable to place them with our customers, I think I hope that is perceived as a real

testimony to our robustness. So as we also have shared

in the past, we are nicely pegged and
hedged when we come into our Specialties segment. So we have about a 25%, give or take, exposure to agro. We have 25% to pharma. We have 25% to what we say is pigm ent solutions, and we have 25% exposure to industrial formulators. And under industrial formulators is the whole case segment, coating segment.
So I think that is what is giving us, I would say, the leverage to play this. We are consciously finding the right balance and also the customer mix across these segments to move along. I hope I gave you insight into what we are hearing from our customers in the various segments. So I'm wondering would you like me to repeat that specifically, but I thought I'd given you a flavour of what we saw and what we are expecting moving ahead from the key segments that we are serving.
Ankur Periwal: Sure, sure. Just a follow -up on that. In terms of demand upt ake, because this quarter, we have seen decent growth, especially in SI business, both on revenue as well as on margin front. So how does one look at it? Is there a seasonality handle to it? Or broadly, this is the broader run rate that should continue going ahead in FY '25 as well?
Tanushree Bagrodia: So I'm going to -- let me just give you some statistics, right? So I think we've shared that and it's there on the presentation that the revenue from the Specialties BU has increased 15% year -on-year. Even if you see quarter -on-quarter, there has been a ro bust growth in the sales. Even year -on-year for the quarter, there has been accrued. So the endeavour is that we continue to grow this business in line with keeping a diversified customer and industry base.

Rajan Venkatesh: And to add to that, the capex that we have earmarked for Dahej is certainly an expansion of our capability for the keeping value chains, which will also keep us in good stead to further penetrate these segments and expand.
Moderator: The next question is from the line of Ronak Chheda from Awriga Capital.
Ronak Chheda: Congratulations on the results. My first question is broadly on the industry, where we've been adding a significant capex over the next 2 years. And when we hear your peers in the domestic market, even they are putting up a significant capex . So how should we think of the industry capacity? Will we have a period where there will be an overcapacity? Do we see that as a risk? That's the first question.
Rajan Venkatesh: Yes. First and foremost, as I have always shared, and I think I have the unique privilege of coming with the experience of running a global business and not necessarily running only an India business or an Indian company, and I think that's what gives me a n interesting thing. It's a fair question. I think, as we have always said, first and foremost, independent of capacities, overcapacities, one needs to clearly understand what is one's right to win. And that comes from your technology edge and that comes from your cost positioning.
And you will see that and you're experiencing that as we speak, right, in a product like ethyl acetate, if you look at the landscape of suppliers just domestically, right, you will find a plethora

of up to 15 of them, many of them having subscale capacities and as you see the margins evolving, you see some of them being not competitive and actually turning down their assets. So I think that will be always the lens. Even today, as we speak in certain segments now, if you take a global lens, there are especially even more upstream, I'm talking about crackers, polyolefins, mono ethylene glycol, a lot of those value chains, we will certainly we already see overcapacity.
And that is why prices are suppressed as we speak. So hence, for us, as Laxmi, and I can really talk only about Laxmi is, when we are being very, very clear, do we have a right to win. And when I talk about

the right to win is really from a cost positionin g perspective, and our right to win is are we clearly serving our customers' needs. So that's what is giving us the comfort that we are well positioned to ride this wave, and that's why we are investing.
Ronak Chheda: Understood. That's a fair assessment. Just on global opportunity, just from an exports point of view, where you would be competing directly with the Chinese peers, right, how are you seeing competitive intensity largely in the 4 subsegments which we've tal ked about? Where do you see just from this right -to-win lens where we could have a significant play?
Rajan Venkatesh: I think so let's stay with Essentials because the business model is distinctly different, right? And I know the colleague from Axis was still referring to AI and SI. I think they have been associated with us for a long time. So we call it Essentials and Specialty. So in the lens of Essentials, we were always having a good exposure to exports and that's also seen in the presentation that we highlighted. And if you look at the previous financial year, we consciously took a step back because we found the demand shrinking.
And when you see the demand shrinking, you find people at times taking arbitrary decisions. We felt it did not make business sense. But in quarter 4, we have seen also exports kicking in. So in our Essentials portfolio, we have 30% of our business. If you look back historically, and if you see the run rate is what we will strive for and as primarily ethyl acetate to begin with as a key product. So that already, I hope, gives you a sense of what is our right to win.
And secondly, also the fact that despite certain overcapacities in China, you do not see imports of ethyl acetate coming into India is I also believe a testimony to our spend to operate and right to win and exist in this market. Specialty is a very different ball game . It is all about what is the functionality our products are offering.
So in fact, we are very glad to share also that in one part of our Specialty portfolio, we are serving Chinese customers. While the narration is always China coming here, that is also going to show the differentiated and strength in certain parts of our portfolio in our Specialties, that is pro viding us again a right to win.
And the prices again, it is very much on the Specialties space as we have also shown you in the triangle, the topic from customers is reliability in supply, especially with also the Red Sea crisis and others. Again, the sense of having not just in time, but just in case in certain segments of the industry is popping up. We will need to see how that evolves. And the topic is more about the

functionality and are we able to support their requirements. So that's how we see at this point of time between the Essentials and Specialty, and that is what you also see getting reflected in our share of domestic and international.
Moderator: The next question is from the line of Nitesh Dhoot from Dolat Capital.
Nitesh Dhoot: My first question is on the fluorochemicals. So how do you see the fluorochemical ramp -up in FY '25? You've signed a contract with an MNC for delivery in FY '25. So if you could just elaborate the size of the contract. And on the duration, is it only FY '25 or beyond the same?
Rajan Venkatesh: Nitesh, thanks for the question. So let me first address this broadly. So the asset that we have established in Lote, what we have always mentioned is we will take 3 years to ramp up that facility, and that will provide us a peak revenue of INR200 crores. The effort in the last financial year was to really bring this project in control, which we have done, and we are very happy and a big shout out to the team who has been an enabler to make that happen.
What has this has also provided is that now customers are viewing us as a very

credible player.
And hence, that's where we got an opportunity, which we called out last time, that with another MNC which is an adjacent technolog y where we have signed it off. I must confess, I would like to keep the details of that at bay.
I hope you can respect that because we are still in the competitive landscape, and I do not want to throw out too much there. But I think the 2 elements what I want to talk with you, our line of sight for the INR200 crores remains in good stead with the mechanical completion of all the key assets that we have done at our current noted sites and new opportunities are coming our way.
And that's how I believe you should view it.
Nitesh Dhoot: Sure, sir. Sir, on the capitalization for FY '24, roughly around INR270 crores, INR275 crores. So of this, how much would be fluorochemicals? And what will be the remaining part, if you could just share?
Tanushree Bagrodia: So Nitesh, we capitalized about INR190 crores at YFCPL or in the subsidiary. The rest, capitalization s hows , like I said, from the 2 large projects in at site 2 that got capitalized in Q3 and Q4 of FY '23 and then there are smaller capitalizations that have flown through. If you would want a very detailed breakdown of that, happy to sit with you and give you that.
Nitesh Dhoot: Sure. Just one last question, if I may. On the working capital side, the improvement was primarily led by the payable days. So there's a sharp increase in the payable days. If you could just elaborate on the same and also on whether such elevated payable days would be sustainable? Or will it come back to the normal levels in due course?
Tanushree Bagrodia: So that's a very fair question, Nitesh. If you look at FY '23, right, in FY '23, what was happening is that a lot of our purchase, especially for ethanol, was domestic. And in the domestic landscape, when we purchase ethanol, we'll end up paying advance on and we borrow working capital.

While when we import, we buy on an LC basis. Now what has happened is that in FY '24, not only had we bought almost about 95% to 97% of ethanol as imports, but we've also consciously realized that unless there's a major price arbitrage, it may make sense f or us to continue to import. As that trend continues, our payable days will continue to be, as you see currently.
Having said that, it will only be complete to say that while we do see this impact over a period once this LC unwinds the sale, the payable days does come down. So while over a period, you will see better cash flows from operations, there will be times when they are very high and then they are normal. So we've got to l ook at this from an average perspective and not at a period of time perspective.
Moderator: The next question is from the line of Aryan Bhakoo from Mehta Equity.
Aryan Bhakoo : First of all, congrats on good set of numbers. Actually, we have just added your company to our watchlist. So can you just help me understand the ethyl acetate business, like what are the margins that are the in this business and the revenue contribution?
Rajan Venkatesh: Let me take that first. So I think one is, I would say -- as I said, please give us some right to exist also. If we keep everything on the open, that makes it too easy for competitors, right? So I think -- so the ethyl acetate, as we said, again, let's sta rt with the business model. When we have spoken to customers, what are customers seeking of us as a reliable supplier? One, they talk about they want predictability in supply chain guarantee. And the second element is they talk about compe titiveness in pricing. The third element they also remind us is their demand is growing. So they are also looking at a partner who can support their growth. So I think that is going to be the first thesis.
The second one, as in a lean and reliable business, which you might wel

I know, is you require
an end -to-end agility right from your buy pattern to the way you are looking at cost positioning, your technology differentiation, and that's what gives you the r ight to say that even in certain times, and I gave this example in the call, that why we do not see any Chinese material coming into the Indian market is a case in point. So you need to understand what is the right to win when you are playing in this mark et.
The segments we are going to, it's again very diversified. It's part of our presentation and the big call-outs like packaging is there you've got agro, you've got pha rma, you've got the perfumery, so it's coating. So you've got such a very large diversified segment, which is also giving us from an accessible market or a strategic relevant market, a big scope to play with, both domestically and we are also exporting. We are the largest exporter from India o f ethyl acetate, as one specific example.
Tanushree Bagrodia: Just to add to that, right, I think we've been stating this for the last few quarters that on our Essentials portfolio, we want to diversify our product profile. And that's something that we've achieved. Also, I think if you look at our past presentations, you will see that in the Essentials BU, we have said that we will look at targeting a 3 to 5x asset turn and an 8% to 12% EBITDA margin.

Aryan Bhakoo : Right. Okay. And I see the ethanol is the main raw material for ethyl acetate, right. And so what has been the trend of ethanol in the last few years and what the future holds, like just your comment on it?
Rajan Venkatesh: Sorry, can you just repeat your question, please?
Aryan Bhakoo : Sure, sure. I'm saying, ethanol is the main raw material for ethyl acetate, right? So what's been the impact of ethanol in the past few years on this and what the future holds? Recall this is something that can have a big uptick in your business, right?
Rajan Venkatesh: No. So I think one needs to understand again, when you're running a business like lean and reliable, again, as I said, ethanol, for more clarification, ethanol is not the only raw material. Acetic acid is as important of raw material. You've always got the energy cost that you heard from Tanushree.
The important element is independent of how prices are moving on the RM side is what is the flexibility you have to pass them through. That is the criticality. So are you having the best buy side? And are you having really the flexibility in the sale side. And the way we have designed, I think we have already brought in that flexibility. And that's why you can really look back at history, and we have also shared in the July quarter 3 '24 the history there and maybe you can have a reference to that one.
Aryan Bhakoo : Okay. That's really helpful. Just the last point. What's the capacity that we are looking for in the next financial year? And if you can share, what's the specific capacity for ethyl acetate?
Tanushree Bagrodia: We don't share specific capacity. And as an organization, we don't give guidance. And as you have just started following our company, if you have any more questions, our request is you get in touch with our IR colleagues at SGA and they will help you understand a little more.
Moderator: Ladies and gentlemen, this will be the last question for today, which is from the line of Sanjeev Damani from SKD Consulting.
Sanjeev Damani: Actually, I had a lot of questions, but one very good direction has been given that I can refer to IRA, I mean Investor Relations agency for more details. Actually, one clarification I would like to see. Today also, are we import dependent for certain prod ucts that we manufacture or as raw material for our final product? Or are we fully able to procure locally all our raw materials?
Tanushree Bagrodia: Sir, as we've discussed, we do import, and

we do plan to continue to import our major raw
materials.
Sanjeev Damani: But are the products that we are consuming as raw materials imported? Are they available in India or we have to only import them?
Rajan Venkatesh: So I think it's a very important element. Thanks for the question again. But the very important element, as I said, is the excellence in end -to-end steering. What we will always look for is various economy of scale and competitiveness. In India today, for many of these key building blocks, we do not have economy of scale capacities. Just to give you an example, Celanese,

which is one of the largest producers of acetic acid, recently opened up a new facility of 1.2

million metric ton capacity in North America. The capacities in India are 1/10 of that. So I think so for us, the lens is always to be from -- at the end of the day, we want to be competitive and support our customers. So we need to find the right levers to make that happen.
Sanjeev Damani: Agree, sir. I mean as such available here , but not at competitive prices.
Rajan Venkatesh: and not at the scale.
Sanjeev Damani: Right, right, right. These days the prices of acetic acid and all have gone down. And one word I have heard is ethanol. So ethanol is the one which is being mixed with the petrol, that is also our raw material or it is some other product, sir?
Rajan Venkatesh: So there are various grades there. So you're correct. So there is a percentage which goes into fuel blending, but there is also a percentage that comes into the consumer side and there's a percentage that goes into the industry side.
Sanjeev Damani: Okay. So we are importing ethanol also or we are procuring...
Rajan Venkatesh: Yes. So we are primarily importing. So if you specifically talk about FY '24, as you heard from Tanushree, a big chunk was imported. We, in fact, run two facility but that's a smaller part of our captive. Majority is procured from the open market.
Sanjeev Damani: Okay. Sir, if I can understand Essentials, when you use the word, so is this a chemical name or we have given this name to our product?
Rajan Venkatesh: So Essentials is not a chemical name. Essentials is basically the business unit. And I would request if you could refer to our July FY '24 presentation, you will get more insights of how we have defined our 2 BUs at Essentials and Specialties. These are re ally coming from customer interaction models. And that's how we really bucket our offerings in both these segments as Essentials and Specialties.
Moderator: Ladies and gentlemen, as that was the last question for today, I would now like to hand the conference over to the management for closing comments. Over to you.
Rajan Venkatesh: Thank you. So I think -- thanks a lot for joining in. Again, let me, first and foremost, conclude a few things. One is healthy cash flow from operations at close to about INR600 crores for FY '25 will fund our growth projects. Our hedged product portfolio catering to diverse industries across geographies. Ongoing capex to serve our customer needs will all deliver future growth. With this, we are 'Geared to win ' and 'Geared for growth ' and remain committed to create long -term value for all our stakeholders.
At this point of time, I would also like to call out our customers for valuing us, our shareholders for trusting us, my team for their commitment, our communities where we operate for working with us, and last but not the least, the Board for their unwavering support. With that, thank you all. Have a great day ahead.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Laxmi Organic Industries Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2024

August 2 , 2024

Dear Sir / Madam,
Sub: Disclosure under Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligation and Disclosure Requirements) Regulations, 2015 (“ Listing Regulations ”), we wish to inform you that the Company participated in the investor conference as given below :
Date and time Type of Meeting / Event Location
July 29 , 2024 , at 14.30 hours
onwards Investor & Analyst Meet to discuss
performance for the quarter
ended June 30, 202 4 hosted by
Strategic Growth Advisors Conference Call through dial -in

No Unpublished Price Sensitive Information was shared / discussed in the meeting with the investors .
Further, please see enclosed the transcript of the Investor Call for Q 1FY2 5.
We request you to take the above on record.
For Laxmi Organic Industries Limited

____
Aniket Hirpara
Company Secretary and Compliance Officer

Encl.: A/a

BSE Limited
Corporate Relationship Department,
1st Floor, New Trading Ring,
Rotunda Building, P. J. Towers,
Dalal Street, Fort,
Mumbai – 400 001
Scrip Code: 543277 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai – 400 051
Trading Symbol: LXCHEM

“Laxmi Organic Industries Limited
Q1 FY'2 5 Earnings Conference Call”
July 29, 202 4
E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 2 9th July 2024 will prevail.

MANAGEMENT : DR. RAJAN VENKATESH – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – LAXMI ORGANIC
INDUSTRIES LIMITED
MR. HARSHVARDHAN GOENKA – EXECUTIVE
DIRECTOR – LAXMI ORGANIC INDUSTRIES LIMITED
MS. TANUSHREE BAGRODIA – CHIEF FINANCIAL
OFFICER – LAXMI ORGANIC INDUSTRIES LIMITED

MODERATOR : MR. NISHANT DUDHORIA – STRATEGIC GROWTH
ADVISORS (INVESTOR RELATION ADVISORS)

Moderator: Ladies and gentlemen, good day, and welcome to Laxmi Organic Industries Limited Q1 FY'25 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectation of the company as on

date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Nishant Dudhoria, IR Representative. Thank you, and over to you, sir.
Nishant Dudhoria : Good afternoon, everyone, and thank you for joining us on the Q1 FY'25 Earnings Conference Call for Laxmi Organic Industries Limited. We have with us on the call Mr. Harsh Goenka, Executive Director; Dr. Rajan Venkatesh, MD and CEO; and Ms. Tanushree Bagrodia, the CFO. The company has uploaded its financial results and investor presentation on company's website and stock exchanges, I hope everybody had an opportunity to go through the same. We will begin the call with opening commentary by the management followed by Q&A session.
Before we begin, I would like to point out that this conference call may contain forward - looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements do not guarantee the future performance of the company, and it may involve risks and uncertainties that are difficult to predict.
I would now like to invite Mr. Rajan Venkatesh, the MD and CEO for Laxmi Organic Industries Limited, to give his opening remarks. Thank you, and over to you, Rajan.
Rajan Venkatesh : Thank you. Namaskaram from my side and a very, very good afternoon. Today, we said, let's mix it up. We've been talking over the last 12 months with you guys about the way we have been actually panning our strategy. So we said we will divide today's call in two buckets. The first bucket is we will give you a little more granularity and what you have been seeking of us on our financial numbers from FY'24 to FY'28. We have uploaded the presentation so you can also please refer to that.
And secondly, we will also obviously provide you more granularity and reflections of our Q1 performance. So let's get the ball rolling. So now I'm referring to the slide deck. So please also refer to that at your computer or iPad or whatever device you're using. Why do we believe we are geared to win?
I think Laxmi's strength on gear to win is, I would say, based on two key elements. One is our leadership, cost and technology leadership, market leadership, we are top 3 in essentials, excluding China and top 5 in specialties globally, and we are the partner of choice for our customers. What are we leveraging? We are leveraging that we've absorbed and scaled up best - in-class technologies in the past.

We have an unleveraged balance sheet which keeps us ready to invest. We have large brownfield sites, which are open for capex . You guys know the sites I'm referring to , Lote and Dahej. We have a credible Board and an experienced management team, which is steering this company and also, as importantly, we have a very strong integrated safety and EHS program, which keeps us in good stead.
So linked to that, what are our ambitions? We will continue to use technology and cost leadership to grow and diversify the product portfolio. We aspire and have the ambition to be top 5 in all the segments globally that we are active in, and we will continue to have 20% of revenues impacting our Specialties P&L from products launched in the last five years.
Now if you move to Slide 17. This is also a familiar slide, differentiated financial steering. In Essentials, we have

different technology platforms as compared to Specialties and the targeted financial KPIs for Essentials is we will, for every dollar invested, we will focus on asset turns 3 to 5, EBITDA margins of 8 % to 12 % and for our Specialt ies segment , for every dollar invested asset turns of 1 to 2 and EBITDA margins of 20% to 25%, which then ensures that at an enterprise level, we will deliver a ROCE of 20%.
We have also shared in the past across multiple cycles, if you refer to that slide, we have

delivered ROCE of 20%. So that's what gives us the confidence, the ambition and the energy to go beyond.
Now referring to Slide 18. What we are calling out are the key highlights and our ambition moving ahead, linked to what I shared . So key highlights, our investment is about INR11,000 million or INR1,100 crores. With this, basically, this is from a period of FY'24 to FY'28. That's the line of sight and with this happening, we basically have the ambition to double the revenues from where we closed on FY'24, triple our EBITDA and as importantly, increase and double our ROCE from the 10% where we closed out in FY'24 to 20% in FY'28.
Now if you go closer, Essentials, the strategy in Essentials and our right to win. The 2 key words I want to leave you with, go deeper, go broader. In our existing portfolio, we want to retain market share, grow exports and by continuously focusing on operational excellence, double -clicking on the range of portfolios where we are already strong in.
At the same time, we are focusing on portfolio expansion. By that, derisking of the business of the existing portfolio and also as importantly, being future -ready with bio -based products.
How do we watch our right to win. Strategic locations close to customers, Mahad, everybody knows that the genesis of Laxmi and we are very proud of that. Now with Dahej coming up, certainly, that provides us a very, very interesting platform also for Essentials, as we have called out before, to serve Gujarat and the North markets.
Cost leadership through scale, be it raw materials, be it logistics or operational efficiencies, the commodity business management, which is close to Laxmi's heart with more than 35 years of experience and under the current guidance of Mr. Jitendra Agarwal, who I guess some of you know or you will come to know sooner rather than later, extending our existing right -to-win, differentiated customer experience versus competition, import substitute a lot of the existing

and also new portfolios, we are trying to make Bharat as an Aatmanirbhar Bharat, and really wean away India from imports and by providing economy of scale and obviously double clicking on multiple synergies.
So what would that imply. For our Essentials basket, we are looking at a capex of INR5,500 million, which is INR550 crores. This is in the period of FY'25 to FY'26. It's a 2 -year period. The first tranche is about INR350 crores, and between then the second tranche between FY'26 to FY'28, a 3 -year period of INR200 crores. The ambition is clearly to double the revenues that we have achieved versus an FY'24 basis and do a 3x of EBITDA on that basis.
Again, how do we achieve this, expand and diversify product portfolio what I called out, which then enables us to do this. Volumes sold at the same time will be 1.75x from a base of 234 kt that we achieved in FY'24. This is again something we have done in the past, which then gives us the confidence as we move ahead that we can certainly duplicate and continue on our ambitions for ourselves and more importantly, for our customers.
So second big bucket is our specialties. The 5D strategy here is to expand and optimize in our existing portfolio by growing market share, focusing on global customers, and improving cost leadership. And also in the specialties enter new segments, obviously, fluoro is top of everybody'

s mind, including us, and also, as importantly, having 20% sales from new products.
What is our right to win here, cost competitiveness, and we have done excellent global cost benchmarking, which gives us the confidence and hence, we are also doubling our capability in the Ketene , Diketene space at Dahej reliable, safe and large -scale flexible operations and differentiated customer experience.
And if you talk about the customized solution provider and value chain integration, technical capabilities, offerings which encompasses a large customer and product basket and world -class piloting and scale up infrastructure with especially the Dahej side, which has come our way, which provides us.
Then if you start looking at the numbers part, this is Slide 22. What we see is we will have the incremental capex spend across the next two years, that is FY'25 and FY'26 of INR400 crores and between FY'26 to FY'28 of INR150 crores.
And with that, the ambition remains to double our revenues in top line and also on the EBITDA to be 2.5x of EBITDA. That basically maintains an asset turn as a specialty of 1 x to 2x, that's the important takeaway.
Now for Essentials, what I would like to also call out is the margins that we have assumed in Essentials is the current bottom of the cycle margins. So this is certainly the upside. We are parking for investors and as we go in this journey.
And also for specialties, what we have not considered in the baseline is the new product pipeline, which will certainly come at an incremental capex to what we have stated here and

certainly would be at the higher spectrum of our asset turn and profitability.

So again, what I would like to summarize on a financial basis on our future between FY'24 to FY'28 with a capex spend of INR1,100 crores, we will be doubling our top line and tripling our EBITDA. What remains a conservative view on margins on Essentials and the entire new business pipeline has a potential upside on specialties.
So that's the element of the strategy that we have in play, and we are executing as we speak. Some of you also had a privilege to visit our Lote site, and it was our privilege to have you there.
Let me then give you a short update on the ongoing projects at Dahej and also Lote. These are slides numbers 25 and 26. The capex update at Dahej, we have received the inorganic EC in May, in early May, we did our Bhoomi Pooja on a very auspicious day, which I will always remember, I think all my life, which I'm thankful for the team that we made that happen on the 10th of May on Akshaya Tritiya, we received more importantly also the organic CTE in 20th of June, we had a very important milestone of public hearing on 18th of July. We started with the civil foundat ion work at Dahej and the weigh bridge and calibration and ready for operations. So that gives you a status update on our Dahej piece.
When it comes down to our Lote project, this -- again, this is Slide #26 that I'm referring to gives you sort of a more chronological timeline , and so in quarter 3 FY'20, we had the acquisition. I think everybody is familiar with this. Everybody is also unfortunately familiar with the COVID period and the implications it had on our project.
But I think it's important to call out in quarter 2, we started land development of FY'21 at Lote. We set up the Kilo Lab at Mahad, which enabled us to familiarize with the Miteni process technology.
In quarter 1 of FY'22, we started the civil and structural work. In quarter 3 of FY'23, the equipment arrived from Italy. In quarter 1 of FY'24, utilities and powers were commissioned. In quarter 1 of FY'24, pilot plant and Kilo Lab was commissioned. In quarter 2 of FY'24, we had the first product dispatch. And in quarter 4 of FY'24, which was the commitment we gave you guys was mechanical completion of the key assets happened, which the

n enabled us
already in quarter 1 of this financial year to s ubmit samples.
Let me give you also a little more clarity on that. We actually sampled 10 products to about 20 customers ranging between global and domestic across an industry range of agro, pharma, coatings, pigments and electronic materials. We have already received 6 products approved by 8 customers, and this basically provides an excellent line of sight to more than 70% of our peak revenues that we estimate from this site. So that, again, gives you, I would say, the ongoing activities.
Let me just briefly comment on quarter 1 my commentary and obviously, Tanushree is far more capable to take us through the numbers. So quarter 1 on a stand -alone basis, I believe, and reflecting back, we are happy to report a comparable sequential performance and a growth year-on-year in quarter 1, taking out one -off effects in quarter 4.

And despite a scheduled plant turnaround for Essentials, which reduced the volume output, the performance was positively impacted by our operational excellence drive. You already saw that in the last financial year, we grew volumes 20% in certain part of our segments and the product mix in specialty certainly was a key driver in our quarter 1 performance.
Key assets I spoke about are Lote and the status on Dahej. With that, I can assure you, we remain committed to geared to win and geared for growth to create long -term value for all our stakeholders.
With that, I'll pass it across to Tanushree to take you through the quarter 1 financial performance in more granularity.
Tanushree Bagrodia: Thank you, Rajan. Good afternoon, ladies and gentlemen. Thank you for joining us this afternoon and as Rajan mentioned, the operational journey that we started in financial year 2024 continues to yield strong results for Laxmi organic Industries.
At site 1, again, as Rajan mentioned, we took an annual maintenance shutdown in quarter 1 of FY2025 and despite that the essentials volume grew by 7% year -on-year. On a quarterly basis,

we had lower volumes and lower realizations in this business, which did impact profitability. However, a majority of this impact was arrested by the improved operational efficiency.
The specialties business saw a robust performance with revenue growing approximately 10%, both year -on-year and quarter -on-quarter and with an improved product mix, the contribution was also higher proportionately both quarter -on-quarter and year -on-year.
As we had mentioned in our Q4 financial year 2024 call, we had settled a claim on the loss of profit with the insurance company on accounts of the floods at site 1 in July 2021. This loss profit increased our EBITDA by roughly INR10 crore s.
To ensure that we are focusing on the business operations, all the EBITDA and PBT numbers and comparisons mentioned by me on this call for quarter 4 FY'24 are net of this INR10 crore s impact. For completeness, the presentation highlights the total EBITDA numbers.
On a stand -alone basis, the company generated a revenue of INR729.6 crores, which is 4% higher year -on-year and 10% lower quarter -on-quarter. The quarter -on-quarter impact, as I mentioned, is largely due to the annual maintenance shutdown taken at site 1 and the lower realizations in the Essentials business.
The operating EBITDA at INR82 crores is about 10% higher year -on-year and about INR2 crores higher quarter -on-quarter. Overall, the stand -alone EBITDA of INR94 crores, is 15% higher year -on-year and flat quarter -on-quarter. The PBT at INR70 crores is almost 30% higher year -on-year and INR2 crores higher quarter -on-quarter.
The PAT at INR46 crores is 22% higher year -on-year and 15% lower quarter -on-quarter. The PAT numbers used for calculating the difference in Q4 are gross of the LOP impact. On a consolidated basis, the top line of INR730.1 crore s fo

r the quarter is flat year -on-year, driven

by lower sales in Europe. The sales is lower, 9% quarter -on-quarter, impacted largely by the annual maintenance shutdown and the lower realizations in Essentials business.
Gross margin at a consolidated level is 2% higher year -on-year, and flat quarter -on-quarter, largely driven by the operational efficiency. The operating EBITDA at INR71 crores is 8% lower year -on-year largely driven by the operating costs of YFCPL, the Lote project, which have now started to flow -through since quarter 2 FY'24.
Quarter -on-quarter, the operating EBITDA is down 11%, impacted by the lower sales. The PBT at INR50 crores is 3% down year -on-year, driven by the capitalization at YFCPL and about INR4 crore s down quarter -on-quarter, impacted by the lower sales. PAT at INR34 crores is 10% lower Y -o-Y and 23% lower quarter -on-quarter.
The PAT numbers used for calculating the difference are gross of the LOP impact in quarter 4 2024. The cash flow from operations at a consolidated level stands at approximately INR80 crores, this is largely because the payable days have seen a reduction as large imports happened in Q4, larger than what we see there by the larger proportion of the benefit was accrued to us in the previous quarter.
The INR absolute values of debtors and inventory has seen an improvement quarter -on-quarter, while the lower sales base has slightly increased the days outstanding. The overall operating net working capital for Q1 FY'25 is in line with the average net operating working capital for FY'24.
Lastly, as the Board had approved the merger of YFCPL into LOIL, we would like to inform the investors that the admission notice for the merger was filed with NCLT in July 2024.
With this, I hand over to Nishant.
Nishant Dudhoria : We will now begin with the Q&A session.
Moderator: Our first question is from the line of Rajvi Shah from Bright Securities.
Rajvi Shah : So I had two questions. The first one is can you highlight why the depreciation is lower Q -on-Q on a consolidated basis?
Tanushree Bagrodia : Rajvi, Tanushree here. The depreciation is lower because there was a change in the useful life of the assets that's taken to compute the depreciation.
Rajvi Shah : I had one more question, that is what is the total investment in setting up data analytics? And could you please give more clarity on the impact on how much efficiency has been improved due to this vis -à-vis previous quarter?
Rajan Venkatesh : So Rajvi, Rajan here. I think it's not a big capex that we incurred on data analytics. So it's nothing to shout home about, but I think it is really because a lot of our systems today are already linked to DCS. So the question was not setting up new DCS' systems, it's really

pooling with a core bunch of colleagues, a very few handful normally like you have in the centre of excellences and really gleaming out the learnings.
Now how has that paid out? We've called out already in the last financial year, this really impacted our volume output from existing asset bases by almost 20%, Tanushree, correct me if I'm wrong, with incremental or no capex . And that's the journey also we charter what you also heard from Tanushree in our quarter 1, where despite a turnaround that we had a scheduled turnaround, our volume base was in a good state. Tanushree, anything to add to that?
Tanushree Bagrodia: Yes. I think Rajvi, Rajan is absolutely right. We've increased volumes roughly 20% for the company, and that's at absolutely almost zero capex . I also think the operational efficiency program has ensured that we continue to carry on our journey on cost leadership across both the business units. And that's why, like I said, despite lower realizations and lower volumes, the profitability could be

protected.
Moderator: The next question is from the line of Harsh Shah from Axis Capital.
Harsh Shah : My first question was regarding the Essentials segment. So you outlined that you'll be incurring capex of around INR550 crores. So just wanted to -- you'll also be expanding the portfolio there. So I just wanted to know how many products we are planning to launch through this new capex and how many of them we have already cracked through in a pilot stage or at lab stage, this was my first question.
Rajan Venkatesh : Harsh, so my first task is fair question. I hope you can provide us some leniency that there is some confidentiality we would like to maintain with the new product portfolio, what would be fair to say already in the last financial year, we did launch a new product into the Indian market, which was an import substitute, and we are building good market share on that.
And there are other things that Laxmi, by the way, in the past, has produced, which we'll be double clicking on and there will be new parts of that portfolio. But for now, we would like to keep that a bit confidential and would seek your understanding for the same.
Harsh Shah : Sure. And sir, just a follow -up on this. So would the new products which you are planning to launch in Essentials, would this be margin accretive? Or would it be a similar margin of your existing portfolio?
Rajan Venkatesh : As I said, we've taken a very, I would say, conservative view. So we have not sort of blown out the margins for the new products, but we believe there is some juice in that and that's something we also pass for the investors in good faith.
Harsh Shah : And sir, second question was on the specialty front. So while I understand there was some margin compression in Essentials segment as there was a shutdown. But in specialty, there is slight margin compression on Y -o-Y as well as on a Q -on-Q basis. So just wanted to understand whether this is a bit of pricing pressure or whether the prices of certain key raw materials have gone up?

Rajan Venkatesh : So first and foremost, let me take the raw material element. I think margin pressure in specialties is not something we have called out. In fact, what we have actually been able to leverage is the portfolio mix in our Specialty segment, which has actually performed better. So quarter 4 of last year was a strong year for specialties.
And if you look at the history, even over the last 4 years, I think our specialty contribution to the Laxmi business has actually dramatically improved. So we were at what, top line in that in FY'21, about INR300 crores, INR350 crores and we closed out last year in the numbers that we shared. And we were able to do that by actually maintaining the EBITDA margins in the range of 20% to 25% consistently, right?
And raw materials here, acetic acid is one key building block, that has not dramatically changed, if you see from quarter 4 to quarter 1. In fact, acetic acid prices given the supply - demand dynamics continue to be low in that range of about $400 per metric ton at the lower end.
And by the way, I want to also call out which I did is also, this is the basis of which we are also looking at forward looking. So we are -- we see the upside on this being potentially higher than the downside. Tanushree, you want to add?
Tanushree Bagrodia: Yes. Harsh, just one quick clarification. Quarter -on-quarter, like I said, you've got to take into account the INR10 crore s impact that we had in Q4 due to LOP. Once we remove that, the operating EBITDA on a stand -alone basis has gone up by INR2 crores. So specialties has seen actually a very robust quarter.

Harsh Shah : And sir, are we facing any margin pressure in our specialty portfolio or prices are broadly stable right now?
Rajan Venkatesh : I would like to say prices are stable overall, but I think the natu

re of the beast is essentials, as
we have shared in the past is more prone to the supply/demand dynamics when it comes down to the raw materials and also in the finished goods.
Specialty is always a topic of performance in the final product for our customers. our landscape is a global landscape, we serve 50% domestically and 50% is exported, and we are in a much larger range of industries.
So specialty is what we will see is, depending on the industries. For example, in the first calendar year of any year, you would see coatings as sort of having a stronger pickup. And in the second part of the calendar year, you would see the demand pickup from coating not as prevalent. So those are the dynamics rather than only talking about the margin pressure from competition. I hope that helps.
Harsh Shah : Yes. And then I have another question in specialties. So you outlined around INR550 crores of capex in specialty as well. And currently, if I'm not wrong, we have a portfolio in pipeline, we have around 11 products in specialty, out of which around 50% is in fluorination. So going ahead with this new incremental capex of INR550 crores, this pipeline will increase

significantly, and if you could just clarify how many new products we are planning to launch in specialty segment?
Rajan Venkatesh : Certainly, I think you've caught us in the right question. So what we have shared now in our ambition is we have said the new business development pipeline is not baked in. And I think we have a very robust new business development pipeline, but we are being a bit coy about it.
So I think as for the colleagues who visited our site in Lote, we have about 6 to 7 block fields that we can actually fill up. So we can accommodate a capex of up to INR500 crores in Lote, and certainly, Dahej, lets our ambition go even wilder. So that's the line of sight, which is not yet baked in, but we will certainly share more details as things become more crystal clear in the near future. That's the ambition to the specialties. That's what I want to talk with you.
Moderator: The next question is from the line of Pradeep Rawat from Yogya Capital.
Pradeep Rawat : Yes. So my first question is regarding the demand outlook for specific segments. So how do you see the demand dynamics from the die and agrochemical end markets?
Rajan Venkatesh : So again, if you look at the slide deck, the agro market constitutes at an enterprise level to about only 13% to 14%. So it's -- I think that's what keeps us in a good stead that we, as a portfolio , end portfolio customer portfolio, we are very well diversified.
So now asking your specific question, I think if I see quarter -on-quarter, pharma, I don't think anything has dramatically changed in the demand dynamics for pharma.
Agro continues to be subdued, and we hear it from our customers that especially on the generic part, they are facing -- continue to face a lot more headwinds from the Chinese competitors of -- type of Bayer, a BASF or Syngenta, that's what we continue to hear. Again, not dramatically different quarter -on-quarter.
When we look at our entire segments of pigments, which is an important element for our specialty portfolio, with some of the reorganizations and call outs that has happened in the European manufacturing si te, we are seeing certain upsides in the domestic play for this, which we are tapping into.
And when we talk about the coating industry and the industrial formulators as a whole, we are seeing demand continue to grow at a good pace. So we don't see any downsides there.
Hopefully, that gives you a flavour on the industries broadly that we are serving. And by the way, we are increasing the number of industries that we are serving with the breadth of the portfolio that we are expanding into.
Pradeep Rawat : Yes. Great. And my next question is regarding our current ca

pacity utilization. So what is our
current capacity utilization in both the businesses, commodity and specialized both?
Rajan Venkatesh : So again, let me tackle it in a different lens. For the specialty, the way both the business head, Mr. Virag Shah , with Mr. Prashant Patil, who heads our manufacturing, the way they steer it is because these are batch plants, multiple flexibilities, multipurpose. So it's not the topic of, do I

need to sweat the asset to 100%. That's not the lens. It is what is the flexibility I can build in to create the product portfolio that our, (a), customers require and then provides the EBITDA directions financially that we are striving for.
So asset utilization, the fact that we are doubling our capability with Dahej for Ketene , Diketene already tells you that we have enough and more room to grow, which we are currently not able to do from our existing base at Mahad.
On Essentials, slightly different lens. Essentials as because these are continuous operations, obviously, the focus remains and there are multiple lines. So the way the operations colleagues with the business colleagues are steering it, we are taking out inefficiencies, and we are then basically running the assets flat out in the ones where we are very, very efficient.
And you have seen that really delivering for us already in last financial year, and I remain confident you will see this delivering for us also in this financial year.
Moderator: The next question is from the line of Raj Mehta from JM Financial.
Raj Mehta : So my question was how many new products are developed in the last one or two years? And what is the revenue contribution from these new products?
Rajan Venkatesh : So I think we have in our slide deck, we also show we do call that out, at least we called it out in the last slide deck. So already in the last financial year, more than 20% of our revenues for specialties was contributed by new products, which were launched in the last 5 years.
And that's why we felt that remains a very ambitious goal that we continue to take for ourselves and we will also double down by investing 2% of our specialty revenues into R&D with the same objective, and this by the way, is best -in-class. You look at a 3M, you look at BASF. This is a best -in-class that top companies, and that's our ambition also look for and steer by.
Raj Mehta : Okay. Got it. And I had one more question, sir. So what is the niche in fluoro business? And what sort of competition are you likely to face from domestic and international players? And India seems very crowded market. So what's our thought on that?
Rajan Venkatesh : So I think, again, fluoro, what we have always stated is we are very clear what we will not do, right? The fluoro, larger strategic relevant market, depending on the report you look at, it gives you a market size of $25 billion. This encompasses the fluoro intermediate. This has the fluorosurfactant, refrigerant gases, fluoropolymers. So we are very clear. We are not going to participate in refrigerant gases, fluorosurfactants, fluoropolymers, that's not our core.
So we have really boiled this strategic relevant market down for us and our product portfolio to about $2.5 billion. And of that $2.5 billion, what gives us the right to win, let's keep it in perspective. One is we bring best -in-class technology from Miteni, and this has been double clicked by many customers that we have spoken to. They are very, very eager that we get started.

And that's what I also called out. So the product that we have already now 10 products, this is basically supplied to a range of 10 samples supplied to 20 customers, global plus domestic gives you, I would say, the reception that we are receiving from a customer's lens, and as you can imagine,

which is the most important, of which already we have got 6 products approved by 8 of the customers.
thirdly, what we have also called out in the past, is the pie of $2.5 billion is still a large pie and we have something called electrochemical fluorination that we are the first in the India ecosystem, which Miteni had which we have bought down into our setup here, which is also a differentiator. But again, that being said, the pie is large enough. There is room in our lens for all to co -exist and each company finds its niche to compete in and serve its customer profile.
So that's what gives us the confidence.
Moderator: The next question is from the line of Yug Modi from AP Capital.
Yug Modi : I just had a couple of questions. Sir, on Dahej capex , any status update from previous quarter on awaited approvals and in which year do we expect to commercialize the production?
Rajan Venkatesh : So let me take you through, and I think we called it out. I think we have had a very positive update on the Dahej, especially from the regulatory lens of getting approvals, and that's what I called out. So basically, the key milestone, again, calling out inorganic EC has been received.
We have received the organic CTE. We have started the civil foundation work at Dahej. Now when will the plant start -up, maybe Tanushree, you can give some colour to it.
Tanushree Bagrodia: So we expect the revenues from Dahej to start flowing in FY'26. And then, of course, the peak of these revenues will be achieved in FY'28. But the revenues should start flowing in FY'26.

Yug Modi : Sir, could you please suggest how much percentage of capacity has increased from addition of Dahej facility and by which years?
Rajan Venkatesh : So on the ketene, diketene, again, as we said, capacity for me on specialty is basically we'll be doubling our capability for ketene, diketene. And also what you can really see what we have called out in the slide deck from an asset base for the Essentials from the 240 kt, there again, we will be increasing our capacity by 1.75x, but this is not only at Dahej, this is across all our sites, including Dahej.
Yug Modi : And lastly, did you see any near term or near -term outlook on how demand and supply are shaping out for our products and do we still see higher competition from China?
Rajan Venkatesh : So let me keep that in perspective. In Essentials, if you look at name -plate capacities, China has enough and more ETAC to flood the whole world, but we don't see a kilo of ethyl acetate coming into India. So that's what gives us the right to continue to exist, win and expand ourselves. And by the way, we are also exporting -- 30% of our Essentials portfolio is exported to Europe.

When it comes down to the specialty space, when it comes to Ketene , Diketene , we continue to compete. In fact, we also garner revenues from China for some part of our specialty portfolio, we are serving Chinese customers in China.
So I think that's what gives us the robustness that we are cash cost competitive and enables us to expand our market share. We have consciously taken that across pharma, agro, pigment solutions and industrial solutions . We are well hedged, and we have enough and more room to grow. So that's what gives us the confidence. I hope that answers your question.
Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to the management for their closing comments.
Rajan Venkatesh : So thank you again for your questions. So let me just leave you again with the top things I would like you to take home with apart from all that you heard with the INR1,100 crore s capex laid out between FY'24 to [inaudible 0:41:52] (we have added the closing commentary for clarity) FY 28 , we basically have the ambition to double the revenues from FY'24, t

riple our EBITDA and as importantly, increase and double our ROCE from the 10% in FY'24 to 20% in FY'28.
In essential we will go deeper, go broader with focus on portfolio expansion . We want to retain market share, grow exports and continuously focus on operational excellence and be future - ready with bio -based products.
For specialties we plan to expand and optimize our existing portfolio by growing market share, focusing on global customers, and improving cost leadership. We wil l enter new segments, obviously, fluoro is at top priority and Dahej will help to double our capacities for Ketene and Diketene products . This will be our right to win, with excel lent management team, global cost benchmarking, acing operational excellence gives us the confidence to succeed and remain Geard for Growth and Geared to Win. .
Moderator: On behalf of Laxmi Organic Industries, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2024

November 4 , 2024

Dear Sir / Madam,
Sub: Disclosure under Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligation and Disclosure Requirements) Regulations, 2015 (" Listing Regulations "), we wish to inform you that the Company participated in the investor conference as given below:
Date and time Type of Meeting / Event Location
October 30 , 2024 , at 14.00 hours
onwards Investor & Analyst Meet to discuss
performance for the quarter
ended September 30, 202 4 hosted
by Strategic Growth Advisors Conference Call through dial -in

No Unpublished Price Sensitive Information was shared / discussed in the meeting with the investors.
Further, please see enclosed the transcript of the Investor Call for Q 2FY2 5.
We request you to take the above on record.
For Laxmi Organic Industries Limited

Aniket Hirpara
Company Secretary and Compliance Officer

Encl.: A/a

BSE Limited
Corporate Relationship Department,
1st Floor, New Trading Ring,
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Dalal Street, Fort,
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Scrip Code: 543277 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai – 400 051
Trading Symbol: LXCHEM

"Laxmi Organic Industries Limited
Q2 FY '2 5 Earnings Conference Call"
October 30, 202 4

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 30th October 2 024 will prevail.

MANAGEMENT : DR. RAJAN VENKATESH – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER –LAXMI ORGANIC
INDUSTRIES LIMITED
MR. MAHADEO KARNIK – CHIEF FINANCIAL OFFICER
–LAXMI ORGANIC INDUSTRIES LIMITED

MODERATOR : MR. NISHANT DUDHORIA – STRATEGIC GROWTH
ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to Q2 FY '25 Earnings Call of Laxmi Organics Industries Limited. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Nishant Dudhoria from Strategic Growth Advisors, the Investor Relation Consultants, for Laxmi Organic Industries Limited. Please go ahead, sir.

Thank you, and over to you.

Nishant Dudhoria : Thank you, Shlo k. Good afternoon, everyone, and thank you for joining us on the Q2 and H1 FY '25 Earnings Conference Call for Laxmi Organic Industries Limited. We have with us on the call Dr. Rajan Venkatesh, MD and CEO, and Mr. Mahadeo Karnik, the CFO. The company has uploaded its financial results and investor presentation on company's website and stock exchanges. I hope everybody had an opportunity to go through the same. We will begin the call with opening commentary by the management followed by Q&A session.

Before we begin, I would like to point out that this conference call may contain forward -looking statements of the company which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements do not guarantee the future performance of the company, and it may involve risks and uncertainties that are dif ficult to predict. I would now like to invite Dr. Rajan MD and CEO for Laxmi Organic Industries Limited, to give his opening remarks.

Thank you, and over to you, Rajan.

Rajan Venkatesh : Thank you, Nishant. N amaskara n from my side, a very, very good afternoon, good evening and good morning depending on the time zones that you're dialing in from. Also, it's a very nice feeling to be dressed in Diwali festivities. So again, a very, very happy Diwali to all the colleagues who have invested their time and interest to know how Laxmi is doing.

So -- it gives me great pleasure to introduce Mahadeo, which I'll do in a minute or two. But let me start with first and foremost, we've seen our performance and what gives us the confidence and the ambition for -- in our gear ed to win strategy and geared for growth are our leadership, cost technology leadership, market leadership and our choice of customers and customer centricity.

Our ambitions remain what we have called out in the past, technology and cost leadership to grow and diversify the product portfolio. Top five in all segments globally that we operate in and continuing to have 20% of our revenues coming from new products, especially in our

Specialty vertical. What are we leveraging? We are continuously leveraging our demonstrated capability of scaling up best -in-class technologies.

We are tapping into our un -leveraged balance sheet, which is enabling us to be ready to invest. We have large brownfield sites, which are open capex, a credible Board and my experienced management team and more so, and I would say, double -click in a chemical industry, a very, very important integrated EHS program.

As I then talk about my management team, it gives me great pleasure to have on Board Mr. Mahadeo Karnik. Mahadeo is a rank holder Chartered Accountant with 28 -plus years experience. He joins us from Abbott, where he was associated with them for the last 13 years, as part in the CFO

functions in India and also for businesses outside of India.

And prior to Abbott, he has been working with Roche, Unilever and hence I am thrilled and today, we realized also in Mahadeo's introduction to the team. He also was coaching Sachin Tendulkar. So I'm glad to have him as part of my management team.

What you also see is we are consequently also beefing up our talent bench. Mr. [Sushil Mi ttal], who has joined in our Chief Supply Chain Officer, he's a graduate from IIM Ahmedabad and spend about more than 25 -year chemical industry across Dow and B ASF and primarily B ASF, where he has spent more than 23 years in operations and managing strategies in supply chain across India, Deutschland, Germany, which was the headquarters and also managing Asia Pacific.

We are also thrilled to bring on board into o ur Specialty verticals, Dr. Milind Vaiyda , who comes in as the Head of Marketing. Milind is a PhD from ICT Mumbai, and then has been associated, both on the technical and techno -commercial activities for large MNCs like Castrol in India, manag ing their innovation hub here and he joins us from Acrotech. So as you can see ladies and gentlemen, we are beefing up and we are not only beefing up on the hardware, but we are also beefing up on the software.

When it comes to awards and accolades, I would like to also call this out a great deal of effort has gone into this by the team. We have received national level E HS Merit Awards across both our site one and site two operations, and we are also very proud that we were recently falicitated by FICCI for the Excellence and Exports 2024 Award in our category. What we have also showed you know what has been our past run.

This is all part of the presentation I'm referring to -- we've given you from FY 2010 to FY '24, how Laxmi has developed itself both organically and inorganically, which has enabled us as an enterprise to deliver a 20% CAGR in revenues and 18% in EBITDA, which is what gives us continued confidence that we remain geared to win and geared for growth.

In our gear ed for growth, what we also very happily shared with you last quarter -- for financial steering, we have huge technology platforms in Essentials -- esterification, acetylation and in specialty the ketene diketene platforms and fluorination and developing new er platforms. We also have targeted financial KPIs for Essentials business, every dollar we invest has to have asset

returns of 3 to 5x, EBITDA margins, 8% to 12% over the cycle and for Specialty asset turn 1 to 2x and EBITDA margins of 20% to 25%, again, consistently independent of the cycle, which then delivers a ROCE of 20% at an enterprise level.

That has been our focus. We also laid out our ambition that from a base of FY '24 to FY '28 on the back of INR 1,100 crores capex that we have laid out which is split evenly across Essentials and Specialties, at an enterprise level, we want to double our revenues 2.7 x of EBITDA and get back to the ROCE of 20% that we have delivered in the past.

And this, we are accomplishing by, additional market share through wallet expansion in existing and new sectors and launch of new products. In our Essentials, also what we had talked with you our strategy, very simplistically the tagline -- go deeper, go broader. And I'm very, very glad after yesterday's Board meeting that we will be setting up the first world scale n-butyl acetate line in India at Dahej.

This is a 100% import substitute product which is going today into our existing customer base and also is opening up us to new industries. Specifically, when you talk about automotive refinish is a business that it brings us into. We are looking at economy of scale. This is also something which is at Laxmi DNA. Everything that we do has to have economy of scale and best cost position. That is what we are striving towards.

So the butyl acetate facility that we plan
to establish in the Dahej would be a 70 K T per annum capacity with economy of scale and giving us, again, our right to win.

What we will additionally do is establish a world -scale ethyl acetate line, and this will be done at our facility at Lote in Maharashtra. Our Mahad facility, as we have shared in the past, while we would have liked to do it there , is sort of full up. And hence, we decided and also our Lote facility has got a mega status accretion from the government of Maharashtra, which is what we are also abl e to tap into -- that being said, this also ensures is that we are able to provide to our customer base, which is very strong in West and South.

I think a logistic advantage by being in that Mahad -Lote belt, and our Mahad plant is just an hour away. So also technology understanding, information flow works very, very well. By being in Lote and also having the mega industry status. , there are certain incentives we will tap into, which will be ROCE accretive for us in doing this investment.

As we have said also in our Lote side, which today encompasses our fluorine setup, even after the ethyl acetate coming on Board, we have enough land parcel to do up to about INR 400 crores of additional capex in our fluorine verticals that we hav e a line of sight in future for .

What I would like to also call out is each of these capexes butyl acetate is about INR 90 crores. Ethyl acetate is INR 90 crores. This is all encompassed in the INR 1,100 crores that we have laid out during the period FY '24 to FY '28.

By doing this, I think we give you even more granularity of how the capex are being laid out into which product segments and also, I think, giving you an excitement that we are also going

to join into new industries. Coming to our ongoing capex. The first one at Dahej, we are receiving all the regulatory approvals as we had in dicated and as we have planned.
We have also started civil found ation for our Phase I, Amber -2 plant , as we like to call it, the weigh bridge calibration and equipment installation will commence for our Amber -2 asset. And at the same time, in parallel, all the pending regulatory approvals will also be provided.
Coming to our other project, which is the fluoro project at Lote, as we also called out last time around in Q1, we had submitted samples. We have submitted 10 samples to 20 customers. When I spoke to you last, we had got approvals from eight of those customers. I am very glad to share now we have 16 of those customers who have approved our products.
Additionally, we have three more products that we have sampled to more seven new customers. This is keeping us in good stead and the focus in Lote remains that we see revenues around 10% to 15% of our peak revenues coming in this financial year and in the next financial year, 40% to 60% of the peak revenues to be achieved and full peak revenues to be achieved in FY '27.
So that is what is keeping us gainfully occupied, and we are very, very excited about this.
Another element, which I'm very glad to talk about is basically our de -risked business model keeps us in good stead within exports and domestic. Revenues from top customers, top 10 customers are now actually lower to only 26%.
And I think what excites me more is if you look at our industry spread, we are talking about a geographical spread where we are also building on our technical capabilities, especially in specialties, supplying also markets and customers in China and we hav e grown that share from 2% in first half of last year, currently at 5%.
And this is at an enterprise level across Essentials and Specialties. But fundamentally, it's our Specialty portfolio. And what you also see is the industries that we are serving with the advent of both the diketene, expanding new interest fees and fluori

n e and also products like butyl acetate
coming into the port we are actually entering newer segments.
I spoke about auto as one auto refinish, energy storage -- in as liquid coolants, metal surface treatment and also personal care. What I would also like to add is this is something I talked with you in the previous calls in our Essentials portfolio as we a re broadening the scope butyl acetate -- is what we have called out.
We already did a soft launch for n -propyl acetate from our Mahad side, and that's a capacity of 25,000 tons also economy of scale, 100% import substitute product , which we are leveraging to our existing customer base and also to some new applications. That being said, let me pass it on to Mahadeo who will give you a little more granularity on the numbers.
Mahadeo Karnik: Thank you, Rajan. Good afternoon, ladies and gentlemen. I wish you a Happy Diwali and prosperous Samvat 2081 ahead. It's indeed a resilient performance in the prevailing industry environment and the geopolitical situation. Now let me take you through the results. In our

Essential business, we have grown our volume strongly by 20% year -on-year and with a sales growth of 17%.
And more importantly, sequentially, the volume has grown by 16%. That shows our commercial excellence and operational excellence continued this year. In Specialty, we saw robust performance in revenue approximately growing at 23% year -on-year, with a bette r improved mix. Once again, we achieved a robust operating performance with EBITDA growing by 92% to INR 74.7 crores compared to previous year.
Notably, our sequential EBITDA demonstrated a remarkable improvement, increasing from INR 71.2 crores to INR 74.7 crores. Our gross margin for this quarter remained at 35.8% versus Q2 last year at 29.2%, largely driven by the operational efficiencies. As you can see from our published results, our power and fuel expenses have remained flat quarter -on-quarter despite of our volume increasing sequentially by 16%, again, operational excellence initiatives and better cost management play here.
What is important to see is that other expenses and outliers in Q2. This is on account of two things. One is we have seen a fluctuation in sea freight by nearly 30%, which are costed us nearly INR 60 million. And we have been a onetime provision for GST credit reversal of INR 43 million. Our PAT at INR 280 million is 162% higher than year -on-year and 18% lower quarter -on-quarter. That's again impacted due to one -time events in quarter end and Quarter one .
In quarter one, our other income was including a one -time credit reversal as well as lower scrap sales. In addition, our finance cost includes a one -time interest on GST that we have paid for capitalization of our Miteni projects. Our cash flow from operation currently is at negative INR 127 million that is largely because of the payable that has seen a reduction as larger imports

happened in Q4 last year.
The working capital remains nearly flat at 31 days which is an average of last year as well as last quarter. We have also increased our inventories in quarter two. For Specialty business, to take care of the shutdown that we had planned in October this year. Also, we are progressing well on our Lote project, we expect capitalization to happen from Q3 end.
So with that, I hand it over to Nishant.
Moderator: We will now begin the question and answer session. The first question comes from the line of Nitesh Dhoot from Dolat Capital. Please go ahead.
Nitesh Dhoot: So my first question is, if I look at the end applications, printing and packaging of course, we're doing well and also pigments . Whereas agro and pharma are still weak. So if you could give some colo ur -- some more colo ur on what you gather from your customers, especially on the agro and pharma side? And then -- yes, so th

at's my first question.
Rajan Venkatesh: Nitesh, it's always a pleasure. So let me take you through the key verticals that we are engaged with. So I think pigments, now when I look at it quarter -on-quarter, and then I give a slight lens when I speak to our teams and I speak to customers, we are s eeing it as being stable. On that --

and obviously, Sudarshan's acquisition now, which is public or fallback certainly has some positive ramifications.
When we are talking about pharma, there again, we are seeing for, I would say, our solutions that we offer the industry that being stable quarter -on-quarter, and that's our line of sight. Obviously, if you dig a little more into details, it depends on how large that element is. So I would look -- I would view that as stable.
Printing and packaging is something also we continue to see a certain level of stability, and that is also expected to move into the next quarter or this quarter, as we said, I think where we see certainly weakness is on Agro . And that is at least with the offerings that we are serving, the customer element is where we see that this weakness is expected to persist from our lens.
Otherwise, I think that's the broad lens. Obviously, you also see that we are broadening our scope of industries. So in our Industrial Solutions, we are also into the coatings additives, even in elastomers, There, we continue to see also demand being stabl e, and that is also what we are expecting moving into this quarter. Hopefully, that gives you a flavor, Nitesh?
Nitesh Dhoot: And my second question, so basically, we do -- we typically do a maintenance shutdown in Q2. And this time, we postponed it. So, will there be lower production in Q3?
Rajan Venkatesh: Thanks again for that, and I think that was the miss from my side. So yes, we did a quarter one, if you remember what we called out, we had a shutdown for our Essentials business -- which -- which is where you saw a slight volume decline in quarter one. We actually took the maintenance shutdown for our Specialty vertical in October.
So it was earlier this month for two weeks, and we accomplished that planned maintenance shutdown in time, in budget, and there were zero injuries. So I'm very glad for that and the team's effort. What you also saw, we saw a slight pickup in inventory as o f end of quarter two. This was, I think, a planned element because we knew we were having the shutdown for Specialty happening. So that has also happened to answer your question specifically.
Nitesh Dhoot: Right. So since Q2 was a normal quarter with the ethyl acetate production at peak levels? And specialty chemicals , also, as I understand, would be at optimum levels. Would it be fair to say that the quarterly EBITDA run rate that we did around INR 75 crores would be a sustainable number? And any increase on this can only come from either pricing improvement or from additional capacities?
Mahadeo Karnik : So let me take that. That's our endeavor to ensure that our EBITDA is now at this range. And the aim is to make it higher. But currently, we are definitely targeting to make it as for the quarter two.
Nitesh Dhoot: Sure, sir. And just one last, if I may, before I join back the queue. So -- in your opening comments, I believe I somehow missed this INR 180 crore capex that we've laid out is part of our larger INR 1,100 crores capex. And secondly, I mean, on the ethyl acetate facility at Lote

that we're setting up. So are we doing away with our earlier thought of expanding the flourine capacities later? Or maybe if you can just clarify on that?

Rajan Venkatesh: So that the line was not very clear. So let me just paraphrase what I heard and please confirm. You were double clicking whether the capex that now we have announced for ethyl ace

tate and
butyl acetate is encompassed in the INR 1,100 crores. Is that correct?
Nitesh Dhoot: That's correct.
Rajan Venkatesh: Yes. So I can double confirm that is the case. If you remember, in last quarter, we said of INR 1,100 crores -- it is evenly split between Essentials INR 550 crores and Specialties INR 550 crores. So in that Essentials bucket of INR 550 crores is where this is nestled .
Nitesh Dhoot: And on the Lote side, so fluoro -chemicals capacity we sort of expanding there and now you're doing ethyl acetate expansion on that side. So any change in thoughts there?
Rajan Venkatesh: No change. As I said, what we have always maintained is we have only consumed 50% of the land bank at our Lote setup. And we have additional 50% of the land bank available where we had originally said or envisage we can set up INR 500 crores of additional capex. Now with ethyl acetate coming, it still gives us enough and more -- 40% of that land bank is available. So I think we can easily accommodate another INR 400 crores capex. So in no way, it disrupts our larger planning to expand our footprint with a range of products for our Fluoro -intermediates business.
Nitesh Dhoot: All right, sir. So that's helpful, sir. Thanks a lot for answering my questions and wish you all a Happy Diwali.
Rajan Venkatesh: Thank you very much.
Moderator: Thank you. The next question comes from the line of Pujan Shah from Molecule Ventures. Please go ahead.
Pujan Shah : Yes. Hi, Rajan sir. Absolutely great set of number . And hi Mahadeo sir welcome on the Board. Sir, my first question would be on the, first of all, on the ethyl acetate asset capex, which you have been growing expansion like we have been planning for INR 90 crores. So just wanted to understand what are the demand dynamics as of now, we have been looking at because we are operating at something 90%, 95% of capacity utilization. And what is the demand supply because of the chemical industries being currently subdued. So how we're looking into that? And why we have been picking as of now, this capex in Essentials ?
Rajan Venkatesh: So first and foremost, thanks, Pujan. I think this is the first time we are interfacing. As we have always called out, Pujan, the Essentials business has to be viewed not from a point in time but over the cycle. Very different to our specialty business, which has to deliver robust EBITDA ranges of 20% to 25% independent of the cycle. So that's the first lens. The second len s, I think you already called it out.

And what we have said is we've been in a very intense operational excellence journey since April of last financial year, which we have seen really delivering dividends in volume growth in since quarter four of the previous financial year. Now as one can only imagine, you can squeeze out only so much from an orange. So, there is going to be a time while we have squeezed out 20% year-on-year volume growth, right?
At some point of time, you will need to have the next phase and with our leading position in ethyl acetate, by the way, both domestically and also in exports. 30% of our ethyl acetate -- if you look at the rule of thumb, we are exporting primarily into Europe, into Middle East, into Africa. And I think so we would love to keep that leading position I think what is important in this is our right to win and the right to win comes from economy of scale and cost competitiveness is what we will ensure, again, as we go into this 70 KT single plant setup that we are establishing. And additionally, this will be EBITDA accretive for us, and that's what is giving us the confidence to move into this.
Pujan Shah : Okay. And the second question would be on the n-butyl acetate . So just wanted to understand like we know that this is 100% import substitute product. So , what encourages us to invest in this specific

thing? And what are the sourcing, we have been looking at this product, what would be the excluding the cycles, what would be the margins and how this product is being viewed?
Rajan Venkatesh: Right. So, let's take it step by step on that. First and foremost, butyl acetate is one of the other acetate. So, what gives us the right to win is you have economy of scale on acetic acid purchasing. Today, I am one of the top three importers of acetic ac id into India. So, I have an excellent leverage on when it comes down to raw materials.
The other raw material for butyl acetate is n -butanol and n-butanol is also produced in India. BPCL, for example, is one producer, and it also gets imported in. So there is also availability from a raw material side. Then comes the market element. So, n -butyl acetate will be supplied

and consumed from our existing customer base, as I explained, and also newer customer base.
And third comes the technology lens.
I think with Laxmi deep understanding of this type of chemistries and technologies, we are entering this business with economies of scale, a 70 K T setup with best -in-cost positioning, and that is what is giving us comfort -- to move ahead with this investment. You also asked about margin profiles. Obviously, if you look back historically, this is certainly slightly more value accretive in a margin p rofile as compared to ethyl acetate.
But I think as we get into the market and we are deeper understanding this I think we will get more granularity, and we'll be happy to share that with you as we continue our journey once we start the ramp up.
Pujan Shah : Okay, sir. And just one more question on n -butyl. Could you just give the industry side how -- what does -- obviously its imports or what could be the domestic consumption in India? And total world production capacities.

Rajan Venkatesh: So if you look at import data, primarily volumes of n -butyl acetate tends to come into India from ASEAN and to a smaller extent, China. Obviously, the import duty, normal import duty that is sort of levied into this. The market size that we see domestically and what I need to also call out is about, I would say, in the ballpark of 70 K T to 75 KT growing in line or slightly above GDP.
That is what is making it interesting for us. And we will also, like we are doing exports for ethyl acetate that might be a future opportunity. So that's the line of sight that we have on this Pujan.
I hope that clarifies.
Pujan Shah : Yes -- So that's 100% of the domestic side we have been investing?
Rajan Venkatesh: Which is expected to grow significantly above GDP in line or slightly above GDP. So you can assume a 7% to 8% growth -- on an annualized basis, at least till 2030, 2035 time frame.
Pujan Shah : Okay. Thank you, sir. Thank you so much, sir.
Rajan Venkatesh: Thank you for your questions.
Moderator: Thank you. The next question is from the line of Rohit Nagraj from Centrum Broking Limited.
Please go ahead, sir.
Rohit Nagraj: Yes. Thanks for the opportunity. So, first question, again, on but yl and propyl acetate. In terms of technology, is it indigenously developed or are we acquiring these technologies from some other technology partners?
Rajan Venkatesh: Thank you. Rohit, pleasure that you're able to join. So let me take the NPAC. NPAC has been developed in -house, and butyl acetate was a product that, over a period of time, L axmi has been developing, and now we have really achieved the best in scale technology.
Rohit Nagraj: Sure. And these would again form part of the Essential basket?
Rajan Venkatesh: Yes. Rohit, these would be -- this would be nestled in the Essentials basket.
Rohit Nagraj: Right. And second question, so the fluorination part is coming into picture, what is the next le g of products or product basket diversification from the specialties

front that we are working on?
And when these would see the light of the day, maybe over the next few quarters or few months, whatever time lines that you have in your mind?
Rajan Venkatesh: Right. Rohit. So again, thanks for the question. I think I explained that. So when you were also visiting us, what we have said and we still stay committed to that -- that we will see 10% to 15% of our peak revenues and peak revenue here is INR 200 crores -- that we would achieve by FY '27. So we basically said 10% to 15% of peak revenues is what we will achieve by quarter four, end of quarter four in this financial year and starting quarter three, but certainly quarter four in this financial yea r, in the next financial year, this would be in the range of 40% to 60% of peak revenues.

And in FY '27 is where we will achieve the INR 200 crore peak revenue. So that remains our line of sight. While there are newer products, which are being looked at, I think at this point of time, the focus remains to deliver this really on the ground.
Rohit Nagraj: Sure. Fair enough. Just one clarification on the Specialty front, similar to what we are doing on the Essentials where we have tapped the import substitute products. Are we thinking in similar lines on specialty as well?
Rajan Venkatesh: So, in Specialty, I think the approach is obviously today, what we have also shared, right, for

the ketene – diketene , especially diketene derivatives, we have taken an approach of hedging our industries. So I have a 25% share in pharma, 25% in agro, 25% in the pigment solutions and newer applications like we have done in CASE . So the focus remains, I could have been 100% domestic but less be global opportunities. But we see there is a greater music in having a more diversified range of industries to serve.

And in line with that, what you see, the product that we position into China is really an extension of our diketene derivatives downstream, which is going into a new segment into Personal Care. So that's the lens we will be taking with obviously, the Dahej expansion, we'll be doubling our capability there, and that will give us also additional muscle to be top three in the world, including China and deepen penetration into the respective markets. Hope that helps Rohit.

Rohit Nagraj: I think that's helpful. Thanks a lot. All the best and sir.

Rajan Venkatesh: Thank you.

Moderator: Thank you. The next question is from the line of Jigar Shah from Elevate Research. Please go ahead, sir.

Jigar Shah: Good afternoon, sir. Many congratulations on good performance . Sir, couple of questions. What is the current demand situation in the chemical market? Are you seeing trends of reversal from being bottom out in last few quarters? And where are we on global destocking issues?

Rajan Venkatesh: So I think, Jigar, thanks for that question. As I said, it is very industry -specific. So let me take again recount what I said. So in our pharma space that we serve, we certainly see on a quarter -on-quarter basis, demand being stable and also moving into the current quarter, we continue to see demand stability.

When we talk about our verticals when we are serving the packaging, printing and packaging, there again, we see demand stable. When we are talking about the industry of agro is where we continue to see weakness. That being said, at a macro level, I think we cannot run away from the fact that China, despite you see productivity increases as a result of the stimulus that has been done , and you also increase in manufacturing into Europe .

You don't see globally demand yet having really picked up tremendously. So I think that's the lens one needs to understand and thereby, I think what keeps Laxmi in good stead is to have this

diversification at both a

geographical and industry lens. I hope that gives you some more light Jigar.

Jigar Shah: It does. So a follow -up question on that. I see -- I can see that your volumes have grown in double digits. And so the gross margins have improved significantly. Does that mean the realization of spreads have increased over time from last quarter?

Rajan Venkatesh: No, on the Essentials part, and I think that's also a fair question. On the Essentials part, if you see 85% by volume terms in our Essentials portfolio is made by ETAC. So on a quarter -on-quarter basis, the spreads –or the realization have not improved. I will have also Mahadeo Karnik to comment.

Mahadeo Karnik: If your question is versus previous year, the answer is yes -- versus sequentially versus Q1 -- the answer is no.

Rajan Venkatesh: Yes. So it has remained in that range. While in our specialties on the other side, our EBITDA, despite all what we are hearing on the chemicals we continue to deliver solid EBITDA ranges.

Jigar Shah: Got it. Thank you, sir.

Rajan Venkatesh: Thank you.

Moderator: Does that answer your question, Mr?

Jigar Shah: Yes, it does.

Moderator: Thank you. The next question is from the line of Nitesh Dhoot from Dolat Capital. Please go ahead.

Nitesh Dhoot: Thanks for the follow -up. Just a couple of clarifications. So on the payable days, so a reduction in the payable days, you mentioned -- so basically, have we again moved back to sourcing ethanol locally? Or is there something else which you can maybe elabo rate on?

Mahadeo Karnik : No. So Nitesh, we have not moved back to sourcing locally. It was just a large parcel that we bought in quarter four, and that's getting impacted in Q2. It also impacted same -- similar manner in Q1. So we will see this story at least continuing up to Q3, we should be able to stabilize that in Q4.

Nitesh Dhoot: Okay. All right. And secondly, sir, what explains the losses at the subsidiary level every quarter, sir, if I see the consolidated minus stand alone numbers, in last four quarters, it's almost INR 60 crores negative. So is it on account of the Fluorochemicals subsidiary or any other global subsidiary? Or any other global subsidiaries?

Mahadeo Karnik : That's largely on account on Fluorochemicals subsidiary, which is YFCPL or the LOB V, our

Netherlands subsidiary, yes, it has a small loss mainly on account of some of the one time exception al expense in quarter two. But it's largely on account of YFCPL, which would get merged hopefully by quarter four of this year.

Nitesh Dhoot: All right. That's very helpful, sir. Thank you so much.
Moderator: Thank you. The next question is from the line of Aditya from Sowilo Investment Managers . Please go ahead.
Aditya: Yes, good afternoon. So my -- I just need the clarification whether I heard correctly. Earlier, you mentioned that the acet ic acid is imports are mainly from ASEAN countries and from China right?
Rajan Venkatesh: So I was talking, Aditya, for the Butyl Acetate . So the Butyl Acetate that comes today into India is primarily coming from ASEAN. I would say 80% to 85% is ASEAN and then you are 10% to 15% coming in from China. Acetic acid is a slightly different lens acetic acid also comes from ASEAN and also North Asia. And certainly, I w ould say the split is maybe 40% coming from China and 60% from ASEAN. I hope that clarifies.
Aditya: Yes. So then I have a question. So are the supplies being rerouted by ASEAN or is it like manufactured in ASEAN?
Rajan Venkatesh: Are you referring to which -- are you referring to the Butyl Acetate potentially now?
Aditya: Yes.
Rajan Venkatesh: I think the lens there, Aditya, to take is, let me give you a very tangible example. We produced ethyl acetate. We have a market share today domestically of anywhere between 35% to 40%. There is not a single kilo of Ethyl Ac

etate coming from China into Ind ia. So I think the most important lens in a lot of these chemistries is do you have the economies of scale and the cost position? And we believe with what we are setting now, we will certainly have that, and that is giving us the right to win. Now what will happen to those flows, I think if that's something of their problem, not our problem, to be honest.
Aditya: Okay. Because I was basically trying to get a sense of the whole Chinese capacity situation. And despite the fact that you did mention that there is some antidumping duty and all that. But is that -- are you trying to bypass that by rerouting into some cou ntry -- what I was trying to understand?
Rajan Venkatesh: No. For specifically the portfolio that Laxmi is active in, that is not something we manifest. So what we really see, again, being very, very tangible producer of Butyl Acetate in ASEAN are companies like Celanese and Petronas. And as I called it out also, there is only a very small part of butyl acetate coming in from China into India.
Aditya: Okay. Thank you.
Moderator: Does that answer your question, Mr Aditya?
Aditya: Yes.
Moderator: Thank you. The last question is from the line of Ganesh Shetty an Individual Investor. Please go ahead.

Ganesh Shetty: Congratulations management team for the excellent set of numbers and achieving higher EBITDA. Sir, my question is regarding our Speciality chemicals, which you have incubated over a period of time? And is there any flexibility in processes in these products which we can tailor made as per the requirement in future industry. Can you please throw some light on this, sir?
Rajan Venkatesh: Yes, Mr. Shetty. So I think the strength of our specialty vertical is the entire element. These are multipurpose assets batch processes, which is basically giving us a greater deal of flexibility to do a range of chemistries and derivatives. So that's been the strength that we have developed. If you remember well, when we acquired the assets from Clariant , this was a range of about eight products that we acquired . Today as we speak building on the efforts of the team and the R&D that has gone through, we have 50 -plus products serving a range of applications. So I hope that gives you comfort that we are on top of our game on this one.
Ganesh Shetty: Yes, sir, that's all from me. Thanks a lot and all the best.
Rajan Venkatesh: Thank you.
Moderator: Thank you -- in the interest of time, this was the last question for today's conference call. I would now like to hand the conference over to the management of Laxmi Organic Industry Limited for closing comments.

Rajan Venkatesh: Again, thank you all for having invested your time around Diwali period on to this call. I'm deeply grateful to the entire Laxmi team. We have delivered double -digit top line growth in quarter two FY '25 on a year -on-year basis and double -digit volume as well as bottom line growth on a year -on-year basis in quarter two FY '25 and also first half despite th e prevailing market conditions.
The growth, as we called out in our discussions and narrative is driven with our continued focus on operational excellence efforts in both additional volumes and improved cost positioning, capacity augmentation and see our customer -centric approach, which has enabled us to expand our market share and widen our reach to new industries. At our fluoro i ntermediate si te, the emphasis remains on scaling the plant with commercial production in second half of this financial with a focus to start generating revenues also from the second half of this financial to expand our overall specialty product offerings to our customer s.
On Dahej side, we remain on track to receive the pending regulatory approvals and the project remains on track on time lines and budget. And I would like to conc

lude what we are focusing
on and Mr. Mahadeo referred to this in line with quarter two, we are also seeing into quarter three, I would say the line of sight is we will deliver year -on-year growth into quarter three. And what we are diligently working together as a management team is to br ing in more predictability and which we can build in confidence internally with our customers and stakeholders like yourself. That being said, again, a very, very happy Deepavali and thank you all.
Moderator: Thank you, sir. On behalf of Laxmi Organic Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2025

January 28, 2025

Dear Sir / Madam,
Sub: Disclosure under Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligation and Disclosure Requirements) Regulations, 2015 ("Listing Regulations"), we wish to inform you that the Company participated in the investor conference as given below:
Date and time Type of Meeting / Event Location
January 23, 2025, at 13.30 hours
onwards Investor & Analyst Meet to discuss
performance for the quarter
ended December 31, 2024 hosted
by Strategic Growth Advisors Conference Call through dial -in

No Unpublished Price Sensitive Information was shared / discussed in the meeting with the investors.
Further, please see enclosed the transcript of the Investor Call for Q3FY25.
We request you to take the above on record.
For Laxmi Organic Industries Limited

____
Aniket Hirpara
Company Secretary and Compliance Officer

Encl.: A/a

BSE Limited
Corporate Relationship Department,
1st Floor, New Trading Ring,
Rotunda Building, P. J. Towers,
Dalal Street, Fort,
Mumbai – 400 001
Scrip Code: 543277 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai – 400 051
Trading Symbol: LXCHEM

"Laxmi Organic Industries Limited
Q3 FY '25 Earnings Conference Call"
January 23, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 23rd January 2025 will prevail.

MANAGEMENT : DR. RAJAN VENKATESH – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER –LAXMI ORGANIC
INDUSTRIES LIMITED
MR. MAHADEO KARNIK – CHIEF FINANCIAL OFFICER
–LAXMI ORGANIC INDUSTRIES LIMITED
SGA - STRATEGIC GROWTH ADVISORS - INVESTOR
RELATIONS ADVISORS

MODERATOR : MR. NISHANT DUDHORIA – STRATEGIC GROWTH
ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '25 Earnings Conference Call of Laxmi Organic Industries Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nishant. Thank you, and over to you, sir.

Nishant Dudhoria: Good afternoon, everyone, and thank you for joining us on the Q3 FY '25 Earnings Conference Call for Laxmi Organic Industries Limited. We have with us on the call Dr. Rajan Venkatesh, MD and CEO; Mr. Mahadeo Karnik, CFO.

The company has uploaded its financial results and investor presentation on the company's website and stock exchanges. I hope everybody had an opportunity to go through the same. We will begin the call with opening commentary by the management followed by a Q&A session.

Before we begin, I'd like to point out that this conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements do not guarantee the future performance of the company, and it may involve risks and uncertainties that are difficult to predict.

I would now like to invite Dr. Rajan, MD and CEO, for Laxmi Organic Industries Limited, to give his opening remarks. Thank you, and over to you, Dr. Rajan.

Rajan Venkatesh: Thank you, Nishant and Namaskaram to all. Good morning, good evening and good afternoon, depending on where you're dialling in from. Again, thank you for investing your time and joining our call. What I would like to do, as always, is break it down into three buckets, give you first an industry outlook, we are privileged to serve multiple industries to give you a lens of how those industries are evolving.

The second bucket would be raw materials, how we see raw materials having evolved and potentially evolving and then coming closer to home and talking about some of the key levers of our excellent performance in quarter 3 and also for the first 9 months of the year.

Starting with the markets. So, the key segments that we serve, as you know, encompass segments like pharma, agro, printing and packaging, flavors and fragrances. We are into coatings and a host of other segments what we position under our Industrial Solutions segment.

So let me take that one by one very quickly. In Pharma, from a demand lens, we continue to see quarter-on-quarter demand being stable. In the Coatings segment, again, we see stability in demand. In Printing and Packaging, also we see demand having been stable quarter 2 to quarter 3 and also moving into quarter 4.

Fundamentally, you'll have seasonality in some of these segments. So that's nothing new that you are grappling with or navigating through. Then when we look at Flavors and Fragrances, we continue to see demand for our solutions and products being stable. The one segment where we continue to see weakness is the agro space. That hopefully we believe will improve over a period

of time, but taking a point in time view has not yet rebounded. So that gives you the first bucket, which is the customers and the markets that we have the privilege to serve.

Second comes into the feedstocks. And one of the primary feedstocks that is key to Laxmi is acetic acid. So, if you look at it, year-on-year, so quarter 3 of last year versus quarter 3 of this year, we have certainly seen acetic acid prices significantly moderating in the range of about 15%. So, to give you more numbers out there, quarter 3, the average price of acetic acid

last
quarter was around USD 450. And if you remember my narrative there, there was an unplanned shutdown, which basically caused that big spike up in acetic acid prices across Asia Pacific.

And then what we say is basically now in this quarter, we are seeing -- quarter 3, we saw average prices sort of moderating to the normalized levels, closer to the USD 380 range. So, it was range bound to that extent. Moving into quarter 4, as a result of the Chinese New Year, which is expected by the end of January, we are seeing larger producers scaling down their operations. But most of it is done in a very planned way. So, we are not seeing any large spikes, while we are seeing moderate increases in pricing moving from the USD 380 to the USD 410 ranges.

We are not expecting large spikes at this point in time. And that is where we are also seeing now linked to our product. If you see ethyl acetate, we see that the spreads remain in the bottom quartile being a bit suppressed in that about USD 145 to USD 150 range. We are expecting some movement but nothing large as compared to what we experienced in the previous time last year.

So that gives you a view on the feedstocks.
And now coming closer to home, what you really see is our diligent focus over the last quarters in operational excellence has yielded strong benefits on volume side on both our essentials and also specialty vertical. Specifically deep diving into our Specialty vertical. What I called out in the last call, we had a turnaround in early October of the quarter.
We really went into the last quarter building an inventory for that. That has really come to play very positively for us. The product mix and our continued, as I called out, operational excellence have yielded us a better performance when you see year-on-year quarter, right? So that keeps us in a good stead.
When we are really looking at our Essential segment, again, the operational excellence journey has yielded us positive dividends, as we had called out also in the past. More importantly, we are able to position these products into the market because that is as important as getting output from assets. So, we see strong volume growth.
We are also in line with our strategy. We are going deep. So, we are strengthening our core. Operational excellence is the key measure, but we are also already launching newer products like I have shared with you, and this is being very positively received in the market. And clearly, the objective of doing this, the strategic objective is ethyl acetate, which has been core in the way Laxmi has developed over the years and which, if you see FY '24, accounted for 60% of Laxmi's revenues. With the strategy that we are envisaging, this number will come down to 40%.

So clearly, we will continue to double-click on our strengths and at the same time, broaden the offerings for our customers. If you look again, now we are at an interesting cusp. When we look at the projects that we are executing at our Dahej site, we continue to remain on track to receive the pending regulatory approvals and the project remains in schedule on timelines and in budget.
And at our Fluoro-Intermediate site at Lote, thrilled to share that in quarter 4, as we have been really working very diligently towards it, is where we are seeking about 10% of the peak revenues. And in the course of the next financial year, that is FY '26, we target to have 40% to 60% of the peak revenues. In fact, all the key products that will contribute into FY '26, we have successfully commercialized at our asset base in Lote. So that is also positioning us well moving ahead.
If we then also look at our other achievements that we have achieved in the quarter, we received a very good appreciation from the National Safety Council for the third consecutive year, focusing on safety management. We also received Together for Sustai

nability. From a
sustainability lens, we had a big step up in the ratings. We've achieved a rating of 87%. Our last rating was 67%. So that is, again, committing ourselves to our customers, to our stakeholders and for future growth. That keeps us in good stead.
We've had the other lens on my management team. We have had Dr. Milind Vaidya, whom I've introduced to you, managing now both the R&D and Marketing roles, which is then enabling end-to-end steering from market to in-house and which will turbocharge, we believe, our innovation pipeline for growth for Specialty. And Mr. Prateek Singh joins us at the end of January as the new CHRO into the management team.
All said and done, while I'm deeply grateful to the Laxmi team for a very strong quarter 3, we are also continuing to gear ourselves for closing the year with a profitable volume and EBITDA growth. With that, I hand it over to my friend now, Mahadeo, as he takes us through our performance.
Mahadeo Karnik: Thank you, Rajan. Good afternoon, ladies and gentlemen. I was talking to my team in town hall, and I used one word, which is a word called as resilient. And I think we stand as a resilient team in today's dynamic environment and a challenging environment. And we have been able to demonstrate a predictable performance, that we called out in last quarter. We are in line with that performance for this quarter.
So let me take you through the synopsis of quarter 3. In quarter 3, our sales grew at 13% year-on-year, with a strong business volume growth in Essential business of 18%. That's driven by the operational excellence, mainly without any capex. Our Specialty business, which is a high profitable business, has grown 29% due on account of improved mix. This has enabled in improving our gross margin by nearly 240 bps.
As you can see, our EBITDA has now stabilized at around INR 75 crores, which has grown around by INR 53 crores, mainly coming out of the power and fuel, which is remaining same in spite of the volumes increasing by nearly 17%. Though we have still seen the challenges in our freight costs, which have grown year-on-year by nearly 100% due to international issues, but

still, this is a resilient performance for us. So overall, we remain very much on the course for delivering the strong profitable volume growth.

Our export performance continued to be good sequentially. As you can see from our presentation, it has improved to 36% of our overall sales and that helps in derisking currency risk for us. We are progressing well on Dahej projects, and the activities are on schedule as well as in cost.

So, with that, I hand it over to Nishant for question-and-answers.

Nishant Dudhoria: Yes, we will now begin with the Q&A session.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer question. The first question is from the line of Rohit from B&K Securities. Please go ahead.

Rohit: Thanks for the opportunity. Good to see that the performance is stable sequentially and Y-o-Y there is good growth. So, first question is in terms of the demand environment, particularly in the exports market, given that sequentially there has been growth in exports, what are we seeing across different segments? I mean you have given a flavor about stable demand across the segments. But what are we seeing during Q3 and the initial part of January? How has been the sentiment from the customers in the exports market? Thank you so much.

Rajan Venkatesh: So, Rohit, first and foremost, congratulations on the new role, and wishing you every success. Thank you for that question. As we have always stated, for us now, specifically in the Specialty business, the export part of our opportunity is dependent to specific industries.

The CASE industry, that is coating, additive, sealants and elastomer industry, primarily, we are serving the needs of large MNCs and catering to demand not domestically, but in the Americas, Europe and even China. So that's the area we continue to see growth, which has also contributed to a certain extent to our exports.

On our Pigments that we are serving, it's a blend of both domestic and exports. That is what we are serving. When we talk about Pharma, again, a blend. So, I think that's how we are steering the entire Specialty part. So, the split what you see in our Specialty part on an average has been 50-50 barring a few quarters that you have some swings.

On the Essentials part, which makes a big chunk of our exports, specifically for quarter 3, and you heard that in the narrative from Mahadeo, given the large spike that we observed in freight costs, from India into some of the key markets, specifically Europe here, is where we have actually pulled back a bit from that. We have obviously had different other avenues where we have more products too. But Europe, we have pulled back. But we are already in quarter 4, now seeing some positive telltale signs of certain moderation in freight, and that's where the evaluation happens, whether we can start that opportunity again.

We have tank operations, both in Antwerp and Genoa, and hence, are considered more "local supplier" given our tank presence in that geography. Hope that gives you a line of sight, Rohit?

Rohit: Absolutely, sir. Second question on the Fluoro-Intermediates. Again, you've reiterated that things have now started working in favour of us and we are likely to clock 10% of peak revenues, that's close to about INR 20-odd crores. So, what is your initial assessment in terms of the customer feedback? Are we able to supply the right quality of product with the specifications immediately or have there been multiple reiterations before the product is being approved by the customer? Just a flavour on this.

Rajan Venkatesh: So, Rohit, there, again, we've been very transparent. So, I've been speaking about the phasing of our samples to our customers. I think one of the big positives from the Miteni assets, while the project has had its challenges, which we have alluded to in the past, has been once we produce the product, we are getting them on spec in line with what Miteni was producing as our assets. And this is then obviously in line with the customers' expectations.

So that is what is giving us the comfort and that's been the really diligent work that still continues that while 10% is only the start point, and for us, we are really looking at the end game because we also see the entire fluoro platform as a larger growth engine for us at Laxmi. So, so far, so good. Now some of the challenges we have had is looking back in the rearview mirror, and we are really looking ahead with the efforts and with our customer engagement.

Rohit: Thanks a lot, and all the best.

Moderator: Thank you. The next question is from the line of Nitesh from Dolat Capital. Please go ahead.

Nitesh: Thank you so much for the opportunity. So, my first question is despite 11% sequential increase in Specialty revenue and a better product mix, what explains the drop in the overall gross margins from 35.8% to 33.1%?
Mahadeo Karnik: Let me take that. So sequentially, our dip is 3%, mainly on account of input cost reason. That's around contributed to 1.5%. So sequentially, if you look at a 3% drop, let me explain you that first, that is getting offsetted by a saving in the transport and freight cost of nearly 1.2%. So, real decrease is 1.8%. Around 1% of that is contributing to the raw material cost increase, mainly in acetic acid and alcohol.
And second is we have now exchange rate impact, which is kicking in, contributing to 0.3%. And we had some damage costs that we had to pay one time, which has impacted by nearly 0.4%. So that's the broad breakup.
Nitesh: Okay. All right, sir. And sir, highe

r depreciation sequentially, so like did we capitalize anything in the quarter or late in the previous quarter?
Mahadeo Karnik: So, we have capitalized INR 220 crores of the assets in Lote, as Rajan has alluded to. So that's the impact that is coming in depreciation sequentially.
Nitesh: Okay. And sir, on the Capex, the INR 1,100 crores outlay that we have, we target INR 750 crores in FY '25 and '26 put together. So how much of the INR 750 crores has already been spent in the first 9 months of FY '25?

Rajan Venkatesh: So, the INR 1,100 crores, if you remember the conversations, INR 800 crores of that is allocated specifically to Dahej. And the midpoint of expenditure will happen in the first half of the next financial year. So that's the big chunk of it.
And then a part of it was INR 50 crores that was still pending from our Lote project in the INR 550 crores. Then we had announced, which was also nestled under there, the INR 90 crores for ethyl acetate, world-scale ethyl acetate that we'll be setting up in Lote. So, all of that is what is being baked in there, and a big chunk of the midpoint of expenditure will happen in the first half of next financial.
Nitesh: Thank you, sir, I will come back in the queue.
Moderator: Thank you. The next question is from the line of Aditya from RoboCapital. Please go ahead.
Aditya: Sir, in your opening speech you mentioned that 40% to 60% of peak revenue should come by FY '26. So, what is this peak revenue that you are referring to? And is it considering all the INR 1,100 crores capex that we have planned to do?
Rajan Venkatesh: So, Aditya, thanks for the question. So, the INR 1,100 crores capex is beyond what primarily we had spent for our Fluoro intermediate project. So that is not encompassed in there. That's the first point. So, as I just explained to the other colleague, we said cost to complete for our fluoro project was INR 550 crores. As it stands, INR 500 crores was already spent. So only INR 50 crores of that is actually bundled in the INR 1,100 crores. That was your first point.
The second one is the peak revenues that we are achieving from that asset base is a peak revenue of INR 200 crores. So, when we say 40% to 60% of that, I think the maths is clear.
Mahadeo Karnik: So, the comment was only for the fluoro business of the peak revenue.
Aditya: Okay. So, from the fluoro, we are expecting approximately INR 200 crores of peak revenue, right?
Rajan Venkatesh: Yes.
Aditya: So, what is the peak revenue that we're expecting from a total of INR 1,100 crores capex?
Mahadeo Karnik: So, we are going to double our sales, correct, from INR 2,800 crores last year to FY '28. So, balance is from the capex.
Aditya: And margins should settle around 10%, is that fair to assume?
Rajan Venkatesh: The margin profile, I think, is also something we have called out in our investor deck is for our Essentials business for every dollar that we invest, we are looking at specific asset turns. So, asset turns for Essentials 3x to 5x for every dollar invested, EBITDA of 8% to 12%. And for Specialty is 1x to 2x asset turns; EBITDA 20% to 25%, which then enables us to get the ROCE what we are targeting.

So, if you look at Slide 17, 18, 19 and in that part, you will get more granularity because we have also broken it down, the capex overlay when it is happening and also the revenue and

EBITDA impact. That would hopefully help you to get more clarity.
Aditya: Alright sir, understood. Thank you.
Moderator: Thank you. The next question is from the line of Siddhant from RV Investment. Please go ahead.
Siddhant: Thank you for the opportunity. I would like to ask, based on the guidance you have given for FY [Inaudible-23:43].
Rajan Venkatesh: I think we lost the colleague.
Moderator: Yes, sir, the current parti

cipant line got disconnected. The next question is from the line of Harsh from Axis Capital. Please go ahead.
Harsh: Sir, so earlier, you had mentioned that you had Specialty pipeline of around 11 products. So now is there any change in that pipeline or we are still at 11 products?
Rajan Venkatesh: So, the pipeline continues to be strong and actually gets further revitalized. So, in line with what we had shared in the past, 60% of our new business pipeline is fluoro-heavy and 40% of that is other derivatives, so we continue to keep that focus. And what we are really diligently working on is really towards commercializing, bringing in first and foremost the business cases and thereafter the capex to monetize on that, which is, by the way, on top of the INR 1,100 crores, that will be baked in.
Harsh: Okay. And sir, another question on the agro side. So, you mentioned in your opening remark that the agro continues to remain weak. So, any expectation there? And what portion of our shares you derive from that agro chem segment?
Rajan Venkatesh: If you see really the slide deck again, agro chem segment is only about 10% to 13%, or in fact, if you look at quarter 3, it is less than 10% of our overall exposure. I think one thing, while there's a lot of talk about agro, if you take a step back, the big reflection is now if you want to launch a product from lab to scale and if you want to globally launch it, If you speak to the large innovators, it is costing them anywhere close to USD 0.5 billion.
The macro trends in agro certainly don't change. And I believe there is only going to be a clutch of companies that really have the firepower to do that type of R&D and also launch the product. So, I truly remain very confident in conversations with the innovators that it is a trough, but we will come through this. And I think there would be further growth.. The question is the timing and the geographies. The anticipation is hopefully that Europe and US come out of it faster, and South America may be a slight lag.
Harsh: Right. And sir, another question on the exposure to China bit. So earlier, it used to be a minuscule portion, but now you have increased the share of revenue in China. So, is this something structural? Do you expect revenue there to increase? Or is it just because the share of revenue from Europe has increased, and temporarily, you have leased products there?

Rajan Venkatesh: So, China has been really a conscious bias, not an unconscious bias. And again, this is the strength of the portfolio. We have been able to target a specific application base, which has enabled us to tap into that. And there are, I would say, adjacencies that we would be working towards.
Harsh: Alright. That’s all from my side.
Moderator: Thank you. The next question is from the line of Virat from Shah Investment. Please go ahead.
Virat: Sir, many congratulations on the good performance. Sir, what is the current demand situation in the chemical market? Are you seeing any trends or reversals from being bottomed up from the last few quarters? Any colors on that side?
Rajan Venkatesh: So, Virat, again, thank you for the congratulations on the performance. I think let me take it in two selects. One is we have the essentials part of our portfolio. And therein, we see the spreads for a lot of those products still being, I would say, in the bottom quartile. So, we have not seen certainly a large rebound yet. That being said, the downstream market demand for these products, especially if you look at, the Asia market continues to grow. So that is a positive element.
But given that in certain segments we see supply being long, and that's why we believe -- and also feedstock prices, if you talk about acetic acid that I explained, is hovering around, whatever, USD 380 to USD 400, so there is more stability also on the feedstock side, and that

's why we
see the spreads being where they are.
Now Specialty is a different focus for us and the focus, the way we are steering it is obviously product portfolio and performance. So that is the way I would differentiate the two but again, at a macro level to say that we are seeing a big rebound would be not the correct statement.
Virat: Understood. Good, good that there is some traction over there. Sir, I want to follow up. I can see

that your volumes have grown in double digits and also this EBITDA spread has improved significantly. Does that mean the realization of spreads have increased over the time?
Mahadeo Karnik: Your question is versus previous year, correct?
Virat: Yes.
Mahadeo Karnik: Yes, it's mainly because versus previous year, the prices have come down, so that spread has increased. Yes.
Rajan Venkatesh: And that volume growth is driven by our operational excellence journey.
Virat: Thank you, sir. All the best.
Moderator: Thank you. The next question is from the line of Chetan from ASK Investment Managers. Please go ahead.

Chetan: Sir, just two questions. First was on the Essentials portfolio. Given the efficiencies that we've undertaken, is it fair to assume that whenever we see pricing there improve and spreads improve, structurally, we should see a higher OP per kg compared to what we used to see earlier in a normalized situation, which was around INR 4 to INR 5? So, given what we've undertaken internally, whenever this improves structurally, there should be an improvement here?
Rajan Venkatesh: Clearly, as you see, if there is a firming up on feedstock side and supply-demand dynamics continue to be in favour, that would certainly be a positive lift up on, I would say, the spreads. And I would like to talk about spreads here because that's where the juice is. You already see what Mahadeo also alluded to in our power costing and others. While we have grown volumes, we have actually kept that at bay, and that is also really directly impacting from our operational excellence journey.
Chetan: Understood. And sir, second question is more from a capitalization perspective, the balance part of the Lote plant will get capitalized in Q4, that should be a fair expectation?
Mahadeo Karnik: Yes, that's what we are aiming for.
Chetan: And that quantum would be how much, given what we've already capitalized?
Mahadeo Karnik: So that would be around INR 140 crores.
Chetan: Thank you so much. All the best.
Moderator: Thank you. The next question is from the line of V.P. Rajesh from Banyan Capital. Please go ahead.
V.P. Rajesh: Thanks for the opportunity and congratulations on fantastic numbers. My question was that how are you assessing the Trump tariffs that may be coming on 1st Feb? I think there have been noises around 25%. So, I'm just trying to understand how will it impact our business, both from the raw material standpoint as well as the end markets? And then the second question -- well, maybe I'll ask my second question after the first one.
Rajan Venkatesh: Okay. Thank you, Rajesh. Again, glad to have you. I think first is, where are we sourcing our feedstocks from, right? A lot of our sourcing strategy has been primarily coming in Asia. So that should, I would say, buffer any untoward element. Secondly, as I've called out in the past, also for the feedstocks, when you look at supply-demand dynamics, a lot of the key products tend to be long. So, for example, acetic acid. So I am not anticipating at this point of time any knee-jerk reaction.
Secondly, if you look again at our spread of customers that we are serving, yes, we do serve customers in US. But primarily, these are large MNC innovator companies who tend to have different buying patterns with buy centers in Europe, which buys globally. So that's where we see it. If you ask me from a point in time how things will evolve, we'll keep a c

lose watch.
In fact, I would see another lens with him coming on board, a lot of the conflicts in Middle East and also what is happening in Europe, if that tends to sort of subside, that would also open up

opportunities. When you look at the freight rates, which have jumped up significantly, this could actually moderate back to the pre-COVID rates, and then, that would also open up larger opportunities.
V.P. Rajesh: Got it. And then in terms of our capex plans that you have outlined in the deck, my question is that how are we tracking towards that? Is it anything given sort of the past setback? But over the last 3, 4 quarters, are we still on track? Or is there some more delay? I just wanted to get a sense of that.

Rajan Venkatesh: So, two elements there, Rajesh, to dissect. One was our fluoro-intermediates project, where we had called out very transparently that there was a delay and cost to complete was focused at INR 550 crores, that clearly is under check now.
The second lens is our new investments, which are bundled in the INR 1,100 crores and a big chunk of that at our Dahej site, that, as I already called out in my pre-statement, this remains on track. We remain on track to receive pending regulatory approvals, the project, the timelines, and budget and scope remains on track.
We have also, if you remember, set up a very robust way of tracking this. So, we have established, under the leadership of a Chief Technology Officer, the entire projects team, lab to scale, continuous improvements, new technology and project procurement, is steered under one clear leadership and one umbrella, which I believe is also helping us to get the transparency and tracking.
V.P. Rajesh: Got it. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Shantanu from SMIFS Limited. Please go ahead.
Shantanu: Sir, I just wanted to know how did you optimize on the power costs. I mean how was it possible to keep power cost at a constant level?
Rajan Venkatesh: So, I think the operational excellence journey is the key here, Shantanu. So, for example, we produce ethyl acetate, one of our key products across multiple lines. So, when we started off the journey, the entire topic of the data analytics here was to gleam out which is the best-in-class. Of the lines that we are producing, can we take an internal lens and bring the other lines to be best-in-class? And that's been a key journey wherein we have had significant improvements in our variable inputs and the costs going lower. And that is what is keeping us in a good state when you see our performance at these numbers.
Shantanu: I see, sir, but maybe I'm missing something, but I just want to understand -- I mean, I don't understand the technicalities, I mean, if your production volume, for example, increased, then logically, your power cost should also increase, right? I mean, so...
Rajan Venkatesh: So let me give you more color onto that one. First is if you're running -- and I'm giving you a hypothetical example, if you're running an asset and you're consuming, whatever, 100 kilos of

steam to run that process, in your operational excellence journey, suddenly that 100 kilos boils down to 50, right? So, you're already bringing in efficiency from that lens.
So, you are actually having a higher output potentially here and actually consuming less. So that's why, while you're producing more, you're not consuming the same amount of steam. Our power plants are cogen power plants, so that's where the verbund or the integration works in our favour.
And the other topic is obviously, when you look at the cost of coal, because our cogen plants, coal is a key building block, we have also seen the cost of coal moderating lower. So that is also working in our favour, so I think

both of these effects. Hopefully, this gives you better clarity.
Shantanu: Thank you very much.
Moderator: Thank you. The next question is from the line of Devang, who's an individual investor. Please go ahead.
Devang: Sir, my first question is regarding the fluoro-intermediate business. What could be the gross margin trend for the fluoro business?
Rajan Venkatesh: So, Devang, basically, in our Specialty block, that's what we have called out, the focus remains that we deliver EBITDA of 20% to 25%. You have seen that also with our Specialty performance. We've actually delivered slightly above that. So that is also true for our fluoro-intermediates business that, that will be in that ballpark.
Devang: Any insights for gross margin?
Rajan Venkatesh: We are steering at an EBITDA lens. So, I would request you that if you can accept that.
Devang: Okay. And the next question is, any pricing change expected after Chinese New Year?
Rajan Venkatesh: Pricing change after Chinese New Year, I think looking at maybe acetic acid as key building block, what I shared with you in the last quarter, quarter 3, we were having an average price of acetic acid in the range of about USD 380, which has slightly increased to about USD 410. So post Chinese New Year, once those capacities come back online after the scheduled turnaround, you could see that sort of moderating. That's the lens I would have.
Devang: Okay. And the last question is, will the company be investing in the HF plant for backward integration for our fluoro business?
Rajan Venkatesh: Simple answer to that, no, Devang we will not be doing it. We are not a large consumer of HF, and we believe there is enough capacity out there to meet our demands competitively.

Devang: Okay. Thank you.
Moderator: Thank you. The next question is from the line of Rohit from B&K Securities. Please go ahead.

Rohit: Thanks for the follow up. First question is on the fluorination project. So next year, when we will reach about 40% to 60% of revenues, is it safe to assume that we will be able to garner the EBITDA margins in the range of 20%, 25%?
Rajan Venkatesh: That is what we are diligently working towards, Rohit. So that's going to be the important element for us. Because as we ramp up is where you really understand all the moving parts coming to play, but the focus remains. And as I've called out, I think I just want to take a step back, why did we do this again?
The thesis of why we have invested here is because we believe there is a longer runway for us as Laxmi in this space. And for every dollar that I invest more into this is what I will juice out. And in fact, I will try to work towards the higher range of the ranges that we have provided, both in asset turns and also EBITDA. So that's where I would like to park it for now, Rohit.
Rohit: Got it. Fair enough. Second question is on the capex. Just wanted to understand the setup. So, what I got from last call and this call is INR 1,100 crores total capex, INR 800 crores, Dahej; INR 50 crores, which is incremental on fluoro; n-butyl acetate, INR 90 crores; ETAC, INR 90 crores; and the remaining INR 70 crores, is it for the n-propyl acetate?
Rajan Venkatesh: No. So, Rohit, again, Dahej, INR 800 crores includes the n-Butyl acetate. Then you have the INR 90 crores, which is designated for the world-scale ethyl acetate. We had INR 50 crores from the Fluoro-intermediate project, which was still pending, right? So those are your big movers. And then you would have, obviously, at our existing sites, where we have always done incremental capexes that is also built-in.
Rohit: Got it. And the n-propyl acetate?
Rajan Venkatesh: N-propyl acetate is fundamentally a refurbishment of our existing acid, bases. So, this is done in a very smart way.
Rohit: Thanks a lot, and all the best.
Moderator: Thank you. As there are no further questio

ns from the participants, I now hand the conference over to management for closing comments.
Rajan Venkatesh: Thank you for all having joined in and invested your time. So, I would like to conclude by saying we have continued our growth journey and delivered double-digit growth in volumes, revenues, EBITDA in quarter 3 and 9 months on a year-on-year basis, despite the prevailing operating environment and in the constantly evolving geopolitical backdrop and its consequences. This growth continues to be driven with our focus on operational excellence effort, capacity augmentation and customer centricity.
At our fluoro-intermediate site, we are steadily changing gears and now are focused to generate revenues, as explained. At our Dahej site, we continue to remain on track to receive the pending regulatory approvals and the project remains in schedule, on timelines and in budget.

Also, I'm glad to share that in quarter 3, Laxmi Organic received a credit rating upgrade from India Rating and got rated by CRISIL. The company is now rated AA/stable/A1 positive. The recognition of our efforts on sustainability was validated with the rating on Together for sustainability at 87%, which was a big jump up. And also, by the National Safety Council for the third consecutive year.
With all these efforts in play, we remain geared to win and geared for growth to achieve our laid-out plans for FY '28. I would like to share my deep appreciation to the whole Laxmi Organic team, our customers and all related stakeholders. Thank you, and have a great day ahead.
Moderator: On behalf of Laxmi Organic Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

May 27, 2025

Dear Sir / Madam,
Sub: Disclosure under Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligation and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”), we wish to inform you that the Company participated in the investor conference as given below:
Date and time Type of Meeting / Event Location
May 21, 2025, at 14.00 hours
onwards Investor & Analyst Meet to discuss
performance for the quarter
ended March 31, 2025 hosted by
Strategic Growth Advisors Conference Call through dial -in

No Unpublished Price Sensitive Information was shared / discussed in the meeting with the investors.
Further, please see enclosed the transcript of the Investor Call for Q4FY25.
We request you to take the above on record.
For Laxmi Organic Industries Limited

____
Aniket Hirpara
Company Secretary and Compliance Officer

Encl.: A/a

BSE Limited
Corporate Relationship Department,
1st Floor, New Trading Ring,
Rotunda Building, P. J. Towers,
Dalal Street, Fort,
Mumbai – 400 001
Scrip Code: 543277 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai – 400 051
Trading Symbol: LXCHEM

“Laxmi Organic Industries Limited
Q4 FY '25 Earnings Conference Call”
May 21, 2025

E&OE - This transcript is edited for factual errors. In case of any discrepancy, the audio recording uploaded on the stock exchange on 21st May 2025 will prevail.

MANAGEMENT : DR. RAJAN VENKATESH – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER –LAXMI ORGANIC
INDUSTRIES LIMITED
MR. MAHADEO KARNIK – CHIEF FINANCIAL OFFICER
–LAXMI ORGANIC INDUSTRIES LIMITED

MODERATOR : MR. TANAY SHAH – STRATEGIC GROWTH ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY '25 Earnings Conference Call of Laxmi Organic Industries Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing start then zero on your touchtone phone. Please note that this conference has been recorded.

I now hand the conference over to Mr. Tanay Shah. Thank you, and over to you, sir.

Tanay Shah: Thank you, Anushka. Good afternoon, everyone, and thank you for joining us on the Q4 and FY '25 Earnings Conference Call for Laxmi Organic Industries Limited. On the call, we have with us Dr. Rajan Venkatesh, MD and CEO; and Mr. Mahadeo Karnik, CFO. The company has uploaded its financial results and investor presentation on the website as well as stock exchanges. We hope everyone has had an opportunity to go through the same. We will begin the call with some opening commentary from the management, followed by a question-and-answer session. Before we begin, I'd like to point out that this conference call may contain certain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements do not guarantee the future performance of the company, and it involves risks and uncertainties that are difficult to predict.

I now hand over the call to Dr. Rajan Venkatesh, MD and CEO. Thank you and over to you, sir.

Rajan Venkatesh: Thank you, Tanay. Namsakram to all. Good morning, good evening, and good afternoon, depending on where you're dialling in from. Thank you for investing your time with us. So, as always, taking you through the various buckets that we would like to share with you. First is a very quick look into macro. Then coming closer to home, which is our industries that we are very proud to serve. Then comes the element of our raw materials, which are key building blocks across our value chains. And then I would like to take the opportunity to give an update on our ongoing projects as a status update.

So let me start with macro, certainly, one of the more exciting times we are all living in with what's going on globally and evolving on a day-to-day basis as we speak. I have received this question multiple times, so I'll put that first upfront. Into the U.S., Laxmi has an exposure of less than 10% of our sales at an enterprise level. And broadly, given that things are fluid and evolving, we view that opportunity as neutral to positive. So that's the first point.

The second lens also when you look at the chemical ecosystem, I must say, unfortunately, things have not developed negatively, but certainly also not positively. We continue to see the overcapacities in China continuing to play out. Other geographies like Europe continues to be in pressure. Now when I'm talking about this, this is the overall chemical ecosystem I'm talking about, not specifically Laxmi. I want to clarify that.

Producers in Japan and Korea continue to be under pressure. Certainly, India continues to be one of the more brighter spots. And North America to a certain extent. So that's where we see if you look at the global chemical ecosystem.

Then if we come to the next point, our customer base that we serve and industries. I would say most of the industries from a quarter-on-quarter basis, we continue to see the demand being stable. So, when I'm talking about these industries, be it pharma, be it printing and packaging, be it our pigments, be it industrial solutions. The one section that we continue to see weakness is agro. So, I think, at this point of time, continues to be weak in our lens.

We are also

very thrilled with the new segments that we have entered into, I've called that out in the past. And you would have also seen the recent LOI that we signed with Hitachi Energy, which is again bringing us into a very different segment, which we are excited about.

When we talk about raw materials, and I call about two of them, which is acetic acid and ethanol, on a full year basis, FY '25 versus FY '24, we have seen double-digit decline, so about 11% decline in pricing for acetic acid. And for ethanol, it is in the range of 15%. So, this is also what you see is getting reflected. Our prices are a little more softer, which is obviously more pronounced in essentials, but also certainly does impact the specialty portfolio, given that the overall feedstock environment continues to be a bit more softer and has declined on a full year basis.

Then comes to the ongoing projects. Our project at Dahej, what we say very proudly Indra Dhanush. There, we have received the EC and the factory license. So that project, building on the continuous efforts of the whole team, remains on track with on timelines, in scope and on budget.

When we come to our other project, which was the fluoro intermediate setup at Lote, there again, we remain committed to what we had shared. In quarter 4, we saw the first positive commercial

sales happening, and the ambition continues to be that into FY '26, we are around 40% to 60% of the peak revenues that we have laid out for ourselves. Obviously, some softening on the pricing points have happened, but broadly, that remains our focus area as we take our projects.
If we then look at our performance, Clearly, what we have shown is strong volume growth in certainly a point in time and markets which are not growing at that pace. So, a lot of credit, a lot of focus, a lot of diligence from our side. We have also actually maintained our contribution margins by playing the entire portfolio across essentials and also specialties. So that is a very positive reflection, if I have to look at the full year basis.
Then when we look at the SG&A costs, we have certainly added in areas where we have committed that is when we're looking at the newer plants and also the capability people linked to running these assets and running us at an enterprise level, while all other costs is we have been very, very prudent and we have held that in line.
We've also been financially very disciplined. We have held our debt at very low levels despite the capex cycle that we are into. And that is what is all keeping me -- I would say giving me comfort that once we are now very well equipped and we are well geared. And as the cycles turn, we are also very well positioned, A, to navigate the current point in time; and B, also leverage the upside, which we have done in the past and we will continue to do in the future.

With that, I'll pass it on to Mahadeo, where he can take us through the numbers in more granularity. One other element, which I would like to call out. As things move across, in one product in our specialty portfolio, the end application which it is serving has got a regulatory phaseout. This is what we had anticipated for quite some time now, but we have been diligently serving our customers and they are markets thereby.
While we have a substitute already lined up, in the interim, it will have some minor impact and some softness into our P&L. But we are completely geared for it. It is at a specialty level. It is less than 10% of our specialty basket. –We saw this coming, but we are leveraging it now.
With that, Mahadeo, I'll pass it on to you. And I'll talk about our project with Hitachi in my comments.
Mahadeo Karnik: Thank you, Rajan. So, as this is a call for full year as well as the quarter numbers, I will take you through first full year synopsis and then the quarter 4 numbers.
Our volume growth has

been 11%, specifically coming from our execution excellence project,
which we call it Lakshya, that was on the back of a minimal capex. Our gross margin, if you look at in this environment has improved by 218 bps, which is a testimony that we are controlling the cost of the products, because the realizations, specifically in essential business are going down.
In case of our employee costs, employee costs remained same as previous year. Again, the power and fuel remains same, so percentage versus the sales. Though the volumes have increased by 11%, the power and fuel has just grown by nearly 2%. Other expenses have grown up by nearly INR 59 crores mainly out of -- the whole part of this is the sea freight cost that we have to incur. Sea freight this time has increased nearly by 60% year-on-year. Excluding sea freight, the other costs remain exactly flat.
So overall, EBITDA, we are at 9.4% versus 9%. Again, we are having an operating leverage in these moments. Other income remaining flat. The depreciation has started to increase now because we have capitalised the Lote assets. Finance cost has increased mainly because of the term loan that we have taken as well as the buyers' credit that we have taken, and the GST interest that it accounted at this line. The effective tax rate nearly remained same as last year. So overall, the PAT remains at 3.8% versus 4.22%.
For the quarter, the volume have grown by 1%. The gross margin has reduced. And now we'll take you through 2 major levers that are impacting this comparison versus previous year same quarter. In last year same quarter, the essential price realization and margin realization was much higher and highest in the quarter of last year FY '24, mainly on account of sudden shutdown of one of the suppliers. So that has not happened this time. So, the margins are at a stable level. That's why you can see a dip of gross margin from 35.6% in quarter 4 FY'24 to 34.6% in quarter 4 FY'25.
We have also onetime impact of the assets that we have sold at a loss because they're not in use of nearly INR 68 million, which means that the adjusted EBITDA for the quarter is INR 590 million versus INR 900 million in previous year. The INR 900 million includes the one-time

impact of the loss of profit claim that we received of INR 10 crores. So overall, if you adjust the EBITDA like-to-like or excluding one-time costs, the EBITDA is at 9.3% versus 10.2% of last year.

The depreciation, again, has increased from INR 30 crores to INR 39 crores. The tax -- we have a credit of nearly INR 85 million. This is mainly coming off because of the merger with YFCPL got announced and all the financials got restated for consolidated numbers. As YFCPL was taxed earlier at 17%, now it is effectively taxed at 36%. That's why all the depreciation and the current year losses are creating a deferred tax asset. So that is creating a one-time tax credit of INR 85 million in this year.

So overall PAT margin remains at 3.1% versus 5.7%. On a business level, overall, the EBITDA of essentially is at 3% and specialty is at 23%. Working capital remained very robust at 24 days versus 11 days of last year. 11 days of last year was because of a one-time blip in the extended credit on alcohol consignments, which has now normalized, so which we have now got the working capital days at 24. Our term loans have reduced from INR 90 crores to nearly INR 42 crore in this year.

So, we are looking at how we can be efficient in financing, how we can be efficient in working capital and how efficient we can be on the project tracking and on cost. So with that, I will end up my summary here. And Tanay, over to you.

Tanay Shah: Yes. Anushka we can start the Q&A session.

Moderator: Thank you very much. The first question is from the line of Rohit Nagraj from B&K Securities. Please go ahead.

Rohit Nagraj: So, first

question is on the LOI that we have signed with Hitachi Energy. So, if you can give just more details about what is the arrangement, what is the technology here, whether there is a technology transfer. And generally, what is the size of the market we are looking at? And when we will start probably commercializing the product and getting the revenues?

Rajan Venkatesh: Rohit you seem to be as excited as we are on signing up this LOI. So, I think let me just structurally explain it to you. We have signed the LOI. And as we speak now, we are in the next phase of detailing the contracts. So, signing -- ticking that box and we want to pin down the moving parts. Thereafter, is where we will go to our Board and seek final approvals. And then thereafter, I am very excited to share far more details in the granularity that you sought. So please bear with us.

But what is important to call out here for us is, one, is, again, a testimony to what we started off like in our diketene journey when we started with our fluorination journey, we said this is a platform we want to begin with. It's a start point, not the end point. And I think this is now testimony. The second time around, we already had one large MNC who collaborated with us in the past, which we have called out. And now this is the next big pivot that we are making.

This is obviously, as you have seen, bringing us into an interesting new segment of power transmission and generation and transmission. So, I think that is what we are excited about. And

I'm certainly will share the details as soon as I am privy to with you and the overall audience. So kindly bear with us.

Rohit Nagraj: Sure. Just one clarification. As of today, this market is served bv Hitachi or is this a new market that will be developed once the tech transfer happens?

Rajan Venkatesh: So broadly, Hitachi is the market leader by far in this segment. So, we are now collaborating with the leader. This product is primarily being sourced by them from China, and this is a unique opportunity that brings in the mix.

Rohit Nagraj: Fair enough. That's really helpful and a bit more details on the same. Second question on the Miteni front. So, we have depicted in our slides that by FY '27, we're able to reach the peak potential of maybe close to about INR200 plus/minus crores. Are there any other projects that we are working on? I understand we still have the team Miteni in Italy working with us. And just a clarification on the same that we will be continuing with the R&D setup in Italy? Or are there any plans of shifting it to India and probably vacating that space there?

Rajan Venkatesh: So, Rohit, again, thank you for the question. As we have clarified in the past, Rohit, we have no team today in Italy. The whole thing is absorbed within Laxmi. We also recently announced the opening of a brand-new innovation center. That is where a lot of that technology is nestled in India. So, it becomes Laxmi's global innovation centre in Navi Mumbai for the world. And there is no team in Italy who are working with us.

Rohit Nagraj: Got that. Just a clarification on this. In terms of any liabilities from the Italy plant. So, we don't have any connection to Italy whatsoever right now, that everything has been transferred to India. Is that the right way to look at it?

Rajan Venkatesh: Yes.
Rohit Nagraj: And on the new projects that we are working on, on the fluorination space, which user segments we are targeting?
Rajan Venkatesh: So, as we have also said, the Miteni brings us a certain range of products and portfolio for the Miteni legacy. So that is serving a range of industries that today we are already very active in, be it in the agro, be it in the pharma space, be it in industrial solutions. And obviously, we are leveraging it into newer segments and the recent LOIs is the case in point.
Moderator: Next question is

from the line of Ankur from Axis.
Ankur: First question on the Miteni side. So now R&D team is relocated here. And we had a set of portfolio with us from Miteni. Your thoughts in terms of, one, the ramp up in the existing products that we are working on and secondly, the newer ones on which we were working. And when you are giving a guidance of full revenue ramp up by FY '27, we have some LOI's, some business contracts already signed up? So some visibility over there?
Rajan Venkatesh: Ankur. Thank you for your question. So again, let me go back to the thesis, right, of what we have always maintained. Miteni, legacy Miteni -- and I like to call it legacy Miteni because it is

Laxmi now, came in with a technology platform base. Electrochemical fluorination being one part of their technology platform.
And that is what we are continuing to leverage, both the electrochemical fluorination part of what we had acquired and the other parts of that technology platform to [A], build on the existing portfolio that Miteni had and [B], leverage that into the newer segments. And again, a case in point, what we have now just signed with Hitachi.
Even prior to that, building on that adjacency was with another MNC that we had collaborated.
So, to be very precise to your question, the majority of the baseline is building of what we had acquired and we are building off that.
Ankur: Sure. And from a revenue -- the second part, from the revenue ramp up point of view, what gives us the confidence and the visibility of a ramp up in the next 2 years?
Rajan Venkatesh: So one is, if you look from a market lens in our assessment, certainly, the demand is certainly higher than supply. So that's a positive going-in positioning. We have also invested the last 2 years even more diligently to bring this entire asset to the level of comfort where we need to be and also where our customers are. And that is what is now giving us the comfort as we move into FY '26 and beyond to actually leverage this overall platform steadily.
Ankur: Sure, Rajan. So, will it be fair to say that we'll have decent visibility on this revenue ramp up there, given our discussion with the global customers?
Rajan Venkatesh: Yes. Absolutely.
Ankur: Okay. Great. Just a clarification. The new LOI that we are signing up with Hitachi, will this be made in the same premises as Miteni? Or there is an incremental capex requirement for that?
Rajan Venkatesh: So, anything fluorine, as we have also stated in the past, we have called it out that we had already overinvested in IOU from a line of sight of future expansion. That is what we are leveraging in.
So, it will be in our Lote complex. And obviously, we will bake in wherever there are synergies feasible.
Ankur: Okay. Secondly, on the full year basis, we highlighted 11% of volume growth. The spec. chem. revenue is up some 14%-odd. If you can help break up the volume growth specifically for specialty chemicals.
Mahadeo Karnik: So, the specialty chemicals volume growth year-on-year is 7%.
Ankur: Okay. So, there is a pricing improvement that we have seen in the specialty part of it?
Mahadeo Karnik: Yes, yes.
Rajan Venkatesh: It is primarily the product mix, the portfolio, I think that's been our strength that we've been calling out consistently. In the diketene derivative space, today as we speak, even on a global lens, Laxmi has the largest diketene derivative portfolio, and that is what we are consistently leveraging upon.

Ankur: Sure. And there were a couple of Spec Chem projects that we are working on. Have they been ramped up fully? And how do you see the growth outlook there in the Spec Chem business over the next 2 to 3 years?
Rajan Venkatesh: So, Ankur. Broadly, again, calling it out at a macro level, we continue to see, at least with the customer bas

e that we are engaged, that agro still, from a demand lens, continues to be under pressure. So that's the first point. I think specific projects, if you can be more specific, then I can answer. But broadly, the projects that we are today already engaged in, we are well entrenched with our customer base. I would not, at this point of time, add anything or subtract anything from that.

Ankur: Okay. No problem. And from a Agro Chem contribution here, that still will be a majority part of the specialty, right?

Rajan Venkatesh: No. If you really look at it also shown into our chart, the agro as a part of our whole portfolio at an enterprise level is less than 10%. And also, within the specialties, this has been also very well entrenched, that are specialty downstrea m, Now primarily, it is our diketene derivatives is very well hedged across the industries that we are serving. And in fact, we are also entering newer industries like I called out last time around, like personal care and others.

Ankur: Yes. Okay. Great. And just last bit - while there is detail on the gross margin mix between the 2 segments, we have been sharing EBITDA mix there. So, if you can help with the full year EBITDA margin or EBITDA contribution breakup for the 2 segments.

Mahadeo Karnik: So, EBITDA margin for specialty is 23%, EBITDA margin for essential is 3% on a full year basis.

Moderator: The next question is from the line of Rohan Mehta from Ficom Family Office.

Rohan Mehta: So, in your initial address, I just wanted to clarify. So how have the acetic acid prices trended over the past month? And what are the current spot prices versus what they were a month back? That's be the first one. And also, if you could provide some color on the current spreads for ethyl acetate?

Rajan Venkatesh: So okay, our acetic acid, the first is, again, let me take a step back. So, on a year-on-year basis, on a full year basis, we have seen acetic acid prices decline in the range of 11%. So, in FY '24, on an average, it was about 450. On an FY '25 average, it was about 400. So, as we speak now, we exited sort of quarter 4 in that similar ballpark of about 395 to 400. And I think that is where we are.

Obviously, as we have also called out in the past, from a supply-demand side for acetic acid, there is more supply than what demand curtails. So, we continue to see some more softening anticipated into the acetic acid prices into, obviously, quarter 1. That is where we have the line of sight at this point of time.

When we talk about your second part of the question on the ethyl acetate spreads, we've also dwelled into that in the past. If you take out the COVID peaks, the average spread over a 13-

year period, whatever you take, 10-to-13-year period, should be over acetic acid and ethanol, spread should be around $ 225 per metric ton.

What we observed in the last quarter, and that's why we say, today, the spreads are far more subdued has been in the range of about $ 140 to $ 150. Obviously, depending on certain aberrations, it could go down another $ 10 to $ 15. But that's the range of what we are expecting. And that's why we say, today, we see our essentials portfolio, especially ethyl acetate, in the bottom quartile.

But that being said, you see the leverage that we have, we have been able to grow market share and we believe we have a good cost positioning to win. And as things move across upward, we are well positioned.

Rohan Mehta: Sure. Thanks for the clarification, sir. And on the ethyl acetate, I believe there were some players who have shut down capacity last quarter or two. So, has there been any more capacity shutdowns in Q4?

Rajan Venkatesh: No, I think nothing that has been official, especially outside India. I think you are referring to the announcement from Sipchem that they made. And I think that is progressing, as we understand from the market f

rom today's perspective. And the other players, I think we see them off and on. So, at this point of time, no other official announcement that we are aware of apart from the one you called out in quarter 4.

Rohan Mehta: Right. And lastly, sir, on the acetic anhydride, could you tell what the current spreads are?

Rajan Venkatesh: Acetic anhydride is, I think a much smaller part of our portfolio. Certainly, it would be fair to say there, again, we are continuing to see that the margins are under pressure, given that the downstream paracetamol and you've heard that from the largest player in the acetic anhydride space calling that out. So, it is no different for us from that lens, but we are a much smaller player in that space.

Rohan Mehta: Sure. Thank you so much for patiently answering my questions and wishing you all the best.

Moderator: Thank you. The next question is from the line of Aryan Jain from Lotus Wealth. Please proceed.

Aryan Jain: Thank you for the opportunity. You mentioned in one of the slides that we have a road map to achieve 20% ROCE by the year 2028? So, what's the growth plan to achieve this number and do

you think there are some risks involved associated with this number?
Rajan Venkatesh: So Aryan, thank you for the question. Again, so let me call that out. One is we have our essentials part of the business, as we have said, it is a cyclic business. And at this point of time, listening to the narrative that I was sharing with the previous caller, we are today in the bottom of the cycle.
The margin assumptions we have made is over a cycle and we remain very, very well positioned to leverage once things pivot. And you already see certain producers actually announcing a

shutdown. So, we will see, given that the bottom of the cycle as long as prolonged, we will certainly see other producers also feeling the pressure, but we are well positioned.
So that's one part of the puzzle that you need to understand when we look at our essential's basket. It's not a point in time; it is over the cycle. In our specialty space, our ambition has been also very clear that we need to maintain EBITDA ranges of 20% to 25% independent of the cycle. As you saw also in our performance in FY '24, where we closed to about 24%. Mahadeo just said where we closed FY'25 at 23%. I think we continue to be strongly positioned and are diligently working in that direction.
What could be risks? Clearly, from this side, obviously, the softening you would see on the raw materials is something I called out, but that could be a double positive. So, when things also pivot, we are well positioned to leverage because we are also investing in the current down-cycle. So that's the way I would view it, Aryan.
Aryan Jain: Just had a follow-up regarding this. We actually have a margin of about, I think, so 8% to 12%. And for us to achieve that number, we have to essentially double our revenues, maybe triple our EBITDA. So, do you think like this number is actually sustainable given the margins that we have?
Rajan Venkatesh: So, as I again said, the margins are twofold. One is, if you look at our essentials business, it's over the cycle and we are in the bottom of the cycle. In the specialty business, we have continued to maintain our EBITDA ranges despite of the market backdrop that we are operating in.
Thirdly, we are in an investment mode. So, our volumes will improve by 1.7x versus where we closed out in FY '24. We also called that out. So, it is not going to be simply achieved from the current baseline. There is an investment which is going in. We will also be doubling our capability of the ketene and diketene derivative space. So, all of that is what is going to come into play for us to be on track with our ambition.
Aryan Jain: Wonderful. And just to confirm, our capacities that are going to be doubled in ketene and diketene produc

ts, they're going to be at the Dahej plant, if I'm not wrong?
Rajan Venkatesh: Yes. The diketene derivatives would be at the Dahej site. The expansion that we are doing for our ethyl acetate is at our Lote side.
Aryan Jain: Wonderful. Thanks a lot. Thanks for answering my questions patiently.
Moderator: Thank you. The next question is from the line of Yash Mehta from Malabar Investments. Please proceed.
Yash Mehta: Thank you for the opportunity. If there was a question by one of the previous participants on volume growth. Sir, you mentioned 11% volume growth for the full year. You mentioned that specialty is 7%. So, is it a fair thing to say that acetyls would have grown at 13% or 13%, 14%-odd volume growth for the full year?
Mahadeo Karnik: Yes, you are correct.

Rajan Venkatesh: We have got only one suggestion, it is essential. While acetyls is the older term, we call it essentials.
Yash Mehta: My bad. So, what would be the growth, sir, just to clarify for the full year?
Mahadeo Karnik: It's 12.5%.
Yash Mehta: Understood. And for the quarter, it would be helpful to understand that there was a 10%-odd decline. Is that largely volume-driven or there was a fair amount of pricing fall as well?
Mahadeo Karnik: So, the volume has declined by 1%. The rest is price fall. As I said, in the last year, the prices were quite exceptionally higher because of unplanned shutdown of one of our suppliers. So, it may not be a right parameter to check that is specifically in our essential business.
Yash Mehta: Understood. So, the business -- like on volumes is broadly flat, only driven Y-o-Y pricing spike that happened last year. Okay. And in terms of product mix, it seems that this year was one of the first years where we have introduced a lot of new products in this essentials business as well?

Rajan Venkatesh: Yes, Yash, so where are you leading with the question?
Yash Mehta: What I was trying to understand is, was there a negative price mix because since new products get added, what would be the share of ethyl acetate within them and has that changed over the last 1 year that is driving the 9% negative price mix?
Rajan Venkatesh: No. So, in fact, one of the key products that we introduced was n-propyl acetate, so there is no negative price mix in that Yash. In our strategic timeline, we are also very clear that we need to find a good hedge to ethyl acetate. So, if you look at FY '24, ethyl acetate as part of our essentials basket was contributing 85% to our essential's basket. And the ambition that we have is in that FY '28-time horizon to bring this down to almost 65%.
So, I think that's a conscious effort from our side. We are also looking at products which are primarily import substitute and n-propyl acetate is a case in point. Butyl acetate, what we called out about two quarters back is a case in point. I think that is also bringing in resilience to our customers in India in today's, I would say, trade backdrop.
Yash Mehta: Got it. So today, ethyl acetate would be much lower than 85 in contribution?
Rajan Venkatesh: I would say it would be a 80-range, early 80s range.
Yash Mehta: Got it. And sir, the other question that I had was as far as Lote complex is concerned, since you've already reached 40%, 60% utilization. Is it fair to suggest that the site has achieved cash breakeven at these levels on a monthly basis, at least?
Mahadeo Karnik: No. So, the first is we've not achieved 40%. So, quarter 4 was the first, as we called out, also if you see in our charts, is where we started commercial sales from our Lote setup. And the cash breakeven question that you have, this will happen in this financial year. So, the target remains about close to 40% to 60% of our peak revenues and the cash breakeven will happen this year.

Yash Mehta: So, it will helpful t

o kind of call out the additional spends that are happening at the particular site today, like in terms of maybe operating drag. Just to understand the EBITDA margin better, nothing -- no other reason?
Rajan Venkatesh: Yes. We are happy to understand the granularity that you seek and we can follow up with Mahadeo offline. That's what I would recommend, Yash, if it's okay with you.
Yash Mehta: For sure. Thank you very much. All the best.
Moderator: Thank you. The next question is from the line of Jigar Shah from Elivate Research. Please go ahead.
Jigar Shah: Good afternoon, sir. So firstly, I just wanted to get a sense on the rationale of investing additional capital in ethyl acetate, given that is a segment where we are dependent on external factors for pricing. And also, there are overcapacities already. Because even if overcapacities go away, there will be sufficient supply to cater to the demand, right?
Rajan Venkatesh: So, Jigar, thanks for that question. So, our thesis has been always the same, that whatever we do to win in our essentials basket, we need to look at economies of scale. And what this investment does, it is providing us economies of scale. A 70 KT single-line technology, we would be the first plant in India providing that economies of scale.
Our markets for ethyl acetate continue to grow. So, one needs to get a little more granular into what is that. While you talk about supply-demand being at a certain level, I think one needs to also understand what is utilization and where are the other competitors on the cost curve. And that is the granularity that we have done.
Even if you saw it in the course of this year and last year, the fungibility that we are able to bring in into our market share domestically is I think, also a testimony to the way we are also steering our entire back end and front end. So that is what is giving us the comfort. To also call it out in quarter 4, there has been announcement of players like Sipchem deciding to move out.
And so, I think we will see how things evolve, but we remain confident that we are the leader in this portfolio. And we have reached the bottom of the cycle. So, we are well leveraged as things move further, we are very well positioned.
Jigar Shah: Okay, understood. Secondly, sir, when do we expect to commission the Dahej plant and when do the revenue start to flow in?
Rajan Venkatesh: Towards the second half of this year is what we are looking at. The mechanical completion, chemical charging all happening at our Dahej facility, and we'll be more granular closer to that commissioning period.
Jigar Shah: Okay. And lastly, sir, on a consolidated basis, I mean, given all the dynamics coming into play, we should broadly get to our FY '28 targets, right?
Rajan Venkatesh: We are very diligently working towards it, Jigar. But again, to the previous caller called out, obviously, today, we will continue to be in the bottom of the cycle when we talk about our

Essentials business. So, we have always viewed this over the cycle, not at a point in time. And also, we are seeing some softening in the feedstock, which is obviously also in our specialty business, taking down our revenues.

But we are very diligently, as also Mahadeo called out, looking at other levers, not just hoping that things will evolve, but playing to our strength and navigating through.

Yash Mehta: Got is, sir. Thank you. Thank you very much.

Rajan Venkatesh: Thank you, Jigar.

Moderator: Thank you. The next question is from the line of Rohit Nagraj from B&K Securities. Please proceed.

Rohit Nagraj: Thanks for the follow up. So, this year, we had exports of about 36%. What would be the composition in terms of Specialties and Essentials? And in FY '28, when we are targeting 2x of revenues, how much would be the export contribution? And again, what will be the split between Essentials and

Specialties? Thank you.

Rajan Venkatesh: So, Rohit, I think what is important to note is that exports will continue to be one important lever as we are steering our portfolio. So, in our Essentials part, we have been in the range of 70% to 75% domestic and somewhere between 25% to 30% of exports. Obviously, it also depends on the price arbitrage, the way we steer it.

For our specialty part of the portfolio, on a rule of thumb, 50% is domestic, 50% is exports. And also, this is driven by the customer mix that we are serving. So, I think that remains the key focus rather than talking about -- it has to be specific to the business unit that we are and the portfolio that we are steering.

Now that you bought the export question, it's a good segue to also bring to the people's attention that we are doubling on 2 regions. So, we have built-in capability in China. And you see also my leadership team chart; Lydia Wang joins us as the Head of China.

And we have also built in capability in Europe, with Mustafa coming in as the Head of Essentials and also Head of LOBV. And we have another colleague, Pascal, who then supports our Specialty business. So, we are also building in competence and capability in these regions to tap those opportunities there.

Rohit Nagraj: Sure, that's really helpful. Second question on the numbers. So, we have total capex, which is about INR 1,100 crores, and a large part of that is expected to happen in 1H FY '26. First question on that in terms of funding, how are we looking at on the debt equity front? And second thing, when the entire capex is complete, what is the peak debt that we are looking at? Thank you.

Mahadeo Karnik: So, Rohit, I look at around INR 300 and INR 350 crores of term loan maximum, which I will pay off by, say, FY '27-'28. So, debt equity at peak would be around 0.23 or 0.30. Not more than that.

Rohit Nagraj: Yes, got it. Thanks and all the best.

Moderator: Thank you. Ladies and gentlemen, in the interest of time, we will take the last question from the line of Chetan Doshi from Tulsi Capital. Please proceed.

Chetan Doshi: Thank you for giving me the opportunity and congratulations for the new tie-up with Hitachi. One question is regarding the Dahej plant. You said in the second half, you plan to commission the plant in a phase manner. So, in the current year, how much turnover do you expect to end up in the March '26?

And are you planning to dilute the equity, because again, this new tie-up with Hitachi will require a lot of funds? So, my question is on this. Would you be diluting the equity in near future? Or we will continue with the internal accruals?

Rajan Venkatesh: So, Chetan, let me answer the second part first. We are not going to dilute equity. We've been very prudent. You currently see our debt to equity, and Mahadeo just called out what would be at peak. So, I think we are very, very cognizant, very prudent and very well-funded in that lens, right?

We've not called out specifically, normally, as you have new investments coming with your experience, I hope you understand, it takes a certain period to ramp up. So that's why in the second half of this year is where we will see our Dahej project mechanical completion and chemical charging happening across most of the assets.

And then the ramp-up would take. Obviously, that's a qualification step because for certain of these products the customers will need to qualify the supply point, so there is a qualification step. So, we are really looking at the ramp-up starting into FY '27 and '28.

Chetan Doshi: Just last question. So, you expect that the profits of the company will be on the rise because you

are not planning to dilute the equity and you -- I think the main focus will be on the Specialties
rather than Essentials?
Rajan Venkatesh: We are basically playing the strengths of our portfolio here, Chetan. So, if yo

u see where we
closed out FY '24, we had a good blend between our Essential to Specialty business. The focus
in our Essentials business is to continue to diversify from ethyl acetate and offer a range of
products which is today imported into India and support our customers.
In our Specialty vertical, it's to double-click on our diketene downstream and be globally top 3
in the world, including China and obviously then also leveraging our fluorination setup. So that's
the way we are entirely steering the business, Chetan.
Moderator: Thank you. Ladies and gentlemen, we take that as the last question. I would now like to hand
the conference over to the management for closing comments. Over to you, sir.
Rajan Venkatesh: So, thank you all for your interest, and thank you for joining. So let me conclude by saying a
few things. One is, and this is captured in my reflections, I think first and foremost, let me start
by firstly thanking my entire team. While we talk about numbers, there's a lot of brain power,
manpower and heavy lifting that goes in the background. So, a big thank you to the entire Laxmi
team, our customers who pay our bills, the Board of Directors, our investors and the communities

where we operate our other assets and the related stakeholders. So, a big thank you to all of
them.
We've actually achieved 11% volume growth and 9.5% EBITDA growth year-on-year, while
maintaining our profitability in the prevailing environment, which is a testimony to our
performance. The growth was driven by the focus on operational excellence. Second, talking
about the capacity augmentation. Third, our customer-centric approach. And fourth, the prudent
cost and fund management.
Innovation is what keeps our business relevant and dynamic, and we're thoroughly excited to
inaugurate our Laxmi Innovation Centre that happened in the quarter 4 of FY '25. It is tailored
to meet the needs of the dynamic workforce that are part of us, and we are proud to have them
and support our customers' ambition.
Our fluoro intermediate size has commenced generating revenues in quarter 4, and we are
focusing on expanding that into FY '26 and beyond. I'm also as excited to share the LOI that we
have signed with Hitachi, and this will pivot us very positively into a new sector with the market
leader in that sector. At our upcoming Dahej site, we have received environmental clearance and
factory licenses, and the project remains on schedule in terms of timeline, scope and costs. As
team Laxmi, we remain geared to win and geared to growth, and we work diligently towards
that goal.
Now giving you a bit of a lens also into what we are talking about in the first half, as I called out
in the specialty portfolio, there has been one product which downstream has undergone a
regulatory phase out, which will certainly have some minor impact as we go into the first half,
and we will be more granular as the things progress. Thank you again. And stay safe, stay
healthy, stay happy. Thank you all.
Moderator: Thank you. On behalf of Laxmi Organic Industries Limited, that concludes this conference.
Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

August 2 , 202 5

Dear Sir / Madam,
Sub: Disclosure under Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligation and Disclosure Requirements) Regulations, 2015 (" Listing Regulations "), we wish to inform you that the Company participated in the investor conference as given below:
Date and time Type of Meeting / Event Location
July 29 , 202 5, at 14.00 hours
onwards Investor & Analyst Meet to discuss
performance for the quarter
ended June 30, 202 5 hosted by
Strategic Growth Advisors Conference Call through dial -in

No Unpublished Price Sensitive Information was shared / discussed in the meeting with the investors.
Further, please see enclosed the transcript of the Investor Call for Q 1FY2 6.
We request you to take the above on record.
For Laxmi Organic Industries Limited

____
Aniket Hirpara
Company Secretary and Compliance Officer

Encl.: A/a

BSE Limited
Corporate Relationship Department,
1st Floor, New Trading Ring,
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Mumbai – 400 001
Scrip Code: 543277 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai – 400 051
Trading Symbol: LXCHEM

"Laxmi Organic Industries Limited
Q1 FY 26 Earnings Conference Call"

July 29, 2025

E&OE - This transcript is edited for factual errors. In case of any discrepancy, the audio recording uploaded on the stock exchange on 29th July 2025 will prevail.

MANAGEMENT : DR. RAJAN VENKATESH – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER , LAXMI ORGANIC
INDUSTRIES LIMITED

MR. MAHADE O KARNIK – CHIEF FINANCIAL OFFICER ,
LAXMI ORGANIC INDUSTRIES LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the Q1 FY26 earnings conference call of Laxmi Organic Industries Limited.
As a reminder all participant s' line will be in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during th is conference call, please signal an operator by pressing *' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Tanay Shah. Thank you and over to you, sir.
Tanay Shah : Thank you, Shruti. Good afternoon, everyone. Thank you all for joining us on the Q1 FY26 earnings conference call of Laxmi Organic Industries Limited.
From the Management , we have with us Dr. Rajan Venkatesh – MD & CEO and Mr. Mahade o Karnik – CFO.
The Company has uploaded its Financial Results and Investor Presentation on their website as well as Stock Exchanges . We hope everyone has had an opportunity to go through the same.
We will begin the call with remarks from the management team, followed by a question -and-answer session.
Before we begin, I would like to point out that this conference call may contain certain forward - looking statements about the Company which are based on the beliefs, opinions and expectations of the Company as on the date of this call. These statements do not guarantee the future performance of the Company and involves risks and uncertainties that are difficult to predict.
I now handover the call to Dr. Rajan Venkatesh – MD and CEO. Thank you. Over to you, sir.
Rajan Venkatesh : Thank you, Tanay. Namaskaram from my side. Very good morning, good afternoon and good evening depending on where you are dialling in from. Always excited to be engaging with you guys.
So, a range of topics, a part of our Quarter 1 Performance . The topics I would like to cover are first is some of the people topics and people have a very large bearing on the performance of our organization. So that's a very important thing on the top of my mind. The second lens is how the raw materials have evolved as we speak now. The third one is the application or the market industry trends, the way we view it. Then we sort of dig a little more deeper into both our business segments, Essentials and Specialties. I would also like to give you an update on how do we progress with our investment projects. And last but not the least, really leave you with the key focus areas that we as Laxmi are focusing on into this year and also beyond.
So, let's talk about first the people topics :

Mr. Prashant, who was our President of manufacturing . After a wonderful 9-year stint with Laxmi , will be retiring as of middle of August. His successor, we have announced, is Mr. Rajesh Naik. Rajesh brings almost a three -decade experience with him, having worked in companies like Asian Paints, DuPont and his last Company being BASF. So, we are very thankful to Prashant for his years of commitment, and we are really looking forward for Rajesh to come on board and continue Prashant's legacy on the manufacturing front. The other change at a senior leadership level is the role of Procurement, which was very ably managed by Mr. Jitendra, who was the head also and who is the head of our Essentials business.
As all of you know, we have certainly a larger ambition for our Essentials business to double the top line from where we closed out in FY24. So, we felt to really carve out the procurement function and give it even more sharper focus and that's been a key important element for Laxmi , would do us good. I am very happy to share that Dr. Keshav Ruthi ya joins us as of 1st of August as the Head of Procurement . He has done his bachelor's from ICT here in Mumbai, his PhD from Netherl

ands, done a postdoc from the U S and having spent about two decades with B ASF, all of his experience outside India, he comes back home and is excited to take this opportunity.
Again, a big thank you to Prashant and Jiten and a big welcome to Rajesh and Keshav.
Raw materials :
Starting from that lens, I think the key raw materials, as you are aware for us, primarily are acetic acid. Now, just to give you a line of sense, in FY24, average acetic acid prices across the year was around 450. Last year, it was about 400. And we have continued to see, you know, acetic acid prices dip lower. It was then at one-point 380-370 and today , point in time , is around 340 ballpark. So that gives you a line of sense. This is despite the fact that in the interim, because of

certain conflicts, where Iran was involved, we saw methanol prices increasing for certain few weeks. We certainly did not see a larger dent on acetic acid.

So, supply side on acetic acid remains long. And I think that is keeping us in good stead. You also saw recently the BIS was lifted on acetic acid because India remains a net importer of acetic acid and the authorities felt that they should not in any way impact producers who are consuming acetic acid. The second other key raw material is ethano l and ethanol prices have also been trending lower.

So, on an average in FY24, it was about 840 , in FY25, it was about 720 and now as we speak, it is around 690 to 700 and sort of been stable at that level over the last three quarters. Again, we do not see any major bottleneck in procurement of ethanol. So, two key raw materials, we seem to be , at least from a supply side , to be on a good state. So that is the first lens on raw materials.

Then let us take a deep dive into the market that we serve. So key markets include printing and packaging. There on a quarter -on-quarter basis, we see that demand to be stable.

The second market is pharma. Again, there we continue to see demand to be stable. When it comes to agro, here we continue to notice it remains weak to moderate, certainly not as weak as

what it was. But certainly, in discussion with our customers, we do not see this to be yet rebounding. The conversation of inventory in the system is ebbing away. So that is positive. But there is also now more conversations of margin pressures into the agro value chains.

Then we look at markets like CASE ; that is Coatings, Additives, Sealants and Elastomers . Therein specifically in the global markets of North America and Europe, we see demand a little bit more muted as compared to on a quarter -on-quarter basis. That is what we are hearing from a lot of our key customers in those geographies. So that gives you a broad line of sight into certain of the key markets. And I am happy to take your questions if you require more larger insights. As we have shared in the past, we have also expanded our market footprint by entering into personal care with certain of our p ortfolios and also with the last announced Hitachi, we are also entering into the entire power transmission phase. So that's the market lens.

Then moving further, if you look at closer to home ; that is Essentials , the spreads :

The spreads of Essentials , if you remember, our narrative has been it’s been in the range of $140. Average over a 12 -year period, the spread has been about $220. So certainly, it continues to be subdued. We saw in the last quarter, and this is also something we had called out, that there was a propensity for the spreads to further dip below $140. So, as we speak now, it is in the $120 range. That is a point in time. So that's where you see this also getting reflected first on the acetic acid, what I called out, that acetic acid prices are subdued. And then obviously, this flows into one of the key products, which is ethyl acetate, which constitutes about 80% of

our Essentials

basket. That is where also then the spreads for ethyl acetate remain subdued into Quarter 1 .

Then when we come into Specialties :

You have seen that there is a degrowth in Specialties and we have also called that out. There are two key topics. One is there is an anticipated phase out of an agro AI. This was anticipated. Why do I call it anticipated? This was expected to happen a few years back. But the business continued and as a result of which, we were able to supply that part of that pie and suppl y customers manufacturing that. Now, it's very clear that is getting phased out. And that is obviously, then we will have an impact into FY26. Mahade o in his commentary will give you more colour on the numbers. The other bucket is deferred deliveries of select products to global customers. So, this is on a full year basis, it's a wash, because what we are not able to do in Quarter 1 will certainly manifest in the second half of this financial year. So that's what is I would say point in time impacting the Specialty Quarter 1 revenues . Will also certainly have a spillover effect into Quarter 2 , but we will rebound and Mahade o will give more colour on that in his commentary.

Then when we talk about the project update :

Our Lote, the Flo uro Intermediate site, that building on all the consistent effort over the past quarter, our ramp up continues. And I think we remain on target to achieve, as we have always called out in FY26, somewhere between 40 % to 60% of the peak revenues. So that is what we are very diligently working towards. Also, the Hitachi project which with Hitachi Energy, where

we signed the LOI for an SF6 replacement, that is also taking good shape. And we are at really the cusp and the target is in Quarter 2 of this year. So, in this quarter, we would ideally like to stitch up the contract with Hitachi. So thereafter, we can lay out the capex and accelerate the sales.

Dahej :

Again , a very important part of our capex puzzle . That project remains on track, in scope, on track with regard to budget and on time horizons. So that is also giving us confidence. So somewhere towards the end of Quarter 3 , early Quarter 4 is where we will have the mechanical completion and thereafter chemical charging happening for all the key assets at our Dahej facility.

Now, people have asked me also with regard to the potential levers, what could impact margins? I think two key elements come to my mind. Finally, Beijing has signalled that it will intervene in producer price wars. So, expectations are certainly growing for potential capacity moderation in China. But obviously, we will need to see how fast or slow this happens. But certainly, it has caught the attention of Premier Xi Jinping. So, I believe there should be certain elements on shakeout happening on the ground. This is not only linked to chemicals, it is across a range of industries in China. And the ever -present tariff conversations that are happening with US or India with the UK, India with Europe, all of that also has certainly potential to provide opportunities where there could be improvements into margins.

One other element, good call out for our Hitachi Energy LOI that we signed, being very prudent in the way we have now developed , continued the bustle on capex execution. We are happy to share that the Hitachi Energy capex that we will need to install will be accommodated in the INR 1,100 crore s CAPEX that we had lined up. So, I think that's a very positive work done by the team and also continues to build confidence in our project execution excellence.

Now, as is always the case in tough times, you start focusing again every day into granularity and our areas of focus at Laxmi , while we have started that, we will be double clicking in productivity, in knowledge aspects, commercial excellence, which

is really looking at what can

we do better across our range of products. Execution excellence, I think really proof is in the pudding , that projects are coming online in time and within budget. Cost discipline across the board, zero -based budgeting is something we have already started and that is something we will continue as a muscle. And I think last but not the least, the growth proje cts, which will certainly continue to pivot and continue our profitable growth journey. And one example is the project that we have kick -started in Quarter 1 . This is the end -to-end digitization of our supply chain operation s. Really, while there is a certain capex payout and you see that in our results also and Mahade o will call it out, which will span through Quarter 1 and Quarter 2 . We certainly are anticipating that once we have rolled this out, this should be a great example how this would advance efficiency and predictability end -to-end, reduce costs and improve our agility to serve our customers. With that, I hand it over to Mahade o to take you through again the granularity in numbers.

Mahade o Karnik: So, thank you, Rajan. I will take you through Quarter 1 numbers :

In Quarter 1 , our revenue de -grew by nearly 4% in spite of our volume growth of 8%. The segment growth s are like as follows. Essential s grew at 4%. It's led by volume growth of 11% offset by the price decline, which is mainly due to the acetic acid feedstock price declining of nearly 7%.

Now, let's come to Speciality :

Speciality has a decline of 18% and as Rajan called out, there are mainly two factors impacting this. One is anticipated phase -out of a product, which is nearly 9% of our sales of the Speciality product. And the margin profile is in line with the Speciality gross margin profile. So, that's the one thing that has impacted in this quarter. We have plans to offset this, but the plans should come in place by Q4 of this year. So, next two quarters still you will see the impacts coming in the financials. Secondly , there was a deferment of deliveries that was expected, which is nearly 4% of the sales. This has shifted to H2. So, this is not really impacting yearly financials, but it is coming in the quarters only.

So, let me come to the overall P&L :

If you look at the overall cost ; overall cost in this quarter is around 1 ,828 million versus 1 ,839 million last year. This is in spite of two things. We have spent on the project for digitization of the supply chain nearly 79 million as well as our Lote operations are now full -fledged. The Lote operational cost of nearly 39 million is impacting our financials. And as you can see that we have saved nearly 110 million on our cost to serve , mainly coming from freight and distribution. And there are some forex gains. So, I can tell you is that in these times, we are double counting on our cost optimization measures, productivity improvement measures that will come in the financials clearly out. The one -time expenses of 79 million is specifically on account of the suppl y chain digitization project.

There are two accounting changes that we have done in this quarter. We have moved to a straight -line method for depreciation accounting from WDV. It is mainly because the economic benefits are in the increasing trend because we are in a capex mode. Secondly, we have moved

from an old regime of tax to new regime of tax. That is why as you can see in the note, there is
a one -time gain in deferred tax liabilities that we have. That is why the tax impact is positive.
So, overall, we have PAT of 214 million which is a 3.1 % versus 4.8 % of last year.
So, on Q2 specifically, let me call out, we will continue to see performance which is in line with
performance of Quarter 1 or better performance. So, that is the guidance that we are giving for
next quarter. So, that is it fo

r me. Over to you, Tanay.

Moderator : Thank you very much . We will now begin the question -and-answer session. The first question
is from the line of Rohit Nagaraj from B&K Securit ies. Please go ahead.

Rohit Nagraj : Thanks for the opportunity and the elaborate presentation. So, first question is in terms of both
Essentials and Specialties ; from the user segment perspective, where are we seeing more traction
and where are we seeing still challenges persist? And what is our expectation in terms of the
challenges are persisting? What is the timeline that we feel that things will probably come back
to normalcy? Thank you.
Rajan Venkatesh: So, Rohit, I think reflecting on the comment which I just shared, if you look at the key segments
again, printing and packaging, that demand continues to be stable. In pharma, we continue to see
stability in demand. Now, I am talking quarter -on-quarter basis. Obviously, if you look over a
longer period, there will be certain subtle changes, but I am trying to keep it point -in-time lens.
I would say agro is where we continue to see that demand certainly was very weak before. It is
moderating , but it is certainly not rebounded. That would be our lens. Now, depending on whom
you speak to, in what product range they are, you would hear different narratives. But this is the
narrative we speak to when we hear it for the product ranges and the customers that we are
dealing with on the agro part. And as I also called out what we see, given the consumer
sentiment, especially in North America and parts of Europe, being very weak , that's why you
saw larger FMCG companies also lowering their forecast. Th is is also where we see areas like
architectural coatings that we continue to see demand being a little more muted. But we believe
this is maybe a passing phase, nothing, something structural. Agro is something where we
continue to keep a close watch and what you also see as part at an enterprise level of Laxmi , the
agro starts to play less than 10% at our enterprise level. So that's where we are, Rohit, hopefully
that gives you some line of sight.
Rohit Nagraj: Sure. That's helpful. The second question, again, on the geographical revenue breakup. So, if
you look at for this quarter, the Europe contribution has moved up materially on a year -on-year
basis at the expense of maybe America. So, are we seeing material traction coming from Europe
in terms of the demand being normalizing and normalcy comin g back from the purchase
perspective? So, just your thoughts on how things are moving or shaping up as far as Europe is
concerned.
Rajan Venkatesh: So, Europe, I think as we have all been tracking continues to be going through a large upheaval
where a lot of upstream capacity for chemicals and petrochemicals are coming offline. So, you
can certainly see pockets where the demand, if it is still existing, needs to be served. And for us
as Laxmi , closer to home, we truly believe that there is an opportunity in Europe. We have
always been present in that geography with product like ethyl acetate with tank operations. So,
we are perceived to be local there. We are going to expand our product portfolio into Europe
further in Essentials and also in Specialties. Again, Specialties, we were already entrenched in
Europe with key customers. So, that continues to be the case. I think what you see in our lens is
more a point -in-time view. As I called out, one of the key elements in the Americas is really
looking at the coating segment and where the demand is a little more muted at this point of time.
That's why you see a skew. So, that's a point -in-time lens, the geographical split. But I think our
focus remains also to serve that opportunity and also grow our presence in Europe strategically
with key customers. And I think last but not the least, Rohit, given all the c

onversations we are

having about tariffs, this is evolving as we speak. And overall, at a Laxmi level, I see this as
neutral to positive for us and we will be ready to tap into those opportunities.
Rohit Nagraj: Perfect. Sir, just one last question from my side. In terms of competition from China, has there
been any change that we have witnessed during the quarter compared to maybe previous quarter
or last year? So, just your broader thoughts on that. Thank you.
Rajan Venkatesh: So, the simple answer to that, I think, linked to Laxmi , no, we have not seen any large change in

the competitive landscape where we are serving , from China.
Rohit Nagraj: Thanks a lot, and all the best, sir.
Rajan Venkatesh: Thank you.
Moderator: Thank you. The next question is from the line of S aumil Shah from Par as Investments. Please go ahead.
Saumil Shah: Good afternoon. S ir, as we are targeting 3 X EBITDA growth and 2 X revenue growth by 2028, can we expect this 15 %-20% revenue growth for this year and next year?
Rajan Venkatesh: First and foremost, S aumil, thank you for the question. Let me also break it down. What we said is the key element of our capex spend, about Rs. 800 crores is primarily coming into Dahej, and a big chunk of our D ahej capex will come online. Mechanical completion and chemical charging would happen towards the end of Quarter 3 and ideally into Quarter 4 . That's the line of sight . So, you would see that impacting us more positively into FY27 rather than into FY26.
Saumil Shah: And whatever capex we have done, I think even this year we have done some capex , right?
Rajan Venkatesh: So, the midpoint of expenditure of the CAPEX is going on as we speak, but the plan ts need to be mechanically complete before I can leverage that. And again, the Speciality business, while some of the products we will be ensuring customers' business continuity and producing it across our Mahad and also the Dahej site, but the customers will need to approve us and the same goes to also for certain of our Essentials products. Approval is not as stringent and time -consuming as in Specialities, so mechanical com pletion, chemical charging, approval process, and then ramp up, that would be the sequence of events. So, that's the line of sight we are having , Saumil.
Saumil Shah: And what is the EBITDA margin on the essential side of the business and on the Speciality for this quarter?
Mahadeo Karnik: So, adjusted EBITDA for this quarter for Essential s is 2% and for Speciality it is 16%.
Saumil Shah: My final question is, what was the total amount we have spent on the Flouro -chem business, I mean on the capex side?
Rajan Venkatesh: So, we have always stated Rs. 550 crores is the cost to complete.

Saumil Shah: Because I think we are guiding for Rs. 200 crores, I think revenue by FY 27. So, isn't the asset turn too low? I am sorry, I am new to the Company .
Rajan Venkatesh: Saumil, yes, so fair enough. So, we have been very transparent about that. You are correct that the asset turn is low. But, if you look at our previous investor documents, we have been very transparent what have been the levers, which have A, led the cost to complete to increase. But more importantly, I think what is giving us great conviction is the type of contracts we are lining up with Hitachi Energy. And we would have been nowhere in the fray if we did not have this muscle. So, for us, the way forward is building on the platfo rm that we have established in Lote and take this into a much larger trajectory. So, that remains the focus Saumil .
Saumil Shah: So, if we want to increase our revenue from say Rs. 200 crores to anywhere between Rs. 500-600 crores, so we do not need any additional capex on Lote plant?
Rajan Venkatesh: No, as I called

out now specifically, the existing asset that we have established can only give us Rs. 200 crores. The Hitachi Energy project is something we are actually, with the capex prudence that we have maintained over the Rs. 1,100 crores, we are able to accommodate. But beyond that, that would certainly require additional capex . Where we have certain interesting headroom is on the IOU that is Infrastructure and Utilities , because now it becomes a brownfield site, not a greenfield site that will make the whole thing more, I would say there will be a lot more synergies.
Saumil Shah: As you said, your majority of the CAPEX will be in the Q3 or Q4 of this year. So, at least can you let us know for FY27, what can be the revenue or EBITDA guidance?
Rajan Venkatesh: So, at this point of time, Saumil that is a more detailed question. I think let us follow that off offline. That is what I would request you and then we can give you granularity.
Saumil Shah: And for this year, any growth can we expect on the revenue side or are we basically fully utilized?
Rajan Venkatesh: No, broadly there is some, you have seen right in the Essentials business, we have grown 11% volume in Q uarter 1 on a year -on-year basis. Even on the Speciality part, if you take out those two special effects that we called out structural and deferment, we have also a +10% volume growth. So, I think we continue to max out our assets. We have also an operational excellence in the assets. So, I think we continue to leverage to our strength.
Saumil Shah: You are not guiding anything on th is one?
Rajan Venkatesh: I would appreciate your understanding on this one.
Saumil Shah: Thank you and all the best.
Rajan Venkatesh: Thank you, Saumil .

Moderator: Thank you. The next question is from the line of Ravi Shah from VRS Capital. Please go ahead.
Ravi Shah: Thanks for the opportunity. I had two questions. Basically, can you provide some colour on how the pricing of ethyl acetate has moved over the past quarter -on-quarter comparison over the past four-five quarters? And I just wanted to get some understanding of the pressure on our spreads. So, progressively, each passing quarter, have we seen any difference? And also, if you could provide some kind of understanding on where do we expect this to move directionally?
Rajan Venkatesh: I think, Ravi, thank you for your interest. So, what we saw in the few quarters, we were seeing spreads in the range of about 140 to 150. Given that the acetic acid and that's an important lens to bear in mind, because there are two levers in a business like Essentials . One is the raw material side; the other is the demand side. So, demand side has been broadly stable and raw material side is where we see continued oversupply. And that's why price is coming under pressure. Because acetic acid is also going into other downstream like vinyl acetate, which has its own supply -demand dynamics. So, the spreads becoming lower is not really driven by the demand side. That's why we are able to grow. You see the volume growth that we are able to deliver. It is really coming from an RM side. And that's why the spr eads, which were around 140 to 150, we saw in the last quarter, I would say point in time, we were about 120.
Now, to your question, how would this develop? I think at least looking into this quarter, we are not anticipating any big changes, also on the raw material side or also on the ETAC price side. But as I called out before, two elements which can have larger ramifications across our portfolio. One is thi s Beijing signalling that it will intervene in producer price wars. We will need to wait and see what ramifications it has. Normally, in the past, this has implied that there have been potential capacity cuts. So, this will then certainly help across the value chain. And also then, depending on

how the tariff conversations are going on, say between India -US, India -Europe, the recent concluded India -UK may also provide us certain upside opportunities.
Ravi Shah: Understood. S ir, thank you for the detailed answer. This question basically stems because last year also it has been declining. So, right now, I think we have a favourable base. Am I right?
Rajan Venkatesh: I would say that would be a fair way to view it that this could be maybe for a lack of a better word, while we are continuing to be in the bottom quartile , this could really be the bottom of the bottom quartile. That's the way I would view it.
Ravi Shah: Understood. S ir, one more question. Basically, our essential business has roughly stayed stagnant FY24 -FY25 we had done around a Rs. 2,000 crore s revenue. So, now, assuming there is no pricing pressure, assuming there is less pricing pressure, do we anticipate to surpass this Rs. 2,000 crores for FY26?
Rajan Venkatesh: So, the first thing you see, the top line price in an essential business, one key driver is raw materials because you have acetic acid and you got ethanol. And as I called out, the acetic acid prices have been on a decline. So, actually to even maintain wh at we have done would have been difficult if we did not deliver volume growth. And if you remember the previous conversations

in these calls, we have said our operational excellence journey, which we started in FY24, which started delivering results into second half of FY24 and into FY25, where we grew double digit volume in Essentials is what is keeping us afloat. And the new capex that is coming on in this financial year will increase our volume base. And that's the reason how we will move the forward trajectory. Now, again, the Essentials as we have also called out is a cyclic business. Again, to give colour to that, the average spread of ethyl acetate over a 12 -year period, if you exclude the COVID peak, is $220 to $225 per metric ton. The numbers which I just shared with you are in the range of 140 and currently 120. So, we truly believe there will be a cyclicity into this and we are very -very well prepared with our cost position and with our market positioning.
Ravi Shah: Understood. So, basically, this would mean we would try to maintain our volume growth momentum, which we had previously, right?
Rajan Venkatesh: That's what is also reflected into Quarter 1 , that we have grown our Essentials volume base by 11% on a year -on-year basis.
Ravi Shah: Understood. Thank you for the detailed answers and all the best.
Moderator: Thank you. The next question is from the line of Rohan Mehta from F icom F amily Office. Please go ahead.
Rohan Mehta: Thank you so much for the opportunity. So, my first question was, has there been any capacity shutdowns globally when it comes to ethyl acetate or acetic anhydride? That's the first one. And the second is, at a 2% EBITDA margin from the Essential s business, it may look like this is very close to the bottom. So, what would be your perspective on the recovery side , which quarter onwards you feel that spreads can start to recover first?
Rajan Venkatesh: So, Rohan, you had asked multiple questions. So, let me take it piecemeal and jog my memory

if I forget something. So, first is, you talked about, have there been any capacities which have gone offline? So, there has been one announced capacity, which is in the Middle East called Sipchem . They announced to mothball their 100,000 tons ethyl acetate plant. So, that's certainly, I think, a more formal announcement we know of. On acetic anhydride, I am not aware of any capacity that has been formally announced that is going offline. But again, like in the Essentials business, different producers are in different parts of the cost curve. So, not all producers would be in a position. So, while w

e as Laxmi , we believe we are in the top quartile in the cost curve,
and hence are operating our assets at full levels, that might not b e the same for other producers.
So, I hope that gives you one part of your question, Rohan.
With the second part, you are correct in saying that at about 2% of EBITDA margins, maybe we are at the bottom, that's what we also anticipate. The reasons, first and foremost, as I also explained to the previous colleague, this is a cyclic business. We have seen spread, average spreads over the cycle 12 years, excluding COVID of $220 to $225 for ethyl acetate. This is excluding COVID peak. So, today point in time, we are about $120 per metric ton. So, we truly believe this is not sustainable over the next decade. We will certainly see cycles kicking in. At

this level, certainly we believe there might not be too many producers who would like to invest. That's one lens. It will only be the committed producers with clear customer lens who will invest. We are certainly one of them. The other lens is, again, the cycles will need to play out and that's our understanding. So, we are ready to tap into that whenever it happens.
Rohan Mehta: Got it. And just to follow up on that, do you anticipate spreads to go negative first before we see a bounce or you feel that the current market dynamics is such that this is where most likely the bottom could be and we could stay here for a few months bef ore recovery could start?
Rajan Venkatesh: We certainly have not seen in the past also and we have looked over a 12 to 15 year period. We have never seen spreads go into negative territory. I think the worst we have seen spreads going to maybe about $100 and rebounding from those ranges. So, I would say our prognosis is for spreads to be , at least into Quarter 2 . Because Essentials is a business, where you have prices settling daily, just to keep it in perspective. Very different to our Speciality muscle. We have acetic acid prices that settle daily, ethanol prices settling daily. And hence, the way we are also pricing ourselves, we bring in a lot of agility. And hence, first part of your questions, spreads going negative, I don't see that happening. Are we really at the bottom of the bottom? I think we are in that ballpark.
Rohan Mehta: Perfect. Thank you so much.
Moderator: Thank you. Our next question is from the line of Vikram Kotak from Ace Lansdowne Investment Services. Please go ahead.
Vikram Kotak: Thank you for the call. One question has been answered already. Second question is on the capex . So, you have given a breakup of Rs. 1,100 crore s is Rs. 750 crore s in FY25 -26. And Rs. 350 crore s in FY26 -28. So, can we know what are the capex level as of today ballpark? How much we have completed out of Rs. 750 crore s for the current year?
Mahadeo Karnik: So, out of Rs. 750 crores, we are now on our way to exhaust nearly Rs. 680 crores.
Vikram Kotak: And in ‘26-28, Rs. 350 crores will be spread how broadly ballpark?
Mahadeo Karnik: So, ballpark around, it will be FY27 around Rs. 100 crores .
Rajan Venkatesh: So, I think Vikram, the lens is the midpoint of expenditure of our capex is in FY26. And a big chunk of the Rs. 1,100 crores , that is Rs. 800 crores is really going towards Dahej project. So, like we explained that will take shape this year. Then the remainder is really more, which was baked in in the Rs. 1,100, was about Rs. 50 crores from our Lote project, which was already spent. There were certain things for our innovation campus which was already done. So, I think the way I would request you to look at this is a big chunk Dahej , midpoint of expenditure is this year with mechanical completion, chemical charging happening in Q uarter 3, early Q uarter 4.
Vikram Kotak: Right, fair point. So, we should expect the things to flow in FY27, right?

Rajan Venkatesh: Absolutely. The ramp up happening in FY27. We have obviously ongoing repairs and maintenance and certain capex are in our existing site , but that is a smaller part of the puzzle.
Vikram Kotak: Thank you , all the best.
Rajan Venkatesh: Thank you.
Moderator: Thank you. The next question is from the line of Sakshi Pratap from Pratap Securities. Please go ahead.

Sakshi Pratap: Thank you for taking my question. So, two questions majorly. Firstly, in the Special ty business, we had clocked almost around Rs. 250 crores in Q1 and Q3 of FY25. Thereafter, I think we saw a decline in the last two quarters. Currently, we are almost at about Rs. 200 to 210 crores. So, can you highlight the reasons that impacted this versus driven by volumes or pricing? So, basically, just wanted some sense over that and also, how do we plan to get back to that range of Rs. 240 to 250 crores per quarter and go from there?
Mahadeo Karnik: So, Sakshi, I called it out in my summary itself. Out of 18%, nearly 9% is on account of anticipated phase out of a product. We have a plan to offset it. That plan will realize only in Quarter 4 . So, Quarter 2 and Quarter 3 , you will see the impact of nearly 9% of the sales. Rest is mainly the deferment to the H2. So, it is just a timing impact. So, it is a quarter impact, but not a full year impact for us.
Sakshi Pratap: Understood. Secondly, given where we are in Essentials business cycle and also now with Speciality business under some pressure. So, can you throw some insight on how do you see the full year FY26 in terms of revenue growth, blended EBITDA margins and just to follow up on that, once the Dahej and Maha d capex gets operationalized, what kind of ramp up can we expect in both in FY27?
Rajan Venkatesh: Sakshi, one is we really do not give out full year prognosis. So, I would certainly respect your understanding on that. What we can call out is for our Speciality business, given that there is that deferment from Quarter 1 , Quarter 2 into second half, our second half for our Speciality business is anticipated to be stronger as compared to our first half. I think that is what we can park. Second lens, which we can certainly share with you is what we also spoke before. In the Essentials lens, given the spreads where we are today and if I take a point in time view also into Quarter 2 because our Essentials business is a very —I would say —evolving and agile business. In Quarter 2 , we are also expecting spreads to be at the same point. So, that is the line of sight we have at this point of time, Sakshi. Hope that helps.
Sakshi Pratap: That was helpful. Thank you so much and all the best.
Moderator: Thank you. Our next question is from the line of Jigar Shah from Elevate Research. Please go ahead.

Jigar Shah : Good afternoon, sir. Thank you for the opportunity. I have just one question. So, we are at about 240 KTPA ethyl acetate capacity already. Please correct me if I am wrong. So, we are in the process of setting up an additional 70 KTPA line now. So, you have spoken about oversupply and capacity shutdown. So, just wanted to get some sense from you on the entire demand supply dynamics and our rationale in starting the capacity .
Rajan Venkatesh: So, Jigar, two elements. When you stated the number of about, 240 KTA capacity, this is our entire Essentials basket. So, this is not only ethyl acetate, it also encompasses acetic anhydride, it encompasses acetaldehyde and also the newer products that we are introducing into our portfolio. That's one clarification. The second lens, I think it's a fair question and we have explained that. So, Jigar, that the 200 TPD, first and foremost, this would be the single largest economy of scale line, I think, in India and also one of the econo

mies of scale lines globally.
And so, as Laxmi , when we embarked on our operational excellence journey, our first lens was to say across the lines where we are producing ethyl acetate, what is best in class in our line and how can we make the others to be best in class. And the second ambition is real ly to be best in class globally. And that is the reason where we have really invested in the new 200 TPD line. So, we are able to leverage both the domestic presence where we already have a market share anywhere up to 40% and also in the intern ational space and we spoke about Europe to one of the callers where we also see opportunities where we can position it. So, that's the way we are looking at this, Jigar. And the last thing I would like to park with you is like in every Essentials business, all producers are in different parts of the cost curve. And for us as Laxmi , the ambition has always been to be in the top quartile and hence you see that in our numbers that we are able to run our assets full, we are able to grow our volumes actually on a quarter -on-quarter basis. That's the way we are steering this part of the business.
Jigar Shah: Thank you for the answering the questions.
Rajan Venkatesh: Thank you , Jigar.
Moderator: Thank you. The next question is from the line of Chetan Doshi from TM Financial. Please go ahead.
Chetan Doshi: Thank you for giving me the opportunity. My first question is that in the slide, in the Specialities you mentioned, we are the only supplier for electrochemical fluorination products in India. So, I would like to know what is the size of the market, what products we are manufacturing and what is the current volume or sales if you can share that ? And second question is regarding solvents , industrial solvents is a very big market , what we are catering to as far as solvents is concerned?

Rajan Venkatesh: Sorry, Chetan. Can you just come back on your second part of the question, please?
Chetan Doshi: Yes. Second question is that we are into industrial solvents also. So, which market we are at present catering to because solvents is a very huge potential market as far as industrial applications is concerned.

Rajan Venkatesh: Okay. All right, Chetan. Got the two questions. So, let me start with the first one, the fluorination. The first and foremost, the fluorination world, I will take it at a macro level, is a $25 billion space. Now, with the technology that we have established here in India, we basically are looking at tar geting about a $2.5 billion strategic relevant market. So, what we have now established is a small part of the larger vision we have and that is what we are building into and electrochemical fluorination is a technology platform which enables us to tackle that opportunity. That's the first part. I hope I have clarified it.
Chetan Doshi: Sorry to interrupt but will we be catering to battery because one of the products goes into batteries in a very huge way. So, are we into that product?
Rajan Venkatesh: No. I think, Chetan, one needs to dissect the large world of fluorination. So, you have got the Fluoro -surfactants , you have got the refrigerant gases in that world. Those are not segments where we are focusing on. We are focusing what we say is on Fluoro -specialties or Fluoro -intermediates that goes into obviously agro, pharma, it goes into other coating applications and also with the LOI that we have signed with Hitachi, we are entering the space of power generation. So, those are the lenses that we are focusing on with our fluorination pl atform, Chetan.
So, your second part of the question is more industrial solvents. There, we have products in our portfolio like ethyl acetate, which we have been talking so intensively about. That primarily goes into the area of printing and packaging and into the pharma. It has smalle

r applications into agro ,
flavours and fragrances, but that's the range which we are tackling with our Essentials portfolio. We are also introducing newer products in that portfolio which serve existing segments and also newer segments. Hope that helps.
Chetan Doshi: We are not into industrial cleaning , am I right?
Rajan Venkatesh: No, we are not into industrial cleaning.
Chetan Doshi: Thank you.
Moderator: Thank you. Our next question is from the line of S aumil Shah from Par as Investments. Please go ahead.
Saumil Shah: Thanks for allowing me a follow -up. So, in our presentation, we have mentioned that we have changed our depreciation policy and because of that, our depreciation is around Rs. 17 crores for this quarter. So, for the remaining quarter, can we expect similar depreciation because it can reduce our, last year our depreciation was very high. So, can we get some numbers on the depreciation part?
Mahadeo Karnik: So, we can share with you one -on-one. But if you look at the change of depreciation method, there is a note for the quarter that we have already called out. The impact for the quarter is nearly Rs. 24 crores.

Saumil Shah: So, it will continue for the remaining quarter as well, right?
Mahadeo Karnik: That you can deduce . Yes, b ut only thing is that it will be offset by the capitalization of Dahej when it comes.
Saumil Shah: Right, understood. T hat is it from my side. Thank you.
Rajan Venkatesh: Thank you.
Moderator: Thank you. The next question is from the line of Dikshant Gupta from GeoJit PMS. Please go ahead.
Dikshant Gupta: Good afternoon, sir. My question would be, would it be possible for you to give out more details about the eco -efficient gas that you have mentioned in the presentation?
Rajan Venkatesh: This is the SF6, what details would you need?
Dikshant Gupta: What exactly, like why have you entered this segment and what is the potential here?
Rajan Venkatesh: Understood. So, Dikshant, I guess you were not there in the last call. So, we gave the clarification. So, again, the thesis is very simple. We have entered; we are one of the newer kids in the fluorination platform. We entered this platform by the acquisition of a reputed player in Italy called Mit eni. And as I was explaining to the previous caller, we are very clear what is the space that we are playing into. And one of the technology platforms that we have is the electrochemical fluorination. And that is where the customer here, specifically Hitachi En ergy, had approached us. And we were able to come up with the technology for producing of this SF6

replacement in -house. And that is how the relationship has been built up. So, as we stand now, LOI is signed and we are working very diligently to get up the contract signed up and get into a capex mode. We find this a very interesting opportunity because it supports Hitachi Energy's larger ambition to move away from SF6 in their global power grids. And that is what excites us to support them in that journey.

Dikshant Gupta: Thank you. That was it.

Moderator: Thank you . Ladies and gentlemen , as there are no further questions, I would now like to hand over the conference to the Management for the closing comments. Thank you and over to you, sir.

Rajan Venkatesh: Thank you all again for your interest. So, let me just provide you my reflections of Quarter 1 , apart from the larger conversation we just had. The global chemical industry has been marked by continued efforts towards cost optimization; rerouting of supply chain linked to evolving tariffs and regional conflicts and a strong push towards innovation. Regional dynamics continue to play a crucial role in shaping the industry's trajectory.

Coming closer to home ; acetic acid prices remain b

earish. The spread for ethyl acetate continues to be subdued. That notwithstanding , we have sustained our volume growth momentum and in line with our strategy, continue the diversification into newer products. In this current backdrop, our primary focus for the Essential s segment remains achieving volume driven profitable growth. While maintaining our market share in the Speciality segments during the quarter, we face impacts on account of , (i) anticipated phase out of one agrochemical product for which we supplied the intermediate - this is to be offset with a mapped product by Q4 F Y26. And second, deferred deliveries to global customers, which will now happen in the second half of F Y26. The Flouro Intermediates operation at our Lote facilities are ramping up well, and we remain on track to deliver revenues as previously outlined, 40 % to 60% of peak revenues.

At the upcoming Dahej site, the project remains on schedule in terms of timelines, scope and cost. We anticipate concluding the contract with Hitachi Energy to set up the production of an eco-efficient gas used in their SF6 -free high -voltage switchgear portfolio in Q uarter 2 FY26. Building on our execution excellence, we can accommodate this capex for the same in the previously announced INR 11,000 million.

Given the current operational backdrop ; we will continue our focus on productivity, commercial excellence, execution excellence, cost discipline and growth project. The end -to-end digitization of our supply chain operations, which has been started in Q uarter 1 of F Y26, is one such example that should advance efficiency and predictability, reduce costs and improve agility to serve our customers.

As team Laxmi , we remained geared to win and geared for growth as we work diligently towards our plans for F Y28. I would like to express my deep appreciation to the entire Laxmi Organic team and all stakeholders for all their understanding and support as we navigate the current times. Thank you.

Moderator: Thank you. On behalf of Laxmi Organic Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

November 4, 202 5

Dear Sir / Madam,

Sub: Disclosure under Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligation and Disclosure Requirements) Regulations, 2015 (" Listing Regulations "), we wish to inform you that the Company participated in the investor conference as given below:

Date and time Type of Meeting / Event Location
October 30 , 202 5, at 14.00 hours
onwards Investor & Analyst Meet to discuss
performance for the quarter
ended September 30, 202 5,
hosted by Strategic Growth
Advisors Conference Call through dial -in

No Unpublished Price Sensitive Information was shared/discussed in the meeting with the investors.

Further, please see enclosed the transcript of the Investor Call for Q 2FY2 6.

We request you to take the above on record.

For Laxmi Organic Industries Limited

____
Aniket Hirpara
Company Secretary and Compliance Officer

Encl.: A/a

BSE Limited
Corporate Relationship Department,
1st Floor, New Trading Ring,
Rotunda Building, P. J. Towers,
Dalal Street, Fort,
Mumbai – 400 001
Scrip Code: 543277 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai – 400 051
Trading Symbol: LXCHEM

"Laxmi Organic Industries Limited
Q2 and H1 FY '26 Earnings Conference Call"
October 30, 202 5

E&OE - This transcript is edited for factual errors. In case of any discrepancy, the audio recording uploaded on the stock exchange on 30th October 2025 will prevail.

MANAGEMENT : DR. RAJAN VENKATESH – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER –LAXMI ORGANIC
INDUSTRIES LIMITED
MR. MAHADEO KARNIK – CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 and H1 FY '26 Earnings Conference Call of Laxmi Organic Industries Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touch -tone phone. Please note that this conference is being recorded.

From the management, we have with us Dr. Rajan Venkatesh, MD and CEO; and Mr. Mahadeo Karnik, CFO. We will now begin the call with remarks from the management team , followed by a question -and-answer session.

Before we begin, I would like to point out that this conference call may contain certain forward - looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements do not guarantee the future performance of the company and involves risks and uncertainties that are difficult to predict.

I now hand the call to Dr. Rajan Venkatesh, MD and CEO. Thank you, and over to you, sir.

Rajan Venkatesh: Thank you. So again, Namaskar to one and all. Good morning, good evening and good afternoon, depending on the time zone that you are dialing into. And also thank you for investing your time with Laxmi today.

As we go through the commentary, the topics I would like to cover is give you just broad strokes or where we are in the chemical industry. The second element is get you slightly closer to home, talk about the markets that we are serving, what are the demand signals from that , give you quick updates on where we are in our journey across the various verticals, right?

So let me start first on the global chemical industry. There, the trajectory continues to be shaped by regional dynamics, given the supply side overcapacities that we are experiencing. I think many of us who have been tracking the industry, we certainly se e that there is a lot of targeted efforts towards cost optimization.

There is a lot of shutdown and/or restructuring of structurally subscale and non -competitive assets. And there are also the conversations around rerouting of supply chain linked to evolving tariffs. So that's the backdrop. So I would say it would be fair to say that the backdrop that we are operating in, in chemicals was demanding and continues to be demanding.

If you then focus on the key segments, while we are serving also other segments, but the key segments that we are currently serving - Packaging , inks and adhesives in quarter 2, the signals that we received was the demand on a quarter -on-quarter basis remains stable. In agro, it is moderate. In paints and coatings, it remains weak to moderate. And in pharmaceutical, it remain ed stable on a quarter -to-quarter basis.

Then coming further down, what we have also done this time around is we have given you some more insights into our investor deck on Slide 17, actually calling out how the growth journey has been for our specialty business, which is the ketene, diketene. I think it's also an important

time given that we are at an interesting cusp of also bringing up the new capacity in the ketene, diketene space. And it nicely shows our growth journey over from 2017 onwards, which has been in the range of 18% to 20%. And we today, as we speak, are somew here having a market share close to about 8%, 9% in the diketene derivative s space.

What is also very important, and I think which is top of your minds and our minds is our fluorine setup. That is also ramping up according to the plans that we had laid out. That is we are anticipating to have revenues, which is closer to the 40% to 50% of the peak revenues that we had called out in the past.

We are also excited and we have called that out before, the contract with Hitachi Energy has been signed, and this is for the production of an eco -efficient gas used in their SF6 -free high - voltage switchgear portfolio called EconiQ, which is trademarked by them. And we are also reaffirming that the capex linked to the same can be accommodated in the previously called out INR 1,100 crores that we had laid out.

Also very exciting for us at our upcoming site at Dahej . Around the auspicious period of Diwali, we received the consent to operate from the Gujarat Pollution Control Board for Phase 1 of our synthetic organic chemicals manufacturing facility, and we have already started supplying

customers from that setup.
So focus moving forward also remains to to complete the Phase 2 and also operationalize the same at the Dahej facility, which we are looking forward to do towards the end of the second half of this financial year. And then FY '27 would be the steady ramp -up that we will expect from that.
So then coming again, what is important, specifically if you talk about the quarter 2 performance, and I'll call out specialty specifically. I can also call this explained to the broader community what happened in quarter 1 and why we basically were antici pating quarter 2 to be in a similar ballpark. The 3 primary reasons.
One was an anticipated phase -out of one agrochemical product for which we supply the intermediate. Like we called out the last time around, the alternative product is mapped already. The second one is deferred deliveries to global customers, which will now happen in the second half. So in this half of the financial year, between quarter 3 and quarter 4.
And what we also have noticed, which we also did call out last time is market price moderation across the segment. So that's an important element. I would like to again restate and park with the whole audience. And also, I think what would be interesting f or the audience to know is we are currently in a scheduled turnaround at our site 2, that is our specialty ketene, diketene setup. And this turnaround is happening as we speak, and we are expected to come out of this turnaround by middle of this month -- the middle of November. We are still in October, I forget, by the middle of November. So scheduled turnaround taking place according to time and also expected to start up on that basis.

With that, I will pass it across to my colleague, Mahadeo , who will take you through a little more granularity on the financials.
Mahadeo Karnik: Yes. Thank you, Rajan. So I will take you through the financials in brief for quarter 2. And we have called it out in quarter 1 that the EBITDA would be in the range of quarter 1, and we are happy to say that we have kind of maintained the same.
So on revenue front, our revenue declined by 9%, mainly coming from specialty, which is 20% decline, as Rajan called out. Out of this 20%, 10% was for the anticipated phase -out of the product, 7% was the market price moderations and rest was deferment of t he orders to next half. This Essential s revenue saw a decline of 5%, mainly the price linked to the feedstock. The volumes are in line with last year. In case of gross margin, the gross margin is at 33.1% versus quarter 1 of 30.8% and versus last year of 35.8%. It's mainly coming because of the product mix versus last year in Specialty Chemicals business.
Our total expenses are declining year -on-year basis by nearly 5%. That shows that we are having a lot of cost control here. And EBITDA stands at nearly INR 37 crores versus INR 74 crores last year. The EBITDA margin profile has gone down from 9.7 to 5.3. Depreciation , because of the change in methodology , has come down from INR 27 crore s to INR 19 crore s. Finance costs remained broadly in the same line

. So post that, the PAT has declined from INR 28 crore s to
INR 110 crore s [wrongly mentioned as INR 110 crores – actual number is INR 11 crores] .
In spite of this, our cash flow from operation remains robust at INR 153 crores. And our debt -to-equity ratio is at 0.17, which is very much robust. We will get into the capex cycle and borrowing cycle in H2. And we will be in ballpark of nearly INR 400 crores to INR 500 crores of term loans by H2.
So with that, I will leave it to Tanay for further question and answer.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question comes from the line of Jainam Ghelani from Svan Investments .
Jainam Ghelani: Sir, my first question is, as you mentioned in your opening remarks that we have some deferred shipments to -- for the H2. So would you be able to quantify as to in terms of value of volume that how much would be?
Rajan Venkatesh: So Jainam, thanks again for joining the call. I think we want to be a bit more coy about it. I hope you can understand because that is, I would say, a bit of competitive nature. But the call out still remains that we have (1) a phase -out of our one agrochemical intermediate. We have an alternative product mapped. And as you heard also from Mahadeo, when you saw the 20% drop in the specialty element. Mahadeo, you can give some clarity.
But Jainam, I would require your respect that we cannot be more granular on that topic. But we can assure that we are also very, very clear with our customers. This is something that will manifest in this second half.

Jainam Ghelani: Okay. But sir, would you be able to quantify that what was the revenue drop due to the products that we lost , the agrochemical product that got take down?
Mahadeo Karnik : That earlier what we called out was nearly 10% of our specialty business.
Jainam Ghelani: Okay. So can we expect that by end of Q4 or so like by March '26 or Q1 FY '27, we can revert back to our margins of specialty in the range of 22% to 25%?
Rajan Venkatesh: So I think few things will happen. One is we will have the Dahej setup that we would like to sort of complete mechanical completion by the end of this financial year. So we will have one element as we move into FY '27 ramping up from there. And we also, as we have called out, we have an alternative product mapped for this phased -out agrochemical intermediate. And I think that both will help us to pivot in the right direction.
Jainam Ghelani: And sir, since you mentioned that there is overcapacity globally for ethyl acetate, are we foreseeing any global shutdowns in any geography and whether that could improve the spreads going ahead?
Rajan Venkatesh: So I think we've discussed in the past calls, so we do see certain capacities coming offline. One specific one was Sipchem in the Middle East, a 100,000 tonne capacity that has come offline. This is something we called out in the previous quarter. And I th ink at the current spreads, we will certainly, in our estimate, continue to see players who are in quarter 2, quarter 3 and even quarter 4 of the cost curve facing the heat. That is our anticipat ion, but I'm not at privy to tell you how much capacity could come offline.
Moderator: The next question comes from the line of Dhaval Shah from Girik Capital .
Dhaval Shah: So first of all, very happy to see the disclosure levels regarding the bifurcation of revenues, the Slide 17, which you mentioned. So my question is on the Spec Chem side. So just to cross check, so the EBITDA margin which you have done in the Spec Chem for Q2 is 8.6%. Is the calculation right?
Mahadeo Karnik : Yes, you are correct.
Dhaval Shah: So now -- so we did INR 950 crore s last year in Spec Chem . And with this , the new product which is mapped, so will you be able to make up for the loss and end on

a flat note for Spec
Chem for FY '26?
Rajan Venkatesh: So Dhaval, the way we are steering this business because one needs to be always a little bit cautious about looking at a quarter in lens. What we have done and even if you have seen our past performance, we have been in our specialty vertical anywhere betw een the 20% to 25%. So in FY '25, we ended at about 24% of EBITDA. In FY '24, we were at 23%, 24%. So I think it's a point -in-time story.
Clearly, the focus remains already into the second half that we are improving the churn rate coming closer to where we have landed in the past. And more importantly, with the Dahej

capacity coming up, we will be globally number 3 with the diketene derivatives, and that is something we will continue to leverage upon with a clear focus that we are in that zone. That's what we will work very diligently to land into.
Dhaval Shah: And just to reiterate the timelines for various projects which are coming onstream?
Rajan Venkatesh: Sorry, can you just repeat that, Dhaval?
Dhaval Shah: So the timelines for the projects which are coming on stream, the Dahej and the expansion which we are doing in...
Rajan Venkatesh: So I understood your question. First is the fluorination project, which is happening in Lote, that is already taking -- has taken good shape and we are ramping up. So FY '26 is the first year of ramp -up. And as I called out, we anticipate to be closer to the 40% to 50% of the peak revenues in this financial year for that project.
What else is happening at our Lote facility is the Hitachi collaboration, the Vayu given that we have the contract now signed, done and dusted. We are also in a capex execution mode there, and we expect that plant to come up by quarter 2 of the next financial year. And what will also happen at our Lote facility is our world -scale ethyl acetate, which we have called out, which should come up by quarter 4 of this financial year.
If you look at changing gears at our Dahej facility, the Phase 1 has come online. The C TU has been achieved, and we are already starting to supply customers from there. This first phase of investment is actually backed by a long -term supply agreement with one key large customer who has a downstream complex in Gujarat. And the Phase 2 is antici pated to be mechanically completed by quarter 4 of this financial year.
Dhaval Shah: And anything you would like to share regarding the semiconductor product, which we are working upon under our fluorination -- electrochemical fluorination chemistry?

Rajan Venkatesh: Still early days. I think we are taking good shape. The electrochemical fluorination as a technology platform has started firing for us. And I think that is what I would like to park it with. And over the next quarters, we will continue to build our streng th into that.
Dhaval Shah: And sir, what were the spreads for the quarter you would like to share?
Rajan Venkatesh: The spreads were not too different from what we had experienced in the quarter 1. So I think it was similarly in that ballpark. So as I was calling it out, bottom of the bottoms somewhere in that range of $90 to $100, specifically for ethyl acetate.
Moderator: The next question comes from the line of Manish Bhadane from B&K Securities.
Manish Bhadane: If I look at your presentation, you have given the export revenue breakup. So in that if I see that in Europe , it contributed around 23% in the first half of FY '25 and now it's around 39%. So are you seeing any sort of demand coming from Europe?

Rajan Venkatesh: So again, Manish, thank you for that question. So first and foremost, like we have also shared in the past, Europe as an area is going through a lot of change. So in my opening commentary, when I talked about shutdowns and rest

ructuring, wherein we have seen structurally, I would say, subscale o r non-competitive assets, a lot of that is happening in Europe.
I would say we are double -clicking our capability in Europe because we already have tank operations in Antwerp and Genova for our key products like ethyl acetate. I would not say we are seeing a rebound, let me keep it in perspective.
If you see this chart, we are seeing maybe certain other geographies where our exposure has slightly reduced from a point -in-time lens, and that is where you are seeing the European pie being slightly larger. But that being said, our focus remains to expan d our presence in Europe.
Moderator: The next question comes from the line of Nitesh Dhoot from Anand Rathi Institutional Equity.
Nitesh Dhoot: Sir, so my first question is on the fluorochemical revenues. So you 've indicated that it's likely to be about INR 80-odd crores in FY '26. Would it be possible to share how much have we done in H1 so far?
Rajan Venkatesh: So Nitesh, at this point of time, the focus still remains exactly like you called out. We want to land up close to about INR 80 crores. At this point of time, we don't break it down. We're gradually ramping up, but we have a great line of sight to be at that INR 80 crores that we have lined up for this financial year.
Nitesh Dhoot: All right. So no change to the outlook there, right?
Rajan Venkatesh: No change to the outlook for FY '26.
Nitesh Dhoot: Sir, second one is on the capex figure . So H1, if I look at the capitalization number is about INR 300-odd crores, the commercialization that is . So presentation says that you commissioned the acetaldehyde plant. I missed your initial comments on the capex . So what else did you commission in H1? Can you give the breakup there?
Mahadeo Karnik: So part of the Lote plant also got capitalized in quarter 1. And in quarter 2, we capitalize d the acetaldehyde plant in Dahej .
Nitesh Dhoot: Sure. And can you give the breakup? I mean the amount? I mean how much was it for acetaldehyde?
Mahadeo Karnik: INR 10 crores.
Nitesh Dhoot: All right. Sir, just the last one on the Hitachi project. I mean, any update there on the proposed capacity by when is it likely to commission?
Rajan Venkatesh: So we stand with what we had communicated in the past. This is a 60 metric tonne capacity that we are setting up. Capex is INR 75 crores and mechanical completion is anticipated by quarter 2 of the next financial year.

Moderator: The next question comes from the line of Harsh Shah from Axis Capital.
Harsh Shah: Sir, you mentioned that you have already started supplying to one of the customers from the Phase 1 of the Dahej plant. So just wanted to know what kind of commitment do you have? What kind of -- what portion of the capacity is already tied up with that cu stomer? That is my first question.
Rajan Venkatesh: So Harsh, we have a multiyear contract with the customer, and the majority of the capacity has been lined up contractually with our customer.
Harsh Shah: All right. And sir, second question on the Essentials volumes. So in this quarter, the commentary which Mahadeo gave the Essential volumes are largely steady. So have we reached the full capacity utilization there or there's still headroom to increase the volumes from the existing

capacity?
Rajan Venkatesh: If you have been sort of tracking us, we've been diligently building on our operational excellence journey, churning out more from our existing asset base. And I think that remains the key focus.
While we've had seen big jumps in the previous years, we are at this point where you'll not see double -digit jumps, but we will continue to sort of juice out our assets because we believe we are in a good cost position, and that is what we are leveraging.
That -- then the other lens is the new capacity whi

ch is coming up, which is ascribed to our
Essentials business, the Phase 1 at Dahej. And also, as I called out, the world -scale ethyl acetate, which should be mechanically complete by quarter 4 of this fin ancial year, that would all aid us into the next financial year.
Harsh Shah: And sir, just a follow -up on the first question. So the contract which you have signed with the customer, so is there a set -up arrangement or the volumes are evenly distributed across years?
Rajan Venkatesh: Can you just come -- can you just repeat your question, Harsh?
Harsh Shah: So the long -term contract which you have signed with the customer. So there, there is a step -up arrangement, so volumes will gradually increase over the years or they are evenly distributed across that contract tenure?
Rajan Venkatesh: It will gradually increase. But the customer has already set up his manufacturing facility. So that's why it's a good timing.
Moderator: The next question comes from the line of Rohit Nagraj from B&K Securities.
Rohit Nagraj: First question is on the incentive. So on Slide 25, we have given the bifurcated adjusted EBITDA. But if I look at the reported numbers, it seems that there is no line item below the EBITDA, which has this incentive income. So how there is a difference bet ween the reported 371 million EBITDA and over and above the incentive income economy ?

Mahadeo Karnik: So let me clarify. The GST incentive is part of INR 371 million EBITDA as we are eligible for this site, the incentive as per Maharashtra government's incentive scheme. We have considered it as sales and revenue from operations.
Rohit Nagraj: So just clarification, there is another number …
Moderator: I'm sorry to interrupt you , Mr. Rohit, but can you please use a handset while speaking?
Rohit Nagraj: Yes. There is another element, 23 million which is there. So what is that for the n?
Mahadeo Karnik: So that's the GST incentive, 23 million. That's the number...
Rohit Nagraj: Okay. Second question is in terms of the capex plan. So out of the total INR 1,100 crores, where are we currently? And how are we planning in terms of FY '26 and FY '27 capex number? And what are the time lines for each of the projects for commissioning?
Rajan Venkatesh: So I think the midpoint of expenditure on the capex is going to happen in this financial year, Rohit. As I called out, the start -up timelines , Phase 1 at Dahej has already happened as we call ed it out. The Phase 2 of Dahej mechanical completion is anticipated by quarter 4 of this financial year. At our Lote facility, basically, the ramp -up that is happening.
The world -scale ethyl acetate is anticipated mechanical completion in quarter 4 of this financial year. And for the Vayu project, which is the partnership with Hitachi, basically, the capex execution has started, and we are anticipating by quarter 2 of the next financial year, mechanical completion for this.
Rohit Nagraj: Sure. It means that for -- by FY '26 end, we will have about INR 550 crores of the capex completed, and then FY '27 and '28, the rest of the INR 550 crores will come in. Is that assumption, right?
Mahadeo Karnik: So as per my estimate, it should be around INR 800 crores capitalization in by FY '26 and rest should happen in FY '27.
Rajan Venkatesh: A big chunk of the capex , Rohit, is for our Dahej facility. And since that is going to get mechanical completed by quarter 4, so that's where a majority of the capex is being focused upon.
Moderator: The next question comes from the line of Aatur from ICICI Prudential Mutual Fund.
Aatur : Yes. Sir, just wanted to check the incentive, which you mentioned is basically any period that you can highlight for what period will be eligible for that?
Mahadeo Karnik: So it is as per the incentive scheme of the government so it's for the earlier periods

. That is what
I can disclose currently.
Aatur : So basically, next quarter onwards, there will be no similar kind of...

Mahadeo Karnik: So it's a yearly affair. We will have to apply yearly to the government and then we get those incentives. So it will not be quarterly, but for sure, yearly.
Rajan Venkatesh: But Aatur , to your point, the majority has got baked in, in quarter 2, if that's the direction of your question.
Moderator: The next question comes from the line of Yash Mehta from Malabar Investments.
Yash Mehta: I had one clarification on the incentive side. The number is INR 234 million which is the GST incentive, but the EBITDA for that is INR 23 million. I am trying to understand why is there such a large drop between what is coming in as incentive and what is getting recognized as EBITDA because I believe this is an additional line item that drops directly to the EBITDA?
Mahadeo Karnik: Let me clarify , Yash. We have kept that in income from operation, the GST, which is INR 234 million. So it flows down to adjusted EBITDA. What you are seeing at INR 23 million , that's a onetime expenditure of the Symphony project that is there in quarter 2. So the numbers are INR 23 million and INR 234 million that's why I think there is some confusion. Let me again clarify, INR 234 million is part of our operating P&L.
Yash Mehta: Okay. And 23 is -- sorry, if you can repeat what that what that is?
Mahadeo Karnik: INR 23 million was the Symphony project for the supply chain transformation that we are getting into, which we have incurred for this quarter.
Yash Mehta: No, I understood.
Rajan Venkatesh: Previous quarter also...
Yash Mehta: And sir, the other is the INR 230 crores specialty revenue in last year in 2Q FY '25 versus today INR 183, one element of the bridge there is that almost 10% of the revenues were impacted because of the agrochemical products being phased out, which is a one -time number. Here, there are two, three other moving parts.
So you would have included the GST incentive of INR 23 crores, INR 24 crores in the specialty revenue. That kind of takes care of the drop. But the additional drop is coming despite the increase in fluorine chemicals project. I'm trying to understand the bridge in the fall and what all factors have influenced the decline?
Rajan Venkatesh: So I think , Yash, it's a specific, very granular question. We are happy to clarify that. Why don't we take this as a follow -up, and then we can sort of get into that level of granularity that you're seeking. Let me just again clarify apart from what you called out, the agrochemical phase out, there are 2 other elements that is the deferred deliveries, which we also called out in quarter 1, which will now happen in the quarter between quarter 3, quarter 4 of this financial year. And also is the market price moderation that we have also seen to a certain extent in our specialty portfolio, given that feedstock prices have significantly reduced.

Yash Mehta: Got it. So the factors that are -- so the question is the factors that are affecting larger part of the decline seem to be onetime related to this quarter rather than the next 2 quarters?
Rajan Venkatesh: Yes, apart from the agro, which is the one -off. The other thing on the market price moderation, I think that will accompany us depending on how the feedstocks are developing. But the deferred deliveries is something which will recover in the second half.
Yash Mehta: All right, sir. And just to clarify, I'll take that offline, but just two clarifications on the specialty revenue number, sir. One is that the fluorine ramp -up, which is like INR20 crores per quarter, that would be kind of built into the specialty revenue and you will have the GST incentive also built in

to the specialty revenue. Is that a fair assumption?
Mahadeo Karnik: You are correct. But we will share with you the quantification.
Yash Mehta: All right. And one last question, sir, if you can divide the EBITDA of -- I missed the opening remarks, if you can just help me with the EBITDA for Essentials and Specialty business.
Mahadeo Karnik: EBITDA for Essential s business is 2% and for specialty, it is 8.2% for the quarter.
Moderator: The next question comes from the line of Darshan Garg from Tiger Assets Private Limited .
Darshan Garg: Sir, wanted to know related to the SF6 replacement, so what is the opportunity size for us?
Rajan Venkatesh: Darshan, thanks for the question. Let me just call out what we have stated. Fundamentally, the first wave is 60 metric tonnes that we will be establishing. That is the alternative for the SF6. The capex for that is INR 75 crores. And this asset should be mechanically complete by quarter 2 of the next financial.
Discussing with customers, we do see this as an interesting opportunity to support their growth, and Hitachi is our current partner and the primary partner in this journey. The technology is very much Laxmi's technology. So there is no exclusivity, and we can continue to also grow. That's the way we would view it, Darshan. At this point of time, happy to take up specifics thereafter.
Darshan Garg: Sir, do you have any approx number in your mind for the opportunity ?

Rajan Venkatesh: Yes, we do, but I think it will also depend on how -- certainly, we see this as one of our growth engines also moving ahead. But at this point of time, we are very much led by what the customers are saying and how this would kick in. We certainly see the r egulatory framework in different regions also being a catalyst in this change.
Darshan Garg: Okay. Fair enough. Secondly, sir, since most of the SF6 replacement materials are imported from China, so what is the price difference between our domestically produced material and imported one?
Rajan Venkatesh: So at this point of time, we are -- as we called out, right, we have partnered with Hitachi, and we are basically serving Hitachi's requirements outside of India. So this is not a domestic play.
We will certainly support Hitachi. In fact, with our announce ment, Hitachi has also succeeded

in getting its first order for the EconiQ grade from Power Grid domestically. But a big chunk of the volumes that is being discussed with them are for the export markets.
Moderator: The next question comes from the line of Saumil Shah from Paras Investments.
Saumil Shah: Sir, I would like to know what is our current capacity utilization for Specialty, Essentials and Fluorochem , if you can bifurcate and give us.
Rajan Venkatesh: So the reason why we are expanding our capacity in all is because we are very well utilized, Saumil. So our utilization, as we have been calling it out for our Essentials business has been upward of 90% to 95%, and that is where the expansions are happenin g in our Essentials basket.
In our Specialty baskets in the diketene derivatives also, we are fully utilized. And hence, we are doubling our capability, and we will be then globally top 3 producers of the ketene, diketene derivatives. And our fluorination is we are ramping up, so we still have a journey to traverse there. Fundamentally, in the course of this financial year, we want to be closer to about 40% to 50% of the peak revenues that we are able to get out from that asset base.
Saumil Shah: So sir, if we are seeing that in Essentials, we are about 90% to 95% utilization, then why are we not able to increase our EBITDA? I mean, if we are at full capacity, isn't it possible to increase the EBITDA margin?
Rajan Venkatesh: So I think there's a correlation is also linked to specific margin. So if you look at the spreads, right, it's not

simply me pushing more volumes. If you were to think about it the other way around, if I had capped my capacity, say, 100,000 tonnes, and if the margin spreads had come down, in fact, I would have been facing a much lower overall EBITDA realization.
The fact that with our operational excellence journey, we have been able to churn more from our existing setup. And also given our cost position, we are able to place these products competitively in the market is where we are leveraging both this value and volume. So that's the game we are playing, and you will certainly see it playing this out.
So while we are talking a point in time, if you look back at history, where the spreads have been higher, then we have been able to leverage that. When today, the spreads are lower, we are very clear we are in the top quartile in the cost curve, and that is what we are leveraging.
Saumil Shah: Okay. So is it fair to assume that once the capacity increases, the Essentials margins can also go up?
Rajan Venkatesh: It will not be only margin story. It is the consolidated, what we would say consolidated CCM1. So it is a specific margin multiplied by my volume. So as my throughput in my volumes into the market increases, then my consolidated margin will certainly increase.
Saumil Shah: Okay. Okay. And sir, if you have to look at our fluorochem business, so as we have guided 40% to 60% of peak revenues, so that is about INR 80 crores, INR 100 crores for this year and maybe

INR200 crores for next year. So isn't this too less, I mean, too miniscule compared to our total revenues? So are we not planning to expand this fluorochem business?
Rajan Venkatesh: So Saumil, your question is spot on. But again, just dialing back, right, what we have always said is we acquired that asset for its technology. And we said that, that asset that we acquired will be only able to generate up to this INR 200 crores of revenue. And this is also what was in the ballpark of peak revenues that the previous owner of this asset was able to generate based on their product mix.
So you are correct. If you then see the follow -up we have done, the partnership with Hitachi and the investment, and we certainly have plans thereafter to also, over a period of time, expand our fluorination vertical. So you're correct in saying INR 200 crores is miniscule as compared to the larger piece, but ambition remains much larger also in fluorination for us, building on our first

successes.
Saumil Shah: Because, sir, honestly, as a shareholder, everyone were too gung -ho when you -- I mean, when we had guided that we are entering into fluorochem business. But I think since last 2, 3, 4 years also, I mean, we are still targeting INR 200 crores by FY '27. So just from the shareholder perspective, I was asking this.
Rajan Venkatesh: No, fair enough, Saumil and it is a fair ask, and I think it's a correct ask. But we have also been very, very transparent, Saumil, how that journey has traversed, what have been our reflection. And most importantly, today, we are coming out of that journe y and looking certainly forward for growth. And the testimony with the Hitachi partnership is one such success that we have garnered.
Saumil Shah: Okay. So I mean, any more capex for fluorochem would be post FY '27, nothing in next 1, 1.5 years?
Rajan Venkatesh: Apart from the one we have just called out for the SF6 replacement, which we have been now basically by being prudent in the capex layout, we are able to accommodate that. Any expansion, we will come back to the street with clarity. But my primary focus and my management team's focus is we are spending capex here and now, and we want to leverage that capex and deliver growth for our shareholders and customers.
Saumil Shah: Okay. So this Hitachi revenue, whatever we are seeing would be within this INR 200 crores

or
it would be over and above?
Rajan Venkatesh: This would be on top of that.
Saumil Shah: And sir, we are not guiding anything on the revenue front? What would be that number?
Rajan Venkatesh: So we have said, again, the capex is about INR 75 crores and asset turn is about 1.2.
Moderator: As there are no further questions, I now hand the call over to the management for closing remarks.

Rajan Venkatesh: Thank you again. Thank you all for investing your time with Laxmi Organic. Let me just again conclude with my reflections, repeating some of the elements that I started with. The global chemical industry backdrop remains very demanding, and this is shaped by regional dynamics given the overall supply side overcapacities .
The industry continues to be marked by targeted efforts towards cost optimization and restructuring of structurally subscale and non -competitive assets. We spoke about the demand signals from our customers and key segments.
We spoke about the specialties, the performance into quarter 2 and how we are also lining up, especially if you talk about specialties into quarter 3, the success we've had with the fluorination setup and also with our road map at the new capex at our Dahej facility.
I would say with the demanding global chemical industry backdrop as Laxmi, we continue our focus on productivity, commercial excellence, execution excellence, cost discipline, and you saw that in the numbers when Mahadeo explained it and growth projects.
Cash flow from operations is a very important metric that we are steering. And there, we have also done very positively as compared to the similar time previous year. So a s Team Laxmi , we remain geared to win and geared for growth. And I remain deeply grateful to all members of Team Laxmi and its stakeholders for their continued engagement. Thank you.
Moderator: On behalf of Laxmi Organic Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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Call: Feb 2026

February 4, 202 6

Dear Sir / Madam,

Sub: Disclosure under Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligation and Disclosure Requirements) Regulations, 2015 (“ Listing Regulations ”), we wish to inform you that the Company participated in the investor conference as given below:

Date and time Type of Meeting / Event Location
January 30, 202 6, at 14.00 hours
onwards Investor & Analyst Meet to discuss
performance for the quarter
ended December 31 , 202 5 Conference Call through dial -in

No Unpublished Price Sensitive Information was shared/discussed in the meeting with the investors.

Further, please see enclosed the transcript of the Investor Call for Q 3FY2 6.

We request you to take the above on record.

For Laxmi Organic Industries Limited

____
Aniket Hirpara
Company Secretary and Compliance Officer

Encl.: A/a

BSE Limited
Corporate Relationship Department,
1st Floor, New Trading Ring,
Rotunda Building, P. J. Towers,
Dalal Street, Fort,
Mumbai – 400 001
Scrip Code: 543277 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai – 400 051
Trading Symbol: LXCHEM

“Laxmi Organic Industries Limited
Q3 & 9M FY '2 6 Earnings Conference Call ”
January 30, 202 6

E&OE - This transcript is edited for factual errors. In case of any discrepancy, the audio recording uploaded on the stock exchange s on 30th January 2026 will prevail.

MANAGEMENT : DR. RAJAN VENKATESH – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – LAXMI ORGANIC
INDUSTRIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 and 9M FY '26 Earnings Conference Call of Lax mi Organic Industries Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone.

Please note that this conference is being recorded. From the management, we have with us Dr. Rajan Venkatesh, MD and CEO; and Mr. Mahadeo Karnik, CFO. We will now begin the call with remarks from the management team, followed by a question -and-answer session. Before we begin, I would like to point out that this conference call may contain forward -looking statements about the company, which are based on t he beliefs, opinions and expectations of the company as on the date of this call. These statements are n ot the guarantee of the future performance of the company and involve risks and uncertainties that are difficult to predict.

I now hand the call over to Dr. Rajan Venkatesh, MD and CEO. Thank you, and over to you, sir.

Rajan Venkatesh: Thank you. Very good morning, good evening and good afternoon, Namaskaram from my side to wherever and whichever time zone you're dialing in from. To set the context, again, like I've usually done in the past, I would like to just spend a small amount of time on what is the global macro on the global chemical industry, focus th en on th e demand trends signals thatwe are seeing from our key customer industries that we serve; give you a bit of a glimpse about how the feedstocks have developed, at least the key primary feedstocks that we tend to employ and that impacts us; and then give you a quick insight into how our p erformance has evolved into quarter 3; our projects, key projects, how that is progressing and also in this time, really focus on the self -help measures that we continue to work ourselves upon in the current backdrop and also give you a quick update on our Lote facility. So let me start with the global chemical industry. Not surprisingly, that continues to be challenging.

And what you see is clearly continued efforts in the global landscape towards cost optimization, shutdowns, restructuring of subscale and non -competitive assets and rerouting of supply chain linked to the continuously evolving tariff situation that we are all grappling with.

That being said, I would say in the past months and weeks, the recent announced shutdowns in certain parts of the world -- in this case, Europe and specific measures in China in accordance with their anti -involution policy reflect that actions are being taken to improve the situation. The recently signed EU -India FTA , upon actualization , because we all understand there is a certain time between that should also at least in ou r lens, be a positive catalyst.

Coming to the demand signals. Demand signals from key industry segments that we serve : packaging, inks and adhesives remained stable on a quarter -on-quarter basis. If you look at agrochemicals, it remained moderate. On paints and coatings, it continued to be weak to moderate because we serve a glo bal customer base there. And on pharmaceuticals, it remains stable.

One of the key feedstocks, and in this case, acetic acid, while many feedstocks have seen a deflationary price trend over the last quarters and in fact, also over the last 1 or 2 years . Calling out acetic acid, which is a key building block for us. Over the calendar years of 2024 and 2025, acetic acid prices have dropped by greater than 20%, right .

Only in December, we are noticing this trend positively reversing. And as you can imagine, while we are positively t

hrilled about it, but we are also monitoring this very granularly. For our Specialties business, if you look into our quarter 3 performance, while maintaining market share, financials on a year -on-year basis con tinue to be impacted by 3 levers. One is a market price moderation. This is something we have called out also in the past.

I gave you an example of acetic acid as one key, I would say, example. One -time campaign product, and this is what you will hear a little bit more about. This was the one -time campaign product that we did in quarter 3 of the last financial year, which certainly did not repeat into this financial year. And as previously we had highlighted the agro product phase out for which we were supplying an important intermediate.

In the Essentials part of our basket, the spread for our key product, ethyl acetate , continued to be subdued. And our current focus in the Essentials segment remains achieving volume -driven profitable growth. Both in the Specialties and also Essentials, moving into quarter 4 and also into the next financial year, new capacities are coming up.

So obviously, as you can imagine, a core focus from our side would be really getting into a hunting mode with close proximity to many of our customers because that is the call of the hour.

At our Dahej facility, which is the single largest capex that Laxmi has embarked on to, as we had called out in the past, the Phase 1 is already online. We are already supplying customers from that.

And the project remains, especially for the Phase 2 , on course, and our priority remains bringing the Phase 2, completing it by the end of quarter 4. The fluoro intermediates operation at Lote remain on track, and we are, I think, in a good space to achieve what we have called out in the past in our first y ear of operations from our Lote setup.

We continue, as I said, on self -help measures. This is very, very important given the continuing landscape backdrop on the chemical industry by focusing on productivity. This is something we started quite some time back, and that is again something we cont inue to focus upon.

Commercial excellence, execution excellence, this is also driven by executing these projects that we have laid out the capex for in time, within budget and within scope. Cost discipline and needless to say, last but not the least, but sometimes the most important part, the new growth projects and focusing on the new product development and the cycle, especially for our specialty part of the vertical.

We also affirmed that our Lote facility operates in compliance with all applicable Indian requirements, and there has been no discharge of hazardous affluence into the environment where we operate. We remain steadfast in our commitment to transparency and continue to

actively engage with all relevant stakeholders. Again, that being said, our fluoro intermediates operation in Lote remains on track, and we continue to operate that.

So with that, I will hand it over to my dear friend, Mahadeo, who will take us through how the financials have evolved.

Mahadeo Karnik: Thank you, Rajan. So good afternoon, all. I'm taking you through now slide by slide. I'm currently on Page 22. So if you look at our revenues for the quarter have decreased by nearly 9% quarter -on-quarter versus previous year.

Our EBITDA is at nearly INR 50 crores, which is 33% down versus previous year. And our PAT is at INR 25 crores versus INR 29.3 crores in previous year. Key highlight to this is 3 things: continuing pressure in the space of ethyl acetates. There is a product mix difference between Essential and Specialties. This time because of the decline in Specialties business, the percenta ge has gone down.

And also from this quarter, we will see the impact of incremental cost of Lote as well as part of the Dahej facilities going up. So

that comes in our P&L. These results also include a one -time gain, which we have called it out specifically from our notes i n the published accounts for favorable litigation settlement for wheeling and transmission charges of INR 407 million. As the labor codes were also announced in November, so we have taken a provision of INR 38 million for the same. And there is ongoing supply chain redesign project, which has costed us nearly INR 9 million.

So these are the one -timers that we have. If you look at Essential business, the revenue has declined by 6%, but the volume remains same, mainly this revenue is impacted by the acetic acid feedstock prices. In case of Specialties, the revenue has declined by 30%. As Rajan called out, there is a price moderation, which is causing 12% . One-time campaign product in FY '25, which caused around a decline of nearly 5% to 6% and phaseout of agrochemical intermediate, which is around 10%. So these are the key components of the decline for Specialties.

If you look at our cost components, our employee cost is at INR 46 crores versus previous year of INR 34 crores. In previous year of INR 34 crores, mainly there was a reversal of ESOP of nearly INR 4 crores. And also it has an impact of additional headcounts at Lote and Dahej of INR 4 crores. And also it has an impact of annual increments. But if you look at the other expenses line, there is a decline by nearly INR 5 crores, mainly on account of freight management and all other expenses to be in control.

So overall, our adjusted EBITDA is at INR 14 crores. There is a onetime gain of INR 36 crores, which again, I want to reiterate is that there is a reversal from operations for the wheeling charges and transmission losses on account of the Supreme Court favourable order of INR 407 million and offset by the employee cost due to one -time labor core cost, which is INR 38 million and other expenses for cost of supply chain of INR 9 million. So that's it from my side.

Moderator: Thank you very much. The first question comes from the line of Jainam Ghelani from Svan Investment. Please go ahead.
Jainam Ghelani: So my first question is mainly on the ethyl acetate spreads. So what are they currently? And how do we foresee them going in Q4 as well as FY '27?
Rajan Venkatesh: So again, thank you for the question, Jainam. So first is, let me start with acetic acid because that's the key, I would say, mover and shaker when you talk about ethyl acetate spreads, right . While ethyl acetate spreads has , apart from acetic acid also got ethanol as the key raw material going into that product. The acetic acid is where the root cause, I would say, stem from.
And as I called it out in my opening remarks, acetic acid has dropped almost more than 20% over the last 2 years. And we saw acetic acid prices sort of on the lower end in the last few months, which actually plateaued, I would say, at about $320, $330.
And since then, we have certainly seen that this seems to be, I would say, a floor on the basis of which some of the key producers that are serving the Indian market from China and also ASEAN, have proactively taken certain capacity offline but also have chosen to improve the price points both domestical ly and also into the Indian market. So as we speak now, acetic acid prices have rebounded. And that's what we are seeing in December. They are closer to about $360, $370, $380 levels.
But that being said, you also have Chinese New Year coming around the corner. So post Chinese New Year, you will also see capacities coming back online. So we anticipate that we do not expect to go back to the pain points that these producers experienced i n the past. And somewhere the new reality will be between what we experienced between $330 to $380 is what we anticipate.
As you can then also imagine, the spreads of ethy

l acetate because on the back of feedstocks has
also improved. And where we were really at a pain point of $90 to $100 over acetic acid and ethanol, we are now inching towards the $130 range.
Jainam Ghelani: So sir, does that mean that the worst in terms of acetic acid is behind us and from Q4 onwards we should see improvement in the profitability on the Essentials front?
Rajan Venkatesh: So what this implies certainly is price points of $320, $330 for acetic acid was not sustainable for the producers. And here, I'm talking about leading producers like the likes of INEOS, Shanghai Huayi and also Celanese. So that seems to be the key takeawa y at this point of time.
So we are certainly expecting things to be not going back to that level. Now whether it remains at $370, $380 or moderates lower to the midpoint of $350 $360 post Chinese New Year is something we need to diligently monitor.
Jainam Ghelani: Sir, I think in Q4, you mentioned that our Dahej Phase 2 should come online. So almost INR 1,000 crores of capex should be over. So how do we see that ramping up over FY '27 and FY '28?

Rajan Venkatesh: So Dahej, like we have also called out in the past was done in 2 phases. The Phase 1 was already operational in the end of quarter 2, quarter 3, and that ramp -up is happening as we speak. But the big chunk -- and again, don't forget the Dahej capex is a INR 710 crores capex . It's not INR 1,000 crores; INR 710 crores. And a big chunk of the diketene, ketene, and the downstream derivatives will get mechanical completions towards the end of quarter 4.
So FY '27 would be the first year. A, you'll have also a sampling period because a big chunk of that capex is our diketene derivatives. These are specialty in nature. There is also a product of anhydride that we are going to produce there. So all of this require customer qualification. So FY '27 will be the first year of qualification plus ramp -up and FY '28 is where we will try to further fast track the ramp -up.
Jainam Ghelani: Okay. So we can expect basically revenues from H2 FY '27 from the diketene space?
Rajan Venkatesh: If we are able to get all the qualifications done, I think that is the focus that we are working towards.

Jainam Ghelani: So in the third quarter, our Specialties segment just saw 12% to 13% EBITDA margin. So how do we see that recovering over the year? And other than the phaseout of the product, what was the reason for the drop?
Rajan Venkatesh: Specialties -- so again, can you just repeat your question? Can you just repeat your question, please?
Jainam Ghelani: So in the Specialties segment, we saw EBITDA margins of 12% to 13% in Q3. So other than the agro product that phased out, what was the reason for the drop? And when do we see the margins to recover to almost 20% to 22% , which was our earlier outcome?
Rajan Venkatesh: So as we explained also, first and foremost, we have put a slide which goes to show what has been our journey in the Specialties and specifically the diketene. We came in where we started with about FY '17, we were at about INR 250 crores. And we today, we closed out last financial year at close to INR 950 crores.
Even if you see in the last few years, we have actually delivered EBITDA in the range of 20% to 25% in our specialty basket, which is primarily diketene. The trigger for us to invest in the capex at Dahej and to double our capability was that we were already maxed out with our capacity at our existing sites.
We have the largest portfolio in the diketene space globally and we are serving a varied range of industries. And we believe we have a good cost position to build upon that. So that was the first thesis of which we have done. What we saw this year happening was what we have called out also in the past. We had one product, which was almost contributing 10% of our revenues,

which was the intermediate going into the agro space.
That got phased out. In fact, in the discussion with that customer, they were anticipating that still to continue, but that did not manifest into this financial year. The second lens, what we have also

called out is when you have feedstocks, and it is not only acetic acid, if you speak to multiple, even aromatics value chain, you have seen feedstock dropping double digit.
So even while you are selling Specialties and positioning Specialties, I think one cannot simply wish away that you will not have an impact on product pricing. So that is the lens where we are.
And clearly, the chug rate remains as we are also ramping up. And again, don't forget that we also have our Lote facility that has come online and that Lote facility primarily is linked to our specialty portfolio on fluorination. So you also have the cost and all the capitalization and cost coming in from there. So those have been the factors.
Our focus still remains the same that we have a clear right to win into our diketene derivative space. And once the Dahej facility is up and running, we will leverage both Mahad plus Dahej and ramp this up into 2027, as I just explained, and moving more important to 2028 and beyond.
That is the way we view it, and that is where also gradually, we will see t he improvements into the basket.
Jainam Ghelani: Sir, is it safe to say that Q3 was one of the worst quarters that was -- and all the problems are gone as of now?
Rajan Venkatesh: At this point of time, I think we will have to navigate it quarter -on-quarter. Chemicals is challenging. I do not want to wish that away. At least on the upstream feedstock lens, we certainly see that things seems to be rebounding, but I would still take i t quarter -on-quarter.
Jainam Ghelani: So do we see any improvement in Q4 as of now in our performance?
Rajan Venkatesh: I would take it quarter -on-quarter. I have already shared very transparently with you the movements that we have seen in our Essentials basket, and then we will need to move accordingly.
Moderator: The next question comes from the line of Rohit Nagraj from 360 ONE Capital.
Rohit Nagraj : Two questions. One, company specific. During this quarter, did we see any secondary impact from the U.S. tariffs given that some of the intermediates that we supply to the domestic players who are manufacturing and selling the final product to the U.S. mar ket? So was there any impact? Or was there any such situation which we faced? If you can just give a broader picture on the same?
Rajan Venkatesh: So Rohit, as we have shared in the previous call, Laxmi's exposure to the U.S. market is only 10% of our top line revenue. That is INR 300 crores. Of that INR 300 crores, only about 10% of that was truly impacted by the tariff topics. So it is not as material.
But certainly, our customers, whom we supply, their products then potentially are also impacted.
So yes, there is, I would say, at a company level, not a direct large material impact. But if you talk about the value chain, there is a certain impact.
Rohit Nagraj : Sure. But it's not material to quantify or to hurt us significantly or it hasn't hurt us significantly during 3Q?

Rajan Venkatesh: No, that has not been the material impact into quarter 3. The U.S. part has not been the material impact .
Rohit Nagraj : Right. Second, a general question, given that you've also worked in Europe earlier. So I mean, given the EU FTA that we have signed recently, in terms of the domestic India import tariff to the EU has been about 13 -odd percent. But on the contrary, the EU tariffs, import tariffs towards India were 22%.
So there is a differential in terms of the duty structure. So will this have any material impact in te

rms of higher materials flowing from EU to India? Or just a perspective in terms of the quality of material, which is coming from EU to India and the mate rial which is going from India to EU? A broader perspective would do.
Rajan Venkatesh: Rohit, I think it will all depend on value chain. So for example, if we talk about value chains, which are linked to natural gas in some form, I think what is public information out there, certainly, natural gas in Europe is 4x or 3x of that what is cost c ompetitively in North America. So for them to move products like example, methanol, ammonia into India, I see that as difficult. Now in Specialties, there could be opportunities. In my thesis, I would say, with also the restructuring that is happening broadly now in the European chemical industry, I would see more opportunities of Indian companies actually exporting into Europe. That's the way I would view it from this point of time, Rohit.
Rohit Nagraj : Sure. But is it safe to assume that the products which are coming from Europe to India either they are kind of proprietary patented or super specialty products? And there are not large or there are no material manufacturers in the domestic market due to wh ich this flow has been there. So there will not be any material impact on the industry, as you rightly pointed out in terms of the more opportunities coming through the FTA?
Rajan Venkatesh: No. Again, you see India remains a net import, even if you look at all key building blocks, be it propylene oxide, be it MDI, TDI. So I would say those would be some of the commodities that could come in, but I would more focus on the specialty part, where certainly Europe still has a right to win in certain of these value chains. So it's going to be really , in my lens, to summarize, this is a very value chain approach where Europe certainly continues to have a right to win. And same way, again, from an India lens, where India then has a right to win.
Moderator: The next question comes from the line of Ankur Periwal from Axis Bank.
Ankur Periwal : So the first question on the Essentials part. Now you rightly mentioned the pricing decline in acetic acid and the resultant contraction in spreads. Just wanted to understand two things here. One, from a volume growth perspective, do we have adequate capac ity, surplus capacity now to ramp up the volumes further? Or how should one look at it?
Rajan Venkatesh: Ankur, like we have also said in the past, we were running our assets broadly at significant high operation rates, both on the Essentials side and also the Specialties side. And that was one of the triggers that we chose to expand our footprint. So if you remember from the previous claims that

we have made, we basically announced the establishment of a world -scale ethyl acetate facility that would come up in our Lote site. And that is what we are diligently working towards. Our Phase 1, which has started up at Dahej is one of our Essentials prod uct.
So from our existing capacity, we are fully utilized, and it is going to be really the growth coming from the newer capacity, which is going to move the needle positively. Our operational excellence journey that we started in 2023 actually yielded a signif icant double -digit output from our existing asset base in Mahad with limited to no capex . But you can only juice that out so much.
Ankur Periwal : Sure. And there's 70,000 ton capacity that you are referring to if I'm not wrong. And when do we expect, let's say, a full ramp up capacity? Historically, we have seen a quicker ramp whenever there has been a capacity addition. But given the macro, what ar e your thoughts on this?
Rajan Venkatesh: So again, if you look at our Essentials basket, 70% of our Essentials business primarily is in domestic. And while we all talk about the macro for chemicals globally, India

in that sense still
is a positive outlier because you do continue to see demand gro wth in India, whereas in other

geographies that is certainly not the case.
So given that has been our pivot in the Essentials side, I think we remain confident. And also with the cost position that we are establishing that we will diligently move , once the asset is ready , into FY '27, we will diligently move that into the market.
Ankur Periwal : On the pricing on acetic acid, you expect it to largely stable between $320, $370, $380 over the near term, or probably over the near -term?
Rajan Venkatesh: You are referring to acetic acid, is it?
Ankur Periwal : Acetic acid, yes. That's right.
Rajan Venkatesh: Yes. So acetic acid, again, I wish we knew everything, how things would evolve if I have to take a side step who expected gold to move the way it did. But that being said, what seems to be clearly evident is the price levels where acetic acid dropped to in the last weeks and months of close to $320, $330 certainly do not seem to be sustainable for the acetic acid producers.
And that is where my expectation is at least in the short to midterm, it might not come back to that level. That being said, other things could play. But from today's perspective, that is where we expect somewhere between upward of $340 to that $360, $370 level is where it might float.
Ankur Periwal : Secondly, on the Specialties intermediate part. Last year, we were around INR 9.5 billion of revenue. This time on YTD basis, we are roughly INR 5.6 billion, INR 5.7 billion. One, what is the breakup between the fluorochemical business and the Specialties? And second, while pricing is one part which is highlighted in terms of decline, how has been the volumetric growth or degrowth on 9 months?
Rajan Venkatesh: So let me take the first element. The fluorination, our focus was to be closer to about the INR 70 crores to INR 80 crores of top line. And I think we are chugging towards closer to be in that

range. So that's the first positive thing because that's been an area which has been a heightened focus for us to establish that setup and actually deliver revenues and profitability from that setup.
That's the first part to your question, Ankur, when we look at the Specialties base.
What one needs to rebate certainly is the fact that close to about 10% of that INR 950 crores that we clocked in the last financial year was -- I mean just shy of 10% is what was attributed from the agro intermediate, which was phased out, right? So you need to baseline that at least for this financial year versus the previous financial year. And coupled with the element of the fact that you've had the moderation on the feedstocks.
On volumes, if you look at the ketene, the diketene, we continue to be well utilized because the way we steer that portfolio, it is not unlike in Essentials where you have acetic acid and ethyl acetate . In the Specialties basket, it is diketene as a starting raw material. And then we have a plethora of downstream products that we can leverage that into with the asset -based flexibility that we have in our grid at Mahad and that will also be established at D ahej.
Moderator: The next question comes from the line of Harshil Sethia from Singularity AMC.
Harshil Sethia : Sir, in the acetic acid, prices moving up is because of the trade rebates, which has been removed in China?
Rajan Venkatesh: No, no. Harshil, no, that has got nothing to do with the trade rebates. That was done for certain of the agro products, not on acetic acid.
Harshil Sethia : Okay. Sir, secondly, you said that there was a molecule ramp -up, which was going to start from Q3 in the Specialties segment. So what is the update over there?
Rajan Venkatesh: No. What we had called out, Harshil, in the past is the agro product that got phased out for which we were s

upplying the intermediate that we had already a backup plan for that. And that product basically is in the qualification phase, and we will see sales from that manifesting in quarter 4. But obviously, that is going to be the first quarter and then the ramp -up would happen into FY '27. As we have also explained in the past, it is not a one -to-one substitute in volumes or profitability, but that is what we have referred to in the past. Harshil, if that is what you are alluding towards.
Harshil Sethia : Sir, lastly, this new product will be from our Dahej plant or from Mahad?
Rajan Venkatesh: Sorry, can you just repeat the question, Harshil?
Harshil Sethia : The new product will be from Mahad or Dahej?
Rajan Venkatesh: No, no. So this would be from our Mahad setup because -- as we said, right, so where we were producing the previous product, we had already mapped out alternatives because we knew eventually it would happen. And so we had mapped out alternatives, so it would be at a Mahad setup.

Moderator: The next question comes from the line of Nitesh Dhoot from Anand Rathi Institutional Equity.
Nitesh Dhoot : Just to check on your comments on the anti -involution and the likely Chinese shutdowns. So almost 5 million tons of acetic acid capacity is getting added over '26, '28 period. So while recently, there has been an uptick on the acetic acid prices given some maintenance shutdowns, et cetera, but what is your thought of the overall medium -term supply -demand dynamics there?
Rajan Venkatesh: So Nitesh, supply -demand dynamic continues to be long. What we are observing is, again, typically what you would see in a commodity business is where are you on a cost curve? So at the price point that acetic acid reached, which was close to $320, $330, yo u could certainly see that most producers were struggling to make money.
And hence, you had some of the major multinational producers in Asia taking shutdowns or extending their shutdowns. To that effect, you had also some of the Chinese capacity, which was going off -line. So while, yes, on the capacity supply -demand dynamics, it is long. But at these price points, you are also seeing it is not sustainable to operate despite the fact you have capacity.
Nitesh Dhoot : Sir, my second question is on the diketene derivatives. So how much is the spend there on the capex at Dahej for diketene? I mean if you could just give us some sense of whether you would be doubling your capacity or anything on that side? And how is the business expected to grow there? So any contracts that you might be having on this side, any visibil ity that you might be having if you could share?
Rajan Venkatesh: So Nitesh, as we have shared in the past, of the INR 710 crores for the Dahej capex , close to 65% is dedicated to the Specialties, which in this case, in the diketene and diketene derivatives. So that is your first part of the question. With the diketene business, I think that remains something which is close to our heart. That is something we understand very, very well. And that is where we have decided consciou sly to expand our footprint.
As we have also discussed in the past, with the current capacity e xpansions globally, we will be number 3. We already today have the largest portfolio of 50 -plus products of diketene derivatives in our portfolio. And to sort of conclude, we have had recent wins, and there are also ongoing conversations with customers, needless to say . Customers are also viewing us positively because we become very uniquely positioned that we are the only fully integrated supplier from India or even globally to that extent to a certain level across 2 sites.
Nitesh Dhoot : Just one last, if I may squeeze in. On the fluorochem project, we had indicated that we would be doing close to about INR 80 crores top line in FY '26. So any sense of

where we would be on in the 9 -month period there?
Rajan Venkatesh: We are on track on that one, Nitesh. And that is what is continuing to give us confidence as we move across.
Moderator: The next question comes from the line of Chetan Doshi, an individual investor.

Chetan Doshi : Sir, first question is that in the result you have mentioned that depreciation is -- there is no change in the method of calculation. So you mean to say that there is an actual loss of INR 2 million if you incurred as per the earlier method? Second question is regarding the Hitachi joint venture. There is no mention in the presentation as to what is happening on that project particularly?
Mahadeo Karnik: So let me clarify on depreciation first. So we were at a WDV method of depreciation up to last year. And when we benchmarked across the industry, we see that all our peers are at straight -line method. So we adopted that method. So there is definitely an im pact to the extent what we have mentioned in the financials. So I will ask Rajan to jump in.
Rajan Venkatesh: On the Hitachi topic, Chetan, I think we remain excited, and we remain on track. So no new news to share beyond what we have shared in the previous con call, and we remain on track. Now we are more in the execution mode. And again, just to clarify, it is n ot a joint venture. Basically, Hitachi becomes our lead partner. The IP and know -how is owned by Laxmi, and that is the way to view this. And it is not an exclusive relationship.
Chetan Doshi : It is not exclusive?
Rajan Venkatesh: No, it is not exclusive.
Chetan Doshi : One last question is, you have mentioned that first phase of Dahej is already -- we have started the operations. So what is the current volume what we have done in this last quarter from Dahej?
Rajan Venkatesh: So the Dahej investment, Chetan, is linked to a multiyear contract that we have with one of our customers who have also established their downstream product in Dahej. So our ramp -up is in sync with theirs. So they are also in a ramp -up phase. So I think it 's still early days, but we have already got qualified, and we have already started supplying them.

Chetan Doshi : So what is the volume, current volume?
Rajan Venkatesh: I would like to keep that confidential at this point of time because it is also impacting how our customer is being viewed. So please respect us on that topic.
Chetan Doshi : How much you expect in the next quarter?
Rajan Venkatesh: No. It's a multiyear contract. And this is, again, the entire capex is on the base of a clear contractual take -or-pay analysis that has been established in close collaboration with our customers. I would not break it down into quarter. I kindly would seek your understanding on that.
Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments. Thank you, and over to you, sir.
Rajan Venkatesh: Thank you all for investing your valuable time for the con call today. So let me conclude by the following. Chemical industry, like we spoke about, continues to be challenging, but we are seeing some early green shoots, which is impacting, I would say, str ucturally how things are evolving globally in the chemical space and also some of the key actions taken by China. Our

key industries that we serve continue to, I would, be stable to a moderate growth mode. That is positive for us with the new capacities coming.
While we have seen continued deflationary impacts on key raw materials, in certain cases, we are seeing that pivoting positively. So we will need to see how sustainable that remains. Both our businesses, clearly, our strategy is in place. Projects are comi ng on track, on time and within budget. Our fluorination

setup also remains on track.
We are focusing continuously on our self -help measures, focusing on productivity, commercial excellence, execution excellence, cost discipline and growth projects. Last but not least, we like to reaffirm again that our Lote facility operates in compliance with all applicable Indian requirements, and there has been no discharge to the environment, and we remain steadfast in our commitment to transparency and continue to actively engage with all relevant stakeholders.
To conclude, while this year and quarter remain challenging, as team Laxmi, we remained committed to geared to win and geared for growth. I'm deeply grateful to all members of team Laxmi and its stakeholders for their continued engagement. Thank you all. Have a wonderful day ahead.
Moderator: Thank you. On behalf of Organic Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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Call: May 2026

May 2 9, 202 6

Dear Sir / Madam,
Sub: Disclosure under Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligation and Disclosure Requirements) Regulations, 2015 (“ Listing Regulations ”), we wish to inform you that the Company participated in the investor conference as given below:
Date and time Type of Meeting / Event Location
May 2 2, 202 6, at 11.30 A.M. (IST)
hours onwards Investor & Analyst Meet to discuss
performance for the quarte r and
year ended March 31, 202 6,
hosted by Strategic Growth
Advisors Conference Call through dial -in

No Unpublished Price Sensitive Information was shared / discussed in the meeting with the investors.
Further, please see enclosed the transcript of the Investor Call for Q 4FY2 6.
We request you to take the above on record.
For Laxmi Organic Industries Limited

____
Aniket Hirpara
Company Secretary and Compliance Officer

Encl.: A/a

BSE Limited
Corporate Relationship Department,
1st Floor, New Trading Ring,
Rotunda Building, P. J. Towers,
Dalal Street, Fort,
Mumbai – 400 001
Scrip Code: 543277 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai – 400 051
Trading Symbol: LXCHEM

“Laxmi Organic Industries Limited
Q4 FY 26 Earnings Conference Call”
May 22 , 202 6

E&OE - This transcript is edited for factual errors. In case of any discrepancy, the audio recording uploaded on the stock exchanges on 22nd May 2026 will prevail.

MANAGEMENT : DR. RAJAN VENKATESH – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER –LAXMI ORGANIC INDUSTRIES LIMITED
MR. HARSH GOENKA – EXECUTIVE DIRECTOR & INTERIM CHIEF FINANCIAL OFFICER – LAXMI ORGANIC INDUSTRIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY 26 Earnings Call of Laxmi Organic Industries Limited. This conference may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements do not gu arantee the future performance of the company and it may involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Dr. Rajan Venkatesh, MD and CEO of Laxmi Organic Industries. Thank you, and over to you, sir.

Rajan Venkatesh: Very good morning, Namaskaram from my side. Also good evening or good afternoon, depending on the time zones th at you guys are dialling in from. Again, thank you for your interest on what's happening at Laxmi. Let me start again with the large strokes first, slightly at the macro.

I guess we all continue to hear a lot that's happening at a macro level, which has ramifications for all of us. Then bring it a little more closer to what does that mean on the raw material implications for us as Laxmi, what does it mean for our customers, and how are we seeing demand generation there? Then give you also a quick insight into where are we seeing on topics like logistics, which also, as you can imagine, is an important topic.

Take you through to where are we on our current projects and assets? How are we shaping up there? I'm also very happy to announce, and I will do that in the course of the narrative, our new CFO, who will join us by middle of June, give you a brief introduc tion about him and also then take you through our performance sequentially, quarter 4 versus quarter 3 of FY '26, and also give you a quick preview of how did we close out FY '26 versus FY '25, and then open it up for questions.

So let me start first with the macro element. Certainly, the way to look at quarter 4 is Jan and Feb, and then thereafter, after Valentine's Day and towards the end of February is when there was a lot more interesting things happening, specifically the con flict in the Middle East, which, as we all know, still today, continues to go on.

And therein is where we saw a lot of spikes in feedstocks. I think it was a lot more uncertainty creeping in into the overall chemical ecosystems from primarily crude, thereafter certain key building blocks like methanol and specifically also more so build ing blocks that are coming from the Middle East into the other geographies, into Asia and others.

So not surprisingly, taking it to the next step. So March is where we saw those disruptions, which then continued into April and also continues now in different forms. When we then take the next step into certain key raw materials that impact us as Laxmi, acetic acid is clearly one of them.

If you remember the narratives during the course of the previous financial year, quarter 1, quarter 2, quarter 3, what we had seen in a product like acetic acid was prices had actually fallen all the way down to close to about $300, $320 levels, which also , if you remember my narrative was, we felt not sustainable for the acetic acid producers.

And thereafter, in quarter 3 is where we already saw prices moving upward. We saw certain key suppliers of acetic acid in Asia and also globally taking shutdowns, some planned, some unplanned, and we saw prices had already moved up upward of slightly over $400. And then I would say, in Jan, Feb, we saw tho

se prices moderating in the range of about $350, $370.

What we certainly then saw happening fundamentally into March from those levels of $350, $370, we saw a large spike, more so in March and thereafter in April. And these were then crossing at upper end beyond $700. But the spikes have been in that sense a b it short -lived and we are also seeing that prices are moderating back to I would say a certain commonsensical levels.

And where we are seeing currently prices for acetic acid is around the levels about $450, $470, where we seemingly think that this will find a floor. So that's one key raw material for us.

Ethanol, we have not seen the spikes as large, primarily what we bring in ethanol from the Americas.

And therein, we also continue to see that ethanol remains -- I've seen prices are firm, but we have not seen the price swings that we have seen for a product like acetic acid. Also important to note for acetic acid, one of the key raw materials is methanol . And given that the Middle East is one of the key producing regions for methanol, not surprisingly, there was a lot of anxiety,

and that is where we have seen these price swings.
Coming to our customer base, again, on a qualitative level, we have seen the whole host of reactions from our customers. Some of them who are risk averse in such a volatile situation have chosen to sort of build up some inventory and are sort of willing to pay a certain premium on the supply reliability side.
Some of them, I think, again, it is very industry specific. Some of them are a little more taking it as they require it. And so they are just saying, I will buy what I need and then sort of keep restocking. On sort of what has also kept us as Laxmi in good stead has been our procurement strategy that has kept us in good stead. That is where we have been able to also ensure that our assets have been running reliably during these periods.
Coming again deeper into the customer segments. For example, in Pharma, we have seen on a quarter -on-quarter basis, and I'm here referring to quarter 4 of FY '26, in Jan and Feb, we found that demand was stable, and we certainly saw the spike happening in March, again, to the narrative that I've just shared with you. Printing & Packaging is also where we saw Jan and Feb, the demand on a quarter -on-quarter basis was stable and then spiking into March.
In our Industrial Solutions segment, we have continued to see demand being stable and slightly firming up in quarter 4 and also what we are seeing first telltale signs into quarter 1. The same

is true for our Pigments segment. So that's broadly what we are seeing on the demand side from our customer industries. Quarter 1 is a narrative we will speak into when we meet next time and when we discuss the quarter 1 performance on our customer demand side.
Logistics, as when we reflect on FY '26 or versus FY '25, if we all remember the Independence Day tariffs that were announced towards the latter half of FY '25, that had large ramifications on logistic costs. And as we entered FY '26, there was a moderatio n in those logistic costs and vessel availability that we observed.
But certainly, since March, that has gone into a different tizzy. And unlike the COVID, the Middle East crisis has triggered multiple surcharges. So that is a very different dynamic that we are grappling with. But broadly, it would be fair to say what we a re experiencing is that the logistic costs have doubled since this conflict has started plus a host of other surcharges. This is certainly something to watch out for, but today, it is a negative drag overall.
Again, coming closer to home on our asset bases at our facility or fluorination setup at Lote, we have actually achieved what we had lined up for ourselves into FY '26. We achieved 40% to 45% of the peak revenues. And we also have, as we enter t

his financi al year, a good order book,
and we remain on a good position at that setup.
Also thrilled to announce that we have started up our world -scale ethyl acetate setup line at Lote, and we have started already dispatches to customers. At our project at Dahej, the Phase 1 from the previous narrative is what we had shared. We had already started and we are continuing to supply the market.
Our Phase 2 range of products and plants are, the chemical charging will happen in this quarter, quarter 1 of FY '27. And we certainly are very, very excited to start the sampling to customers and then into the second half of FY '27, where we will see reve nues from Dahej impacting our P&L positively.
That being said, I think what is also very, very important on our mind is the entire responsible and sustainability lens, because as our manufacturing footprints are increasing, it is also important that how do we be more prudent in the way we are looking at how much water we are using, how much energy intensity we have been displaying.
And I think we have taken excellent steps and a big call out to the teams that have been involved in that, wherein our intensity on a lot of these key elements have actually on a year -on-year basis at our existing setups have seen significant improvements. We will be releasing our BRSR report, so you will have an opportunity to look and understand what I'm calling out here.
Our supply chain digitization project, which you remember, was an important transformative initiative which we launched last year, and we basically are expecting this to go live in quarter 2 of the FY '27. Coming to the announcement of Mr. Amit Jain. Amit Jain will join us as of 16th of June as Laxmi Organic CFO.

I'm very glad that he has chosen to join our journey. He joins us from Gharda Chemicals, where that was his last role as the CFO. He comes with 30 years of extensive experience working as a strategic business partner across chemicals, packaging, pharmaceuti cal industries, and his experience spans corporate strategy, Investor Relation s, treasury, restructuring, M&A.
And enterprise transformation, all of which I think are very, very relevant for us as an organization, and I'm glad and I'm sure that he will add a lot of value and continue to steer us into the next phase of our growth. So that's a bit on really the market s and what I would talk about.
Then just changing gears, coming to the financials, I would focus first on the sequential lens of how have we grown sequentially in quarter 4 versus quarter 3 of FY '26. Based on what I just shared with you, we certainly saw revenues growing by 9%, driven across both businesses, Essentials and Specialties.
And we also saw in quarter 4, sequentially, we saw margin improvements across the 2 businesses. So that's been an important journey for us, because I'll then come into the FY '26 narrative, and that's why it's important that sequentially, I think we have p erformed very, very well, and we are satisfied. More importantly, it also sets a good base as we enter the current financial year.
Then comes the lens of the full year 2026 narrative. What you certainly see in FY '26 versus FY '25, our revenues have degrown by 6%. And this is something we have been talking very openly over the last investor calls, the margin pressures that we have see n, the overall deflationary feedstock environment that we have been grappling with. And we have also had certainly onetime effects in our Specialties structurally that has impacted us.
The gross margin profile also has then obviously come under pressure on a full year basis. But we have been also as our new sites have started up, we have certainly seen also our employee costs increasing by about INR14 crores when we look at from the new site set up, but we were also driven by onetime reversals that we ha

d experienced in FY '25, then obviously, we did not
manifest in FY '26. So that is where we are, ladies and gentlemen.
So ending the year strong. I think that's what I would like to call out. And also, we anticipate a good, decent start into the current financial year, but also we are very, very prudent in our working capital management. That has kept us in a good stead, w hich is then also enabling us to invest in our growth projects.
With that, I would open for Q&A.
Moderator: Thank you. We will now begin the question and answer session. O ur first question comes from the line of Jainam Ghelani with Svan Investments.
Jainam Ghelani: So sir in a previous call, you had mentioned that our ethyl acetate spreads for Q3 FY '26 was almost $100 to $110. So what did it stand at in Q4 a nd due to the Middle Eastern crisis, what was the peak that it made a nd what are the current levels of those spreads?

Rajan Venkatesh: Good. Before I answer that, I'm also here accompanied by Mr. Harsh Goenka. I think most of you know him. He's the Executive Director here at Laxmi and also wears the Interim CFO hat, so it will be Harsh and me covering the Q&A section. So Jainam, thank you for that question. I'm sure you're excited to understand that. So yes, quarter 3, and if you remember our narrative that we shared, we said, first and foremost, that the acetic acid price point was very, very low. And we felt that is not going to be sustainable for many of the key acetic acid producers, which is what got manifested. We saw acetic acid capacities coming offline. And we saw also acetic acid prices, as I spoke in my starting commentary, increase into qu arter 3, and some of that also then settling around $350, $370.
So the spreads of ETAC certainly had gone down below $100, and we then saw the spreads for ETAC improving somewhere in the range of about $130 when we look at the space of January and February. $130 would be a fair number is what we reflected on that sprea ds. What we saw then happening, given the large spike in the acetic acid prices, and don't forget, a lot of that is also driven from methanol, which is a key building block into acetic acid.
We saw the spreads jumping up to about $220 levels in March, and then what we saw them also further increasing to up to about $250 levels into April. And since then, we have seen certainly and if you remember, the average spread over a 12 - to 13 -year period, excluding the COVID highs, is in that $220 ballpark.
So we certainly saw the spreads increasing coming back to the average spread level over the cycle and even increasing beyond that. Currently, we are seeing spreads at the range of I think they have moderated lower. So we are seeing spreads as we speak now close to the $150 to $160 range.

Jainam Ghelani: Fair to say that over the next 1 or 2 quarters, you expect the spreads to be sustainable around this range, $150 to $160, and this could be the bottom now?
Rajan Venkatesh: I wish, if people stop tweeting , and if there is a little more sanctity in where the dynamics are happening in Middle East, to say that I think we believe in this we are taking it day -to-day. I think that would be a fair answer. We also believe where we see acetic acid prices having settled, we believe that could be a floor given that methanol prices still are very, very high. So this could be somewhere, we think, p oint in time as we discuss where things may sort of land for now. Again, take it with a pinch of salt. It's a point in time, and it's evolving as we speak.
Jainam Ghelani: And sir, we saw that in the Specialties segment, our revenues dropped by 18% year -on-year. And in your earlier calls, you had mentioned that almost 8% to 9% was because we had lost 1 big contract. So the remaining 8% to 9%, is it purely pricing? Or have we lost volume or market share in som

e other case too?
Rajan Venkatesh: So first is what you see in quarter 4, we have really done very, very well in our Specialties business. We have recouped that. So if you remember, there were 3 broad buckets, especially if you look at the first half year. The one was the structural product that was close to 10% of our top line.

What we had also called out is we have an alternative in the pipeline, and we had already triggered that alternative. We saw some revenues from that creeping into quarter 4, but it is more in FY '27 where you will see manifestation from that. So that's the first bucket. The second bucket was, we said, we had shipments which were deferred by certain key customers from first half into second half.
That is also what has got manifested into quarter 4 for our Specialties space. And the third one, the deflationary effect on key feedstocks. And if you again remember, over FY '25 and also FY '26, key feedstocks like acetic acid actually dropped by close t o 30% over a 2 -year period. And then even in the Specialties space, while we do not have cost -plus base formulas, you need to start reflecting that.
And hence, it is, I would say, amalgamation of these 3 factors. The first one being more material, that had a full year impact. Second one was a deferment, which we saw manifesting in quarter 4, like we had anticipated. And the third one was more the defla tionary environment, which then impacted our sales. So if you then look at on a year -on-year basis also, if you see Specialties, we are certainly almost flattish, and that goes to show where we are.
Jainam Ghelani: So sir, is it fair to say that now the deferment of orders and post the crisis, the pricing has also improved, so those 2 problems have gone away? And as we ramp up the product, we can see growth in specialty in FY '27 and FY '28?
Rajan Venkatesh: We have to, right, because we are also investing. Our Dahej capacity is coming online, as I mentioned. So you will see manifestation from that coming into the second half of this financial year and ramp up thereafter. So I think that's where we are. And ob viously, the Specialties business has steered slightly differently.
It is not as fungible in some senses. We have contracts with key customers, and we have understanding. So there is a certain timing effect on how you move through. Especially in this disruptive feedstock environment, how prices are moved through. And I thi nk that is how we are doing it very responsibly in discussion with customers, both in Essentials and Specialties.
Jainam Ghelani: Okay. And sir, as you mentioned in your opening commentary that our Phase 2 should commence operations in Q1 and our Hitachi plant should commence in Q2. So post that, we are done with our capex for the near term. So how do you see the ramp -up in these projects? Can we actually see revenues of almost INR3,700 crores to INR4,000 crores in FY '27 and almost INR5,000 crores in FY '28?
Rajan Venkatesh: So I think we have been very clear. First is the manifestation of the Dahej project is not full year. It is primarily impacting us, and we have got the entire qualification phase, all of that to happen. So now is when the ketene, diketene elements will com e on play. So we will see revenues increasing into second half. And then we will gradually ramp it up into FY '28 and beyond.
The Hitachi project, that will manifest in quarter 3, and then we will have a steady qualification and ramp -up happening into FY '27, and we have a multiyear contract with them. So that will manifest accordingly. As things are more and more clear, today, I think I hope there is a respect

and understanding, the backdrop that chemicals are operating in continues to be very, very fluid and evolving. So to put absolute numbers would

be immature from my side. So we will take it and once things settle is when we will have better line of sight.

Jainam Ghelani: But sir, any rough asset turnover that you can give that what could be the peak potential from our Dahej project since we spent almost INR1,000 crores?

Rajan Venkatesh: Jainam, we have given it in the past. So it is a blend of capexes between Essentials and Specialties. And we have said what is the asset turn we anticipate in our Specialties business and also Essentials business. So I think that's something we've spoken of in the past.

Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to the management for the closing remarks.

Rajan Venkatesh: Right. Thank you all for joining in, and thank you for your interest in how Laxmi is navigating the current times. What I would like to, first and foremost, call out is a big, big shout out to the whole Team Laxmi, because in difficult times is when you ar e tested the most. And I truly believe the way w e have sort of come through FY 26, preparing ourselves for FY '27 and beyond is a testimony that the team is geared for growth and geared to win.

We are tapping all the levers, which are in our control, and we are doing this in a very judicious manner and we are doing again with close proximity with our customers. So I look forward, and I'm truly excited to continue this conversation with you all. T hank you all, and thank you to all our stakeholders.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Laxmi Organic Industries, that concludes this conference call. Thank you for joining us. You may now disconnect your lines.